

Intellect Design Arena Ltd. (INTELLECT)

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1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol :
INTELLECT

2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :
538835

Dear Sir/Madam,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Investors' Concall

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call held on May 12, 2023 on the financial results for the quarter and year ended March 31, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above
Q4 Results FY 2022-23
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Investor Earnings Call Transcript
Praveen Malik

Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the fourth quarter of the fiscal year 2022-23 and the full year ending 31st March 2023. The investor presentation and press release have been sent to all of you and are also available on our website as well as the Stock Exchange website.

Our leadership team is present in this call to discuss the results.

We have with us today Mr Arun Jain, Chairman and Managing Director, Mr Manish Maakan, CEO of GTB, Mr Rajesh Saxena, CEO of IGC B, Mr Banesh Prabhu, CEO of Intellect AI, and Mr Venkat Saranu, CFO. Besides some other very senior members of the Intellect management team are present in the call. Mr Arun Jain will briefly outline the results, followed by the briefing of Mr Banesh Prabhu, Mr Rajesh Saxena, and Mr Manish Maakan.

Thereafter, there will be a Q&A session where your questions will be replied to by the senior management team. Once the Q&A starts, you can ask a question by clicking on the "raise your hand" and we will unmute you so that everyone is able to listen to you.

On a safe harbour, I would like to remind you that anything which we say refers to our outlook for the future is a forward-looking statement. This must be read in conjunction with the risk company faces.

With this, I request Arun to give his briefing.

Arun.

Arun Jain, Chairman and Managing Director

Good evening to everybody who has joined this conference call. Today we are celebrating the annual results of Intellect for the year 2022-23.

This is a culmination of the last nine years of our effort when we de-merged Intellect Design Arena from Polaris Software. During these nine years, we built up this institution of high-quality product development, deep reach in market development, and cutting-edge technology development, which has got translated to put the company on the global map for Bank Tech Wave 5.

We mentioned in a release two words which may be new to the investors. One is called deMach.ai and the second one is Bank Tech Wave 5. I would like to explain the two separately.

Arun Jain, Chairman and Managing Director

Yeah. So let me start from the positioning of the company at the right place, about nine years of our effort have brought us what are we today. The Bank Tech Wave 5 started sometime in 1965, which was a mainframe-based technologies bank start using for registers.

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Sometime in 1985, the Mini computer came in and the 2nd wave started using computerisation in banking. But in the backend for calculations, and somewhat front-end applications, branch applications started happening.

Bank Tech Wave 3 happens when distributed computing started happening sometime in the 90s when many product companies emerge, whether Temenos or FlexCube or the players in a similar domain. Temenos emerged in the 90 to 95 era. This was the distributed computing company that started happening.

In 2000-2001, when internet technology disrupted the industry, there are next generation of customer experience started to take some shape in the Bank Tech Wave 5. Now in the Bank Tech Wave, we have and that was the Bank Tech Wave 4 and Bank Tech Wave 5 is about when cloud disruption and AI disruption happens, so it means whenever the technology disruption happens, there's a significant way that companies have to realign themselves to the new horizon and that investment has to be done at least three to four years in advance and we could able to pick up the right signals early in enough that cloud and AI is going to disrupt the technology industry, which you are all of you are seeing in last six months more dominantly versus when we picked up in 2017 and invested in a team of cloud technology in New York and then AI technology in India and New York. We invested the money over there. With these two investments, we made one fabric platform and 2nd is a Mach composable platform for Turmeric, which was a technology platform in which we invested into it.

eMACH. ai that why e-mail. AI is creating waves in the market place where we are bringing all the products which we have built over the period of time in retail banking, corporate banking, in the wealth arena as the microservices. So there are 285 microservices which can be assembled to design the product related to a particular market. Let's say HSBC Bank has to design an offering in a specific country for a specific SME segment, they would like to offer certain features and functionality which they used to use services company to build those products. Today we are able to disturb that pattern saying you can do it using a composable platform. With Turmeric where they'll be almost zero code and it will be a composable platform. So we define an A to F of eMACH. ai which is architecture which is all our microservices which revolve around composable ability which is all around data which revolves around embedded AI and it is flexible and extensible for the bank and that's what gives a giving us good momentum to the customers globally. So this is our story, which has changed and this is the 4th foundational principle for our distribution. Now this technology can enable our partners to build the technology or this technology can help financial institution to use by their own IT teams by using our eMACH. ai platform. So the problem which you are discussing as an investor that when are we signing partners

I think this is the right action we were preparing for. But it is much easier for a partner to get signed up for eMACH. ai and that's what during the call Manish may update you about what progress we have made in a partnership site.

So today the purpose of the call is to take you through the results with last year at the same time in the month of May, we said that we've been reinvesting 5% of our cash margin into building up next-generation technology and we'll ensure the cash is maintained at the same place as what we had.

We could even deliver the same cash as last year in spite of investing in eMACH. ai, for the next-generation platform. The second thing, we looked at this margin should be it was 24.5% last year we were looking 5%. So our annual margin this time is 20%, which is also in line with what we discussed with you. Third thing is we always looked at it that Intellect can only be measured by last 12 months

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revenue not quarterly revenue. Our business model doesn't permit for us to get evaluated on quarter-on-quarter margin.

I want to insist again that please stop looking at comparing Intellect with the service companies. There is a completely different model. There's no comparison from service industry versus the product company or technology company. So Intellect is a technology company. So please look at last 12 months we consistently in last four quarters we maintained our growth rate more than 20%. Even in quarter one, two, three, and quarter four, the last 12 months growth rate was 20%.

So that is what we designed our business for and this business is accelerating our CAGR of last five years is 16%. Our CAGR last three-year is 18% and our CAGR of last two years is over 20%. So it's accelerating. CAGR in last five years of our journey.

The first is how to grow and the Portfolio model is the one critical model where we chose 4 LOB's to grow simultaneously. Now each LOB is having their own portfolio for the growth of the business.

Second is we have presence in 57 different countries, our business is not dependent on particular geography and we are the large and the most diversified company which are operating in the largest client in Asia, the Middle East, Europe and Americas. Looking at it, what new challenges are now? Like 3.0 is about distribution which will give us headroom to grow.

The second question is headroom for margin growth. Our licence link margin revenue comes from three sources, Direct licence, Platform revenue and AMC. All three are growing healthily in the business assurance or growth assurance were growth comes from our client quality, our technology differentiation and are we solving the right problem.

Manish, Banesh and Rajesh will take you through. They will, they will try to assure you that there's a huge growth potential they are seeing.

Related to risk, the 4th question is, yes, the geopolitical risk we have seen over the last seven years. Starting from Brexit to Trump win to the Ukraine war to now US and America crash on the banks. Those are part and parcel of our business portfolio.

It does impact 2 to 3 quarters when the industry starts assimilating the impact of such kind of risk.

Second risk is deal cycle closure cycle time that is not predictable in large deals like what witness we are in now which cannot be a quarter on quarter. And the 3rd risk is coming in now, where the banks are becoming more committed for the payments to be milestone-driven. So these are the three risks which are there. Which will identify and we will discuss if you have some more questions regarding it.

At this point of time I want to hand over to Banesh to share with us what is an exciting story of AI with the combination of wealth and insurance playing out in the market to over to Banesh. After that, Rajesh will tell you the story of how the core banking systems which is why the banks are looking for the transformation of core banking systems now by the Bank Tech Wave 5 is so critical for core banking systems, which was to some extent slowing down and how the Thought Machine and Temenos is competing.

Manish's story, you know more of you will store the GTB story but the GTB story has migrated to significantly in the consumerisation of corporate banking. It's a amazing story what we are. Differentiation is coming in the global market space. Manish will share you that story and then I summarise it later.

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Over to you Banesh.

Banesh Prabhu, CEO, Intellect AI

Yeah. Can I Praveen.

can I request you to share the slide? Rajesh Saxena, CEO, iGCB

let me take it from here and let me just start by sharing my screen.

Rajesh Saxena, CEO, iGCB

So I hope you can see my screen.

First of all, good morning, good afternoon and good evening and thank you for joining this conference call and it's good to be talking to you again. So let me start and talk about today's presentation and really in four sections. So in section one, I'll talk about the market opportunity, so me key trends and talk about our competitors.

While Arun has already talked about the financials of year 2023 FY 2023, I'll try to put a little bit of colour by giving you a qualitative feel of the year 2023.

The third section we'll talk a little bit about growth strategy, which is very similar to what I have said in the past, but I'll just recap that again and we'll talk about a little bit more about marketing. I think this year we are focusing more on marketing from distribution and marketing. So I'll talk a little bit about that. I think when we look at the market size from a TAM perspective, FY 23, the retail banking space is about \$23 billion which is growing at a CAGR of about 8%. So that takes from 23 to \$29 billion. But what's interesting about this market is while it's growing at an 8% CAGR, the shift in the SaaS piece of this market is really growing by 34%, while the in-premise business is only growing by 8%. So the SaaS business which is about 14% of the total market spend right now in FY 29 is estimated to go to 30%. And that's where our business model, our eMACH.ai, is the space that we are playing in. Also, from non-traditional players these are players like specialist banks, digital banks and the fintech players. We are seeing that component of the business is also growing.

So that's a little bit about the market from an Intellect perspective, we should look at the Intellect service, addressable market, it's about \$11 billion growing at about 8 to 10% CAGR and therefore from a retail banking space, we believe there is a huge headroom for us to grow and our business in the coming years.

Talk a little bit about some of the trends that we are seeing in the market. So I think the first trend that we are seeing really is about digital transformation especially relating to the bank's customers and specifically customer onboarding. We are also seeing that customers are expecting the bank to participate in embedded finance user journeys as the customer goes through their journey, for example, to just to make it a little bit clear, let's say a bank customer is an Amazon is buying a product, let's say a white good product. Suddenly he doesn't want to pay in full, he wants to take a loan. He or she expects the bank to be a part of that journey and be able to offer that loan during that journey. So that's the embedded finance and we are seeing that trend growing and that's the first trend.

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These second trend I think I already talked about it, it's an accelerated shift to SaaS and cloud. We are seeing that trend going in all markets across the world.

The third trend is really about how banks can use data insights and embedded AI in the customer journey to create hyperpersonalised customer experience which is lifestyle oriented and contextual.

The fourth trend is really about how banks can work with partners and fintechs to create an ecosystem, and through this ecosystem, everyone plays. I think a couple of years back there was always this debate about banks and fintechs. I think banks have now understood how to play in this game and also we are seeing the trend of how banks can become market places.

In certain advanced markets, we are seeing ESG as a very key driver, especially on the environmental pages space and in the central banking space that we play, we are seeing digital currencies.

We are seeing many central banks either doing POC's or launching digital currencies. So these are the six key trends that when we talk to the bank CEO's, retail bank heads, CIO's, chief digital officers these are the trends that the bank talk about and it is important because our business model is built around those six key trends.

I think from a technology perspective, the kind of investments that we have done in the last couple of years, whether it's relating to cloud SaaS, API, microservices, DevSecOps, Insights, data AI and distributed DB and I think 2025-2030 we expect these technologies to further evolve. So from an Intellect perspective, the good part is that we have already started our journey a couple of years back and we've made significant progress in some of these trends.

So talk a little bit about year 2023. I think we were well covered from an analyst perspective for the 6th consecutive year IB rated us as the number 1 in Retail Banking. They also rated us as a Global Leader in Product Breadth as well as Retail Lending.

From a Forrester perspective we were rated as a leader in the Forrester Wave Digital Banking Processing Platform for Retail Banking. We are in Gartner 7-time leader in the Gartner's Magic Quadrant, and Chartis also rated our Digital Lending Solution as the "Best of Breed."

So I think we got a lot of quality analyst coverage during the year. We also did, you know in the month of February. I think Arun talked about it, we had our first Bank Tech Wave 5 event in Mumbai and during that time we were very happy to launch iKredit360, a specialist credit platform built for India and I'll show a couple of pictures around that and talk a little bit about the value proposition that we have built for iKredit360 in India.

We believe that this platform, which is a specialist great platform, can really help democratise credit in this country. So let me talk. I think the key proposition of iKredit360 that we have in a nutshell is it's a complete 360 asset platform. What that means is that any credit product, whether you want to launch an SME financing, or credit cards, or agricultural loan, gold loan, every credit product can be configured on this platform.

It is built on eMACH.ai architecture, which means that it's microservices API, cloud, headless and event driven architecture. The model that we have is really on pay as you grow, so you pay as a small upfront fee and you pay as you grow based on the number of transactions and what's very critical is that it is built in India ready that. What it gives is that all the key partners fintech government agencies are

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already integrated with this platform, which significantly reduces time to market for banks as well as makes this platform regulatory ready. During that event, we launched 2 products, SME Lending, SME finance and lending platform in India and the second platform that we launched was about Digital Cards.

Soon SME financing, the platform actually takes care of 16 types of SME financing that you can do and it's a model which is completely India ready and on the cards piece, it's a complete front to back model, which also has the potential to launch a green card.

Following India's event, the 2nd event that we did was in UK where we really launched our UK Open Finance platform and we show you a little bit about what we did in London. Our second event in London and in that event we actually which was done in collaboration with the Celent and AWS Banking for London, we actually launched the Open Finance platform, which is UK and Europe ready based on our MACH architecture, it was very well received. We had about more than 60 banks, customers and prospects looking at our platform and we are continuing to progress on this from a Europe perspective.

I wanted to not talk a little bit about two use cases, so I think this is the first use case is really about our central bank. Use case where we launched the commercial portal for these banks and just talk a little bit about what this portal does for this commercial bank. So this is serving about 240 commercial banks which has about more than 15,000 users and this is the first time we've built a platform which is multilingual. We have actually started with English and Hindi, but it has the capability of going into regional services. The platform offers 120 plus banking services and 175 PDO services. And for the first time any central bank has actually gone on an enterprise cloud, so this platform is on VMware Tanzu Cloud. It is the first time where we have gone through very severe security clearances and we had to go through a professor at IIT Kanpur because security is a very big concern from being a commercial portal and the first time we have thought of our Turmeric platform. We have ensured 100% coexistence what it means is that we have the old platform kuber1 and the new platform kuber2 and we have the ability for a user for a certain bank to be on kuber1 and certain banks on kuber2 and within a bank also some users can be on kuber1 and some users can be on kuber2.

So this is a great tool from migration and reduces any risk from a migration perspective.

These second use case that I wanted to talk about is the SME market place that we have launched. This is for one of the largest private banks in India and this is a bank which over the last one year has improved its market share from 19% to 24%. and the platform is really about a cloud native solution which is implemented on a private Google cloud where the customer the SME can self on board. So prior to pandemic, the process in this bank used to be that a SME would go to an RM, sit across the RM and give all the data. And that process of approving could take anywhere between 7 to 10 days.

Now what the bank has done is that SME can on board himself for herself by using a micro site with very little data entry with very few fields of data entry and through multiple API calls that we make with many important fintechs and partners. We are able to get that information and make almost real time decisions, so this we do through 129 API's, 11 PBC. We build 67 interfaces for just approving this RMS.

Today, the bank is processing about 70,000 applications that disperse both the 7000 crores a month on this platform. This is, we believe it is a hot space in India at this platform can really democratise the SME financing from a technology perspective in India.

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Moving on, I think I'll talk a little bit about our strategy. Our strategy continues to be built around our product and platform focus, continued focus on Europe, our principal solution, provider strategy and destiny deal that focus on talent.

I think this is an important slide and I'll spend a couple of minutes on this slide. I think when we look at our business, we are looking at our business as four products, three platforms and one technology.

The four products that we talk about is IDC and when we talk about IDC, this is core banking lending credit cards, AML, Treasury, etc. It's the most from a breadth perspective, it is the widest product suite that is available in the market and the deepest from the types of user stories that we have.

These second product which we sell is Digital Lending. The third product is really about our central banking proposition, our Market Leading central banking product which we call as Quantum and the 4th is on Capital Cube, which is our Treasury and ALM product.

As we had originally had products, we are now moving in that journey from to a platform and the three platforms that we have is MACH.ai. This is our open finance platform. iKredit360, it's a curated credit platform. The digital experience platform, this is the frontend layer and diTurmeric, which is our technology.

I want to spend a couple of minutes talking about the key value propositions of some of these, some of the products and the platform. So from a product perspective. I think if you look at IDC, the key USP or IDC, it's a composable and extensible business components. It is built on MACH.ai architecture and as I said from a breadth and depth of the solution, it is the widest and includes end to end loan lifecycle, credit card and treasury. And from a product perspective, in our strategic markets, we have country ready model banks platforms for targeted countries. What helps is that it enables a shorter implementation time.

From a lending perspective, what we are seeing in the market space is a great need for one origination platform and one origination platform is really a single platform which can take origination for retail, commercial as well as corporate.

The digital lending suite that we have has a comprehensive credit lifecycle management and has multiple channels such as Microsoft Customer Office, RMO etc.

From the Quantum perspective, which is a central banking solution, we look at our key USPs or digital transformation how we can enable central banks to implement policies faster to keep pace with ever changing interconnected global landscapes. It seamlessly connects 4 pillars of the nation: the government, the central bank, FIs, and the public. It helps the central bank to provide real-time visibility of operations and it really, while this is a full product, it actually has 12 different pillars in this platform.

From a Capital Cube perspective, this is a product which seamlessly integrates the front office middle office at back office within built ALM and RFR and it has a real time visibility of cash flow and risk and portfolio risk analytics.

From a platform perspective, I think MACH.ai is the. As I said, this is our open finance-enabled platform. It is already an integrated ecosystem; it is regulatory compliant in the markets that we are working. It is available on PaaS and it's on MACH.ai architecture.

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From our iKredit360 perspective, this is a complete 360 assets platform where banks can curate innovative credit experiences over the cloud. It has the MACH.ai building blocks and it has multi-tenant credit as a service platform and this comes pre-integrated with best-in-class fintech partners to offer differentiated solutions.

From a digital experience platform, it's about composable, contextual and collaborate from a composable perspective, the banks can design their own UIs. It has domain services across acquisition, banking services, engagement services, beyond banking services and foundations services contextualised. We are using embedded AI and ML for building propensity models and collaborate. It works in an ecosystem with integration with many fintechs and partners.

So that's really about our product platform, but technology story (lost audio video)

I think I just wanted to talk a little bit about Europe. I think we have reinvigorated our team in Europe with these senior persons induction. We have built continuing to build up pre-sales and delivery capability. We have 3 referenceable clients which have gone live, Cater Allen, Otto and Resurs in the process of going live. We now have fully hosted solutions in AWS Germany and the UK we have built a good pipeline in UK, Europe, and Canada. We are, as I said earlier, we are now hosting multiple events in the UK and Europe. So I think that was really about this thing.

I think a little bit about principles solution provider. So what we are looking at is really looking at 5 accounts in this year to see how we can build a principal solution strategy around lending with these banks and we continue to remain focused on the destiny deals. Destiny deals are very important for us and we'll continue to remain focused on that.

I think on the last piece, which is really our about talent, I think we are in the talent business and therefore we are focusing on, we continue to remain focused on talent and from a talent perspective we are really looking at talent development, cost and efficiency and people engagement and learning. So these are the three pillars that we are working on from a talent perspective.

So that's really what I had. I think from a marketing perspective, I can just quickly talk about saying we are very happy for the first time we have decided to participate in Money 2020.

We are participating in the Money 2020, which will be held in June in Amsterdam and where we will be showcasing our signatures, how banks can build their own solution, a signature solution on an open finance platform. We're looking at that a Digital marketing course, the way where iGTB, does iGTB Oxford and we're looking at increasing our marketing participation in our marketing events in our key markets and along our key products. So that's really what I had and I think with that, let me hand it over to Banesh.

Arun Jain, Chairman and Managing Director

Before handing over what is the competitive landscape, Rajesh?

Rajesh Saxena, CEO, iGCB

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Yeah. So I think it is a very interesting question. And I think from a competitive landscape, what we are seeing is that if you really look at markets in Europe and you look at Tier-1 banks or even if you look at large banks in the regional space the competitors that we face are really Temenos, Thought Machine, and Intellect. So in many deals, we are in the last three with these banks and these are very large deals and these could be Tier-1 bank deals, this could be regional tier bank deal set c. So I think we are uniquely positioned when we compare ourselves with Temenos which we think is a little bit of an old legacy platform. If it has a very monolithic architecture and Thought Machine which is really built on the latest technology but doesn't have the depth and the breadth which is required from a financial services perspective.

So I think with the MACH.ai architecture as well as the depth and breadth that we already had in our solution, we are uniquely positioned to be able to look at this market space.

And I think Arun talked about this a couple of years back. We were the market was looking at following the core or building around the core and not touching the core.

What we are now seeing from a market trend perspective is that most of the banks are looking at core transformation because they are not able to get the benefits by using only the surrounding system. And I think with the new architecture that we have the cloud technologies are the MACH.ai architecture. This has become lower and therefore we are seeing a good market opportunity in large core banking transformation. That's the trend we are seeing and we are, as I said, Temenos and Thought Machine, but we believe that we are well positioned because of our latest architecture as well as the depth and breadth that we have from a financial perspective.

Arun Jain, Chairman and Managing Director

Thank you, over to you Banesh.

Banesh Prabhu, CEO, Intellect AI

I think some issue with my screen being able to share on zoom so they're going to present.

Sohi, good evening. This is Banesh. I'm going to sort of talk to you about Intellect AI business and some of our learnings, the Intellect AI business has had in 2023-24 before and how Intellect AI has positioned itself very well for the evolution that we are seeing in technology.

I mean, we are moving very rapidly at a fast maturing pace from a digital age to as of you know information age evolution and how Intellect AI actually is positioned. I think the approach that we've had from the beginning using data and AI as a first approach along with our MACH.ai architecture for creating AI and data models. I'm gonna actually have a few slides, and talk to you about each of the themes.

To start with, I think our business trajectory during the year 2022-23 was very positive. We experienced growth and expansion across our customers. And also in many of our geographies for our wealth business, our continuous innovation in products and platforms using embedded AI has now started providing us with some unique edge to quickly fulfil our varied customer demands and there is a lot of demand coming out on the embedded AI solutions for specific areas in their business.

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So I'm going to touch on three businesses. One is the Insurance Business, which is primarily focused on the US, but is slowly expanding into the UK, and Europe. Our Wealth Business, is in several geographies right now and is expanding quite quickly! I'm also going to talk to you about the very exciting area that we are seeing for our ESG business that we have started with a few clients and also the potential of what we have launched as Magic Invoice in India. You know, eventually occupying the accounts payable opportunity, which is also very large. All of them use our same embedded AI platform that will touch one eventually as the technology and how we've invested in this technology through various waves using data and AI as a first approach. So next slide. So I'm going to have a couple of slides on the US Insurance business, which I'm going to start with first. Firstly, North America, as we all know, has been pretty challenged economically for financial institutions. However, our insurance business actually is progressing. Most of the insurance businesses are progressing very well in the economy and with the present risk scenario, we actually see great opportunity for the insurance business, specifically the insurance business related to next-generation underwriting efficiency. They do want to underwrite risk more efficiently in this very high risk environment. So if you see this slide, you know we are one of the few providers who focus on a combination of data using risk analysis as a product. For ingestion, we use our Magic Submission! I'm going to touch on that a little bit later. And a very successful completely MACH-architected intelligent underwriting platform exponent. We also have partners, so we don't build policy admin systems, but we are partners in policy admin. So wherever a client wants to specifically focus on a particular type of business, we would give them our partner systems for policy admin. You know, if we can move to the next slide Magic Submission and exponent end-to-end underwriting with enriched data coming from our risk analyst product

actually creating a comprehensive underwriting ecosystem. There are clients that are actually now very interested in implementing slowly if or different businesses. So we've built data models through Alto to enable various business lines such as property, general liability, workers comp, and business auto and right now we're working with many clients on putting together specialty lines and excess and surplus lines leveraging intellects iTurmeric, no code, low code platform.

So our deep customer-centric focus actually provides us both cross-product and cross-business ecosystem, so what this really means is that we are in a position to get into a client, maybe with Magic Submission in the earlier slide you saw the ingestion capability and then extend it to specific lines of business. There are many lines of business. Some insurance companies do few lines of business, some others do many lines of business and we actually enter into a specific area either a business, either a specific function of just Magic Submission ingestion, then we used data as a separate product, and sometimes we add to it. The ability to even take it end to end, to underwriting. I think that combination has worked extremely well and has given us a strong focus on landing and expanding with our clients. Our plan this year would be to exceed 1,000,000 submissions through Magic Submission and the pricing is based per submission and this is done every year. We are about 80% faster in processing time and 20% higher data quality. But are enhanced capabilities of multi-channel ingestion. We can take data from multi-channels. We can take different kinds of data. We can enrich the data and then what we do is we embed Alto to provide things like submission prioritisation, so will touch on this first point on decision-making time.

Many of our systems are actually helping the client prioritise submissions much faster and choose through our AI embedded platform faster submissions for underwriting compared to the old BPO, you

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know model which had lot of processing delays and human limitations. So our target is actually to go after the BPO industry for Magic Submission.

And actually we therefore, if you saw the competition slide, we had convert and ground speed, which are the two competitors, this combination of putting together intelligence of AI embedded is something that many of them do not have, which is why we're getting a lot of traction.

The market time is expected to be about 100 million submissions every year and our position in this vital area in underwriting shows enormous growth to be able to process with all of these operational capabilities for our customers going ahead. We continue to obtain an edge over competitors such as Guidewire and Duck Creek, now Guidewire and Duck Creek are the big policy admin providers who also do underwriting. But I think the capability of our underwriting ecosystem makes us a lot stronger than Duck Creek and Guidewire and actually don't, you know, most people are slowly moving away from those platforms or many of them have been doing underwriting outside of those platforms and we actually are the best solution to be able to use our MACH architecture along with the embedded intelligence to be able to help them, manage the end-to-end process and with partners who we have partners. For example, to do rating of risk, we have a partner to do policy admin capabilities. I think that ecosystem provider is attracting a lot of attention from some of our clients.

To this effect, our GTM focus now includes 3 aspects. One, it's expanding the TAM to all those businesses I mentioned, property, casualty and soon. That is number one. Second, a custom offering leveraging intellects, proprietary low code platform iTurmeric in specialty insurance. This is where we write special insurance for a particular need. And we have not normally done that in the past and this is something now we built the capability along with our underwriting platform and iTurmeric fulfilling that requirement.

So that's expanding our TAM in a new area and thirdly we moved away from carrier to support MGAs as wholesalers and reinsurers. And we believe that the TAM of approximately 5 billion years per year on just the technology side for US and UK's is where we believe is the opportunity. I think our specific target within that is somewhere in the 3 billion range.

Now we have 13 customers on board a very healthy pipeline and quite a few in contracting as this stage with our newly created OP Steam we deal with that exception processing that we have. You know for some amount of our AI capability brings exceptions. We've created an end-to-end capability to deal with that operations capability and what that operations capability learning does is that it helps us further in our deep learning and machine learning algorithms, further improving performance.

So those are a few of the things I wanted to touch on the insurance business. I'm going to now talk to you about the wealth business.

OK, so wealth interesting space I think! I'll start with saying that global market trends are showing that we've almost tripled the assets under management and many of you are investors and you know the growth in assets under management in the past decade has been enormous.

There's a continuous increase in liquid assets and number of high net worth all over the world in many places. Wealth management firms and banks are struggling to provide new-age AI-driven technology experiences and renewed products to adapt to these new business models.

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So you'll see over here we are focusing on a variety of segments right down from the ultra-high net worth and private bank on one hand and to the mass wealth on the other hand. And there is a need to actually enhance the capability to provide scale for the relationship managers and the investment managers to be able to service more customers and to know more about the customers and more about their risk appetite to be able to provide them the right products and there's an enormous amount of wealth transfer taking place to new people, so the ability to bring in new customers and at the same time retain existing customers is very critical.

I think, one thing I wanted to touch on here is that we've started sort of pioneering a differentiated experience for wealth managers and bank and as a superior service for both clients using a platform which we call wealthforce.ai.

We believe technology role is to complement the RM and not compete with it. It is a very emotive business and we digitise with embedded intelligence all those business tasks.

In the daily life of the financial advisor they can provide the personal touch in the digital age and help them have embedded AI-powered analysis to supplement their skills. So I'm going to touch a little bit on wealthforce.ai. So, wealthforce.ai that we are now in the process of implementing in quite a few markets we you know that it has got three key models. Firstly, it's got ane MACH.ai which we've already touched on architecture.

We use our fabric data platform and this new offering is the most comprehensive no touch, low touch, financial advisor or RM solution and it's built on these three pillars hyper-automation to absolutely reduce the operations friction.

There are customers that are relationship manager and a customer face in their transactions. These are secondly hyper-personalisation. We believe that there is an enormous need to be able to match the right risk products to the right customers at the right time and normally the relationship manager doesn't just have all that capability. And how does it supplement this skill with the capability to do that and therefore result in a

modern customer experience.

Wherever we've implemented this, it's actually helped the wealth business grow their relationship manager performances significantly. We hope that we could scale this up in several other geographies going forward. So what are some examples of that?

Contextual recommendations differentiate with this product as it's hyper-personalised embedded AI for contextual portfolio recommendations. It actually helps clients increase their wallet shares. It helps the business not just with the wallet share increase, but it also helps individual investment values system to be tailored to suit the customer requirements. So very often the customer needs a tailored solution to suit what he wants and the ability to understand the customer and tailor the right solution to him is really the focus of providing. These are some examples of how the AI is embedded in this particular area you know this particular area.

Next slide talks about nudges. How do we create smart nudges? These are personal triggers customised whether a person wants to be socially responsible in investment or he wants the next Gen analytics for his portfolio and for their business performance. It is a deeper analysis of the portfolio that we do and therefore we provide the right nudges to the customer at the right time.

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And then we provide this end-to-end portfolio performance evaluation that we can help the RM have available on his desktop at any point when he's dealing with the customer and we have collaboration tools between the financial advisor and the customer. So that we can actually retain and deepen our customer relationship to provide them the engagement and collaboration at the right time, and I think the whole focus is about making the RM successful. We have about 20 customers between wealth and capital markets.

And active pipeline discussions in various geographies right now in progress and we already worked with three of the top five banks for mutual fund wealth distribution in India and most of the local custodians in India use our custody platforms. In addition, we sort of managed 20% of India's mutual fund volumes on our existing platform that we have implemented with the mutual fund associations. So I think our combination of MACH and our embedded AI for wealth is coming together very strongly, focused on the financial advisor and the relationship manager.

Wanted to talk very briefly on the fact that wealth force.ai can be implemented independently or together with our core wealth platform called wealth cube. This wealth cube really covers the full suite of six officers and 23 desks covering 150 tools to help complete wealth management for a company. Now some organisations only want to implement their financial advisor, while others would like to actually do the end-to-end wealth implementation.

Some of them want to start with wealth and then move into a progressive transformation of their old platforms because they don't want to do everything together. So I think our capability to be able to focus on that for wealth is vitally important and I think we hope that we would be able to launch very soon the wealth force.ai in most of the key wealth hubs around the world that we are actually analysing at this point and finding out how we will compete within these markets. We believe wealth force in the present 3 pillars I talked about hyper Automation, hyper-personalisation, a superior customer experience is not actually in its exact shape. Having a lot of very clear competition, they're different fintechs doing different pieces of this, but the complete architecture along with MACH can be very well positioned for ourselves going forward. So that's what I had on wealth. I'm going to touch on ESG.

So as you know to folks, when we talk about ESG, think immediately about environment and climate. But this slide will sort of show you environment, social and governance and the various sub-components.

The platform is already live, with one of the world's largest sovereign wealth funds, and we're actually in the process of implementing and upgrading it to cover all these various blocks and a lot of other data around.

It but presently it runs on AWS cloud and it already has a coverage of 6500 companies globally.

A few 100 Indian listed companies are already present and we want to expand that to cover the whole index in India very soon and we know that there are regulatory mandates both from SEBI and of course with all the other global countries whether it's UK or regions such as the Euro pe and the US.

So ESG uses the power of machine learning to deliver contextually relevant information around each of these blocks of environment, social and governance. It is unlocking intelligence that is required for enabling much better risk analysis than just looking at financial risk.

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I think people, organisations want to look at environment, social and governance in some markets, governance becomes very critical as we've seen the combination of looking at risk in a holistic way to look at all elements beyond financial risk is what this suite really offers for and this is what we are in the position to today to provide.

So ESG is built on the foundation of explainable AI for ultimate transparency and auditability. Now if you see this slide and you see there are four rating agencies which are the different blocks for each of these. So if you look at whether apples and you'll see 4 rating agencies rating ESG overall or even elements of ESG at different levels, these are the rating agencies and all these are very large global rating agencies we're talking about. OK, now this has been a concern that you can't just accept the best score but you should be able to have explainability of where the data came from. So our explainable AI takes you down to drill from where the data sources come from.

So this whole contextually relevant environment, social and governance-related data of clients to unlock. Intelligence is done in such a way that we give you a much better view to risk analysis than you would have before. So this is an explainable AI lot of ESG ratings are today providing scores, but all of them lack the granularity required to make this into an effective business great decision. Now whether you use ESG for risk or you use ESG for impact, it actually helps asset managers and funds to make competitively different investment decisions.

And all banks to incorporate sustainability, risk and impact into their pricing and lending offers and it greatly simplifies the financial service-related reporting activities that are required by most regulators around the world and those regulations are evolving as we know.

So ESG vision that we have, this is Intellect's ESG Edge product, is to create a world driven by transparent and sustainable ethical financing within the context of a never-shifting regulatory and customer preference landscape. We aim at cracking the problem of non-exposed data lineage limited and contradictory industry scores and manually intensive investigative processes.

So the differentiation in our product comes with customisable ESG data. So we actually help you take that data and score it. Now when I say you, I would mean asset managers, banks that want to deal with different company. We would actually give them the ability to create a scoring framework that is tailored according to the monall the data risks that we provide them, along with where the data comes and this actually creates an explainable AI situation to help clients derive accurate insights and this is done in near real time.

So ESG is a very powerful enough to run company sustainability reports on custom metrics against thousands of companies at one time both for the portfolio as well as at the industry level.

It's clearly MACH, and it's a sane MACH architecture. It's hosted on an AWS cloud. It uses a fabric data platform that Arun mentioned. It's got 40 plus ESG topic categories with real time comprehensive sustainability insights for you. And we can show you some of these reports on a separate discussion. We plan to have about 150 data points represented in the next few months. Needless to mention today, iESG will cover investment portfolio that is over 1.3 trillion dollars as assets under management. So very, very comprehensive addressing present issues in data and data explainable and is already being used for many companies around the world and we think we will be in a position to provide people the ability to access this ESG data and then

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to help them score it and manage the trail of scoring it through a record of how they scored it and why they scored it at that point of time and to get insights into when they need to change this call.

So that's a bit of a picture on ESG. It is something that's very important right now and evolving quite rapidly and we've actually been able to leverage our data and our AI platform to help service it, which is why the world's largest sovereign wealth fund shows us compared to competition, which was pretty much all the major players that do ESG scoring today.

I'm going to touch on one more new business area. So I want to touch on another cutting-edge AI solution which leverages both the MACH architecture and our DOC2API intelligent document processing automation platform. It was implemented for Magic Invoice which is now in the accounts payable automation space. I think Magic Invoice intelligently automates the end-to-end accounts payable process. Some key differentiators of Magic Invoice include smarter handling of format variations. Multiple modes of invoices because as you know invoices come in multiple modes.

We ingest that data from those invoices, we integrate it across internal and external ecosystems and accounting providers. We provide quality improvement to documents in case documents need to be further improved on. We improve the quality of some of those documents resulting in higher accuracy and validation and thereafter, verification of all purchasing data.

This multi-tier hierarchy approval process also means that the right people can approve the right things and end to end this approval process, the processing process again we are targeting lot of the BPO industry that does this. I think it's significantly upgraded with this capability we have even clients and we hope to sign many more which are in the pipeline.

So some of these competitive advantages as a combination of bringing together are again our fabric data platform again rolled out on a cloud and AWS is rapidly eliminating operational processes in the invoice management flow and the value proposition if you didn't look at it, the Magic Invoice enterprise can expect to eliminate data entry of invoices, reduce cost of processing, significant reduction in fraud overall operational efficiency. Ultimately freeing up a lot of time for the CFO and the finance function to leverage the data as a source of financial insights so that they can improve the cash flow for the company, attract vendor discounts where appropriate and faster payment cycles and better visibility across the overall function. We expect in the next few months to also add sophisticated capabilities of matching the invoices with POs and are real time comprehensive insights to further strengthen the product capability and its value proposition.

So these are four businesses we spoke about. You know, at a high level there was insurance, there was the wealth business, there was the ESG side of the business connected in a way to wealth as well as to banks that want to use it and the final one that I touched on is the accounts payable, invoice processing business.

I'm going to touch a few minutes on the technology of how we implemented this AI. So a shift from product to a data and AI as a platform with intelligent document and data processing capability houses a variety of data models for specific AI outcomes across right now, wealth and insurance, but many other businesses and intellect are bringing to tap on these capabilities. These capabilities allow users to gain that extra intelligence.

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And capability, you know, we all know how people do it in ChatGPT across areas today and I'm sure many of you are using it. But this is very specifically related to a specific business outcome and therefore our products and intelligence come together along with the right workflow to fulfil whether it was underwriting or the relationship manager that I spoke about.

So specific tasks and over time is going to be utilised by many products because this platform is evolving quite rapidly. It has a fabric data service as well as intelligent document processing platforms. The four systems that you see on the top I talked to you about three of them.

So the first stage, if you see this, is a progressive sophistication of our product and platform ecosystem will create a differentiated customer service ability to entities to build and configure their own capabilities. I think between 2015 and 2018, we saw the first wave of what intellect invested in an AI and data platform both for sentiment analysis and data aggregation. In Wave 2, between 2018 and 2020, we started using this platform for one of the largest wealth providers in the UK and for all our insurance businesses in the US from the data side, with our product risk analyst, which has now been upgraded many times, that takes input from multiple data sources and then actually helps you underwrite more efficiently which I touched on.

The third wave which has come now between 2021 and 2023, I already touched on Magic Submission, Magic Invoice, ESG and risk analysis. I didn't touch so much on Sherlock. This will be a variant that will help under ESG focus only on governance and improve the quality of people's governance. I think in the last call we had a brief demo on what is the potential of Sherlock and how it can give you governance information.

So the vision is to have an ecosystem of data and AI that is open and innovative to help customers and fintechs develop and deploy their own AI model on our fabric platform. Eventually that will take a combination of data and intelligence and actually help you implement this at scale for your business for different areas that we will already enable you across the various areas of financial services. So this is a very interesting evolution that's beginning to take place on the AI side. Our platform's ability to deal with data and intelligence is coming together very strongly on this fabric platform and Intellect AI is using it very strongly for insurance and wealth, but there's several other businesses that will be using it in different ways. You saw Rakesh talk about data and ESG in his slides and I'm sure Manish has a lot of similar areas that he's already working with us on in the trade supply chain payments areas. I think the Intellect AI I think will be positioned very well and has a very strong pipeline going forward. Thanks. I can hand over to Manish.

Arun Jain, Chairman and Managing Director

Thank you Banesh. I think this is the entire fabric platform that Rakesh has covered composable platform of MACH. AI where the retail bank can compose their own solution. Banesh unit Intellect AI covers the entire fabric as a core platform on top of it. We are bringing an API layer embedded points, a lot of questions are there on ChatGPT and other things, but this is the final nature of embedding the API into processes.

It's not generative AI. This embedded AI, which is different from it and this is what is this? What are we disrupting? We are disrupting the BP O industry today. BP O or KPO industry, to make it the next level of robotic automation, which was being promised five years back to bring reality with no touch, low touch decision making. With this third business unit, which is Manish will take you through

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the new avatar of GTB, which is evolved in last seven years of his journey to a very distinctive proposition for the market across the world. Over to Manish.

Manish Maakan, CEO, iGTB

Thanks, Arun. My screen is visible?

Arun Jain:

Yeah, all perfect.

Manish Maakan

Thank you very much. Now, so thanks for I think a very powerful presentation Banesh. It's very strongly aligned to the AI future. He's definitely inspiring a lot of us. I'm going to try and in the next 20 minutes or give a shape of where we are and how we are driving profitable growth with market leadership as a core agenda and how we help our customers, our associates, our partners win with iGTB. That's the core mantra for today's session. I'll give a quick highlight on what are the banking trends and what technology spends are there because this becomes an input for where we invest and where we grow. And then we look at our products aligned to it, our customers winning with it. And how do you support with the partner ecosystem and what are the analysts continuing to say about us which we have shared multiple times before.

To begin with, if you look at this data from McKinsey, the commercial payments is continuing to grow and they grew 11% globally and if you look at the cross, the 1 trillion mark and 53% of them were commercial payments.

So that's the space we are supporting and this space is counting in from a transaction volume has grown 19%. So there's high growth and high value, velocity and volume. All three variables are continuing to grow as we become more and more digital.

From what are the industry analysts looking at from trends to support this growth, this kind of volume, what they're forecasting is what you need is a customer engagement, which is hyper-personalised and has got leveraging AI to offer treasury capabilities. The payments have to be real time and with ISO 20022 formats being rolling them out. How you going to adapt to that? So there is a common pattern. What sense will you make of that data to monetise it?

The third wave which we have consistently looked at is the digital transformation. Where are the API first and cloud native technologies which we all have been talking about and delivering to. It is getting to an next level where ecosystems have to be open so that you can embed and be part of a larger network. You get consumed and you consume something so that everyone gets the network effect. For that you need embedded banking capabilities and the product innovations are for real time treasuries, commercial loan originations and how do you make it really 3.0 digital and support the supply chain growth.

This is what Celents says are the core needs which they are seeing corporates demand off of the corporate banks. Then we looked at what is the technology spend happening around the growing volumes and the new capabilities which are required. So it's about its growing at a 6.5% CAGR. It's

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growing from 7.1 to 10.3 billion. and it is a corporate banking application only spend. This is the area where we play. This is not the full corporate banking spend.

That number is much larger and out of that 2/3rd of that is in the transaction banking space.

So we as Intellect, iGTB is focused on an addressable market, which is about \$7 billion. This just gives you a perspective. I'll connect back to this towards the end of the slide. So the transaction volumes are growing, capabilities are becoming real time and closer and their spend is growing.

So how are we leveraging that in our product leadership journey, we defined our mission is the consumerisation of commercial banking. What does it mean in a very simple layman's language?

We as individual retail customers, we get instant gratification of what we want and we are getting hyper-personalised. Why would a commercial bank be any different where we as individual corporate managers need to consume technology any differently? Why would we expect anything to be T+1 kind of thing? So all of that is what we are trying to leverage our technology, bring down the two commercial banking which is a hyperpersonalisation real time connected journeys action triggered insights, immediate gratification, friction-free experience at scale and a desire and trust-based decision making. So we've looked at all these six tenets and we are continuing to leverage our technology to deliver use cases to the customer journeys where this can be delivered.

Today, we very proudly feel that there's we are only single global ecosystem for consumerization, which can offer the entire corporate banking exchange. A full digital transaction bank for mid-sized banks, liquidity investment deposit, virtual accounts, cash management, payments, trade, supply chain, all organically built on a single data architecture.

I've got a lot of my peers, some very respectful, some very big, larger than me, but they have all gone through acquisitions and we have seen a lack of consistency in architecture what it does and that's why we are seeing some of them fall out. So remaining organic self-funded like Arun called out, this is what we have been driving and the scale of it will give you examples of while on the screen it shows what we have managed to do. I will show that in individual products how we have scaled that up. All of this has been built on an eMACH.ai architecture, which is the best comment I got from one of my largest customers based out of UK, the group CIO saying, Manish this architecture is wonderful. Every architect promises me every sales company promises me. But what I am proud of is you have landed it in my environment and we are live on this.

That's the difference between an aspiration, a sales pitch and having in production-grade ready architecture, serving close to a trillion dollar of deposit base. So that's the scale it serves with 50 plus countries.

This is a large best-selling platform for corporate treasury with now 56 countries and 54 customers. And out of this 24 are amongst the top 10 banks of the size and scale of more than \$100 billion assets size. A digital transaction banking for all growth markets and emerging markets, we are in seven markets. We are practically the de facto standard with more than 70% market share in those markets and continuing to grow deeper with each one of them.

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Virtual accounts are what is we're helping banks to manage their deposits right now better. We've seen how flight of deposits has happened

in US and how solutions are can be offered where you can offer reconciliation real time. So virtual account is a very important tool as we go forward in our journey.

Payments has been there consistently and there are many players over there and we are also amongst them. One of the common things all of us will say we have these many rails and we are across these many countries but not anyone else right now says is that we've got cloud-based contact-sensitive corporate payments, which means I understand the context of your transaction and I help you take a recommended decision for you. What is the best route and what's the cheapest transaction for you to be able to execute? So that's a differentiation because of AI, we've been able to bring in.

CBX has our largest footprint now with 78 customers. We started this journey taking the asset off the city, which all of us know and having built that for more than a hundred countries, that journey continues and we've been able to replicate it across now 78 customers with 55 country footprint and this comes with 100 plus user journeys pre-built with 450 plus open banking APIs creating the integration.

The youngest platform, which is fortunately born in an age which was microservices and AI, so which leverages iColumbus.ai for trade and supply chain and we've now got about 24 customers supporting 11 countries and we built it around how to leverage AI to simplify trade.

Trade is a lot of paper-based processes which happens and how like what Banesh prior to me showed on Magic Invoice. How we leverage that on magic LCs and magic invoices and we make all of this work which is so much paper-based defect prone and needs a lot of manpower and how we automate and make it trustworthy? So that's a significant differentiator leveraging AI we brought in trade and supply chain. I hope to continue to share more wins around this platform like we've been sharing across all other previous platforms.

So with this five products, what's been our customer leadership journey? I think this is the biggest proud moment for me personally and for all of us at Intellect, a current corporate banking leadership journey. Now more than 60% of the world's top banks across every market, if you will see four banks out of 10 in North America, seven out of 10 in Europe, nine out of 10 in Middle East, seven out of 10 in India, five out of 10 in Asia and APAC. These are the scale of customers who are leveraging our technology, who are trusting Intellect and who are growing along with us and we are also growing along with them.

I don't think there is another vendor on corporate banking who can demonstrate this depth or this width of customer base across the board. I think it's our moment now. It's about going deep in them and going into deep in each of these markets and continuing to scale what we manage to do. Last quarter, we crossed the 100 mark of number of customers for us, which is where we continue to focus on cross-selling more products to them to grow our journey.

I think all of us cherish looking at this picture and hopefully, all of you will become bigger promoters for Intellect or this is the kind of customer base which we have across the world today.

So when you have that customer base, what becomes very important is do the customer trust you or are they promote us. So this is a core metric which I take very personally and consistently focus on if you deliver first time right to the customer, if you put the customer at the center, if you are solving his problems, business will come to you. The business will come in terms of same customer, business will

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come in him recommending to others, and as they move they just call us. Liquidity as a platform, 70% of our sales are buyers who are not buying it for the first time they have bought at least twice before.

So that's the kind of network effect it creates because of the NPS focus on and how we drive this input. This has been led by a customer experience very passionately driving it. Interesting to see McKinsey put that down in a statistical form in what it does and we've experienced it. We focus on the customer experience; the growth is two times. It's all about knowing the customer personally and having that one-on-one relationship at all levels. Focus on medium to long term versus trying to make a short-term buck from them and consistently measure and improve the customer experience. This is where the magic happens.

This is an example of my top 10 customers over the last 10 years, they have continued to grow and consistently are delivering revenue to us. It's about \$450 million in the last 10 years from these ten accounts we've managed to grow and it's continuing focus on going deeper each of these customers are the market place and not an individual customer and we will just focus on GTB and we managed to take some bit of the consumer into it. We're now taking AI into it. So taking all Intellect assets deeper into these customers, those are our golden nuggets.

This is as I'd like to show multiple times. Last time I showed we were at 2.7 products per customer and we've reached 2.9 products per customer. So the continuous focus on cross-selling to the customer and going deeper is showing up at a target for FY26 to get 150 customers which can help and get to four products which can simply by that mathematics grow to twice our revenue and grow our market share from 2.9 to 6%.

Now 6% of the market share, if I can extrapolate that to a \$7 billion, all I need to do is keep showing my value better, better customer experience. You can all multiply the numbers what it can possibly do.

To support all of this, we built a very strong powers age brand along with iGTB Oxford. Next week we have our eighth session happening in Oxford, London. This is where the world's best come in network and contribute to each other on what's happening in transaction banking and how we are driving. Again if you will see every such measure has an NPS score or what it means and why we drive and this is again an example of the banks who come and design solutions with us. We build a joint desire of where the transaction banking is coming and we trust each other wherever we go. I'll keep this for 10 more seconds so that we can all absorb and see the company we keep, and this is our pride and this is ours something we really live for.

To serve and grow along with each of these customers and all of this is supported by our 8012 FinTech Design Center. We bring them here after we drive desire. We bring them here, we do POC and we help them innovate and deliver what they want to do it.

Now going forward, a very significant focus on last 18 months has been to build two very strong strategic partnerships. I've shared Microsoft before these two done. We're now working along with Accenture. Soon a strong cloud partner and an AI partner and one strong digital partner. Along with them, the three of us, we are looking at creating magic in the market place. This is where something different will happen in the next three years. So keep an eye on this and we'll keep sharing more with this. This is the vision we built along with Microsoft to build a network for commercial banking and this is what we intend to build and scale up to be able to support across the world in these many markets. Finally, on the analysts, I've

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reduced the number of presentations, but you can look at each one of them. Every customer rates us #1 by far in everything.

One platform iColumbus, which is trade finance, is the only one which is not number one. It is #2. So we live by that value #1 or #2 or get out

of the business.

And we're continuing to live up and due to that with all the teams committed to take trade and supply chains to an number one platform over the next three years. And we'll keep sharing that journey.

And this is the leadership management team which you have all seen consistent since inception. All of these individuals you see, they are all been prior customers of Intellect.

And that's why I say it's been built by customers for customers. Thank you very much.

Arun Jain

Thank you, Manish. You finished in 20 minutes 'time so it's nice to have it. So now let's leave for the question-answer session, Praveen.

Praveen Malik

OK, thank you, Arun. Now we are starting a question and answer on the Q&A. Please click on the raise your hand to ask a question. Please click on Raise your hand to ask a question.

We first have Ruchita Kadge from iWealth. Please ask your question.

Please unmute her.

Arun Jain

Our second member? Put two people in the row

Praveen Malik

Next, we have Mr Mohit Jain from Anand Rathi Securities.

Mohit, please ask your question, please unmute him.

Mohit Jain, Anand Rathi Securities

Yes. So three questions, Sir. One is on the licence revenue now this obviously has been a very volatile and extremely strong quarter versus what we thought. But how do we look at licence revenues going forward? Do you still see that shift to SaaS happening impacting growth or do you think most of it is done and now this will be maintained in proportion?

That is one and these second related question is on SAS/platform growth. This number -YOY, appeared a little lower compared to the excitement that is there in the market.

So what is happening there? And related thing is what is the update on GeM? Is it still driving the bulk of it and is it up for renewal next year and what do we plan to do there?

Arun Jain

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OK, so as we mentioned in the past that Licencing SaaS are the two options we have to begin to the customer based on their preference.

Some people prefer licence model and some people prefer SaaS model, so there's a balance of the two options, which is there.

Some companies have decided to only offer SaaS but as the intellect we are aligned to customer centricity and that's why we are offering both solutions. So, predicting a particular year, how much SaaS, how much licence, is not our agenda. Our agenda is how much licence linked revenue can we grow year on year. On last five-year basis, our licencing revenue growth is close to 34% year on year.

That's what we want to drive it.

Mohit Jain, Anand Rathi Securities

But Sir, do you see licence revenue also growing year after year like initially, we thought over last few quarters that now shift is happening towards SaaS, so licence growth should slow down and SaaS should accelerate and you also spoke about some slower growth for few years because of the shift.

So is that phase broadly behind in terms of customer preferences or do you still think that way out?

Arun Jain

You cannot predict anything on this moment. You just look at it all of them together - 3 elements together.

Mohit Jain, Anand Rathi Securities

OK.

Arun Jain

And then for an investment perspective, all three elements give you the licence link revenues, which is a high-margin profit.

Mohit Jain, Anand Rathi Securities

Right. And so second was on the SaaS platform growth by YoY and then the contribution of GeM?

Arun Jain

Yeah, so SaaS growth YoY - I think GeM is there, but it's not main contributor. Lot of contribution coming from AI platform which Banesh has highlighted, Rajesh has highlighted on the customers in Europe, so those all SaaS platform customers. The revenue builds up in SaaS is back loaded when we sign the deal by the time we come to the SaaS revenue stream it is 12-18 months, sometime 24 months' delay cycle between when we sign the deal and the actual SaaS revenue when you start getting booked.

But that's about SaaS. GeM is coming for renewal, so we are fighting the RFP battle for the renewal.

Mohit Jain, Anand Rathi Securities

Last actually on the finance side, so our cash generation for this year was very low. So what happened there and how do we see it going forward in FY24?

Arun Jain

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We mentioned that all our internal transformation happened because of four internal cash generation, I think reinvested back. So in the month of April last year, we mentioned that we'll be using our internal cash to drive the change rather than taking a funding from outside.

So all this MACH.ai has happened with the cash so it's a great success for us to have them and maintain this without diluting a single penny. We could able to transform the organisation. Obviously next year the cash will be higher in our kitty because a major investment of MACH.ai is behind us, so cash generation will be better

Mohit Jain, Anand Rathi Securities

Sir, on the receivables side like it was also stuck in working capital, some of it apart from the capitalisation. So is there any improvement seen here?

ArunJain

It's not quarter on quarter or year on year, sometimes the project completion happens that Price contracted not due has grown to 300 crore, that's a big number in this receivable cycle.

Where this back ended projects I mentioned in the beginning that it's milestone based payments. Because of milestone based payments, it becomes due only when a particular milestone is completed. So that is we have logged in, it's a kind of a business model we are in.

MohitJain, AnandRathiSecurities

Okay, capitalisation for the quarter was how much?

ArunJain

Similar 34-35.

MohitJain, AnandRathiSecurities

OK, perfect. Sir. Thank you very much and congratulations on getting back to 20%.

Thank you.

ArunJain

Yeah, not getting back to it's a 20%. We are not getting back to anything. We are on same trajectory, expectations are different from you.

MohitJain, AnandRathiSecurities

Yes, I understand.

It was a very strong quarter indeed. Thank you.

ArunJain

OK.

PraveenMalik

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Thank you, Mohit. Next, we have Mr Anil Sarin from Centrum.

AnilSarin, Centrum

Sorry, I was on mute. I didn't realise it. So, So Arun and team, fantastic!

And you've just sort of, you know, lived up to our expectations and you've gone beyond. So congratulations on doing what you're doing.

Everybody is talking about AI and you are now, you know, I think a lot of interest will come. Tell us about what you are doing in AI. So congratulations on your foresight and your positioning. I mean, people are just doing chat and you find a solution through AI.

So, a lot of foresight involved in that. Sorry. I'll just come to the question without wasting everybody's time - One was growth has already been addressed. But this, if you can just elaborate on the on the SaaS side, we get the combined thing SaaS as well as GeM and the earlier participation has already asked that. But I just wanted to view on where you see this as given all the banking turmoil that is happening in US, Europe, etc., how does it mean two things.

One is how do you see SaaS growing as a percentage of your revenue? That is part one and second with all this negativity that is surrounding, I mean the recession is fine, but banks in particular are getting hit. So how do you get impacted by that?

ArunJain

OK, so you're asking two questions basically banking and what when banks are getting impacted, they want to reduce their operation cost. There are two agendas banks have - some people have very old technology architecture is like managing a air conditioning in an old building which is 100-year old.

So it costs you more, so you need to change the architecture of the building to commit to the newer building where all the cost efficiencies can be built in. That's what Rajesh is doing on MACH.ai, Manish is doing to create architecture. Second part is where the SaaS plays a role in our journey. We play a role in specific services to be given, like Banesh has highlighted magic submission. Magic Submission is an underwriting policy.

So now we are able to provide a unit pricing per policy for end to end processing of the policy from the e-mail when the policy comes to the policy get to the table of underwriter.

We add all the value addition, validation, data entry, everything, and there's a unit price of it.

So great opportunity for us to grow SaaS revenue is the way GeM revenue grew first two years - it was slow, third year, fourth year start growing. Similarly, Magic submission is one area where we are expecting this revenue. Today, the US has a close to 200Mn policy submissions every year. And, we are able to price our submissions between \$10 to \$20 per submission and having a 5,000,000 policy, it's close to \$50-100Mn SaaS business around it.

Similarly, there's a magic invoice business which is accounts payable business where the similar kind of a equation is there, that per invoice processing, we have multiple companies have no. of awesome and many companies have come in that space. So this is the second space in SaaS which you're looking at.

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Third space in SaaS you're looking at is ESG. ESG to be offered as a service with a complete ESG wheel available to it which is third SaaS service. Fourth SaaS service is hosting core banking, hosting iKredit is the fifth service in SaaS business

So, these are the five SaaS services which are there. Then we are looking VAM to be hosted - Virtual Accounts Management, embedded finance to be hosted. So these are the multiple platforms, which are being highlighted in this presentation. So there are close to 8 platforms where we have clear go-to-market strategy but the traction will not be quarter on quarter. Traction will be over the three-year period. So we have a 3-year plan and two quarters visualisation or planning. So we are working on now three-year horizon with two quarters focus on ensuring that we are able to meet the numbers as well as have the visualisation of three years. So that's a long answer to your short question on what is our SaaS strategy. And, U.S. banking industry is in turmoil, but such turmoil do happen. As I mentioned Brexit happened, three quarters delay happened, Ukraine happened, we have two deals lost similarly in the US.

And this crisis happened. We lost two deals again over here and other things, which will happen as a part of our journey.

But after 2-3 quarters it comes back to the same thing because technology needs cannot go away neither from bank nor from insurance.

AnilSarin, Centrum

OK, thank you. I just had one follow up question that you know in the earlier calls, I think Rajesh had mentioned that in core banking you were in

the last three in a couple of tenders which tend to be over more than a year long process. So if you can provide an update as to where we are, are those tenders, are those processes still on and if yes, where are we in that?

Rajesh Saxena

So I think now we continue to be in the same process. I think as I had mentioned earlier, there are large couple of deals that we are in the final stages and in the next couple of quarters we should be able to announce the results of these tenders. So I think to answer your specific question, we continue to be in the process and actually we've added a couple more in these from that perspective, and we should have the results in the next couple of quarters.

Anil Sarin, Centrum

And we are still in the top three or is it being further pruned down to maybe top two or something like that?

Rajesh Saxena

In a couple of deals, I think we are still in top three in one deal, we are now in top two.

So I think deal by deal this varies, but we continue to be there, as I said, we continue to face these three cover in the Europe and the large field now continues to be Temenos, Thought Machine and Intellect.

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Anil Sarin, Centrum

OK, thank you. And wish you all the best in this and in these bids. Thank you.

Praveen Malik

Thank you, Anil. Next, we have Sugandhi Sood from InCred.

Please unmute her, Sugandhi.

Sugandhi Sood, InCred

Congratulations on the good results and thanks for taking my question.

So I just wanted to continue from that point where the last speaker left. I noticed that in your current version for last quarter you have among your destiny deals 13 deals in the greater than 50 Crs bracket and you know I'm just doing simple maths. I understand it's down to the tenure of these deals? Could you give some flavour of the tenure or the nature, whether it's SaaS or legacy? Or licence or traditional licence and you know with whether this will flow through in coming quarters and you know what kind of time frame we're relooking at.

Arun Jain

Sugandhi, I think you are doing too much of math, analytical mind while looking at it on when it will happen. I think it's as I mentioned that all of it is licence linked is more important than the 50 Crs deals.

In this quarter, these destiny deals which have signed up, I think 2 are licence. One is more on SaaS revenue. But you will not be able to forecast that particular model so much Sugandhi. I think more important is to just listen to the presentation, which three leaders have presented and look at what is the potential of these presentations for next year prospective, whether they can grow 20% year on year on that those presentations. So that will give you the much better way to forecast.

Sugandhi Sood, InCred

Yeah, sure. Of course. No, that's a very insightful. And also just on the, if I noted it correctly, you said that your intensity of spending on platform will lower here on. You know most of the platform spend and I speak in the last year and I'm just referring to the cash conversion that was highlighted earlier in the call. So is that correct because there CapEx intensity has gone up last year, so is it expected to go down from here.

Arun Jain

That's right. So this quarter our profit has come back to 23%. EBITDA margin came down to 23% from 18% last quarter. So that's the improvement is happening there. On cash side, improvement will happen. This quarter has more cash to be spent for the payout of the bonus for the year. But for the whole year we should have a healthy cash generation.

Sugandhi Sood, InCred

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So are any margin in range that you would point towards you know considering that are kind of stabilising and your growth outlook is also healthy.

Arun Jain

We mentioned our business is designed on the principles of 20% growth, 25 to 30% margin levels.

Few quarters few months we will be re-investing back that will be based on the how the market behaves with the technology changes happening.

But our design is always around 25% plus for the margin but few quarters will have a lesser margin when the investments will be higher or so much licence is not signed or some investment we are doing with the clients.

So that that shift will be there.

That's show we have designed the business.

Sugandhi Sood, InCred

So that's very encouraging. One final question - Is my understanding correct with SaaS becoming a bigger mix and we've seen that happening over the last two years, there is revenue to cash conversion and I'm talking about you know the working capital here and not in the you know investment that we do in R&D.

Is that something that should improve because, you know gap between the timing of recognition of revenues and payments would be more aligned in a SaaS environment compared to a licence environment.

Is that something that we can expect going forward a higher cash conversion as SaaS becomes a bigger?

Arun Jain

It's as of now it's SaaS model is not fully mature, so I would not say anything as of now. We are some deals we have a upfront payment, some deals we have a back-ended payment on a milestone basis.

So the cash flow and working capital, I think that's not a serious concern. The company has healthy cash.

So that's not such a critical issue for us right now. My purpose is how much we can win and how much could be repeatable SaaS.

SaaS in a healthy situation, in a mature model gives you a 70% plus margin.

That's the kind of health of the SaaS business. But that takes almost 4-5 years of the work which happens after we are getting first few clients

Like Baneshi saying the 13 client in Magic Submission, there are 7 clients in Magic invoice. These client takes some 4-5 years to get stabilised.

Sugandhi Sood, InCred

So thank you. Sir, that's very helpful.

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Praveen Malik

Thanks Sugandhi. Next, we have Mr Majid Khan from CapitalX.

Please unmute him.

Majid Khan

Good evening, everybody. Thank you for giving the opportunity. This is the first time I'm joining the conference call and first of all, I would like to congratulate Arun Sir for giving this opportunity and very, very good set of numbers. So want, I would like to ask my simple questions.

With regard to the results quarter 4, my question would be - Where you can see Intellect in the three years?

And my second question will be - I would like to congratulate all the Teams that have seen all the IT companies in the sector. But Intellect is the only product which I am proud investor of. And since three years I have invested continuously in the company and I have seen a headwind of 50% but still I have trust on our company.

Because we are the unique company in the whole India which has a product and we are the leaders in all the sectors in all our business platforms and that is a great thing which definitely soon the market will realise and I hope and I believe. Thank you very much, Sir.

Arun Jain

Yeah. Thank you for your trusting the company. I think and there's a huge scope is there. We wanted to show that how the revenue growth will happen, each of the space we are working on.

We are competing on the companies which have to invest \$100 Mn to create a platform called Let's say Magic Invoice equivalent platform. Our cost of leveraging fabric to meet the same expectation is 1/10th of it. It is between \$5-10 Mn, we are able to generate a quality of the technology, which my corresponding company like Thought Machine invested \$550 Mn for core banking, which is still not complete. For us to do that job it takes much, much, much lower money from our perspective and that's very unique company. That's a unique strategy. That's the kind of the people we have, the kind of a committed team we have, is amazingly satisfying for all of us as a shareholder, and all of us as the associate of the company.

Majid Khan

Thank you very much, Sir.

Praveen Malik

Thank you, Majid. Next we have Mr Rahul Jain from Dolat Capital.

Rahul Jain, Dolat Capital

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Yeah. So first of all, Congratulations for the strong numbers and just want to need some more inputs on some of the comments that were made during the call.

I mean, of course you said that what is your view on the US banking issue that we are facing right now?

But you also need to consider the fact that we analysts do attend so many IT services call and they keep talking about a delay in ramp up delay in decision making.

So since you have also run that kind of a business, any thought you want to share that in such situation, do you see that people prefer more transformation because that they see that as a solution or you think it's just a matter of time that we may see better decision making on the other side of the business also.

First, clarity on that would be helpful and then I have one more question.

Arun Jain

First of all, our business is very well diversified. US exposure to us is much lower than Canada, are more businesses in Canada than US.

U.S. banking business is very small in single digits, while insurance business is growing in the US and that is also in single digit. But single digit is the only exposure which we have in US.

So US is not impacting us significantly for the slowdown, but to answer the general question, since you attend other services conferences. Obviously such failure of three banks in a row will have an impact on the psychology of the technology investments, which will go in the boardrooms.

So every boardroom will be worried about it, but do they have an option to adopt Bank Tech Wave 5? They don't have an option.

It's a question of some delay - one or two quarters delay where they have to choose some platform or some technology for transformation.

And there we are providing kind of a technology which is Do-it-yourself technology, eMACH.ai. Where we are pitching in our value proposition more sharply for those banks who are well capitalised. So those banks are still looking because these banks who have been in the problem which has happened, they are getting merged in the larger bank, the portfolios are getting submerged.

So, to me it's at two quarter, three quarter agenda where the slowdown will happen. Services will get impacted because people, banks are looking for the option where they buy and build can be together.

Rahul Jain, Dolat Capital

Right, thank you. And one more question regarding the comment about what Rajesh said that incrementally banks are looking for core transformation project. So are you seeing a sizeable increase in the deal that you are pursuing that is point 1? Secondly, you said that there was a competition, which is now limited to two relevant players and we know that Temenos is struggling with a lot of leadership changes and our Thought Machine is there, but their return on investment may not be as attractive, so the competitiveness on price could be far better.

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So how you see each change in the landscape from competitive perspective as well as from a deal size perspective?

Rajesh Saxena

So I think to answer your question, I think and these are some early trends that we are definitely seeing large banks coming in for core banking transformation.

And that's definitely something that we have seen in the last 18 to 24 months is the market opportunity around large banks, large regional banks coming for a composable MACH type of architecture. That trend is definitely accelerated.

I think to your second question, yes. We see Temenos, we see thought machine in most of these opportunities or let's say that we start with a long list and then we come to these three players. We are seeing that space and we believe, and I believe that we are uniquely positioned because of the kind of investments that we have done in the last couple of quarters on our architecture front and with a pedigree of the depth and the breadth that we have. We are uniquely positioned to capture this space.

So that is my belief and that's what our team is striving for.

Rahul Jain, Dolat Capital

Right. And just one final question for Arunji. I think we have a lot of variety of offerings in the Banesh portfolio which are very exciting opportunities.

Any number you want to give them when they can become of some reckonings size, let's say 100M or any other benchmark you want to set or in a timeline that you think it can achieve it.

And secondly, you said about the business, which is all set to deliver 20% growth and 25-30% kind of a margin. With the kind of a pipeline you have the kind of start to have for this year, you think and the kind of investment of course you envisage for this year, you think we are going in the zone in Fiscal 24

Arun Jain

Yeah. So we don't want to give guidance, Rahul, we unnecessarily don't want this

We keep repeating, we designed the business in last three years. We are able to show more than 20% business. Our design model is 20%, so we stayed with that.

The opportunity for Banesh business to grow the three or four areas, which is there, Sherlock, ESGH, still, are at the early stages of looking at it. The potential can be between \$50-100M in next 5 years, but they will be coming at a margin of \$30M if 50-60% margin or 70% margin business.

So it will be highly value accretive from the bottom line perspective, but we need to give it some time.

Rahul Jain, Dolat Capital

Interesting. Thank you for the colour and best of luck for the year.

Arun Jain

Thank you, Rahul.

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Praveen Malik

Thanks Rahul. Then next we have Mr Chirag from Ashika group.

Chirag, Ashika Group

Congratulations on a great execution in challenging time, Sir. And I tracked your company since last couple of quarters. So, I have two broad questions particularly in product and platform business, very few companies have got success at global front also and in India very few companies are there which have done good job. So your company is one of them. So other than BFSI, from diversification point of view I want to know what are the areas where our application will find place later on? Because these last three regional bank crisis, you also think some way that if we have some diversification then definitely in future, let's say this time we save ourselves, but let's say some other unforeseen development happened later part of the year or in future, so any thoughts on that where we see for a diversification? And also to sustain such kind of margin, what are the levers that at the 5 or 10 years down the line we will have as a similar margin profile. That's the two broad questions I have.

Arun Jain

Yeah, so Chirag, first of all, five years down the line, margin should be in the range of 40%, because if you're looking at from the perspective of Flexcube numbers, EMC continuously grows so the margin improves as the product company grows. So first of all, that's a 5-10 year type of horizon when you're looking at it and you are looking for the investment for 5-10 years, you have appetite for that. The margin is there 40% levels. Whether it's the Temenos or any other company.

The beauty of what we have done is we embed the growth curve on those margins and our IT team and technology teams are very differentiated, which is ensuring the growth happens.

Margin is not a big deal in a product business because once the customer signs up, he remains with the customer for the next 15-20 years. The margin maintenance is much simpler job. Growth is the key, important part.

Your question is whether we want to diversify it out of the financial industry.

See, I don't think so. I think the market scope today when you look at it, Manish puts it \$10 billion market size, and Rajesh puts \$20 billion market size. Banesh puts it, we have a \$50 billion market size and we are still \$300M kind of a ballpark picture till the time we have a billion dollars. We are not looking for anything to be worried about going left, right and centre.

Chirag, Ashika Group

OK. So one follow-up question in terms of geographic diversification, is there any plan to increase or start a penetration in India because one of our peers in the listed space getting good business from Indian Bank and Financial Group? Your thoughts on the same.

Arun Jain

Yeah, yeah, yeah. Deeply entrenched in India. A lot of deals are in India now.

Chirag, Ashika Group

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Thank you, all the very best.

Arun Jain

Thank you.

Praveen Malik

Thank you, Chirag. Next, we have Mr Ravi Mehta from Deep financial.

Can you be a little louder?

Hello Ravi.

Sorry, are you able to hear me?

Ravi is not able to connect, it looks like.

Ravi Mehta, Deep Financial

Is it better?

Praveen Malik

Now, yeah, yeah, not now. Please go ahead.

Ravi Mehta, Deep Financial

Sorry for that. So just I heard in the opening remarks regarding some branding strategy for the iGCB vertical, something similar to what we did with iGTB on the Oxford School banking kind of course. So wanted to know what kind of activity are we planning and how it can catapult the product visibility.

Arun Jain

It's an overall marketing strategy. I think a lot of it will not be shared in an investor call.

It's the one part of the strategy that iGTB Oxford did it. It is an indication is given that the big marketing focus on getting into the stage and I think it's not the right platform to share the strategy.

Ravi Mehta, Deep Financial

Sure, sure. And probably any, so the kind of you know actually you've seen in iGTB probably with this branding activity, I think it really picked up well. So, we can expect something similar, kind of a thing happening here also yeah.

Arun Jain

Obviously. All the three brands now consolidated into 3 LoBs and all three brands, Intellect AI, iGCB and iGTB are now having a very, very structured branding methodology around eMACH. as a common brand which is driving global access.

Ravi Mehta, Deep Financial

OK. And since that, we are harping on this eMACH. AI platform. So do we have any joint go-to-market strategy with the cloud partners?

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Arun Jain

Yeah, yeah, we have. That's what Manish has highlighted, if you noticed Microsoft and AWS both, we are very closely working with it.

So some products are working on AWS, some products are working on Microsoft, so both of them we have a very strong relationship. I met the President of AWS when he was in India.

So it's a deep, deep relationship with both of them.

Ravi Mehta, Deep Financial

OK, OK. And just one more question.

And one small bookkeeping question, if I can ask the DSO days mentioned in the presentation, it includes the unbilled revenue?

Arun Jain

Yes.

Ravi Mehta, Deep Financial

Somehow I don't know, so maybe I'll take it offline because the days are not tallying.

Arun Jain

Yeah, yeah.

Ravi Mehta, Deep Financial

We will work it out. So that's fine, sure.

Arun Jain

Well, we don't include contracted but not due.

Ravi Mehta, Deep Financial

OK, OK. Sure. Thanks.

Praveen Malik

Thanks Ravi. Thank you.

Ravi Mehta, Deep Financial

Thank you.

Praveen Malik

Next, we have Mr. Harshil from AUM Advisors.

Last two questions, Arun.

Arun Jain

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That's right.

Praveen Malik

Harshil, are you there?

Harshil Sethia, AUM Advisors

Hi Sir. When we see on a quarter-on-quarter basis, the order funnel size that you mentioned in the presentation has been around 7000 crore since the last three quarters.

So, is it something like the New Deal win have been very slow for the last three quarters?

Arun Jain

7000 crore quarter funnel I think is a good funnel for us to look at that 10-12 deals a quarter.

If we win, it's the right funnel. So we prefer more the right funnel, than the quantum of the funnel.

So our win ratios are higher and our sales effort and free sale effort as Rajesh mentioned it takes 1-1.5 years to close the deal, you don't want to increase the funnel size.

It's not a consumer business where the funnel is directly proportional to the enterprise sale. The 7000 crore is a good number on which we are working.

Harshil Sethia, AUM Advisors

OK. And can you break up the whole funnel in terms of how much would be SaaS in it?

Arun Jain

We don't do it.

Harshil Sethia, AUM Advisors

OK. Thank you.

Arun Jain

Thank you.

Praveen Malik

OK, thanks Harshil. Next, we have Mr Vivek Kumar from BESTPALS. Vivek.

Vivek Kumar from BESTPALS Research

Yeah. Thanks, Arunji. Uh, see, you've been highlighting this is regarding the revenue recognition policy, you're doing the percentage of completion method and you have also been highlighting every call about the execution capital, how you have disrupted or in Q4 FY22 you and Prabal have mentioned how you have put down the work into 4 hours or 2 hours work packet and very few defects in our implementation. So why? Masking this is there are few companies which followed the same method but because of the implementation problems they had to re-write off certain kinds of revenue that is where the doubt is coming from.

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It's not about how much is build or run-build, but if you can give more colour on why you think whatever is recognised, the write-off would be really less and we don't. Even with the kind of customers we are having, the execution capital that you have built will make sure that we will not have a huge write-off.

Somaybel'm, I don't know. I think I've made it clear right?

Arun Jain

And that's a very good question you have asked I think.

We implemented 43 digital transformations last year. I think this is our core pride why we are winning the business and why Manish is so confident on NPS score. This is a core focus Manish has driven. Rajesh has driven, Banesh has driven that none of the projects of Intellect goes bad.

My competition, when it goes bad, it becomes difficult to do it. We choose a strategy to implement ourselves, not to give partner still the time eMACH.ai has come in.

Because of that strategy, we cannot allow any failure on the field because this is a business which is execution-focused business. We need to have, we need to design success for our customers and that's where the core value of Intellect is there and that's what we discussed about the work packet today. Now we have iTurmeric where we are saying our coding requirement will be less than 5%. With that, it will further improve the delivery quality.

Vivek Kumar from BESTPALS Research

No, this is coming because the percentage of completion has this risk that if implementation is not great, you will have write-off.

These second question is on Intellect AI here. You mentioned in the last call that you're relooking at 15 deals and with this banking crisis, I don't know what is happening in the US so much. So, any clue on the 15 deals. We are still there and how they can be able to close them or what is your outlook on that?

I'm not asking about the number of deals, but the outlook on the Intellect AI insurance business in the US. Because you told last year it will grow 50%.

Arun Jain

Okay. Insurance business is doing that much, I think. Banesh?

Banesh Prabhu

Yeah, I think a pipeline and as a matter of fact, as I mentioned in my discussion, we have very deep contracting discussions in progress with several. So I can just leave it at that, yeah.

Vivek Kumar from BESTPALS Research

Yeah. Thank you Arunji. Thank you very much.

Praveen Malik

There are three more questions actually left.

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Arun Jain

OK. Yes, quickly.

Praveen Malik

So can we take them?

Arun Jain

Yeah, just put it on a chat box, just combine it otherwise.

Just take it up here.

Praveen Malik

OK, next we have Jagdeeshan.

Jagdish, you're there.

Jagdeeshan

Yeah. Hello, are you able to hear me?

So thanks for good set of numbers. I'm following this for the past few years. So this is on the part right, you just explained about GSI, right?

So we are implementing the solution ourselves, right and we send the partner with Accenture, right? So what is our future for this GSI collaboration?

oration?

Sol could see Finastra is collaborating with a few service providers in India, so they are increasing. So other companies are also collaborating. So, in may be not now may be in future.

How is the collaborative strategy with the GSI this is the first question.

Arun Jain

Yeah. So this is the question about eMACH.ai?

Jagdeeshan

I mean in the general sense I'm masking.

Arun Jain

Yeah. So because of that eMACH.ai, we are creating open finance platform.

And because of this we can now offer more partner to come in, GSI partner to come in to have a predictable output.

Earlier, we were not giving it to the partners because we wanted a predictable outcome. Now with the technology we play, we can give it to the partners.

Jagdeeshan

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In regard to the partnership with IBM, any updates are on that part?

Arun Jain

Yeah, it's going on very well. Strongly. We have multiple deals with IBM also the way Accenture is there, IBM is also there.

Jagdeeshan

That's it from myself. Thanks a lot.

Praveen Malik

Next we have Mr Anubhav Makkar from Drucker Investment.

Looks like Anubhav is not there.

Arun Jain

Sure. Just last one.

Praveen Malik

And then we have just one question, this is Darshil Jhaveri from Crown Capital.

Darshil, please ask your question.

Darshil Jhaveri from Crown Capital

Hello Sir. Thank you so much for taking my question. And I wanted to congratulate on the great set of results and thank you so much for giving us some time.

Sol just wanted to - I had some connectivity issues, and I missed some of your statements, sorry for that being repetitive. I just wanted to ask, whether our revenue panning out and our sustainability in terms of revenue and margin growth would be the basic question. Sorry if repetitive.

Arun Jain

Yeah. The entire last two hours we wanted to say that we can do growth margin, why should we grow, how the margin should grow and what is the growth assurance we are seeing because of the portfolio and what are the risks. Sol think, I don't have to repeat what I've really discussed in the last two hours, so if you recall and listen to the recording, you'll find your answers.

Darshil Jhaveri

OK. Thank you so much, Sir.

Praveen Malik

Arun, that is. Yeah, thanks. So we are closing the call.

Thank you very much for participating in case any follow-up questions are there, please do write to us or call us. Thank you very much. Now you can log out. Thank you.

Call: Aug 2023

Intellect/SEC/2023 -24 August 04 , 2023

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call
held on July 28, 2023 on the financial results for the quarter ended June 30, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record.

Yours truly,

for Intellect Design Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q1 Results FY 2023 -24

Q1 FY 23 -24
Investor Earnings Call Transcript

Praveen Malik

Greetings and Welcome everyone. Thank you for joining us today to discuss Intellect Design Arena
Limited Financial Results for the 1st Quarter of the Fiscal Year 2023 -24 ending June 30th 2023 .

The investor presentation and the press release have been sent to you and are available on our website.
Our leadership team is present on this call to discuss the results. We have with us today Mr Arun Jain,
Mr Manish Maakan, Mr Rajesh Saxena, Mr Banesh Prabh, Mr Venkat Saranu and Ms Vasudha
Subramaniam. Besides, some other senior members of the Intellect management team are present in
the call. Mr Arun Jain will brief you on the results, followed by a Q&A session, where the questions
would be replied to by the senior management team members. Once the Q&A starts, you can ask a
question by clicking on Raise your hand, and we will unmute you so that everybody can listen to you .
One safe harbour I would like to remind you that anything we say which refers to our outlook for the
future is a forward -looking statement. This must be read in conjunction with the risk the company faces.
With this, I request Arun to give his briefing . Over to you, Arun .

Arun Jain

Thank you, Praveen. It is a great privilege to talk to all the investors this quarter. Last year, last quarter,
we had a detailed presentation by all the business leaders, and they shared their view of the future in
detail with you from GTB, Manish has shared the future. Rajesh shared the future, Banesh shared the
potential of wealth and insurance, and Rajesh on core banking but competition. So it was a detailed
conversation last quarter, and so this quarter, we don't want to get into the detailed conversation. We

just want to do numbers already with you, and you have gone through all the numbers. So I will not repeat any data points already shared with you. I like to share with you the thesis on why we are doing what we are doing and what is our thesis on beliefs in the banking technology industry .

The thesis was a twofold thesis which we shared from our Technology Day two years back. I had a Technology Day with you, and that thesis is continuously getting strengthened and getting more and more sharper and more and more referenceable. So based on the thesis, we looked at it that a Bank Tech Wave 5 is coming, and banks need ultra -simplification of their technologies landscape. The banking world spent \$600 billion, the largest in space, fixing band -aid solutions versus taking the solution head - on.

This is like in the automobile sector, there's a wave of EVs, there's a wave of autonomous vehicles, and there's a wave of simplification of

the technology, which we wanted to share last time in each other's business unit. We shared eMACH.ai as a fundamental premise of that new way of thinking . Fortunately your company is positioned in the frontline of the new technology wave. And once you're in the front line, you get the best attention from the customer to listen to you .

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So in this, to give an example, what eMACH.ai is there? So, people are asking me the question, what is eMACH.ai, but why does it change? Let me just take you a few examples of it .

Rajesh has taken the example of iKredit360 for Resurs in previous meetings. What does it mean? It means that Resurs Bank in Sweden has chosen eMACH.ai technology so that they can compose the credit businesses or products how they would like to cater to their customers .

If they want to embed credit cards along with lending or SME lending with something else, or with deposit and lending together, they can compose a solution . It's like an Ikea way of doing business where you have components available, and you create the object that you want to deliver to the customer. That's what eMACH.ai and eMACH's every alphabet defines the way a new wave will be working. New Wave will work on micro -services, it works on API, so micro -services and API are two levers around which new wave is working. For experiential learning, we create a wave called cloud and headless. On the cloud, we provide our technology which the customer can consume, and he can define the experience. So now another example of the deal which we have done recently in this quarter is it one of the largest banks in the Asia Pacific .

They chose our technology and Accenture to create the experience, so their underlying corporate banking technology will be ours, Payment technology will be ours, and Accenture will build the experience layer. So that gives the ability for the bank to work on eMACH.ai .

Similarly, another bank OTP Bank, we have announced the deal. The context is OTP Bank is the largest bank in Eastern Europe. It's not only in Hungary, but there are eleven countries. It's present there, and GCB Rajesh Saxena has won this deal. This was a stiff competition over the last two years .

We mentioned two years back that we are working on eMACH.ai with certain European banks, one of those banks that decided in our favour. It was a tough deal from a Europe perspective because Temenos is a local player in Europe for the last 20 years. And on the other side Thought Machine where there is an investment of more than \$500 million investment invested in Google Company, came as a competition. So it was a three -leg race where we looked at it .

Our score point was we, on one side, have cutting -edge technology like what Google can give, and we had a deep domain depth of knowledge that Temenos or Finacle can give, and that's the best of both worlds .

We are on the frontline of the new wave of technology . Well, one thesis resulted in five of these from 5 different regions. So beauty is we have one deal in the Asia Pacific, a second deal in Saudi Arabia, a third deal in a French bank, a fourth deal in Eastern Europe and a fifth deal in the USA. Now it means this wave is not localised to a particular country. This wave is a wave of simplification. And simplification is possible, which is driving value for the banks .

So why are the banks getting benefited from this wave? Their operational cost can be reduced using Decision AI by 30% to 40%. Their ability to target the right customer for the right product segment at the right pricing can be improved by 20% to 30%. They can target right the banking issue is whether you target right to the right customer for the right product .

That possibility of design using configuration is a second benefit bank gets 20% benefit in the top line,

and 30% on the bottom line on operation cost is an interesting proposition . Our focus moves towards

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distribution now. It's like 3.0 our focus becomes moving towards how we create distribution partners. So after IBM now, Accenture looked at our technology, they evaluated it. It took a lot of time for them to evaluate it. Now we won the first deal with them. It's a very big starting point for winning the deal with Accenture, so this is the first thesis for what we believed that our growth journey through the banking and financial sector is muted for the entire service sector. We will believe that our design journey is around 20%, and 15 to 20% is still intact for this year .

The second thesis which is there which is that we went to the platform mode of designing. So we move from product to platform to technology. That's what I shared with you in December 2021. I shared with you on Technology Day -2 what technology we are embarking on, and we shared in detail about the technology details. Some of the people trusted us. Some people didn't trust us, which resulted in the technology shift of December 2021, we wanted some investments, and we shared that we would be investing back our cash into generating that technology to create eMACH.ai. So we invested extra money during 2022. And that resulted in a drop in EBITDA, which some analysts are sharing that we are losing steam. So it's been interpreted in spite of sharing with all of you that for a good technology company, the purpose of our cash is not to acquire the company. The purpose of our cash is to reinvest back whenever it big change is there, but we couldn't be able to provide enough confidence and trust in all of you. So this is our mistake that we could provide that trust to all of you. That is why such technology investments are there for the future growth of the company. So for that platform, the second case is what we looked at. We invested in the platform first and then the product later. So once you build a platform like we build up AI platform, an AI platform has got multiple components: one data component and one document component. So these two pieces of technology with close to 30 plus algorithms to build this AI platform over the last seven years .

For the same platform, we are leveraging for ESG where Norges Bank. What does Norges Bank use for? Norges Bank invest in 8000 plus companies they have a \$1.3 trillion fund, and that fund they want to look at is the company with which they invest in heavy -right ESG practices or not. Now, ESG score they can get from anywhere. But to convert practices defined in some annual reports, some published documents, and some websites. There's a huge amount of job to be extracted that information and align it to the questions they have. So they have close to 200 questions. They have ESG analysts look at it around which they evaluate the company. So our same AI platform is leveraged for that same platform is leverage for Magic Invoice. The same platform you use for underwriting insurance, the same platform is used for underwriting lending, and the same platform is used for Supply Chain, Finance and trade in iColumbus.ai . So it's one investment of the platform resulting in five use cases. Similarly, we built up a platform, iTurmeric, no code platform where we can do the way data works, the process works, the rule works, the event works, API works and UX work, and it's been leveraged for all the other products .

I mentioned in the morning call to AGM that we invested over the last eight years close to 16 million person -hours. Now, 16 million per cent hours in the US context at \$80.00 per hour, which is an average rate of R&D dollars, which is invested, it's \$1.26 billion. No single player in the world has invested \$1.26 billion in designing the technologies of the future, which Wave 5 for the bank is looking for. So that's the thesis that we have. Obviously, India is an underdog. And India doesn't believe we can do something in

the product business. But today, when we look at the competition in GCB space where Thought Machine and Temenos are the two leaders. We can displace them in a large deal in Eastern Europe. It may be very insignificant in revenue terms in the quarter, but it's important to send the message that the Wave 5 player is the frontline leader in Wave 5 .

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The next message concerns cash generation capability from an investor perspective, EPS or cash generation. I think both are healthy. EBITDA margins are healthy. We were looking at it 5% investment. We came back onto the same margin levels, but we were invested back. Our investments are now behind us they're not behind us. We are not investing less into the company, but in percentage terms, they are lower than the existing one. We strongly recommend that quarter and quarter we cannot meet your expectations. So I want to tell you upfront that we cannot meet the expectation of investors quarter on quarter. These are technology businesses it's a long race of three to five years, where leadership will be defined. This market size is so huge that it will require continuous investments, but our investments are very, very calibrated. We are not increasing the calibration from 140 crores we are. We told you last April that we'll be investing 140 crore capitalisation. We invested 136 crore instead of 140 crore last year.

So all the parameters that you are mentioning, it is important for you to record and look at them so that

we can be monitored them on an LTM basis. LTM from the last nine quarters is more than 15 to 20%. We can grow from the last continue continuous nine quarters. So when somebody says the last two quarters or bad, it is only from the investor's perspective the last two quarters are bad because the deals were there already. It's only when the deal gets executed and comes to the solution that this deal has a large value, so that's the point. With this bank of assets, we say are right kind of talent in the AGM speech, which I mentioned. 35% of the workforce is more than 10 years of experience, and 16% of the employee hold RSU in the company. There are 57 countries our footprint is there, out of which ten countries we have chosen to go deep. We have a partnership with Accenture, IBM, and more people are lining it up with the eMACH.ai technology. We have a big partnership with Azure and AWS. We have top customers in each geography, top 9 customers in the Middle East, Top 6 customers in Europe out of 10, top four out of 10 in the Americas, top nine out of 10 in India, so 10 top five out of 10 in Asia Pacific. So there's no single company with a footprint from ANZ and the Asia Pacific to the Americas. And here, we are showing the example of our bulls-eye on AI and Composable and Contextual technology, which is driven by design thinking, composability, contextuality and D-3 OTIF. This is the commentary I would leave now for the question-answer session. So that you have enough time to ask questions to me, Rajesh, Manish, and Banesh, all four of us can answer the question. Besides, financial questions can be answered by Vasudha and Saranu. So over to the question-answer session.

Praveen Malik

Thank you, Arun.

Now in case you want to ask a question, please click on raise your hand in case you want to ask a question, please click on raise your hand.

The first question is coming from Mr Mohit Jain from Anand Rathi Securities

Mohit Jain, Anand Rathi Securities

First of all, congratulations on a good quarter. And then I have three questions. One is the average size of a deal in the highest bracket that you report. It looks like we're not capturing the deal win with information correctly as an outsider. So is there a change in the average size of the deals over the last year or so? And then, I have a follow-up on GEM's impact on the working capital. So revenue you have already told us, but on

on the working capital, what should we expect? And in FY25, when the contract comes off, should we see this rapid decrease in receivables, or could there be other assignments as well? And 3rd is on capitalisation, so it was more account-keeping. I thought I would ask separately, but that is related. Should we see some increase now that you're developing these new tools and tech in Q1 Results FY 2023-24

terms of capitalisation over the next two years or overall R&D spend, or do you think the current rate is good enough for us to sort of come out with products regularly?

Arun Jain

So let me take every side of the deal, I think, we can't calculate the amount of resale or deal fundamentally because deals are varying from three years to five years to seven years when the contracts are getting signed, though every deal we sign is relevant for 15 years. But accounting wise is based on the number of years we could sign the contract, and those Contract signed depending on the client to the client. So that's one area in which we are not able to be accurately measured. It's only a very indicative measure of the average deal.

Mohit Jain

Directionally, if you can help, like how much it would have gone up, at least the highest bracket the 50 crore and above.

Arun Jain

Yeah, the deal values can be like RBI will go 500 crores single deal. Some deals are more than 200 crore deals are there. So those are the deal sizes which are on the large size. Deals can go up to 30 million, \$200 million, so \$100 million. We are not crossing right now, but we are in dialogue.

If you would deal, it could. Be \$100 million deals. On the second question, GEM working capital. Obviously, it will improve. We have a substantial amount sitting as receivable. The number of days will improve as we go into the working capital there as soon as we mentioned in our press release, that's a single-digit profit business, so it will impact the top-line after four quarters four will have an impact on the top line. Still, we don't see a significant impact on the bottom line. Some impact will be there but not significant.

Mohit Jain

So, sir, going ahead with international DSO, the way you disclose in the PPT? We should gradually approach that.

Arun Jain

It will be in towards international. The third thing is capitalisation, and we don't see any as of now. The budget planning we are done for capitalisation for R&D is in line with close to 140 crore. It's less than \$20 million. Normally our budget will be \$20 million, which means 160 crores, but we'll be spending 17 and a half million this year. As of now, that is the budgeted section, and we will stick to that, and we have not deviated from the last five years anything in capitalisation .

Mohit Jain

OK, perfect, Sir. And it is a repeat question, but if I can have a follow-up, is there any difference now our license is caught up in terms of growth over the last two quarters? So earlier, we saw this trend where license revenues and growth contributions were a little lower while SaaS was picking up quite fast. So last time, you told me that now clients are not differentiating much. Is there a change in the scenario, or do you think license SaaS could go hand in hand at similar growth rates ?

Arun Jain

I think compare license link revenue again from our viewpoint. It's a customer's choice to choose to pay us an upfront license or SaaS, so we don't want to differentiate. We want to give us the flexibility to Q1 Results FY 2023 -24 customers what they want to choose. Where SaaS is more profitable for us for the long-term cycle, but if some customer in Europe wants to look at license upfront money, it's good for us too. So we want to see how much is the license link revenue. If license link revenue exceeds the last LTM basis, we have close to 1200 crore. That is the most important figure for you to look at it whether it comes from A

MC, whether

it comes from direct license sales, whether it comes from SaaS, we are open to that. We are not following Temenos policy that we only want to do SaaS business. We don't want to follow that .

Mohit Jain, Anand Rathi Securities

OK. And your guidance growth guidance of 20%, should we consider it adjusted for them or ?

Arun Jain

Yeah, that's right. We need to look at adjusting it for them. 15%, you can look at it. Some decisions may be slower, fast, 15 to 20% anything .

Mohit Jain

Perfect, Sir. Thank you. And all the best, Venkat sir, Congratulations on your new roles

Praveen Malik

Thanks, Mohit. Next we have Mr Vivek Taruga. Vivek, please unmute yourself and ask the question .

Vivek Taruga

Are you able to hear me ?

Praveen Malik

Yes, Vivek. Please go on .

Vivek Taruga

So the last call, you mentioned about concentrating on India and putting more focus on India. Can you put light on how our products are getting traction in India and which products are gaining ?

Arun Jain

I didn't mention that we are focusing on India. We're saying we have a global player, and we're looking at all the countries, and five deals are representative of all the regions requiring eMACH.ai technology. So India is also among the largest financial engines growing today. All the Indian banks are showing a tremendous amount of growth in double-digit and high double-digit growth which is happening, and they are now adapting to new technology and cloud technologies, so eMACH.ai either the right positioning, whether it's the top banks, public sector banks or private sector bank. So I don't want to name individual banks over here, but most of the banks are, I mean, nine out of the 10 banks are customers. So they are investing in new technology space .

Vivek Taruga

In your annual report, you also mentioned that Lakshya 3 you have done, and there's accelerated growth in the next three to five years. I'm not asking about the growth rate, but which products and what when is accelerated, is it about SaaS growth, or is it platforms maturing? So where is the content coming from and what products in our platforms are giving us the indication, and which in the next three to five years.

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Arun Jain

We are looking at compassable and contextual, so we changed the strategy from product to technology. So what products are giving attraction is about core banking. When you have to look at it, deposits, we are looking at lending, we are looking at wealth, we are looking at cash management payments, liquidity, trade and supply chain finance, central banking solutions, and insurance underwriting solutions. So today, all these solutions have matured to the level we have index call in the product maturity index, which is at a 1300 -point score. So today, almost nine out of the 14 products are crossing the 1100 mark, so they are suitable for the market, and they build on the same architecture called eMACH.ai so that they can buy it. So if somebody wants to buy lending and wealth, they can do the wiring of this product which nobody else can give to the market. So there's a new wave of delivery, a new wave of autonomous banking here. I don't have a better word for it, but something you can compare to Tata Elxsi or what they are trying to position themselves as the autonomous vehicle management that kind of technology we are hit upon .

Vivek Taruga

Sir, thank you. Thank you very much, sir .

Praveen Malik

Thanks, Vivek. Next, we have Sugandhi Sud from InCred. Sugandhi, please unmute yourself and ask the question .

Sugandhi Sud, InCred

Hi, am I audible ?

Praveen Malik

Yes, Sugandhi. Please go on .

Sugandhi Sud

Congratulations on the results. I wanted to understand you've highlighted your eMACH.ai wins in terms of platform revenue. You know, quarter and quarter, there's a strong uptake. So there is no significant change in the volume of t

he GeM contract, and there's no lumpiness there on the account, and most of this is coming from the new client wins. A new client wins just wanted to clarify that .

Arun Jain

As I mentioned, don't look at the platform and look at licensing revenue there will lumpiness will be there in platform versus license. Depending on which deal goes into which bucket, there will be lumpiness. So internally, what we are monitoring and giving credit to our salespeople is whether you do SaaS revenue or license revenue, all money is green, we will have a green colour .

Sugandhi Sud

So in terms of the phase -out of the GeM contract, will it be, you know, done in a straight line manner over the year or how, you know, should we expect to be lower this year and then completely disappear next year, or is it going to be similar to last year and then, you know, the major impact will come in FY25 ?

Arun Jain

As of now, it's up to December. So Q4, we can see an impact. But still, it's too early to say it's a tested transition. It has just started, and let's see , how the transition is progressing.

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Sugandhi Sud

And regarding your receivables, you know there will be contract milestones. Will they run beyond the maturity of the contract, or can we expect that most of those would get cleared towards the end of the engagement ?

Arun Jain

You can't say anything about the government. We love to have it .

Sugandhi Sud

Do you don't see any incremental stress on this account? So in the past, I mean just looking at your, you know, provisions that you do for your receivables and your unbilled for your unbilled , the provisions have slightly trended up. But you know you don't see any incremental pressure .

Arun Jain

No, we are not seeing any incremental pressure. It's the same pattern we have. We do make some provisions every quarter on the provision. So for future risks, we are taking the conservative approach of providing an appropriate number or slightly higher than the appropriate number for provision. So can be some point in time, they could be right back if required, but as of now, we want to maintain the same policy of provision.

Sugandhi Sund

And I wanted to cross-check you are guiding for 15% to 20% growth this year.

Arun Jain

Yeah.

Sugandhi Sund

That's helpful. Thank you. I'll just get back in the queue.

Praveen Malik

Thanks, Sugandhi. Next, we have Mr Anil Tulsiram.

Anil Tulsiram

Thank you for the opportunity. I have three questions. First, if I look at your history last 10 to 15 years, we have launched many products. And some of the few products have been successful in reaching stage 5, but many other products like, say, treasury wealth and brokerage insurance are still in stage 3. What are the conditions required for the product to reach Stage 3, or we take some conscious decision that this product is suitable to reach Stage 3, what exactly is that? This is the first question. And the second question is, in the past, we guided that we soon will enter the USA for core banking products. But it has not entered. Obviously, you have decided that it is not the right time, or we are not prepared, or the competition is whatever it is. I want to understand what conditions should be met before we launch our core banking product in the USA. And the last question is, on technology day two, you spoke about iKredit360 being launched in UK and Germany, so what's the progress there? How are we getting success there? So those are the three questions. Thank you.

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Arun Jain

So, first of all, thank you very much for tracking every conversation and recording all of it to follow up on. For stage 3 to stage five products, we had discussed with you very cautiously we take 2-3 products at a time and move them to stage 4 and stage 5. Because investment, go to market investment, so normally people believe that pr

oduct investments are ₹100 and go to market, maybe ₹40 or ₹50. But our learning in the last five years is if I'm investing ₹100 for engineering, then I have to invest ₹200 to go to market. And that is where what defines my stage 3 to stage 5, which is based on the market potential. TAM of the market and investment we make towards that leadership product. So now, treasury and brokerage are in phase three of our phase right now. This year we are taking this product, maybe, but the brokerage is not taking it forward as a product. But our other portfolio, which is too big in size, core banking, lending, credit card, central banking, wealth, liquidity, digital transaction banking, I think they basket is too big a basket for us to look at to worry about treasury or brokerage as a product to be looked at. So we don't see any barriers for our next three to five years of growth in them?

About the second question on the US for core banking, I never mentioned that we want to go to the US for core banking. We said we wanted to look at banking in the US., so our US. market strategy is around insurance underwriting, which is the core strategy for the US. And GTB product, which is a DTB or liquidity, is a strategy for the US, and we are on track with it. We suffered two losses last two quarters. The two banks, which have gone down, are where we lost substantial sales traction. We had a deal in both banks, and both deals got delayed. One deal has completely gone Silicon Valley Bank completely. Those deals could have been a few million dollars of deals which could have been there, and similarly FRB, we were looking for a complete digital transformation for FRB, and they have already selected us. It was almost on a paper of signing a paper. So we lost two tractions in the US on that bank. So that's an update on the US, but not it was not related to core banking. We believe that core banking is a great opportunity in the US, but we must prepare ourselves. Currently, we are seeing a lot of opportunity in core banking in Europe with the OTP Bank signing it up, and our focus is more on that side. We are spending more time. We hired a president for Germany, K Srinivasan. He will be moving to Germany in August. So Rajesh is focusing on iKredit360 for Europe itself. Thank you for asking detailed questions.

Praveen Malik

Thank you, Anil. Next, we have Mr Nimish Shah. Please unmute him .

Nimish Shah

Yeah. Am I audible ?

Praveen Malik

Yes. Please go ahead .

Nimish Shah

Thanks for the opportunity, and congratulations on the good numbers. So sir, in your opening remarks, you mentioned that you are now at a phase where you start looking to add distribution partners, and you have already partnered with IBM and Accenture. I want to understand how this will impact our implementation revenues going forward. And we always maintained that over a longer term period, the business has been designed for 20% growth. Is this growth for the company as a whole or for the license -linked revenue ?

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Arun Jain

So this company is as a whole. When you're choosing a partnership network, some implementation revenue can be available for the partner to succeed, so that's definitely, but this keeps the size of the pie increasing substantially. Manish, do you want to answer ?

Manish Maaka n, CEO of iGTB

Now, Arun, that's the answer wherever we've got the system integrators involved. The pie has gone up 5X almost, and we get more money through those because this is not just at that stage automation of the existing system. It's a much larger digital transformation where they look at customer impact, growth, and operational simplification. So the value added is also in a different order. So the customer is willing to pay for that .

Nimish Shah

Right. Does this change our margin profile in any manner ?

Arun Jain

It will .

Manish Maaka n

Positively .

Nimish Shah

Any directional sense ?

Arun Jain

As of now, it's too early to communicate, but it will impact because license revenue goes up, and the margin obviously will go up. License, when you go margin, will go up .

Manish Maaka n

I think the positive sign is a number of these large partners are willing to work with us, enabled by, as Arun called out, eMACH.ai. They look at the technology, our footprint, and the customer trust and analyst endorsements given to us. And then, they look at the technology enablement, extensibility, and composability that makes the magic happen. So we are referenceable, we are extendable, we are composable. And now the partnership, we have always said the indirect distribution will help us grow to the next order. So we're taking those early steps and building that. We don't want to just run through it and blow ourselves up. We want to design it for the right scale and deliver. Then once we hit the scale, we don't have bumps .

Nimish Shah

Understood , that's it from my side. Thank you.

Praveen Malik

If you want to ask a question, please click on Raise hand. Next, we have Mr Amit Chandra. Amit, please unmute yourself and ask a question .

Amit Chandr a, HDFC Securities
Yeah. Am I audible ?

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Praveen Mali k
Yes, Amit. Please go on .

Amit Chandr a

Hi, Sir, and thanks for the opportunity. So my question is on this, you know, funnel that you have shown. So there is, you know, quite a significant improvement in terms of the funnel for the year wherein the number of deals, you know, the total number of destiny deals, have also increased. Is this increase because we have been seeing delays in decision -making? In terms of deals or is it because you know there is higher spending f rom our existing set of clients do. And also if you can you know if you can break this funnel in terms of how is the mix you know between transaction core and also the like newer products that we have launched so just to understand the funnel better .

Arun Jai n

Amit, it's difficult for you to understand the funnel because we don't un derstand it so well. The question is that it's so much of a cycle time so many variables are there in the funnel. That is difficult to capture the texture of the funnel. We give an initiative number to you right now. The market size is \$600 billion market, which IT spending happens. How much will they get translated to new wave 5? The new Wave 5 will tell. So now if you say how much petrol vehicle will convert to EV. Time will tell how much it will be. Everybody will make some projections about how much it will be. So the market is not a limitation. The limitation is our delivery capacity. That's why the partners will play a very critical role in the distribution in the coming months, and the current funnel is indicative that it's growing positively —our lead generation engine is growing .

We had close to 15 detailed workshops with the clients on eMACH.ai. They're trying to understand what the new wave means for them. We are having this workshop in Seattle with AWS, we are going to have a workshop with Microsof t in Seattle. Around this, we have a workshop with Accenture in New York, with around eMACH.ai. We are close to 25 more workshops lined up in the till 30th September. That is an exciting number. So, we don't know how to quantify this number as of no w, but it's an exciting time to look at. And that's why I don't want to put some colour to this funnel right now, Amit .

Amit Chandr a

OK, sir. And in terms of what is the confidence in terms of eMACH.ai in terms of the acceptability that it will have in the industry because it seems to be quite an exciting product, but can it reach, you know, the kind of success that we have received in say, you know our traditional transmission banking kind of very mature products. You know, is like contributing, or they ar e in the maturity phase, and you know, like in the monetisation phase. So how is the growth in eMACH.ai and also from the perspective of the partnerships? We have been trying to scale up our revenues from the partnership, you know, ecosystem, but we have n ot seen a lot of success there over the last few years. I don't know how it has changed now, but you know, from the perspective of eMACH.ai, what kind of growth you see from there ? How we are dealing with partners now versu s earlier ?

Arun Jai n

Let me be saying our trust in partners we never mention that we are ready for partners. We always say that we want to do our implementation unless our products will be partner -ready products. eMACH.ai provides me with partner -ready pro ducts. We started focusing 18 months back on the partner. Before that, we have not even hired a head of partnerships. Only Kannan Ramas amy joined us only 18 months back. It's not that we are not successful in partnership. We're not choosing the partnershi p as the

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distribution lever until we are ready for a partner -ready product. That's the first point I want to clarify it's not that we're not successful in partnership .

It's not that we didn't choose to go to the partnership because we want to establish our reference ability of the customer base, and that is part of our chosen strategy since 2018, Amit. I always explained that the first phase of our growth would be only ourselves to ensure our reference ability is available. We don't want to take a risk with the partner for spoiling the customer relationships. First and foremost, we want to highlight to you the partnership that we are choosing now, and we will not be choosing many partners. We will not be celebrating more is more. We want to celebrate less is more. We want to have few partners but deep relationships with the partners. We'll be committing a deep relationship over there. The second question you asked about. What is the second question ?

Amit Chandr a
eMACH.a i.

Arun Jain

eMACH.ai is a new architecture front. It's not DTB digital transition banking, liquidity. Now all these products are there, wealth product is there, which Banesh is talking about for wealth force. They all now move to Intellect 3.0 Journey, where everybody has microservices. So we have 285 microservices. So DTB has been moved to the next phase of investment, which we made last year, to move them to microservices-based architecture.

So since they moved to microservices-based architecture, eMACH.ai is a common platform which is getting express itself to construct DTB solutions, liquidity solutions, trade, finance solutions, supply chain solutions, and core banking solutions. So each solution can be designed, and we are giving the customer the flexibility, or he wants to design it, and that's what the new wave of technology is all about. Rajesh, do you want to add anything to that?

Rajesh Saxena, CEO of iGCB

Oh, sure. So I think you said it, Arun, I think the eMACH.ai gives us the architecture. And it stands for events, APIs microservices, cloud and address, and that's the way all our platforms are constructed so that the banking can become completely composable. And we talked about what we are seeing. Let me take an example of, let's say, Europe. What do we see in Europe? In Europe, we are seeing good, good traction in the core banking space, and what the customers are looking for is a composable solution. So our eMACH.ai architecture, along with our iTurmeric platform, gives us that edge, and that's what we see as traction in the market.

Amit Chandra

Also, Rajesh, can you comment on the competing products in the market you see at the competition to eMACH.ai?

Rajesh Saxena

So the way I see competition and let me put this in the context of core banking space. So core banking, traditionally, we have seen competition from players like Temenos, Flexcube, Finacle, etc., and then there are new-age

players like Thought Machine and Mambu. Thought Machine and Mambu come with architecture, and what Temenos and Flexcube and Finacle would come with would be the domain, the depth of the product.

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Intellect has the great advantage that we have the depth as well as the architecture of these new platforms, and that's why, for example, we talked about this OTP deal and this OTP deal that we won against Temenos and Thought Machine was really because of both architecture as well as the depth that we have, and that's what is resonating in the market.

Amit Chandra

And, Arun sir, my last question is on the GEM project. You know the GEM project will be there till December. But in terms, the bids that came up for the project were substantially low in terms of what we are operating at. So how do you see that? And also, in terms of our receivables, what part of our receivables is from GEM?

Arun Jain

There is substantial receivable, as we mentioned earlier, so that should cover it up. And second, at the TCS value, we will not be doing that business. We don't want to be in a loss-making business, and we don't see TCS can make money on it either. They want to win it, it's their joy of serving the government. But we have served the government for 4-5 years. It's a national project we have taken to solve the national problem. So GEM is no regret for us. GEM is cleaning up our eMACH.ai interest.

I would have expected some investors to ask questions about AI. AI is a hot topic right now, and AI, the kind of capability that Banesh has built for AI, is phenomenal. And that is not coming out as a separate space which we are differentiating along with the composability. And there is space in the contextuality of operation space. And this is a decision AI. Decision AI is very different from information AI. So when you talk about ChatGPT, it's information AI. You can't use it for any business decision from ChatGPT. You can only take some information, and converting information to knowledge and knowledge to a decision is a three-step process of AI. With our seven years of investment in AI, if we separate the AI company, it should be the most valuable company in a global marketplace from that perspective. So this is where the AI platform, which I mentioned in the beginning, is the fabric platform of AI, which I described in eMACH.ai substantially. That is giving an entire boost to all the product lines.

Amit Chandra

And also, you mentioned the AI thing, so are we selling AI as a separate capability, or are we embedding AI into our existing products and platforms ?

Arun Jain

Yeah, we are selling a separate product like Magic ESG. It's a separate product of ESG but not just embedded like Norges Bank is a \$1.3 trillion fund management. It's a separate product so Banesh can highlight more on that .

Banesh Prabh u, CEO of IntellectAI

So thanks for that question. Let me explain it in two different ways. One is eMACH.ai. We heard a lot about eMACH. The combination of eMACH.ai - that is, the architecture along with the AI intelligence, is embedding this intelligence into our product lines in a way in which the customer can achieve a much higher level of AI implementation, whether it is in hyper -automation or hyper -personalisation .

So I think, for example, I'll give you a wealth perspective. Right from wealth, and as you probably have already heard, we won an award for, you know, for the most exceptional usage of AI across Pan Asia, which covers Asia and India from the Wealth -Briefing awards .

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And one of the interesting things is MACH gives you the composability that, you know, Arun mentioned, of being able to compose for different segments, different product capabilities .

For example, we've just recently gone live with one of the largest private banks in India, they are using Wealth for this first part of the launch

It is about mass affluent wealth. Now, we all know that the penetration of mutual funds in India is growing significantly .

And how do they provide a technology architecture? And by the way, this architecture is on the cloud, it's on AWS. And the scale is very large. The ability to consume our eMACH architecture for wealth, along with the AI components that can make a difference to seamlessly deliver either a do -it-yourself capability or a very personalised capability for the customer, is one sort of example of how we can consume for different segments, whether it's mass wealth, whether it's ultra -high net worth or private bank .

So the architecture gives them the power to be able to consume for different clients, different products and different capabilities and experiences. Financial advisors or relationship managers drive some of them drive some of them. Or some of them just do it yourself . So that's the power of the combination of intelligence embedded in what we would say embedded AI for wealth .

Similarly, in the US insurance, the underwriting insurance, you know, recently Gartner had an underwriting, they don't have a quadrant for underwriting, but they have a very detailed paper on underwriting. Intellect Design was probably the best digitally engineered underwriting platform for using AI.

There we embed data in such a way that the underwriter can actually improve his speed and decision -making quality, and therefore, we've embedded AI into the underwriting workbench . So not only is it operationally efficient, but more importantly, it brings intelligence into the product for different lines of insurance business. So AI coming together, it's at a good point, AI today in the market where can be a huge difference in improving growth and operational efficiency as well as helping the client achieve, you know, revenue targets and compete more efficiently with their competitors .

Amit Chandra

Yeah, Sir. Thank you. That was quite helpful .

Praveen Malik

Thank you, Amit .

Next, we have Mr Rahul Jain from Dolat Capital. Rahul, please unmute yourself and speak .

Rahul Jain, Dolat Capital

Yeah, hi. Thanks for the opportunity. Firstly, if you look at the commentary from many services companies regarding the spending cuts and discretionary cuts by the banks versus what we see in our case for software companies, the view is quite divergent .

So my two questions are here. One is that banks now finally realised the importance of investing in core technology, which is keeping this as a priority aspect for them right now. Or is it also a function of being more present across the global market, which means that our exposure to more troubled economies is

less, and that's why it reflects better growth for us? At the same time, services businesses are more concentrated on two or three markets in pain .

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Arun Jain

Very good, Rahul. It's spotting the right thing. So a lot of IT spending has gone up in the last three years, which was a disproportionate increase happened in last three years was unnatural. This was to me, I mentioned in one of the calls, it was like a band -aid digital. You do the digital, which looks nice on the face of it. Like face makeup. But you don't make it change in the structural digital. Structural digital, you need to make a change in data design. You need to make a change in a data layer. You need to make a change in a product layer. You need to make a change in a process layer. All have to go together. So your question is, when COVID happened, and everybody wanted to sit from home, they did a very quick and dirty solution, and they wanted hundreds and hundreds of people to solve that problem .

So it's good for Indian companies that we made a lot of money out of this problem statement of band -aid digital. Now, the band -aid digital to structural digital, which Manish was mentioning, structural digital when the

deal which we won in Asia Pacific Bank with Accenture, that's a structural change .

They're looking for a business transformation from digital transformation to data transformation. All three came together when the deal value was multiplied 5X compared to the band -aid solution, where the value is limited to 1X. That's the right analysis you have done, Rahul. For Wave 5 , banks don't have an option. Like an electric vehicle, there's no option for all of us not to go to the electric vehicle. When we make a decision, it's our choice .

Rahul Jain

Right. Thanks for the clarification. Secondly, from a market perspective, is India now becoming very center stage from a global demand point of view in many industries? Would that be true for your business as well? If yes, then what's the strategy out there ?

Arun Jain

In what context? For other industries ?

Rahul Jain

I mean, yeah, even if you look at what's happening or what kind of a credit proliferation is, what the regulator is now pulling into the UPI ecosystem or small consumer loans or banking the unbanked database collateral, these kinds of things are now coming with a lot of NBFCs and banks are getting into their digital solutions with the lending partner, partnering the lending fintechs. One side of the story is where these companies would simply partner with fintech to distribute their lending or BNPL solutions. And the other aspect of the story would be where banks would try to modernise their solution and do it directly, like what possibly Bajaj is doing in India. So from that context , do you think credit is a center -stage aspect in India? Is that leading to a lot of opportunity here ?

Arun Jain

Yeah, that's true. I think that two things are there, Rahul. I think this is the question here. We are undermining the security issue of the banking solution. When you take from a Fintech player, a lot of people who are still in India, like HDB Bank or ICICI Bank, will take a holistic decision of buying the right solution at the right pricing. Today, still in India NBFCs are not investing sufficiently in cloud technologies. They are not investing in structural changes, and security is so complex in the eMACH.ai world that we are undermining the required investment. Almost 170 elements are there in security architecture, how you wire the security along with the transactional work. That's where India will go through two investment phases. One phase will invest as the band -aid solution, and the second will be a structural solution .

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Rahul Jain

Ok. So at best, we will see the first band -aid one where all software companies would have limited participation, but then we may have a larger piece of the cake eventually. And the last piece from my side, which is related to wages or any other investment, if you want to say that from the current base. What are the investments required for this part of the later part of this year in terms of wage correction or people investment or any other investment from a cost point ?

Arun Jain

Fortunately, because the software industry is in trouble, we are beneficiaries of that, so we don't focus so much on that particular thing, so. On the other side, on the investment side, just not to take it lightly, your question is, how much is the forecast on the cost structures? Cost structures are stable now. Last year, our cost structure became unstable because of COVID time and the industry issue. Our investment will be distribution, our focuses 3D's - distribution, distribution, distribution. We are now looking at it

and spending time on it. So, our management team is in the US starting from Monday. So Banesh is sitting in New York right now. So our focus is deeply on distribution right now .

Rahul Jain

Right. And is this increment or whatever correction needs to happen already baked into the current cost and rate ?

Arun Jain

At this point, yeah .

Rahul Jain

Yeah, OK. That's it from my side. Congratulations to Venkat for the new role, and also, Congrats Vasudha for this position. Thank you so much .

Vasudha

Thank you .

Venkat Saran

Thank you, Rahul .

Praveen Malik

Next, we have Mr Narendra. Mr Narendra, you're there? He's not there. I think he's left .

Arun, we have only the two follow-up questions, then. No new question. Can we take them ?

Arun Jain

OK. Just take them .

Praveen Malik

Yeah. Mr. Anil Tulsiram .

Anil Tulsiram

Thank you for your opportunity once again, I have two questions again. First, I understand existing customer base accounts for almost 80% of your revenues. So what I want to understand is what happens at the time of renewal. So how easy is this renewal? Or again, do we have to go to the RFP or other things or to put it another way, how easy or difficult is it for your customer to switch to another Q1 Results FY 2023 -24

vendor, and what are we doing to make these customers more sticky? That is the first question, and the second question is around 2021. We spoke about cross-sell opportunities that we will go deep in the top 10% of the clients, so what's the progress here? Thank you. That's the two questions .

Arun Jain

Manish, would you like to answer

Manish Maaka

I think, like Arun briefly shared, we are tracking the top ten banks in each of the markets, and what is up, we today have the top four of the 10 American banks, the top seven of the 10 European banks, the top seven of the 10 Middle East African banks, top nine out of 10 in India, five out of 10 in Asia Pacific. And this consistent focus right now is to be able to cross-sell each of our products. The difference between us and some of the other vendors is those term contracts our renewal goes in there because they are not partnering, they are just selling the license, and they get away. They're not partnering in the transformation of the bank and the growth of the bank. That's when the RFPs kick in. We've consistently been sharing, we're regularly upgrading our products and capabilities with our customers. So we face less challenge from that perspective. There are sometimes, from a procurement process, there's a closed bid done just to ensure that compliance processes are taken care of. Our journey is to be with long-term customers. It's a 15/20/25-year journey, and we have shown some of our customer's lifetime revenue coming from that. So it is always consistent to keep investing in customer success. When the moment comes to renew the contract, you're not then letting procurement take over. It's an extension of what you're doing .

Arun Jain

OK.

Praveen Malik

OK, Anil. Thank you so much.

Anil Tulsiram
Ok got it. Thank you. That's it .

Praveen Malik
Then we have a follow-up question from Vivek Taruga. Vivek, quickly, can you ask the question ?

Vivek Taruga
Yes, Sir. My question is about the US last year. Arun ji said we have lost two deals. And given the current conditions, do you expect a similar growth rate to last year, like you guided 50% And what is the outlook on both the time to deal with closure and the insurance part - IntellectAI part, which you were very positive about last year? Thank you, Sir. Thank you very much .

Arun Jain
And we are as positive, more positive on IntellectAI on US growth. The US because of the setback of these two deals, we are looking in North America in the market. So Manish looks at Canada and US together. So the combined market, we have good potential. In the US, we have won one deal. So at least the year has started very well in the US .

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Manish Maaka
Canadian banks are reasonably well, and we've just announced that for one of the large Canadian banks, the US piece of business. We were doing the Canadian, now we're doing the US side of it also .

Vivek Taruga
So the deal the things are not like because last quarter, because of that SVB crisis, you were more unclear. So I was just trying to understand .

Manish Maaka
We did lose 2 deals. SVB - First Republic has become JP Morgan. So we were doing some work for the First Republic, so it has gone into becoming JP Morgan. We are running the platforms we were already working with JP Morgan before. It gets our relationship. The upside is our relationship with JP has become a little bigger. Still, the commercial revenue loss on these two large deals would have given us another bump in this quarter, but that's the game we all play managing risk and portfolio. And I think, compared to some of the other software service providers, you're seeing their dependence on the US is very high. We've always talked of a portfolio which is balanced across products as well as markets that hedge us from this seasonality. It does give us a bump on the road, but it doesn't create a panic that has to stop hiring, have to get rid of people, have to create panic .

Vivek Taruga
Right, so IntellectAI will grow 50% like you said last year, Sir, this year also? Last question, sir .

Arun Jain
It's going substantially how much we come into books of account because IntellectAI business comes as a SaaS model, and it's not every month, but deal sizes are increasing. So we are getting even double-digit million dollar deals in the Intellect business, which will be we are at least 7-8 deals are there which is the double-digit millions of dollars, \$10 to \$20 million deals over the next five year TOC value, TCU value of the need. So those deals, we are now getting IntellectAI on how much will be translated that will come within 15-20 per cent .

Vivek Taruga
Thank you very much .

Praveen Malik
Thank you, Vivek. Arun, can we close the call now .

Arun Jain
Yes, please. Please close the call now .

Praveen Malik
Thank you to all the participants for participating today. In case you have any follow-up questions, please do write to us or call us. We'll reply on the same. Thank you very much now. We can log off .

Thank you.

Call: Nov 2023

Intellect/SEC/ 2023 -24 November 03, 2023

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol:

INTELLE CT

2. BSE Limited ,

1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code:

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call
held on October 27, 2023 commenced at 06:00 P .M. and concluded at 07:08 P .M. on the
Financial results for the quarter ended September 30, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,

for Intellect Design Arena Limited

Arun Jain

Chairman and Managing Director

Encl: As above

Q2 FY 23 -24

Investor Earnings Call Transcript

Praveen Malik

Greetings and welcome everyone.

Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the
Second quarter of the fiscal year 2023 -24, ending 30th September 2023. The investor presentation
and Press Release has been sent to you and are also available on our website. Our leadership team is
present on this call to discuss the results. We have with us today Mr. Arun Jain, Chairman and
Managing Director; Mr. Manish Maakan, CEO of iGTB; Mr. Rajesh Saxena, CEO of iGCB; Mr. Banesh
Prabhu, CEO of IntellectAI; Ms.Vasudha Subramaniam, CFO. Besides, some other senior members
of the Intellect management team are also present in the call. Mr. Arun Jain will brief you on the
result, followed by a Q&A session where the senior management team will reply your questions.
When the Q&A starts, you can ask a question by clicking "Raise your hand " and we will unmute you
so that everyone can listen to you.

Safe Harbor: I would like to remind you that anything we say which refers to the outlook of the
future is a forward -looking statement. This must be read in conjunction with the risk the company
faces.

With this, I request Arun to give his briefing.

Arun Jain

Good evening

I wish to begin by thanking each investor for trusting the story of Indian Fintech Company
participating in cutting -edge technology space, shoulder to shoulder with global competition. I'll
cover my conversation in 3 frames, and we'll take close to 15 minutes. Frame 1 is the current quarter
and first half year of FY 24, and frame 2 is patterns and trends from the last 3 years' data and the

market what we are addressing. Frame 3 business outlook for the next 6 months and coming years. Let me start with the frame 1. This quarter, Intellect revenue grew 17% over the same quarter last year to INR 621 Crs, while EBITDA grew 45% over the same period. The half -yearly revenue also grew healthily at 18% and PAT at 43% growth compared to the last year. The company revenues are crossing INR600 Crs mark consistently for the past 3 quarters. All these results are in line with our confidence of growth at the 15% level, which we were looking at when we started the financial year. They are above 15%, close to 18% at this point in time. During this quarter, contracting in respect of 2 deals amounting to close to ₹30 Crs in revenues got deferred and could not be concluded. As in the past quarter, there's an intangible cost of 12 Crs towards RSU in quarterly results. So this is a cost which is getting booked, which is intangible in nature.

We doubled our marketing activity during the last 6 months, having more than 700 meetings with relevant customers and prospects. We participated in almost 20 events in the last 6 months to create a larger brand awareness, reaching the right kind of a technology, eMACH.ai and generating leads. So, which we call P0 to P2. We have six stages of the sales process. P0 to P2 is the lead process, and P3, P4, and P5 is the opportunity process. So what we publish in the results of total funnel of over INR 7500 Crs is basically are opportunities which are at P3, P4, and P5. We don't publish any lead-related financial numbers because, at that time, we don't assign the financial numbers to it, and that's why we don't publish the numbers of P0, P1, and P2. We have almost a similar amount of leads in P0, P1, and P2 as many opportunities are there and only where the proposals are submitted. That's what we publish as a funnel for us.

Now, I would like to move to frame 2 or the dialogue with you, after receiving smart questions from you about the varying and unpredictable quarterly performance of Intellect in the past. Our data analyst team plotted the last 12 quarter data with trailing 12 months as a pivot. Our CFO has shared her findings in this deck. The beauty is that based on these numbers, Intellect has grown at 20% CAGR over 3-year period. Exactly 20%, which we guided the market that we have designed our business to be 20%. So we feel that how can it work exactly 20% over the 3 years, 22% for 2 years and 18% for 1 year. The sustained design growth is well above the industry growth rate. I call about 20% growth rate as a designed growth since that's a constant message we are sharing with the investor community consistently. This design growth has 3 key principles and strategy on which this 20% growth confidence is there for the company.

Principle 1 :extreme customer -focused business design. That is an independently designed business for corporate banking needs in the form of iGTB. Retail banking and an SME lending business are grouped under iGCB, and wealth and Insurance businesses under IntellectAI. This strategy helped in building business growth and operational sales based on cutting-edge differentiated products for our customers.

Principle number 2 - Design the products for the most demanding banks to drive the last 2% is 200% differentiation in the products. So when we work with a leader in the web market, like HSBC, JP Morgan Chase or HDFC Bank or RBI. We get that advantage of demanding requirements and our product functionality becomes so much sharper than anybody else in the world, and we have the advantage of working from West to East. From US customer to the Singapore customer to Australia customer at a stretch. So we are able to get the right patterns because of the customer profiling what we have. Today, 8 out of 12 products are in the leadership quadrant of global technology analysts like Gartner, Celent and Aite. This helps in the premium pricing of products and enables to build business in Europe and the Americas.

Intellect's customer portfolio has 7 out of the top 10 bank in Europe, 8 of the top 10 banks in the Middle East. 7 of the top 10 banks in India. 5 of the top 10 banks in North America, and 5 of the top 10 banks in Asia and ANZ and that's a remarkable marquee customer Profiling.

Banesh Prabhu

I think we've lost Arun. Probably, they'll re-join may be of the network issue.

Praveen Malik

Yes, Arun. You can go ahead.

Arun Jain

So, the above three strategies helped in growing the iGTB business to 950 Crs business. iGCB business grew to INR 650 Crs, while IntellectAI business grew close to INR500 Cr during the last 12 months.

Coming to frame : 3. I'm hearing about our leadership outlook for the next 6 months and next 3 years. As of now, we must acknowledge the instability of the global geopolitical environment - Israel Palestine conflict, as well as Russia European conflict, India for Canada conflict, are all on the horizon. The management team takes a cognisance of these conflicts and hopes for world to become more peaceful in the coming years or coming months for our growth of the business. But

yet, we need to design the business for the future and where we are getting our confidence level despite these geopolitical disturbances.

We launched the eMACH.ai platform with the most comprehensive microservices for the financial industry to drive composable and contextual solutions. In February 2023 this is the one platform which received so well because the entire industry wanted this, a desired direction of industry to move towards. As of now, the separation of events, micro services, and APIs on the cloud, Headless and bundled with AI. Intellect plays a very significant role because there is no single player who has got all the 6 components coming together under one roof to give a composable and contextual solution. This has led to big partnerships with Microsoft Azure, Accenture, AWS, KPMG, and IBM. We are working very closely with them for large digital transformation deals. Intellect technology has started helping our customers by using Turmeric as a composable technology. Effort cycle time has come down by 40%. So, we are now able to propose full digital transformation at a 40% lower cost than our competition.

Intellect has launched IGTB Co-pilot along with Microsoft at the International Corporate Banking event SIBOS in Toronto which has been very well received for its ability to drive decision-support advice using Generative AI. As of now, Generative AI is being used for a lot of customer experience spaces, but over here, this was done for business decision purposes.

We also launched Generative AI-based underwriting recommendation for P&C Insurance on Intellect, US cloud. This also has received significant mileage because now the P&C process is completely autonomous from submitting documents for P&C Insurance, which collects document intelligence to underwriting the entire process to the recommendation up to the recommendation stage and then data processing is autonomous in nature. Both Turmeric technology, which makes composable platforms and my IDX technology, which makes the contextual technology, drives the kind of a rich product positioning for retail banking, lending wealth, global payments, global digital transaction banking, trade and supply chain finance, and insurance. Because they are the width of the product and depth and cutting-edge technologies are driving our growth. For this year, we are confident of growing the revenue by 15% on an annualized basis. And profit growth of more than 30%. So that's what our current outlook is looking at 15 plus percent. Despite of the global or geopolitical environment and if we are lucky, we can be closer to our design growth of 20%, but we are planning 15% growth on the yearly basis. Thank you very much for listening to the 3 frames, and I will open the platform for your question answers.

Praveen Malik

Thank you, Arun. Now we can move to Q&A. I request in case you want to ask a question. Please click on Raise hand, so that you can ask, we will unmute you.

Please ask a question.

First, we have Mr. Mohit Jain from Anand Rathi Securities. Please unmute him. Mohit You can also unmute yourself and ask the question. Mohit, you're there?

Mohit Jain

Yes, Sir. My question was related to this partnership that you just announced. So, how is it going to help us send the one which were announced about SIBOS and Microsoft? So one is how is it helping in our current set of products that we are selling, and second, it appears to me apart from this delay in the quarter, you're also looking at slightly slower growth for the year. While our exposure to the troubled regions may not be that high, just to clarify

are you seeing further weakness in banking?

And second, this partnership with Microsoft, these are the 2 questions there.

Arun Jain

So, first question. Manish, would you like to answer the partnership question for Mohit?

Manish Maakan

Yeah, Mohit, this is a very disruptive partnership along with Microsoft iGTB co-pilot, which we launched at SIBOS. There's a whole new way of deriving value from data which is sitting in the banks, and we're going to look at capitalising our extensive domain expertise in commercial and corporate banking. In our phase one, we are introducing an array of about 50 plus AI use cases covering our existing stream of cash management, liquidity investments, payments, virtual account trade and supply chain finance. First of all these co-pilots are being designed to assist banks and corporate treasury role-holders for better customer experience, cost and operation efficiency and risk management in partnership with Microsoft. So first it will help make our products look much more smarter, much more adaptable from what the market needs are. And second, it's an completely new revenue stream we are building upon for putting it forward.

Arun Jain

On the second question, Mohit. Revenue growth, we are looking at, it can be better than this, but as of now, I think 30% margin growth where IT companies are looking for much lower numbers. It looks to be better. But let's see how it pan out. It can be better than this.

Mohit Jain

And Sir, as the follow-up like, are we building in that GEM impact also as part of a slow transition or

do you think that not in the second half of the year, and we should look at it from an FY 25 standpoint?

Arun Jain

We are not too sure about that, but on the margin level, we are taking into account the revenue side; maybe I'm not taking into account what will happen after December, but on the profit side, we are confident of meeting 30% growth.

Mohit Jain

So, in the current guidance, we are building in the current level of GEM revenues till March, right?

Arun Jain

No. I'm saying irrespective of GEM revenue or not 30% margin growth will be there.

Mohit Jain

OK, so whether it goes or stays, the point is that your guidance takes into account the potential reality due to GEM.

Arun Jain

Yeah. So, the margin, and the revenue line will change. But not the profit line.

Mohit Jain

OK, great, Sir. Thank you. And all the best.

Arun Jain

I mean directly saying what the margin we make, correct?

Praveen Malik

Next, we have Mr. Nishid Shah from Ambika. Nishid, please unmute yourself and ask the question.

Nishid Shah

First of all, congratulations to the entire team for a very good set of numbers on a half-yearly and on a year-on-year basis. I think Arun, sometime back, you had mentioned that Intellect should be evaluated on a year-to-year basis and not on a quarterly basis. Not on a sequential basis, given the delays in the process and the global environment. So I appreciate that. Uh, can you give more details on the 2 questions one or some details on the delay in the closure of 2 deals? What is the value, and are we likely to see a closer this quarter? And the second question is on the US geography. How is the partnership progressing with Microsoft? We have been talking about it for the last 4 or 5 quarters and with Accenture. So where are we seeing traction with Microsoft, or are we seeing traction with both Microsoft and Accenture? Those are my 2 questions.

Arun Jain

OK.

The first question was on your growth, which is last like LTM basis. We should be monitoring on an LTM basis quarter to quarter; we cannot do it. So again, I want to emphasise that quarter to quarter doesn't make sense. We published this time number from September 20, slide number 12. We move from 1402 Crs revenue to 2441 Crs revenue in the last 12 quarters. And there's a consistent growth

quarter on quarter.

There's no drop in the quarter on an LTM basis. There's a drop in the quarter that normally happens, but on an LTM basis there, there's no single quarter where the drop is there on an LTM basis. So that's the one point I want to ensure that we will look at it, and please look at the advise investor to monitor the product companies on an LTM basis rather than monitoring the product company on a quarterly basis. Responding to US geographic growth, we have very good leads in the insurance business in the US. Banesh, if you want to highlight what is happening in the Underwriting area in insurance working, that is, we are working with AWS closely with them, and they are also bringing some leads besides our own leads, which are coming in the U.S. market.

Banesh Prabhu

Yeah. So I think the partnership with AWS, as you know, the insurance business in North America is completely hosted on the AWS platform and all our clients, and presently we are, you know, quite a few SOWs that are in the process of getting contract closures, I think the important thing here is AWS works very closely with us now in identifying potential underwriting insurance opportunities.

Qualities we sort of got an underwriting ecosystem that fully operates on. So we added the generative AI component in, I think. Generative AI component is helping the underwriters use the data more efficiently along with their own underwriting standards to make decisions. So I think AWS doesn't have a similar product anywhere in the world, and when they looked at our product, they said this is probably the best in the cloud that is available, and they are actually in the process right now of partnering with us to offer it to more and more insurance carriers. So that is the outcome that we have with AWS right now.

Arun Jain

Nishid, this is a very very positive area where the revenue doesn't get booked. It's a cloud revenue,

and it's a lag indicator. We are giving this revenue what Banesh is doing; we are working with 7 deals right now are therein POC stage because AI adoption requires POC build-up, and we upfront invest in POC rather than implementation, which is typically in other product lines like in core banking, we do implementation afterwards. While on this line, we do a POC before the actual sale happens. We have a front investment, and since there are 7 such POCs are happening which 3 are in the contracting stage, and 4 will come to the contracting stage, likely to happen and each deal has a ARR potential of more than 2 million dollars each deal.

Nishid Shah

2 deals which got delayed is expected to close in the next quarter or 2?

Arun Jain

Yeah, yeah, that's what we are expecting.

Nishid Shah

And how much is the value of those deals you said? I think you said 50 Crs.

Arun Jain

30 Crs deals should be signed in this quarter.

Nishid Shah

Thanks for the clarification. Thank you, and all the best.

Arun Jain

Thank you, Nishid .

Praveen Malik

Thank you, Nishid .. Next, we have Mr Anil Sarin from Centrum, Anil Jain. Can you ask the question.

Anil Sarin

Hi, Arun. Hi, the whole team, great progress is being made. In fact, I want to congratulate you on your annual report also you have dedicated, I think, about 40 pages. I think all the SBU heads have gone into, you know, great detail, taken a lot of pains to explain to lay people like myself, and I quite enjoyed, and after reading, I was able to understand and appreciate the technology that you bring to the table. So, a great job over there, and basically I mean, you know, it just underscores the superiority that your products have. Now, we have to wait and see if it's already happening, but we have to wait and see how at a larger scale. I mean, given the scope, the depth and the width that you already enjoy. I think you know what numbers should be expected in the coming times. If I just add this 30 Crs back, then the margins, you know, even

for the second quarter shoot up to, you

know, a decent number. So my question, I think Mohit and Nishid have already asked, I guess it will be a repetition, but I mean, given that you know at the halfway mark. If I just take the liberty of adding back the 30 Crs, given that at the halfway mark you are tracking so well, go for the second half, you know there has to be a material decline in the growth rate. To sort of come up to the 16% revenue growth outlook which you have. So, are you anticipating a kind of a slowdown of that nature?

Arun Jain

No, no. Anil we are not looking slow down, I think. The problem with investor, is they have very you have very mathematical mind and you put quick calculations. Our business is not like as mathematical as possible to look at it. We're not looking for any slowdown, but we will be cautious, cautiously optimistic, I would say Anil rather than saying we are slowing down, and we want to just say in the current environment, 15 to 18% growth is a good number. So, let's look at it that way. And if you are lucky to have, I mention our design growth number is 20%. I mentioned from last 4 years. We are not changing any paradigm on it. But the success of 20%, it happened in for last 3 years is 20%. For 2 years, it is 22%, so once you're doing it, we will achieve 20% for the next 3 years we are looking. That is the number I think and Anil, you should be looking at; that can a company can grow 20% top line for 3 years? If they can, we can grow 20% year on year, and our profit will grow 40% year on year, our ratio of revenue to profit is 2 times.

Anil Sarin

Right. In fact, you know, on that point one can comment that see you have multiple products and you have multiple geographies and there are not too many companies like that, that I'm aware of which have they're so entrenched, all over the world. So I think war is not a problem for people like you. I mean, you are so spread out. I don't think that, but obviously time will tell and I think you already answered that question that you know, as you scale up the EBITDA margins need to go up. . It's a function of operating leverage as you start delivering the deals. It should head towards much higher than what it currently is. Am I on the right track?

Arun Jain

That's right, Anil. I have given two design principles – 20% growth and 30% EBITDA. Now, 30% EBITDA, I don't want to promise it. Because last time, I said 30% EBITDA. Everybody jumped on it,

saying why it's 18% and 21%. The business is designed around two principles. When 30% EBITDA will come in? I cannot predict that kind of a number. But the business has been designed for that kind of cost structure and the operating leverage level, so we moved to the product business.

Anil Sarin

So, in your annual report comments also the chairman's letter to shareholders, you mentioned that now is the time for partnership. So today, we have four partners. What is the outlook? What do you expect, like how deep can we go with each partner and how many partners would you realistically need to achieve your targets and goals?

Arun Jain

Partners are very important. There are five partners which I mentioned - Microsoft, AWS, IBM, Accenture and KPMG. They are all big partners. We have 30 other small partners at the country level, which we are not mentioning here. Those are country-specific partners who solve our problem at a local level. This is a good network. We may require one or two more. But to meet this expectation of them because the deals they bring are heavy deals. Manish mentioned, Microsoft, and they are bringing digital transformation deals to us, whose deal value would be around \$30 Mn, \$40 Mn or \$50Mn. It has a huge amount of pre-sale time. I think we are comfortable right now in this partnership if we can nurture them. That is our focus for the next six months.

Anil Sarin

So thank you so much. Today, you have the proud

position of being the fastest-growing IT company, so please keep it up. We are cheering for you. Thank you.

Arun Jain

Thank you, Anil.

Praveen Malik

Thank you, Anil ji. Now we have Mr Mukul Varma from Varma Associates

Mukul Varma

Am I audible? Yeah, Mukul. Please go ahead.

Mukul Varma

Yeah. My question is that you mentioned that you had won one deal against Thought Machine in Europe. I would like input on how we are doing against Thought Machine in Europe.

Arun Jain

Thank you, Mukul. Rajesh, would you like to respond?

Rajesh Saxena

Sure. So, not only Europe, if I look at the UK, Europe, tier-one clients as well as regional banks, what we are seeing is that when these banks are looking at core transformation, they start with a long list. Typically, in most of the cases, we will end up with three players who are in the last three. One would be Temenos. One would be Thought Machine and Intellect. So, when we look at Temenos, they come from rich functional stack country models. Thought Machine will come from a technology perspective. We are in a sweet spot wherein we bring the latest technology stack with the domain functionality. So that is what we see. Versus Thought Machine to your specific question, head-to-head, we are winning as many, if not more, deals versus Thought Machine. Of course, Thought Machine sees many more deals than we see because they spend a lot more money on marketing. From that perspective, we are also looking at Marketing Events. Arun also talked about our marketing events, our branding and how we are building our presence in many markets. So this is what we are seeing from a deal-win perspective. I was in Sibos and Money 20/20 in Las Vegas, where we ended up meeting a lot of customers and prospects. Many of these customers are saying when we talk to them about Thought Machine and their experiences, they are talking about Thought Machines' strong framework, but it requires heavy work from an implementation and customisation perspective. So, the total cost of operations and time to market are key challenges that Thought Machine is seeing because they are still in the process of building. The domain that we already have.

Mukul Varma

OK, great. One thing to add is that we announced specific deals during the quarter, which will be for some banks. But when it comes to results time, there are always more deals than the ones we have announced during the quarter. Is anything stopping us from announcing every deal, or are those smaller deals or we don't have permission, or how do we look at that?

Arun Jain

Typically, we need to get permission to announce the deals. That is why we sometimes get delayed, and there is a mismatch between our announcing (announcement) anyway, but we are not publishing the names of those deals. That is the reason, Mukul.

Mukul Varma

OK. So is there possibility we could still announce it as we win without naming the bank, just to see how much we are doing and when it is possible?

Arun Jain

Sure, We will just take a legal opinion on it and then accordingly act on it.

Mukul Varma

Great. Thank you so much. That is it from my end. All the best. Thank you.

Arun Jain

Thank you. Mukul

Praveen Malik

Thanks, Mukul. Next, we have Mr Ramasamy KV from QFSL.

Ramasamy KV

Hi. Thanks, Praveen. Arun Ji, congratulations on a great quarter. In my opinion, it was a great quarter because I come from a product background. My question is only twofold. One is how autonomous AI is being used and what the potential is in the next two years. And point two is, how will the EBITDA growth pan out over 20% in the next two years?

Arun Jain

The first question is about autonomous AI. This is my favourite question. The investment we made in 2016, three years ahead of time, was unde rstanding unstructured data. I will take a few more seconds to explain what unstructured data is. In Oracle, we store t

he DBMS, which is the relational

data model which is store in Oracle . Now, the financial institution has more documents more paper than t he structured data. From the bill of entry to the domain, bill of lading and your balance sheets and the cash flow statements etc., To convert this unstructured data and create a document intelligence is a science of its own. Now, a lot of small fintechs h ave come up who are taking one use case of one type of document type like Perfios will take a few use cases for underwriting space. Somebody else will come who will take a few underwriting cases, which will take up in the trading space or the supply chain finance space. So they take document by document. But the difference is what we have done at the Intellect level is we created a platform first. Many questions were being asked in 2018 on why our investments are so high. Questions were asked to Pranav: how are there no results? I remember Technology Day in Bombay Investor day where we were questioned too much on why we were investing so much. Today, we have created a platform for document intelligence management systems. This is like a DIMS equal to the DB MS of past time. So, in the next ten years, DIMS will be as big as space as DBMS of Oracle in the last 30 years of the space, which is about how do you create unstructured document intelligence into the system

Ramasamy KV

That makes sense. Yeah.

Arun Jain

We have the entire product suite in the DIMS space. We had a session on how you move Design Thinking for cognitive enterprises and cognitive banks recently in Chennai, where 20 banks from India participated in that two -day event to understand how we can ap ply DIMS to help the banks wire their operational documents to data autonomously. So, that is a whole science of autonomy. We have completed this journey that Banesh was referring to in the US for one use case, which is a PNC underwriting space for submitt ing close to 200 different types of documents that have been extracted and intelligence has been built using rich and validated up to the generative AI in autonomous where recommendation notes come to the underwriter in a matter of day instead of a matter of weeks. That is where we are giving speed, cost saving, accuracy, trusted data, and recommendations, which is why no single company, as of now, is cracking this issue at a holistic level. So if the bank has to use 20 different types of documents and one of the deals which we won

in Europe in this quarter is our key client SJP - St. James Place, the largest wealth manager. They have chosen the DIMS tool for an entire wealth management portfolio. How the wealth management portfolio the recommendations. They want to automate at least 20 use cases using DIMS. So that is the power of our tool on DIMS, which we are very hopeful about. There is a company called Insta -base, which is in the same space. If you want to go to the Insta -base site, that will give you the flavour to look at what space we are in.

Ramasamy KV

One question, therefore, that comes Arun ji is, will the cost peter out over the next two to three years?

Arun Jain

Can you repeat the question?

Ramasamy KV

So, in autonomous AI, as we go forward and evolve, will the cost peter out or reduce over the next

two to three years and, therefore, the margins get bigger?

Arun Jain

That's right. So, this is a proposition we are making to the banks that if they want to buy IDX965.ai DIMS, their operational costs can come down by 15 to 20%.

Ramasamy KV

15 to 20%? That is a lot.

Arun Jain

That's a lot. Currently, there is one single use case for this client in the UK. When I met the CIO, he said he saved \$6Mn pounds with just one use case on AI.

Banesh Prabhu

The space around operations transformation is very large. The target market around operations transformation for all its financial institutions is extremely large. The DIMS platform takes the

se

documents and changes the way the operational process happens through an autonomous capability and bringing in AI right through the process, whether it's underwriting or portfolio management. We have tried to help both underwriting from the US insurance PNC side as well as the relationship manager and the financial advisor from the wealth management side. There is a similar set of things across our various business lines in Intellect that actually focuses on how DIMS can help operations transformation. We will take out a lot of operations costs. As you know, any analysts and researchers will say there are a lot of operational costs that AI will impact. And DIMS is at the heart of it.

Ramasamy KV

OK, great. The second part is how will the EBITDA growth pan out over 20% in the next two years?

Arun Jain

EBITDA percentage will improve. The 20% will improve quarter and quarter. It is a matter of time. We were around 25% to 26% every year. Two years back, we took a call that we wanted to invest 6% from our margins to the next -generation cloud transformation. Our margin declined for three quarters. In the fourth quarter, it started coming back. We told nine months time frame. We will stick to the nine months where the shortfall has come. And so I love the investors like you who are trying to understand, but there are a lot of his street investors who do not understand that up and down. How does it happen?

Ramasamy KV

That is because of a lack of understanding of products versus services. So that is bound to happen.

Arun Jain

So it's OK. It does not matter for long -term investors like you. It is just a matter of time. But whatever we are committing for nine months, 20% EBITDA, I must say that the wisdom of the management team at Intellect will be able to justify that and live up to the expectation of what we are saying.

Ramasamy KV

One small thing can I add? Can I ask the third one?

Arun Jain

Yeah, sure.

Ramasamy KV

So, will this also impact us positively versus the Thought Machine? Because Thought Machine's initial costs are fairly high, where our cost would be lower initially.

Arun Jain

Yeah, there is a different equation for Thought Machine. They are in investing mode. We are one of the very few companies in the world who are making such a hefty profit in this cloud journey. Currently, no product company will make a profit, and nobody is expecting profit from them.

Ramasamy KV

Yeah. OK, great. Thanks a lot, Arun ji. God bless. Thanks for taking the time. Thank you.

Praveen Malik

Thank you so much, Ram. Next, we have Mr Divyesh Mehta, 3P investment.

Divyesh Mehta

Hello. Am I audible, sir?

Praveen Malik

Yeah. Please go ahead.

Divyesh Mehta

Though I appreciate the investments Intellect has made over a period of time in the products, the next leg of what you have started in the SI partnership will be crucial to unlocking the values of the platforms and investments you have made in different products. Last time, I recall, you had IBM as a

partner. This time, I have heard a few more incremental names, so please share where we are heading regarding more names. Also, do these partnerships wherever we are going in joint GTM? Are they adding to the funnel size? Then I will ask my next question, sir.

Arun Jain

Manish, partnership question over to you.

Manish Maakan

If you look at our phase one of the journey, it was about ensuring our products are right. As we build the brand, we really wanted to own the brand, build extensibility on SDKs and take it forward. In that phase of the journey, as Arun called out, we now have the world's largest banks as our core customers in every market. That has given us confidence or ruggedness, robustness, and resilience of the products. We have now built the extensibility where the partners can take it forward. My early experience with these partnerships are the deal values are going at least

three to four times

more than what we were initially selling it ourselves. So this is the right path, the right journey. In the next 12 to 18 months, they should start giving different kind of results for us in terms of quantum. They are extended distribution and surrogate branding along with each one of them is happening for us. They have MSAs, they have signed contracts, sometimes getting into new large tier-one banks. They love us. Last minute procurements phase that we don't want to take a new vendor in. Through this route, we can manage some of them. Let's keep our fingers crossed that this is the right path. A number of people have done it before, and this helps grow. So, we are on the same trajectory. We have chosen a select few. We have got very close relationships right at the top. We are getting the right support. Sibos, I was quite overwhelmed with the support we got from these partners. There were more reroutes from them versus any fresh walk-ins who were coming to our stall. So, things are positive.

Divyesh Mehta

So, in this same aspect, when you look at SI partnerships. The three to four which you have already added are already large enough. In this sense, can we look at SI partnerships from the perspective that if any product company has an SI partnership, it is easier to win even larger deals? Because banks are more comfortable because the SI partners have domain knowledge they can implement better. And like so, the USP largely has more comfort on the implementation.

Manish Maakan

I will slightly correct what you said. What they bring is they understand how the banks implement that knowledge of a new bank. The methodology, all of that, they bring in. A strong domain along with each one of them really helps the bank create a mutual joint success, and with now eMACH.ai, the capabilities of eMACH.ai platform offers extensibility of the platform. It is a win-win for banks themselves who want to do it themselves or bring in system integrators to do that. This will bring us a higher share of licence revenue or subscription revenue, where margins are going to be always higher.

Divyesh Mehta

OK. One last question I would like to squeeze in. So, as we have increased our marketing efforts, is there any long-term trend where the SG&A cost line will take in terms of percentage of revenue? Are they expecting it to go higher versus previous years because of the higher intensity of marketing efforts?

Arun Jain

The SG&A cost is close to 26% as of now. They are remaining at the same level as last year. It shifts by half a per cent here and there, not so much. That will be maintained. It will not go up, coming down if the high number of revenue comes in. We are moving towards a bucket from \$75, Mn. Currently, we are a \$75, mn bucket. So, if you observe, our patterns are 55, 60, 65, 70. Now we are at \$75, Mn, marching towards \$76, Mn and \$78, Mn.

Divyesh Mehta

The percentages remain the same.

Arun Jain

Yeah. For three to four quarters, the number remains the same. We moved to 80-85 Mn, then we moved to 90-95 Mn. At the \$100 Mn level, the percentage may come down.

Manish Maakan

If we sell to four or five companies now, it takes one year to get many of their partners to know us better. After that, the multiplier effect comes in, the dominoes fall, and our distribution gets multiplied from that perspective.

Divyesh Mehta

In this case, we have observed that many companies or SI partners have an "X" number of Temenos experts who have a certification or something? So, eventually will we also have some certification for the SI partners? Is this in the works, or if you can throw some more?

Manish Maakan

Yes, it is in the works with Accenture right now. To build COEs from where they can take this and

take it forward.

Divyesh Mehta

OK.

Arun Jain

The last deal was one with them.

Manish Maakan

We won a significant deal along with

Accenture in Asia. They are jointly investing in it to create COE.

I have another deal running in France along with them, which starts building confidence.

Divyesh Mehta

That's it. Thanks.

Praveen Malik

Thank you, Divyesh. Next, we have Mr Vivek Kumar from Bestpals . Vivek, can you ask your question?

Are you there, Vivek? Mr Vivek Kumar, from Bestpals . Please unmute yourself and ask the question .

Vivek Kumar

Hello sir. Am I audible now?

Praveen Malik

Yeah. Please go ahead.

Vivek Kumar

Thanks, Arun ji, for the opportunity. Two questions. One is given the annual report that we are now in Intellect 3.0 and you are seeing accelerated growth across your products, and two, with this SI partnerships and with AWS and Azure, when do you think we will get back to? I am not asking for growth guidance in the next two to three years, but when will we cross that 20% growth very comfortably? When will these things start playing out? Now that you have been writing this in the annual report and also now that we are going for distribution, you said last time that our only strategy now is 3D's – distribution, distribution and distribution. So, when you are cautiously optimistic, are you seeing a serious cloud regarding deal closure times? Or you are just cautiously optimistic because of the things happening around you. So, just one question on this.

Arun Jain

Yeah, 20% is a good, very good number. What I am saying is that 20% growth will give us a margin growth of 30 -35% year on year. That means your margins are doubling in three years. At the 30% level, our margins will be 2.2 times at 30% growth, in three years. That is a very good number to look at. If we can get a Rs.1000 Crs profit margin after three years, that will be a great number for all of us as investors and as a company.

Vivek Kumar

So you are confident of the 20% growth over three years. Can I take that as a message?

Arun Jain

Margin in 20 .30, we are saying. If we are going 20% of revenue, 30% of the bottom line is natural because of operating leverage.

Manish Maakan

Our track record is also the last three years' CAGR, which Vasudha published, is 20% plus.

Vivek Kumar

Yeah. I was just asking, are you seeing any serious doubt in the deal closure times, or are you cautiously optimistic because of the environment? I just wanted that part. I understand that in the long run, you are confident about 20%. So that was the thing.

Arun Jain

When you ask a six -month question, we cannot predict the future. That is the only thing.

Contracting and so many issues are there.

Vivek Kumar

Arun ji second question is, given the breadth of the kind, the number of products we have on the opportunity size that each product can address, if you talk about whether the AI or all the three things combined, don't you think at some stage we need to get some jacob . I am neither asking time nor timelines, but just by inversion of basic logic that if each product is addressing such a huge opportunity size and each as it is every product starts maturing, don't you think there should be a time in the company where it's some companies start growing at much above 20% growth rates or am I missing something?

Arun Jain

I think the point is that in the portfolio approach, one has to understand very few product companies grow at a 20% on a yearly basis. If you look at the ACI worldwide, Temenos. Temenos is growing at a CAGR of 2.5% in the last 3 years. So they grow by acquisitions.

If we are going out 20% organically year on year is a phenomenal number from a product company

perspective and that too profitably, not taking the money from the investor and keeping & buying the revenues. That's a fairly good number. Earlier also I mentioned in one of the calls we got inspired from HDFC Bank. They're slow and steady and in 10 year's time, somebody can reach somewhere. HDFC Bank has set that model, thinkin

g process in my mind that let's not push too much beyond 20%. But be consistent.

Manish Maakan

And the 4th largest market cap now in the world in banking.

Vivek Kumar

No, no. I was just thinking that given the opportunity size someday, it should be about 20% is my understanding.

Arun Jain

Thank you very much for your wishes. We would love to have it.

Vivek Kumar

Thank you Arunji. Thank you for the opportunity.

Praveen Malik

Thank you, Vivek. Next, we have Mr Shailesh Gandhi from Mehta Vakil and company. Shailesh, are you there? Shailesh Gandhi. Are you there?

Shailesh you need to unmute and then speak.

Please unmute yourself. Shailesh, unmute yourself and ask.

Arun Jain

And how many more questions are there?

Praveen Malik

Maybe some 4 more of them.

Arun Jain

OK, just keep up to 4.

Praveen Malik

I think Shailesh is not there. Looks like.

We can take it next. Next we have Mr Rahul Jain from Dolat Capital. Please unmute Rahul. Rahul unmute yourself and ask the question.

Rahul Jain, Dolat Capital

Yeah hi, I hope I'm audible.

Praveen Malik

Yes, yes. Rahul, please go ahead.

Rahul Jain, Dolat Capital

Yeah, just wanted to understand your sense in terms of how the cloud deal market is shaping up because in the most recent quarter we have seen Oracle announcing a \$30, Mn plus size of a cloud deal, which I think is one of the largest cloud deals on the banking software basis. So any perspective on cloud kind of a deal and what we are seeing from our pipeline perspective?

Arun Jain

I'm not getting the reference. Which is a \$30 Mn deal?

Rahul Jain, Dolat Capital

So this is a large community bank cloud based deal announced by OFSS in the most recent quarter.

Arun Jain

OK, may I have not looked at it \$30Mn Community Bank deal on cloud. But this is an ARR deal or 10 year deal?

Rahul Jain, Dolat Capital

The licence component is close to this number, but of course the total ARR of course could be much lower and so basically my -

Arun Jain

\$30 Mn cannot be a license number. \$30, Mn is a huge number.

Rahul Jain, Dolat Capital

Yeah. So that is where it is. That is how it is.

Arun Jain

Some confusion is there the \$30Mn is 10 year Deal or 5 year deal - the time horizon? Because that way we can announce many deals which are \$30 mn deals when we are looking at it from the duration of the time.

Rahul Jain, Dolat Capital

Yeah, yeah, my sense is this is a 5 year \$30 Mn kind of a deal. But nevertheless my question was more to understand from the perspective is that the larger size of the deal in your pipeline, are they

incrementally coming from the cloud side of the business or it still continue to be on the on Premise side? And how is your mix in your pipeline from a cloud or on premise basis?

Arun Jain

We set up 6 platforms, which I mentioned to you earlier. We have GeM as a platform, which we will be extending it from out of GeM and moving it to the other governments, International government and for corporate. So we are now able to make more profitable ventures out of the GEM platform we had. So our teams are working to make it buy -corp out of this particular product. Second platform is a lending platform. 3rd Platform is IDC. This platform means they are on cloud - IDC platform. Then there's a platform of magic submissions which we call Magic platform. And then we have 2 more platforms which were there in the afternoon board presentation. There are 6 platforms. Each platform is growing consistently. The big deals are now coming to our magic platform - AI platform which Banesh was referring to, those and IDC platform. Both the platforms are getting into the deal size of \$20 Mn over the 5 years or \$10 Mn deal over the 5 years or 10 years so they range from 5 to 10 year range deals which can range between \$10, Mn to \$30 Mn range. So those are the deals which are there is number which is announced by a lot

of companies with 30

Mn/40Mn cloud revenue. Sometimes they are extending to 7 years or extending to 10 years, so at that point you need to ask them and let us know.

Rahul Jain, Dolat Capital

Understood. That's it from my side. Thank you.

Arun Jain

Thank you, Rahul.

Praveen Malik

Thank you, Rahul. Next we have Mr Ravi Mehta from Deep Financial. Ravi please unmute yourself and ask the question.

Ravi Mehta, Deep Financial

Yeah hi, Thanks for the opportunity. Most of the questions got answered. Just one question was the INR 30 Crs deals that got deferred. These were more licence based or subscription based or any colour on those deals?

Arun Jain

Let it remain as it is. These are 30 Crs deals which have got postponed. We don't want to specifically mention, but they mainly could have come to the margin.

Ravi Mehta, Deep Financial

And probably I missed the opening comment in that there were some. INR 12 Crs of Expenses that were booked in Q2 related to some, I think I could not gather.

Arun Jain

ESOP basically the Over the last, the intangible - Vasudha can explain.

Vasudha

Its Stock options.

Ravi Mehta, Deep Financial

Ok. Is INR12 Crs ESOP Cost booked in Q2 or H1?

Arun Jain

Hey, every year, every quarter we book around.

Vasudha

So quarter and quarter, it is more than INR10,Crs, so that's a regular cost that we have because we have given RSUs or a larger population in the company, and so as per the Indian accounting standards and as per the IFRS, we are supposed to book the ESOP cost in the P&L, so.

Ravi Mehta, Deep Financial

Sure, sure. So what was it for Q2? If you can just tell.

Vasudha

INR 12,Cr is the number for the quarter.

Ravi Mehta, Deep Financial

OK. OK. OK. And what was it like in the previous quarter similar or..?

Vasudha

It will be around the same number - 10/11/12 Crs. We are on the same. Depending upon when the options are getting vested.

Ravi Mehta, Deep Financial

Sure. And just one non bookkeeping question. Global DSO based have gone up and India based have come down. It's the other way around. So is this a temporary thing or?

Vasudha

It is a one off thing I would say for this quarter because we received more collections from the India based customers this time. So that is where you can see some dip in the India pears.

Ravi Mehta, Deep Financial

OK, OK.

Yeah. Thank you and wish you good luck.

Vasudha

Thank you.

Praveen Malik

Thanks Ravi. Next we have Mr Vijay Kamath. Mr Vijay Kamath. Can you ask your question please? Mr Vijay Kamath, you're there?

Arun Jain

Ok, who is next?

Praveen Malik

I think Vijay is not there. Then we have Mr Vipul Kumar Shah from Sumangal Investment. Mr Vipul Kumar Shah. Please unmute Vipul Kumar.

Vipul Kumar Shah, Sumangal Investment

Yeah. Hi. Thank you for the opportunity. So, you are talking about digital transformation. So these mainstream IT companies are also undertaking these digital transformation projects. So how you do it differently if you can briefly explain in a layman's language, it will be very helpful. You may have done it to other calls also. But I'm logging on to this call after a long time. If you can explain it, it will be really helpful for me, Sir.

Arun Jain

Yes. Most of the investment in IT business has grown in the last 4 years or post COVID is to make the enterprise digital. So digital enterprise is a very standard vocabulary which all of us use. The difference is we have a building block for making digital means we have an intellectual property of microservices through which we can compose a solution or a bank versus writing a solution to the bank. We don't do any coding, we do the wiring of the microservices to make a digital transformation which is 2 to 3 times faster and is more accurate in delivering the final transformation results to the bank, so that's what. As a product company, if you observe that

services are growing now and services companies will reduce because people want to get a ready - made solution, we are in ready -made space and the services company which is called digital, they're in custom made digital. So I think in layman language, that's what we can be looking at.

Vipul Kumar Shah, Sumangal Investment

Then for your growth you should be manpower agnostic, no?

Arun Jain

That's right. So that's why our margin, that's why the operating leverage is there.

Vipul Kumar Shah, Sumangal Investment

OK, Sir. Thank you very much. Thank you.

Praveen Malik

Thank you, Vipul Kumarji. Next, we have Mr Rajiv Venkatesh. The last question. Mr Rajiv venkatesh.

Are you there?

Rajiv Venkatesh

Yes, Sir. I am there. Are you able to hear me?

Arun Jain

Please go ahead.

Rajiv Venkatesh

Yeah. Thanks Arun. Uh, I have a couple of questions. First of all, congrats on the good set of numbers in this current environment. I want to know a couple of things. One is with the cash generation what we are doing, how much will go for R&D spend and for reinvesting for next 2 to 3 years? And what would be the new verticals of growth you're currently looking at, I understand that DIMS things are all already built in, so trying to understand where will be the next leg of growth? And the second the question would be like - a few quarters back you had informed on the core banking transformations. Are we getting any projects being moved out from Finacle or FlexQube or T24 for better product mix what we have with the better capabilities on our side? And or any POC is going on. I feel this will have a snowball effect with regard to the revenues over a period of time. So what are your thoughts on that?

Arun Jain

First of all, I think that. Cash position, whatever is there? We are fortunate enough that we don't have it significant challenges since we are growing organically, we may use the cash for getting to some countries, for inorganic customer acquisition. We are just exploring, but not a big acquisition, but acquisition to get a footprint in a country where we can use eMACH .ai to drive it, they may have old legacy platforms where we can use that money to do that. So that's the one thought process of a

growth engine. We are not going to get into new spaces. As of now, we have a sufficient number of spaces to drive. Number of products is proper; we are managing the same number from the last 4 years, so we are not increasing anything over there. So we want to run in a sustained manner and grow consistently over there. So that's it. Answer to your first question. What was the second question?

Rajiv Venkatesh

Uh, second second question is like a few quarters back, had informed on the core banking transformations. So, are we getting any?

Arun Jain

That's what Rajesh Saxena has mentioned about the deal against Thought Machine. Thought Machine is a core banking transformation, and he's saying that we are fighting the battle in Europe and other parts of the world against it. So we won 2 core banking transformation deals during the Quarter. So these deals came from the Australia region in this quarter. We announced 2 deals in the Australia region for core banking transformation and last quarter, we announced OTP Bank, which is the largest Hungarian bank for core banking transformation.

Rajesh Saxena

So Arun if I can just add. I think in the first quarter, we announced a couple of core banking deals.

Two of those deals were actually when a bank moved from Oracle to us. I think that was the specific question.

Arun Jain

Thank you.

Praveen Malik

OK.. There's no question anymore. Thank you , everybody for joining the call today. In case you have any further questions, please do write to us, that will be replied or we may have a call. Also, thank you so much. Now you can log off. Thank you. Thank you, the management team.

Call: Feb 2024

Intellect/SEC/ 2023 -24 February 02, 2024

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call held on January 25, 2024 on the unaudited financial results for the quarter ended December 31, 2023.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited

V V Naresh
Company Secretary and Compliance Officer

Encl: As above
Q3 Results FY 2023 -24

Q3 FY24 Financial Results
Investor Earnings Call Transcript

Praveen Malik:

Greetings and welcome everyone. Thank you for joining us today to discuss Intellect Design Arena Limited's financial results for the third quarter of the fiscal year 2023 -24, ending 31st December 2023. The investor presentation and press release have been sent to you and are also available on our website. Our leadership team is present on this call to discuss the results. We have with us today, Mr Arun Jain, Chairman and Managing Director, Mr Manish Maakan, CEO of iGTB, Mr Rajesh Saxena, CEO of iGCB, Mr Banesh Prabhu, CEO of IntellectAI, and Ms Vasudha Subramaniam, CFO. Besides, there are some other senior members of the Intellect management team present in the call.

Now, I will hand over to Vasudha to take you through the financials and later, Mr. Arun Jain will give you his comments on the same. This would be followed by a Q&A session where your questions would be replied to by the senior members of our management team. Once the Q&A starts, you can ask a question by clicking on raise your hand and we would unmute you so that everyone is able to listen you.

On Safe Harbour, I would like to remind you that anything we say refers to our outlook for the future is a forward-looking statement. This must be read in conjunction with the risk the company faces.

With this, I request Vasudha to give a brief.

Over to Vasudha.

Vasudha Subramaniam

Thank you, Praveen. Good evening, everyone. It's my pleasure to take you through the financial highlights for quarter three and the year ended in December 2023. When we looked

at the CAGR for three years, which indicates our predictable and sustainable growth. The key metrics like the LTM Revenue, LTM license -linked revenue, and EBITDA grew 20%. Our YoY growth in LTM Revenues is 19%, while the License Link Revenue is 23% and EBITDA is 33%. Our DSO as of quarter three is 107 days as against 108 days as of quarter three of last year. We have collected more than Rs.1760 Crs till December, and our cash position improved to Rs.712 Crs.

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On the absolute numbers, our LTM Revenues are Rs.2522 Crs, and our License -linked revenue was 55% of the LTM revenue. We have made an EBITDA of Rs.555 Crs in the last 12 months, which is 22% of the said revenue. We have achieved 48 deal wins in the last one year and have gone live in 46 digital transformation projects. Now, taking you through the YTD numbers, our revenue for the nine months till December was Rs.1901 Crs, and our EBITDA stands at Rs.412 Crs. EBITDA remained at 22%, as it was for the last 12 months. Coming to Quarter three of this year, our revenue was Rs.635 Crs, and our EBITDA was Rs.132 Crs

being 21% of the Quarter three revenue. Our collections for the Quarter were Rs.591 Crs, which took our cash position to Rs.712 Crs. If you look at our LTM numbers, which we have plotted in the deck for the last 14 quarters, it clearly depicts a consistent growth journey. Both the LTM revenue as well as the LTM license linked revenue.

Finally, our currency -wise revenue mix represents 37% in USD, 14% in GBP, 11% in Euros and 26% in INR, among others. This is tabulated in the usual format. On the deal wins, winning OTP was a proud moment for us and a major milestone besides the Indian Bank and other deals in Kuwait and the Pacific region. With this, I will hand it over to Arun, who will share the business updates, including these major wins and the outlook for the future.

Thank you.

Arun Jain

Thank you, Vasudha.

Just to have a commentary which is continuing from the last quarter or last few quarters as you see, there's consistency of 20% CAGR in the last three years. So that is a very significant milestone. The way we designed the organisation, it's panning out in the same manner. It's quite a delightful experience personally to me that, not only on a one -quarter or two -quarters basis but on a three -year basis, the number is sustained, and for a product company, 20% on a sustained basis is a difficult journey normally. So I must congratulate Manish, Rajesh, and Banesh on the call. They were able to make this delivery possible.

The other point is, why this is happening 20%? Because of our own thesis, we want to run a multi -portfolio product company. Today, all the six chosen spaces in the financial space – Core banking Modernisation, Digital Transaction Banking, Lending, Wealth, Trade & Supply Chain Finance and Insurance Underwriting – have now started firing for us. We looked at it in like Intellect 2.0 we went from GTB first, then GCB and then IntellectAI. Now, this year, when we look at it, all three business units have products like Wealth, which is having good traction, and Trade & Supply Chain having good traction, which was not there. Insurance Underwriting is having good traction. And this quarter, if you look at it, it's the era of the Core Banking. I

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think we won three large deals of core banking this quarter itself. And there are multiple deals in Lending. What change we brought in February 2023 of what eMACH.ai is driving our accelerated implementation and transformation. And if you look at it from a business perspective, one driver for us is Product. The second driver is the Country in which people put a lighthouse implementation. If I look at it, country by country, Thailand as a country, the largest Thailand bank has gone live with our entire GTB suite over there. Philippines, we have a larger suite available where the largest Bank of the Philippines has gone live with the system, and the largest Singapore Bank UOB has gone live with our Trade and Supply Chain Finance Solution. Vietcom Bank in Vietnam. In UAE, we have ENBD and FAB, in Saudi Arabia we have gone live with Saudi National Bank. In Europe, we have banks like Lloyds or Barclays, the top 3 French banks, we have won the deal with all three banks. We announced two days back Credit Agricole that SocGen and BNPP are working with us. We are working with 2 largest Canadian banks, RBC and CIBC. We are working with BNY Mellon, Northern Trust, and JPMC in the US. So, chosen markets and then the OTP deal are giving us and paving the way for Eastern Europe and Bulgaria and Hungary – the two places we won that deal for Core banking as well as Lending, so they are almost equivalent to four deals packed into one for going into the Eastern European market. Otto is in Germany, which is the lighthouse site.

So why is this an important lighthouse site for the product company? The biggest challenge for us is the first reference account, and once that first reference acc

ount gets established,

then the next three accounts become much easier for us. So now, in Saudi Arabia, we have four banks out of eight banks working for us. In the Middle East, nine out of the top 10 banks are using Intellect technology. But that's what makes us excited right now because this is the time when other products are getting mature, and we have reference sites available in those accounts and country references are there. We are able to approach core banking modernisation, lending modernisation or origination modernisation or digital experience platform; you have a reference available there. So that completes our journey of 2.0, where we want to establish my product in a market, my architecture in a market and a reference site in a market.

Now, the next area which is left to be conquered is the need to get into the heavy right investment in GTM for America. The USA is a large market in which we are not fully invested right now. We invested in insurance underwriting in the US, which is doing well. But besides underwriting in the US, for GCB and GTB, our investments are more focused on Canada rather than on the US. So that will require some of the investments over there. In this period, we could close out on the GeM contract. The GeM contract ended on the 14th of December. So we have in this quarter, are not able to bill compared to last quarter - we had a shortfall of almost 2.5 million dollars from GeM on the top line - on the revenue side. The best part is, I

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think we were able to hand it over completely and come out of this. It was not a profit making deal we somehow were able to release and hand it over successfully to TCS.

Looking at the outlook perspective, what is exciting for us, I think, is the AI business is exciting for us. The way in the AI business, we were able to build an entire document intelligent management system IDX, which is leveraged for not only creating insurance underwriting but also for credit underwriting. So, to build that product for another line of business like trade finance origination, the same thing to be used for lending origination. It's taking less than six months time and a very small amount of effort to drive new products on AI very quickly. So AI business is one of the most exciting things.

The second exciting thing is our whole microservices, and API architecture is getting significant accolades from all the analysts. So many analysts are putting our Payment System into the leadership quadrant, our Core Banking System in the leadership quadrant. So most of the places when you look at the quadrant, whether it's a Gartner or Forrester or Aite, we are getting into the top 3 players, in most of it we are the Number One player in these spaces. So that's what we are seeing as an outlook.

On company growth, I think the Q4 revenue focus would be - on how Q4 will look when GeM is out. For Q4, what is our current estimate? A similar number will be there in Q4 in spite of a drop in GeM revenue. So, our growth in the rest of the business means it is growing at a significantly faster pace to compensate for the GeM revenue. EBITDA margin will improve obviously with the exclusion of the GeM revenue. Our tax Payout Ratio is close to 26.5% at this point in time. In this, actual pay-out is less because of MAT, where actual cash flow is not there by 26% our actual cash flow is equivalent - almost close to MAT

Next year, we'll be choosing to get into the lower tax bracket of 25% tax bracket, and the Effective Tax Rate would be lower by 3%; 26% may come down to 23% for the next year. So these are the few data points which I wanted to share and then we leave it to you to ask all the questions.

Praveen Malik

Thank you, Arun. Participants, now you can ask your questions. Please click on the raise your hand so that we can unmute you, and you can ask your question so that everybody is able to hear you.

Firs

t, we have Mr. Mohit Jain from Anand Rath Securities.

Please unmute him.

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Mohit Jain

Yes, Sir, one is on GeM. So you spoke about a 2.5 million revenue shortfall in this quarter? Because we lost 15 days towards the quarter. Should we find out a normalising Q4 revenue and impact, like 2.5 is the recurring rate that we should assume and for the full three-month impact?

Arun Jain

That's a \$2.5m reduction from that perspective. So the remaining banking business and other businesses have grown to that level to compensate for making Rs.635 Crs revenue.

Mohit Jain

Rs.635 Crs for ?

Arun Jain

Total quarterly revenue is Rs.635 Crs, so 2.5 million dollars is a Rs.20 Crs shortfall in the GeM revenue.

Mohit Jain

Right. But this quarter, you will have a full three -month revenue impact, right in Q4?

Arun Jain

Q4 would have an impact. So that's right.

Mohit Jain

In 3 months, in fact, we'll recover through growth in other segments?

Arun Jain

That's right.

Mohit Jain

OK, and the second was related to the margins. Now that our margins naturally will improve, as you have mentioned in the press release earlier as well. GeM was not a highly profitable business. So does that change your outlook or guidance at the EBITDA margin level?

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Arun Jain

Sure, that will change, but it will go back to 3% more. I should come closer to 25% levels.

EBITDA margin may come up.

Mohit Jain

OK, so now we should be closer to 25%. So I was just comparing, Sir, 22 versus 25. So, at that time also, we were at 25 odd percent levels. - at the EBITDA level, so naturally, if you're talking about high growth and without GEM, should I build in 1 -2% from there, or do you think 25 is now the recurring margin of the company?

Arun Jain

Let's see. You know you want to push the agenda, but yeah, it will be 25% plus, yeah.

Mohit Jain

25% plus OK, and sir, lastly, for the full year, is there any outlook without GeM? Where are you headed because there's some momentum on the product side?

Arun Jain

What I've just mentioned - only one quarter is left if it is currently \$76 million dollar.

Mohit Jain

Sorry, what I meant to ask was, like, from a 12 -month standpoint. Like, from a growth standpoint, are you seeing some acceleration, steady state, or any outlook there?

Arun Jain

Overall is looking good, the funnel has improved now to Rs.8000 Crs is our funnel size from Rs.7500 Crs. There are more Destiny deals; 79 Destiny deals are there, which we are pursuing right now. So there's a more structured approach which is happening over here. But now, LTM revenues, we are sustained consistently - quarterly - always, ups and downs will happen.

Mohit Jain

Right. So I think LTM we can take as a trend and move forward, right?

Arun Jain

Yeah.

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Mohit Jain

Thank you for that.

Praveen Malik

Please click on 'raise your hand' in case you want to ask a question. Next, we have Mr Ravi Mehta from Deep Financials. Please unmute him. Ravi, you can unmute yourself also.

Ravi Mehta

Yeah. Thanks for this opportunity. I just wanted to understand this bit on the GeM since we had a shortfall of GeM when I see a sequential dip in the cloud revenues, it's even more. So, is there something apart from GeM that has also hit us, particularly in this quarter, and we can get back to the earlier run rates?

Arun Jain

And some platform revenue for this quarter!

Ravi Mehta

So, we were tracking Rs.140 -145 Crs kind of a run rate for at least two quarters and I believe Cloud is sticky. Now if I remove the GeM part of it, I think the number is a little lower in this quarter.

Vasudha Subramaniam

There were a couple of one -off items included in quarter two and that is where you are seeing some dip from 147 to 111, that's what you're mentioning.

Ravi Mehta

Yeah.

Vasudha Subramaniam

Beyond GeM, yeah.

Ravi Mehta

O

K, so what would those be like? Like another Rs.10 -15 Crs.

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Vasudha Subramaniam

So that is from some other customer related to SaaS and subscription. That was one time and so we included that in quarter two. Quarter three does not include any one time. So it just has GeM. So when you look at the difference from quarter two to quarter three that's where you are seeing something more beyond GeM.

Ravi Mehta

OK. Just one broader question: the kind of cloud deals that you've been clocking just wanted to get some colour that usually the understanding is as the customer keeps using more or adds more locations or branches, the revenue from the same deal will keep increasing, so? I wanted to understand and get some flavour as to whatever deals you have been clicking for the last 2 -3 years and how those can grow without you adding any more deals to them. Just those particular contracts, how can they grow in terms of revenues?

Arun Jain

Yeah, so those volumes grow in 2 -3 ways. So there is a fluctuation in the cloud also. So your first question is why there's a reduction in the cloud revenue. Volumes do change quarter on quarter. Certain policies and some business conditions are there which are linked to the transaction or the particular quarter they have more transactions on. So let's say we charge for underwriting policy - X dollars per policy. In one quarter, there could be a larger number of renewals. In the second quarter, there could be a lower number of renewals. It's not only growing larger. But looking from your perspective of asking the question between cloud revenue – the forecastability of cloud revenue is as of now, we are at the early stage of cloud revenue still, we are not that mature in cloud revenue. So we are finding suddenly ups and downs are happening in the cloud revenue. But on a long -run basis, if you're looking at a 3 -year picture, a 4 -year picture, the two models we have on cloud revenue. We have subscription -based revenue, which is a monthly subscription on the cloud which remains constant. So then that is much more predictable. The second type of revenue is transaction -based revenue, and within the transaction, there is a percentage of the policy booked, and there is a per -transaction revenue. So the three models are there on the pricing and those pricing also vary quarter on quarter.

Ravi Mehta

OK, so the monthly subscription usually is the same amount says that.

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Arun Jain

Yeah, a monthly subscription is there. That's the most stable.

Ravi Mehta

OK, OK. Currently, what numbers do we see that have more of these monthly deals, or are you already getting those transaction -led negotiations?

Arun Jain

Mainly monthly. A lot of it is monthly, but a transaction basis is also there.

Ravi Mehta

OK.

Arun Jain

There, there could be monthly plus transactions. So all possible combinations are there.

Vasudha Subramaniam

There is something on the minimum commitment that will be recurring on a monthly basis, and so beyond that, as and when the volume grows, we get that.

Ravi Mehta

Sure. And one question I had on this eMACH.ai. The repertoire of 312 microservices I can see in this presentation earlier was 280.

Arun Jain

Yeah.

Ravi Mehta

So I'm seeing that number growing. Your APIs are almost the same 1214. So wanted to understand that as you have to keep adding these microservices probably using the same APIs in eMACH.ai offerings. So maybe any targets you have like what kind of microservice you think at some point you would be ready in the market?

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Arun Jain

300 is a very large number of services, Ravi. We keep on adding some 7 -8. So whenever we are growing or maturing, like, say, if you have a lending microservice and we want to get the mortgage - it will be 2 or 3 microservices - which will add on the mortgage side. If you have wealth

as a microservice, there will be another 3 -4 that can be added. These product lines can keep on adding a few microservices. So this number of 312 is after one year. So when we looked at it last February, it was 285. This year it is 312. But API should have been more. I think there's some error in reporting over here. There could be more than 1400 or 1500 or so APIs that should have published that. And events are close to 400 now not 200 plus.

Ravi Mehta

OK.

Arun Jain

Thank you for highlighting it.

Ravi Mehta

All this is probably happening at the same R&D budgets that we've been working with and do we plan to increase that if you think to make this eMACH.ai offering more comprehensive?

As of now, whatever the annual budgets you've been highlighting is good?

Arun Jain

As of now it seems to be okay budget -wise because our codeless platform is reducing the effort for generating new products. So on one side, we are increasing the output at a lower cost because of the Turmeric, we are able to use AI, IDX we are able to use and build the new products. So that's why the incremental quantitative investment, which is there, is coming at the same cost as what we have budgeted for. But our investment in next year will be an area of market entry. So, market entry investments will be what we need to plan for in 2024 -25.

Ravi Mehta

OK. And just bookkeeping, what could be the capitalised R&D number for the quarter?

Arun Jain

Rs.35 Crs?

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Vasudha Subramaniam:

Rs.35 Crs.

Ravi Mehta

Ok. I will come back. Thank you.

Praveen Malik

Thanks, Ravi. Next, we have Mr Mukul Varma from Varma Associates. Mukul, please ask your question. Mukul, you're there?

Mukul Varma

Yeah. Good evening, Sir. Am I audible?

Praveen Malik

Yeah, Mukul. Please go on.

Mukul Varma

Congratulations on a good set of numbers. I have three questions. One is on what is the minimum amount of cash you think the company should have as of now, we have Rs.712 Crs, post which you can look at the buyback option. That is number one. Number two is on the other income of Rs.19 Crs. So, apart from the interest income, what else does that comprise? And number three is a note in our accounts that we will soon move to a new tax regime. So, will that kind of lower our taxes? That is what I wanted to know. If yes, by what percentage points thank you.

Vasudha Subramaniam

The other income comprises two to three things. One, we have this treasury income, you know, out of our fixed deposits and others. The second is from the rental income that we

have, and the third is some Ind AS entries. OK, so Ind As, in a sense, Indian Accounting Standard -related entries or the deferred interest. So these three are the major ones in other income, and we had a one-time other income on the rental part this quarter. There was some settlement that happened, and it got cleared this quarter, and that's where you see some spike in this quarter on the other end.

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Mukul Varma

Correct. So what would that amount be?

Vasudha Subramaniam

That would be about close to Rs.7 to 8 Crs.

Mukul Varma

Alright, OK.

Arun Jain:

And the second tax rate

Vasudha Subramaniam

We are moving to a new tax regime in the next financial year. So we've been having MAT unutilised credit. So, we would like to exhaust that by the end of this year, March 2024, and we will be moving to the new tax regime. Because we worked out the cost-benefit of, you know, either retaining with 35% or moving to 25, we are much more beneficial moving to the new tax regime. That is a note that you have seen there, and it's getting carried on quarter by quarter.

Mukul Varma

So kind of as of now, I see we are in a 26% net bracket of the tax. So what would that then go down to?

Vasudha Subramaniam

It will go down to 23%, so 26% across the globe, with stand-alone being 35% so when the standalone

improves to 25%, that will also come up.

Mukul Varma

Great. And are there any thoughts on the buyback after what minimum cash balance you would consider rather than giving dividends?

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Arun Jain

Yeah. And I think this is a conversation happening on the Board. So, we'll let you know when the board decides about what level of buyback and, obviously, that will be required at some point in time.

Mukul Varma

Sure, Sir. Thank you very much. Wish you all the very best.

Praveen Malik

Thank you, Mukul. Next, we have Mr Nemish Shah from Emkay Investment Managers Limited.

Nemish, please ask your question. Please unmute him.

Nemish Shah

Yeah. Am I audible?

Praveen Malik

Yeah. Please go on.

Nemish Shah

Yeah. Congratulations on a very good set of numbers. So, just firstly, one clarification on what you mentioned for the GeM contract and the revenues in Q4. So you mentioned our Q4 revenues will be similar to the Q3 number after the GeM impact. Is that understanding correct?

Arun Jain

That's right.

Nemish Shah:

OK. So then, if I have to just calculate X of GeM or revenues for us, then that implies a sequential growth of about 18 to 20%. So, is that calculation correct?

Arun Jain

Yeah. If you look at it from that perspective, definitely that number would be of that nature. So because there was a deal of what we mentioned, Rs.30 Crs last quarter is continuing for

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this quarter itself. So that will be the carry forward deal which will get a benefit for this quarter.

Nemish Shah

And, three large deals that we signed this quarter or will that revenues also start going in from Q4, or has that already started?

Arun Jain

In terms of revenue, whatever the deal we signed last quarter has already been accounted for. So some, like some lag revenue, can be further accounted for in this quarter.

Nemish Shah

OK, are we anticipating some more deals to come in?

Arun Jain

It's good enough for a license. We are saying that around the same number is a good number for all of us.

Nemish Shah

Right. And one more point was that if I have just to see our destiny deal data that you provide. So, the average deal size has been constantly going up for us. From three years back if I have to see, it was around Rs.40 odd Crs, and now it has gone up to Rs. 53 to 55 Crs. So, incrementally the deal size has been even more. So, is there anything to read into it, or is it just the natural price rise we are seeing?

Arun Jain

No, I think this is a more transformational deal. When the deal number of deals in a transformation space is there, the value of the average deal value goes up. So and because when the transformation happens. So, we are now participating with eMACH.ai in more recent transformational deals than we are participating in a smaller product deal. So, you have a very good observation, Nemish, on this average deal value. Very few investors are looking into this.

Nemish Shah

Right. OK, understood. Thank you. And all the best.

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Praveen Malik

Thank you, Nemish. We have Mr Rohit Balakrishnan from ithoughtpms. Rohit, you are there?

Rohit Balakrishnan

Yes, Sir. Am I audible?

Praveen Malik

Please, go ahead.

Rohit Balakrishnan

Good evening, everybody, and happy New Year to all of you. Sir, I have a couple of questions. So you mentioned in your opening remarks that the journey towards Intellect 2.0 is over now with the traction you've been getting. So, you just probably share what kind of improvement in your strike rate of winning deals has happened in those geographies where you mentioned Europe and Eastern Europe or the Middle East? And if you can, also talk about our investments in the US and the Americas in general, Canada and with iGTB and iGCB. Next, maybe eight to 10 quarters, how do you see that kind of the benefit of Intellect 2.0, the fruition of that in terms of yo

ur strike rate improving and also your investments in the US and

Canada? How do you see that improving? I remember in the last probably five to six quarters back you talked about us getting to that 100 million quarterly run rate. We are still a bit away from that, so if you can, just maybe round it up and give us a view on that.

Arun Jain

So Rohit, maybe Manish, if you can bring it out, that's what is the win rate, what is the impact happening in various countries since, as of now, Manish and Rajesh both are in Canada today.

So, Manish, we just want to take this question on Rohit.

Manish Maakan

Sure, Arun. No, definitely the win rate is improving significantly. I think there are three things which I want to call out. I think Nemish said in the previous one. Because of our technology, eMACH.ai's recognition of it, the brand value consistently is going up. In each of these markets, if you see, we have six to 10 banks in each region. In some markets, we have eight out of the top 10 banks. So that brand recognition is growing. We have all known that as you move towards the leadership journey, everyone else wants to join that journey, and with stronger brand recognition, this is growing. Both Rajesh and I are sitting in Canada right now, and we were in the US before. There a lot is happening here where we need to add to the

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distribution to get to be able to get the coverage. Hopefully, we can share a lot more over there in the coming quarters. Market movements are happening. A vacuum is created with some players having financial challenges and troubles and having legacy technology. So this is where with the technology investments we have done, we are looking forward to expanding on the distribution and replacing some of these players by working with a number of SI Partners. Both Rajesh and I have this whole week are having multiple discussions with four to five large system integrators, and some of them actually have also started tweeting on LinkedIn if you would see there or how they're excited by us coming into this market. So, I would say we are seeing good tailwinds. We need to capitalise on it by expanding distribution; the product maturity and strength are already recognised. In North America, already six of the top 10 banks work with Intellect and we should share something more soon.

Rohit Balakrishnan

Sure. So, that journey towards 100 million, what do you sort of see on a quarterly basis? How far do you think you guys are away from that? We have been talking about it for a while.

Manish Maakan

There are two things in your question. First of all, offsetting the GeM, which was a significant revenue, we are already saying that in quarter four, you will be able to offset and make it neutral. So that demonstrates the growth. I think the second thing Arun said consistently for the last 14 quarters, and the track record also shows we are continuing to say that we will design the business to grow around 20%. And we would want the financial profit to be between 25 to 30%. So take that as a guidance. We have to rebuild a vacuum created by the account. We are sad to lose it, but from a financial perspective, you have seen already from a profitability perspective, it will improve the profitability.

Rohit Balakrishnan

Thank you very much, and all the very best.

Praveen Malik

Thank you, Rohit. Mr Mukul Varma once again wants to ask a question. Mukul, be brief. There are other people also. Please unmute Mukul.

Mukul Varma

Yes. Hello, Sir. I just wanted to know that I had looked at deals above Rs.50 Crs on the Destiny deal front. We have won all five deals that were put up, and Rs.30 to 50 Crs. also, we have lost one or two but on the lower deals, we have a loss ratio higher. So is it that on the higher Q3 Results FY 2023 -24

deal fronts, we have less competition, and we are getting more traction there, and on the lower deals, there is

price competition, and that's why we are losing? How should I focus?

Arun Jain

Good observation. I think our focus is there on Destiny deals. So, Rajesh and Manish, we all focus on those bigger deals, and we should do good learning from this data. Those mid-size deals need to get that same kind of attention. So, if you have not lost too many deals in a lower quadrant but have not, push that agenda. So I think that's where there's an opportunity for us to drive. higher push-on. because sometimes deals will get closed when you sit next face to face with the customer, and that bandwidth becomes an issue to sit in front of the customer. So we are using that bandwidth for between Rs.30 to 50 Crs bracket, more than we are using in less than Rs.20 Crs bracket. We need to spend that time.

Mukul Varma

And Sir, since now, we do not have GeM with us. So, is the team handling the GeM function put to a different use? We have like done away with them and how does it? Because you opened an office in Gift City as well.

Arun Jain

That's right. So, this team is working on the same need we are experiencing in direct-to-corporate and procure-to-pay areas because corporate procurement portals are also not there. So, we have looked at the market and government procurement portal outside India, and state governments are also looking at the state portal. So those are the places where this current team is because the technical team was not that big, and the other Operations team was larger, which was outsourced anyway. So, we have let go of the team. The technical team is working on direct-to-corporate as a fourth LOB, which will take some two years to shape up in this area. The two products which are there are APX and CPX. APX is Account Payable eXchange, which is a Magic Invoice end-to-end processing. CPX is Corporate Procurement, and GPX is Government Procurement. So, these three product lines will be built up by this team right now.

Mukul Varma

Thank you, Sir. Yeah.

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Manish Maakan

Adding to what you said, Mukul called out that in the Gift City, we are opening up our AI Center, which you called out in your question. That's where the excitement is going forward. Through Gift City, we will be distributing our AI products.

Mukul Varma

Great, Sir. All the best. Thank you.

Praveen Malik

Thanks, Mukul. I request anybody who wants to ask the question to click the raise your hand button. As of now, I think Ravi wants to ask one more question. Ravi, please quickly ask.

IT Person

Ravi, you can unmute yourself and ask the question.

Arun Jain

OK, so if there's no question, I think Rajesh, if you want just to brief about the part?

Praveen Malik

We now have Mr. Chinmay Nema from Prescient Capital. Chinmay, in case you are there, please unmute yourself and ask a question.

Chinmay Nema

Hi, Sir. Good evening, and thank you for the opportunity. Could you share the total number of deals in core banking software for the nine months?

Arun Jain

Rajesh, would you like to share on core banking? Take some colour also on core banking; how is the market evolving? What is the competition involving?

Rajesh Saxena

Sure. So, I think, from a market perspective, we are seeing some traction in core banking transformation deals. We are seeing many more opportunities come up. And in the markets we operate, we see some good opportunities coming up. I think last quarter we worked on this deal for more than two years last quarter, and this is the OTP deal we announced last Q3 Results FY 2023 -24

quarter. As was mentioned earlier, right now, it's a two -country core banking lending complete digital transformation, but it has the potential of being a 12 -country rollout. So that itself is, for us, a very large deal. Let me talk briefly about competition and how we went through this process. So, it was a very rigorous process that we went through. We started w

ith a long list of about 21 vendors called for this. And from 21 vendors, they shortlisted to three. The last three vendors were Temenos, Thought Machine and Intellect. Through a very rigorous POC process, the demo process, functionality, and demo process perspective, we could cross the line against Temenos and Thought Machine. So that's something that we are seeing. We see in certain markets, mostly Temenos and Thought Machine and Intellect, in the final three. Some we win. Some of our competitors win. We also saw some very good traction in the Pacific islands. We actually, in the last nine months, have announced three large core banking deal transformations. There we have won most of these deals against Oracle Flexcube. So, very good traction. What is really happening in the market is architecture becoming a very important consideration, and the kind of work that we have done in the last six quarters, especially on eMACH.ai, where now our APIs are very fine -tuned, we have very good microservices, documentation etc. is really helping us in this process. In most of these markets, Temenos and Thought Machine are spending much more marketing dollars than we are spending, and they have a head start from a brand recognition perspective. But despite that, Intellect comes in and is able to win deals against them. I think is creditworthy. It talks about our architecture. It talks about the good investments we have made, and it also talks about well about our people. So I think all factors are coming together from a tailwind perspective, and that's why I think Arun mentioned that we are seeing good traction from a core banking transformation perspective.

Arun Jain

In nine months, we would have won seven deals in core banking, Rajesh?

Rajesh Saxena

Yeah, I don't remember, but I think it's either seven or eight deals we have won.

Chinmay Nema

Thank you, Sir, that was really helpful. If I could quickly ask one more question. I just wanted

to understand. So, from what I understand, there are two types of core banking software. One addresses larger banks which have CASA accounts, and there is other software which caters to NBFCs which do not have any retail customers and CASA accounts and any liability franchisee. So, I just want to understand that our software caters to the first category, right?

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Arun Jain

That's right. Yeah.

Chinmay Nema

Thank you so much.

Praveen Malik

Thank you, Chinmay. Next, we have Mr Rahul Jain from Dolat Capital. Rahul, please unmute yourself and ask a question.

Rahul Jain

Yeah, I hope I'm audible.

Praveen Malik

Yeah. Please go on.

Rahul Jain

Yeah, firstly, you know, just to understand what kind of fixed cost saving we would have from Q3 going into Q4 that we may not incur because of this termination of the contract and also any headcount -related saving that you just alluded to some time back.

Arun Jain

Actually, it's part of the margin improvement, so I'm not too specifically looking at the quantum of the amount. It's about overall. There will be a reduction in the total cost, which is currently Rs.503 Crs. The reduction from that cost in the Q4.

Rahul Jain

OK. Then, moving to my second question, what kind of pipeline do you see on the implementation side of the business? Because if you see it, LTM basis or license growth has been around 20%, but the implementation pace is around 6% to 7%. So, what is causing this and is that a good tailwind going into next fiscal?

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Arun Jain

That's a good sign. So we are implementing it at a lower cost to the customer. So, it is an edge where you would like to see that implementation cost decrease. So, it's a competitive edge if implementation costs are lower because it will deliver faster at a lower cost.

Rahul Jain

So are you trying to say that we don't carry any extra pipeline from the wins that we already have, and it's a normal scene of the run rate of win and implementation which is going on?

It's just that maybe the third -party component or the total value of the implementation in the deal value has reduced, which is causing this disparity between the growth of the two items.

Arun Jain

There's no disparity. I think implementation revenues are not growing at the same pace as license and AMC revenues are growing. So that's a conscious decision on looking at it on implementation revenues on my license link revenue is improving.

Rahul Jain

Got it. I think Manish wanted to add something.

Manish Maakan

Two things: one license and license -linked revenue are growing. You are transparently seeing that. Second, with the eMACH.ai technology, you are seeing our efforts to implement or reduce where we are giving the margin. We will be helping the customers execute faster, which we have also shown in the track record. I think the third equally important aspect is that you're seeing our wins quarter on quarter are increasing. That means the forward order book is there for implementation. It doesn't mean a forward order book for implementation is gone.

Rahul Jain

Yeah, I mean, that's the last line which I was actually looking for. Thank you for that.

Manish Maakan

As we sign more, more is coming through.

Rahul Jain

I mean, future, of course, yes. But also, for the recent past traction, something must be set to be executed.

Manish Maakan

We have just announced these three large deals, if you see them today, with Indian Bank, with the Bank in Kuwait and OTP Bank, they're fairly large size deals. So, there are fairly large implementations in them.

Rahul Jain

Got it. Thank you, and best of luck for the time.

Praveen Malik

Thank you, Rahul. Next, we have Mr Vivek Kumar from BestPals. Ask your question.

Vivek Kumar

Am I audible, Sir?

Praveen Malik

Yeah, Vivek. Please go on.

Vivek Kumar

Arun Ji, can you elaborate on the partnership, especially with Microsoft? Last year, we spoke about the consumerisation of corporate banking and how we will take it up. So, what is the status there or how is it shaping up?

Arun Jain

Manish?

Manish Maakan

Microsoft and Accenture - these two partnerships are going very strong. There are a number of things I shared and announced with Microsoft that are jointly investing for us to build our iGTB Co -pilot, which is the assisted AI user journey where we're working on a number of POCs. Along with Accenture, we have won a joint deal in Asia, which is going through implementation and is getting templatised along with them. Early this week, I was along with

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them, and we are putting a template out to take that forward. So, these two partnerships are showing us good positive signs and a good funnel with them right now. We are also nurturing along with a couple of other larger SIs. So the brand is getting recognised, people are actually inviting us and calling Rajesh and I are sitting in Canada where another large system integrator invited us to take certain offerings into the market. So these are positive signs. You will continue to hear about this in Calendar 24 a lot more.

Vivek Kumar

Thank you, Manish.

Praveen Malik

Any other questions? Just in case you want to ask a question?

Arun Jain

We can close the call if there's no more question, Praveen.

Praveen Malik

No more questions.

Arun Jain

So, thank you very much for attending the call.

Praveen Malik

Thank you very much for attending our call. In case anything else is there, please do write to us. If any questions are follow-up questions, we will be replying to you. Thank you for attending today's call.

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Call: May 2024

Intellect/SEC/ 2024 -25 May 16, 2024

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir /Madam ,

Sub: Regulation 30 and 46(2)(a) of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Investors' Concall

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, enclosed please find transcript of the earning call held on May 09, 2024 for the 4th quarter and financial year ended 2023-24.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited ,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q4 & FY 2023 -24
Investor Earnings Call Transcript

Praveen Malik:
Greetings and welcome everyone!

Thank you for joining us today to discuss Intellect Design Arena Limited's financial results for the fourth quarter of the fiscal year 2023 -24, ending 31st March 2024 and the full year of 2023 -24. The investor presentation and press release have been sent to you and are also available on our website. Our leadership team is present on this call to discuss the result. We have with us today Mr Arun Jain, Chairman and Managing Director, Mr. Manish Maakan, CEO of iGTB, Mr Rajesh Saxena, CEO of iGCB, Mr Banesh Prabhu, CEO of IntellectAI, and Ms. Vasudha Subramaniam, CFO. Besides, some other senior members of the Intellect Management team are present in the call.

Now, I hand it over to Vasudha to take you through the financials, and later, Mr. Arun Jain will give his comments on the same. This will be followed by a Q&A session, where the senior members of our management team will reply to your questions. Once the Q&A starts, you can ask a question by clicking on raise your hand, and we will unmute you so that everybody is able to listen to you. One safe harbour, I want to remind you that anything we say that refers to our outlook for the future is a forward -looking statement. This must be read in conjunction with the risk the company faces.

With this, I request Vasudha to give you a brief.

Over to Vasudha.

Vasudha Subramanian

Thank you, Praveen! Good evening, everyone!

It's a pleasure to be before you as we enter the 10th year of innovation, growth and resilience. Your continued support is invaluable as we navigate the dynamic landscape of the Fintech industry. Let me delve into the numbers to share our progress and financial insights.

Our Q4 revenue stood at Rs. 612 Crs., and excluding GeM, it was Rs. 603 Crs. We made an EBITDA of

Rs. 137 Crs. and Rs. 155 Crs. without GeM. Our margins for Q4 would have been higher by 18 Crs. without GeM. Our Days Sales Outstanding (DSO) were 122 for Q4, and without GeM, we are in the less than 100 -day range on the DSO. On the cash front, we collected Rs. 570 Crs. during the quarter and had a cash balance of Rs. 776 Crs. as of 31 March 24.

I would now like to take you through the full -year metrics. We recorded a revenue of Rs.2,513 Crs. for the year 2023 -24, generating an EBIT DA of 549 Crs. and a PAT of 334 Crs. This PAT is without considering the one -off exceptional item relating to MAT credit write -off of Rs. 12.5 Crs.. Cash collection during the year had crossed Rs.2,300 Crs. We won 52 deals during the year and have gone live on 54 digital transformational projects.

Let me now share our last 12 months' metrics, which give a comprehensive view of trends and

our

sustained performance over a longer period. The growth in the LTM revenue compounded annually for three years is 19%. The YoY growth in LTM revenue was 12% and excluding GeM, it remained at 14%. Similarly, the three -year CAGR for EBITDA was 15%. The YoY growth in LTM EBITDA was 22%, while it was 27%, excluding GeM. It is important to note that our YoY growth in LTM of PBT was 27%, including GeM.

Over the year, as we close Q4, our funnel size has improved from Rs7000 Crs. in Q 4FY23 to Rs 8000 Crs. in Q4, and we see consistent growth in our big -ticket deals which we call Destiny Deals. During the year, we were deeply involved in many global events in Toronto, Amsterdam, London, Paris, Dubai and Nairobi. beside others. We commence the year 2024 -25 having 300 plus global experts within Intellect coming together to converge on ideas and innovation.

As part of the eMACH.ai Summit, we had a series of structured sessions. These helped us sharpen our thinking and expand the customer canvas, country canvas, product, canvas, and distribution canvas.

With this, I'm handing over to our Chairman, who will provide a lot more insight into business performance and growth journey.

Thank you.

Arun Jain

OK, so the quarter that you are looking at is accelerated by eMACH.ai. So, we are speaking about eMACH.ai from the last four quarters. It's gaining momentum because of first principles thinking about what we have brought in as one of the most disruptive technologies in the financial space. There are still many deals, which increasing the pipeline, translating into revenue. So number wise , we were designing the business for 20% growth, we achieved 14% without GeM. So there's a shortfall from that perspective on the expectation between 20% of what we had designed, and this time it's 14%, and that's where some of the delayed deals or carry forward deals are coming into the picture. But if you look at the pattern of new deal sign -up, which is accelerating, one is on the past total number, but also 8 deals wins in North America. So this is one important point. During last year at the annual board meeting, I was discussing that we have to emphasise on North America

As such North America has started giving some results in a single quarter. Eight deal wins out of which six deal wins are in AI business is a credible performance of North America. It has both areas, so one is on the CBX deal around digital Contextual Banking experience deals and AI deals. So these are two main lines of business, which eMACH.ai's driving the growth, one is digital growth, and second is my AI growth. So, composable and contextual growth are both the places where we are finding the outcome over there.

Then there is one large deal in Europe on core banking, which is very important after OTP, the momentum of core banking is continuing in Europe. We announced OTP last quarter; this quarter, another bank - Vakif Bank was announced and then two deal wins, in the Middle East and Africa, which is around the DTB platform, which is again continuing the momentum of DTB leadership. There are three DTB deals in India now and there were one or two deals postponed for next quarter. So there are three deals. All are DTB deal wins over the last quarter ..

Then, there were two deal wins in APAC and ANZ. One deal is in Vietnam, and the second deal is in ANZ. There are two large deals which are signed up in APAC. So it's a very balanced model, and beauty of the model of expanding into so many countries is to create a basic foundation on which we can grow the business YoY. And for some of the deals which are announced this time , we have shared their asset size in the deals to indicate the size of the bank. So they are choosing the right enterprise grade software.

During the board meeting, we had a lot of presentations on Security, Risk Management, and enterprise -grade software in a new world because

se there are a lot of moving parts which are there on security, on the cloud, on open sourcing. The biggest challenge is ensuring that it's safe for the bank to run on that platform, and technology becomes a critical edge. So we are finding people running a lot of legacy systems are getting some regulatory notices because of the weakness of the basic architecture where the data leakages happens because of that structure. Today we have these deal wins based on almost 42 elements in cloud management alone. There are close to 40 + elements in security alone. So often when you ask whether fintech can compete with us or what is the role of you and fintech. I think the cost of managing a continuous open banking platform in terms of Level 1, Level 2, Level 3 Security has gone up so high the bank risks are multiplying though it's giving an easiness for operating. But managing the risk becomes substantially large and these deals, which I'm talking about - 16 deals - they have gone through the scrutiny - of almost close to 150 architects - before they have signed a deal with us. On one side we say fintech is a competition; on another side we are finding fintech is finding more difficult to win the enterprise gate deal, and they are getting pocketed into the small area for driving the business growth. Going to the next slide, this is a Gartner, DATOS, and private bankers. So I think this entire report is on composable technology. Intellect is getting a big traction with all the analysts. It is not about just the product that they're looking at. They are looking at the architectural strength of the product, the decomposition of micro services, the decomposition of APIs, and the zip-coding of API so that it can be reused. So we don't create a forest of APIs within the banking system, resulting in the Intellect pipeline going up quarter on quarter.

We started the year with Rs 7000 Crs. We are ending the year with Rs. 8200 crore.

If you look at it, the number of deals has moved from 70 Destiny deals to 84. And the details of the deals are in the next slide - deal win accounting is over here. I'm not getting into each of them. One important point is that we have three wins in that area of greater than Rs. 50 crore deals in this quarter. We lost one large deal because of the political environment between India and Canada. The rest of the deals are fine as far as the proper traction is concerned.

The company is paying **₹3.5** per share as a dividend, which is 70% - higher than last year's Rs.2.5 per share. This time, the board decided to have **₹3.5** per share.

To expand the Procurement space after GeM, we have learnt that we have to move to applying AI technologies and composable technology, Turmeric and AI. I combined them together and launched them for banking systems to large corporates and governments where there is a need for a procurement system. The major competition is Ariba, which is quite expensive for many markets. And we were able to build it in just six months.

The team was able to build up three products. They are,

- Corporate Procurement eXchange (iCPX)
- Government Procurement eXchange (iGPX)
- Accounts Payable eXchange (iAPX)

They are AI-based products and digital-based products. We have already signed 2 deals in CPX space this month and one deal in APX space. We have started evaluating two proposals in GPX space, which is Government Procurement. So the team which was released from GeM is now getting into proper profitable business; whatever the learning we got - where you have seen the numbers with GeM and without GeM, it is getting to the profitable business whenever we will be signing the deals over there. They may have an investment period of another two or three quarters, but after that, it may result in a good traction.

Another important point which I want to mention is this following picture which you are seeing - eMACH.ai Summit.

This is the power of Intellect. 300 leaders from 31 countries, 2 Boot Camps, 1 purpose it's the largest congregation. For nine days, the leadership team started beginning the year with a new agenda of eMACH.ai to become the disruptive platform for the world. Every one of the leader have gone through the two boot camps of three days each. One is on AI, the Purple Fabric, and second Boot camp is on iTurmeric.

The workshop was organized in three spaces: i) Organizing the Thinking Space, ii) Expanding the Performance Space, and iii) Impacting the Business Outcome. So, 300 people when we brought them together, we needed to come up with the common thinking space where we look at it, how do we disrupt the world. Then you expand by simplifying the process and systems, expanding the performance space by frameworks and then impacting the business outcome.

As I mentioned, the two Boot Camps and the main Summit event were held. So three days, three days, three days each.

Over here, the iTurmeric MACH composable technology boot camp was very, very interesting. So in both sessions it's a hands-on session where the ease of the platform got demonstrated by simplifying the system so much that a sales head of the UK and sales head of Australia could build up a loan repayment API and a UX screen by themselves after two days of workshop. So that was proof

that these two platforms, Purple Fabric platform and iTurmeric, can reduce the cycle time and the efforts to disrupt the market.

The eMACH.ai world is changing the paradigm from product-centric organizations' to customer-desirability products, from coding to composing and from enterprise-siloed knowledge to enterprise-connected intelligence. We are contributing in four different ways. We are participating in deals transforming the enterprise in the Core Banking, Lending, Wealth, Payment, DTB, Cards, Treasury, Trade, Supply Chain Finance, Custody, iGPX and iCPX. This could be a complete deal of transformation. We are using AI to transform bank operations. We transform experience using Relationship Manager Office, Corporate, SME, and Retail Banking eXchange, the Contextual eXchange (CBX). We can also expand the bank's capability by helping them with the One Origination platform, Customer Onboarding platform, Virtual Accounting platform, Accounts Payable platform, and Corporate Procurement platforms. So, my sales team is leveraging our systems in four different ways. We are leveraging three growth levers around Customer Canvas. Today, we have a rich set of top 50 accounts on which we have focused our attention to growing those accounts. They are the leaders in their geography. Magnificent 7, Expand 18, and Focus 36 are the three agenda points we are driving on Customer Canvas. Then, we are deepening country coverage wherever we are present. We have chosen 11 countries where we want to deepen our country coverage, while the rest of the countries we want to work through the partners, and then, to choose the right product proposition and grow across the country and customers. So this year, the focus is on clients, so go with more products. So GCB products should go to GTB clients, and vice versa, or AI should go to all the GCB and GTB products. So that's the approach for growth opportunities. These are a few glimpses of the Global eMACH.ai Summit 2024, which we had for three days.

We spent a lot of time in global events and launching eMACH.ai. You might have seen in the LinkedIn we had an event in Dubai, Paris, and London, eMACH.ai and Intellect Design Thinking Residential Programmed for Exponential Growth in India and eMACH.ai Design Thinking for Digital Enterprise in Dhaka, and we are going country by country. I'm travelling to London again next week, New York and Canada. So every week there is an agenda for launching this. There's a large traction on global events on Sibos, iGTB Oxford, Money 20/20, and GTR. So, there is

big traction in creating awareness of eMACH.ai.

Next is the Sustainability agenda. So, we are looking at Sustainability as a core value. Last year, we published the first Sustainability Report. This year, the sustainability agenda is moving to the next level. Our campus has been a zero-discharge campus for the last one year. No single waste item is going out of the campus as a waste. We recycle or reuse all our water, food, and other waste. And there are almost 15 initiatives in sustainability that are happening, from social transformation to employee sustainability awareness to employee participation. We had a Sustainability week in February, where 5000 employees formally took a Sustainability pledge, in a formal manner - So we are using the GRI and BRSR frameworks for sustainability

So there are a lot of exciting times for all of us. All three CEOs, Banesh, Manish and Rajesh, are on the call. Fortunately, Manish is now travelling to Chennai to be at the headquarters. We can now open the platform for questions and answers.

Manish

Praveen, you can open up for answers to questions.

Praveen Malik

Yes. If you want to ask a question, please click raise your hand. First, we have Mr Vivek Turaga from Bestpal.

Vivek Turaga

Hi Sir, are you able to hear me, Sir? Am I audible?

Praveen Malik

Yes. Please go ahead.

Vivek Turaga

Thanks for the opportunity. Sir, aren't you saying it's palpably exciting in your press release? So, if you can guide us about the next year's growth in terms of because during the last from the time you're listed till today, one consistently right thing is your sales guidance even though margins because of the investments or something like GeM going away or something like Ukraine war coming. So, even though margins are cloudy, you invest in eMACH.ai. Even though margins and PAT didn't go according to our trajectory sales, at least every 2-3 years, your sales guidance was perfect. So, can you guide us because you say this is Intellect 3.0 and now I'm not the one to say whether all the investments are done, but eMACH.ai and investments are primarily a large part is done. Can you throw light on whether they'll be accelerated in sales growth, which can lead to huge operating leverage, and we can see that in both PAT and margins grow in a sustainable ways? This is my first

question.

Arun Jain

Yeah. There are two kinds of growth we are measuring right now. In the AI platform, the growth of the penetration in the accounts will be significant, like six account deals within the last quarter. The translation into financial numbers will be smaller because those AI deals will use platforms. Financial numbers versus deal numbers will have a different kind of correlation. However, deepening those Destiny deals will help sustain the growth momentum. Second is what you are looking at and how you provide operating leverage. Operating leverage is happening. We see that in the last Quarter, we need to see GeM to go down the numbers. So last quarter, when we discussed the numbers, almost 70 Crs in revenue went away, which was filled by the 7% sequential growth from quarter to quarter from last quarter to this quarter. So, looking at the guidance right now, we are still navigating it. We have designed the company for 20% growth. But looking at the total IT industry going towards a slowdown from the perspective of all the country players, we are still dwelling on whether excluding GeM guidance, if I remove the GeM revenue from the \$303 million revenue around \$30 million, it's around \$273 Mn revenue - on that base number around 15% guidance could be there.

Vivek Turaga

It's for the whole year next year. Right?

Arun Jain

For the whole year. It may not be quarterly balanced across the whole year, but an entire year can be.

Vivek Turaga

And over the next 2-3 years, you are confident of 15 to 20%.

Arun Jain

The 20% is

a designed element. But it can sometimes be 25%. That's the way Ups and downs can happen. Last year, we lost three big deals that could have transformed the landscape. One is with one of the largest banks in India. They have gone for a very small company. Second is one large deal in Canada, and third is another deal in Europe. If these deals had come, we could have been a very different-looking company, and these deals are in the range of \$100 million plus. We signed one OTP for \$100 million plus, but there are two more deals, \$100 million plus, which we just lost because of political reasons where we were almost there.

Vivek Turaga

The second question is, in the last two quarters back, you said three white moments are in terms of core banking in terms of digital core banking and then BaaS in terms of GTB and AI. So you can elaborate on how these three white moments are and how confident we are about winning deals and any competition? And in core banking, where are we now and are we winning? Are we more confident of winning? So if you get these three white moments, you mentioned three quarters back, if you're in more.

Arun Jain

Yeah, all three are perfect on the dot. What kind of start can Manish make, then?

Manish Maakan

I got them all of that. You would have seen all three we form the moat after doing OTP. VakifBank was another big European transformation. In AI, Arun already talked of the six deals, and we have two deals on BaaS, one in the US and one in Australia. So, expanding out multiple of these sub-accounting platforms, all three patterns have happened.

Arun Jain

Rajesh, do you want to cover?

Rajesh Saxena

Yeah. Specifically, let me talk about core banking. From a core banking perspective, the last year was very good. We closed many deals. We closed over eight core banking transformation deals in the previous year. And as I look at the pipeline, it continues to be very good. It's a deep pipeline. We are in multiple stages, and what we are also seeing from a core banking perspective, we talked about this as eMACH.ai. We are now getting called by large tier-one players, regional players, etc, which is also putting pressure on us from a pre-sales perspective. But we see that graduation is how we get into more significant destiny deals. In the core banking field, if you study right now, there are many opportunities, and we are well poised to take advantage of them.

Vivek Turaga

You just mentioned that you lost a 100 Mn\$ deal with a bank in India. So, what is the reason? Is it just because of competition, or are you seeing any trend that you want to highlight?

Arun Jain

In India, it was less than \$100 million. It was a \$50 million size of the bank because of low cost and low pricing by the competition. Very low pricing.

Vivek Turaga

Overall, we are confident of 20% over the three years, given that most investments have been made in products and platforms. Can I take it?

Arun Jain

Yeah, but more investment will be required in AI right now. We are finding significant traction in the Purple Fabric I'm mentioning with the generative AI. We built Purple Fabric, the platform where we bring five different knowledge banks, knowledge vaults, or knowledge repositories to create a connected intelligence enterprise level. We are talking to all the big five consulting firms to look at how to deliver expert agents and co-pilots on top of AI. We may require another investment, like last 2 year, which was from Rs.140 Crs. From Rs. 120.Crs.. So, our investment bucket is \$20 million. The investments may vary from Rs.160 Crs. to Rs.165 Crs. for the coming year. For that, it's not a significant investment. From that perspective, it's just a 20 Crs., Rs.25 Crs. more investment. Other products are ready to go to market. So, operating leverage can start this year.

Vivek Turaga

Sorry, Arun Ji. I'm pressing all this because now that you have

started investing in distribution and partnering with many system integrators, I was expecting to be more confident in our goal. So that is why I was just pressing on this.

Arun Jain

We all love it. But let's wait.

Manish Maakan

We will take the system integrator route to start kicking in. We have had a few wins this year, and they need to feel confident once we deliver it. In a 12 to 18 -month period, the indirect distribution will suddenly start adding significantly over there. That's the right journey we have begun.

Arun Jain

I'm meeting the CEOs of all the SIs. So now they're coming to us, which was the reverse way. So that wheel has rotated. How it will translate into numbers? Since this investor conference is not a business plan conference, we are cautious about it.

Vivek Turaga

Thank you, Arun Ji. Thank you very much.

Arun Jain

Who's next?

Nachu Nagappan

Let's ask Rahul Jain the question, please. Can you unmute Rahul Jain, please? Rahul, you can ask that question.

Rahul Jain

Hi Sir. Can you hear me?

Praveen Malik

Yes, Rahul, we can hear you.

Rahul Jain

Yes. So, one clarification to start with. When we said 15% guidance, is that what I heard? Is it on the adjusted basis for our revenue or GeM this year? Or is this on the reported basis we expect to deliver for fiscal 25?

Arun Jain

Adjusted basis, I mentioned clearly 273 Mn.

Rahul Jain

Can you hear me?

Nachu Nagappan

Yes, it's better now.

Rahul Jain

Do you want me to repeat the question?

Arun Jain

I mentioned the answer is that it's on an -adjusted basis.

Rahul Jain

Yeah. Sorry, I could not hear. Secondly, in this quarter, when we see the suggested work that you have shared, the kinds of implied in the 9 Crs revenue that would have come from them in this

quarter also, and there is a 27 Crs like -for-like cost. How should my computation shape up if it is right? Or will this line now, give or take, a minimal number going forward? This 27 Crs worth of cost can be repurposed in the subsequent quarter. How, when, how and when are we going to take the benefit out of this ?

Arun Jain

This Rs.9 Crs. of GEM additional revenue was a backlog of some CR s booked in the last quarter. So, whatever we completed until December, those billings happened during Q4. So that's the only backlog, nothing future -related.

Rahul Jain

And this 27 Crs cost that we are saying can the same cost be repurposed for other projects, or how long do we expect it to take?

Arun Jain

Yeah. This 27 Crs cost, which has been iGPX and iCPX, what we are launching, is directed towards that, and they have a good plan to look at it in the next two quarters to start generating revenue over there.

Rahul Jain

OK. Right. And just one last bit on the GeM: We will view the market you highlighted about the macro thing. But so far, we have observed that the pain in this software industry is not as huge as in the services business . Is there some kind of adoption curve that is now taking shape, supporting the momentum and ensuring growth continues for this fiscal year and beyond? Or is it too early to conclude that th ought?

Arun Jain

This growth is coming from the pipeline, the funnel through which we have the 80 plus Destiny deals. So that's the reason for the growth numbers more than any market scenario; this is a more grounded basis.

Rahul Jain

So, basically, you ar e attributing this to strong execution, which we are able to continue. We should be able to deliver this.

Arun Jain

Sure.

Rahul Jain

OK, great, Sir. Thank you so much. That's it from my side.

Arun Jain

Thank you.

Praveen Malik

Thank you, Rahul. Next, we h ave Mohit Jain. Mohit, please ask the question.

Mohit Jain

Yeah, Sir. Congratulations. This is a reasonable quarter. So, I first saw you have announced eight deals in the US, but eMACH.ai had its first win there. So, what are your plans for the US? Then, I have

e

two follow -ups on Gem

Arun Jain

So, Banesh, would you like to answer about the six deals you won, the traction in the US on them, and your AI space in the US?

Mohit Jain

Also, can you talk about whether core banking is going there or if there are some other products you will offer beyond insurance?

Arun Jain

Yeah, sure. We will come to that. Let's hear about AI, and then we hear that our CBX product in Canada and the US is the second product line here. I'll ask Rajesh or Manish to discuss the Canad ian market, where we are getting momentum in North America.

Banesh Prabhu

Yeah, so just to update you, Mohit, I think the fact that intellect AI very early had adopted an AI -first approach to our businesses on the insurance side is now building a good pipe line; I think we've done six deals, we've got an excellent pipeline to complete over there, and we have quite a few contracts out there, it does take time to close some of these contracts. But we are well in progress with quite a few deals as we speak. Cl early, you know, I don't need to, sort of everybody is aware of the activity taking place in the AI Space, and I think some of what we've done as investments over the last few years on AI is actually resulted in a very good platform that Arun has already t alked about which is giving us the connected intelligence from an enterprise perspective which is quite unique and I think a lot of the product focus now would be to start leveraging those capabilities for our clients in across the Intellect businesses in you know, both GTB and in the GCB business lines. So a pretty good

pipeline for the insurance businesses is coming, you know, coming over the next few quarters. Similarly, we have closed out some good wealth deals, but, they under contracting, and they are quite significant, so hopefully we'll get traction on that too. Again, we bring a lot of, you know, AI capabilities for wealth advisers in the market so I think we expect that to also do well in the next few quarters here.

Mohit Jain

Okay, so this was through a partner, the eMACH.ai? Or was it through our own sales team?

Banesh Prabhu

We have our own team, at least for insurance, but we have a very strong relationship with both the large cloud providers in the US.

Mohit Jain

Great. The second was related to GeM now we have given EX GeM numbers for the first time so the recurring margin is whatever you have shown in Q4 now that is the new normal for intellect? Or should we take it at 25, 26% is what you're looking at?

Arun Jain

You are calculating very quickly EX GeM number but I think 23/24% because some investment will be required so around 24% numbers we are looking around.

Mohit Jain

Around 24?

Arun Jain

Yeah.

Mohit Jain

Okay and Sir your tax rate now that we have this exceptional item and I assume you have moved to the new regime so now should we assume 25% as the standard tax rate going forward?

Arun Jain

Yeah

Vasudha Subramaniam

The ETR across the globe will be 23%, for India it's 25% so we'll optimize it to 23% at a consolidated level.

Mohit Jain

Right. And last ma'am, last on receivable days you have also given DSO now that's the new DSO number for Intellect or should we read going forward because I'm assuming from 1Q numbers will be EX GeM only?

Arun Jain

Yeah, so whatever the old pending is there in GeM, we will be reporting separately because there is a pending money sitting there. If you are looking at non -GeM business receivable will be less than 100.

Mohit Jain

89/90 I think you have reported.

Arun Jain

Yeah, 90 days, which is there.

Vasudha Subramaniam

You can take it as less than 100 days.

Arun Jain

Less than 100 days, definitely less than 100 days.

Mohit Jain
At the consolidated level?

Arun Jain

At the consolidated level.

Vasudha Subramaniam

Correct.

Arun Jain

But GeM, we w

ill keep it separate. We will park it separately to collect the money, which is taking its own time in the Government of India to collect.

Mohit Jain

So there is also DSO; I think this should get over in six months or something like that right

Arun Jain

If the Government pays on time and it's over in six months, logically, it should be over in six months. But you need to keep your fingers crossed.

Mohit Jain

Got it. Thank you Sir, all the best for 25.

Arun Jain

Yeah, thank you.

Praveen Malik

Thank you, Mohit Jain. Please I request everybody, in case you want to ask a question, please click 'raise your hand' please click raise your hand. As of now doesn't seem to be anybody. Any further question?

Arun Jain

That's a very good ne ws, I think we communicated well on the some more yeah four questions are there, yes please 3 more questions are there.

Praveen Malik

Next, we have Mr. Nemish Shah. Nemish, please ask your question.

Nemish Shah

Hi this is Nemish Shah from Emkay Inve stment Managers again I had one clarification with respect to GeM so if I just compare the Q3 numbers that we are provided with GeM and without GeM and compare the Q4 numbers, in Q3, we had a cost base of around 67 Crs. in GeM which has come down to about 27 Crs. in Q4 so just wanted to understand were we able to that redeploy cost of about Rs.40 Crs. So what is this 40 Crs. differential with respect to GeM if you can clarify?

Vasudha Subrahmaniam

In Q3, we also had GeM in the sense the GeM got ended only by mid of December so until such time

we had GeM cost we had third party cost related to GeM and all so in Q4 we conservatively made some provisions for some of the cost. It's not a provision against the doubtful debts but for some of the liquidated damages we made some provisions. So as it is in Q3 we had GeM at least till the end of December and that is the reason for difference.

Manish Maakan

He is asking how we redeployed 40 Crs.

Vasudha Subrahmaniam

That's what in GPX

Arun Jain

GPX

Nemish Shah

Okay so that was largely third -party outsourcing cost or that.

Vasudha Subrahmaniam

We had third -party sourcing, yes.

Nemish Shah

And these 27 Crs. —is there any third -party cost related to that or is that largely on our books?

Vasudha Subrahmaniam

27 Crs did not include any third party. It included some of the employee cost, so we retained them for redeployment so that cost is being included. and secondly we made some provisions on some liquidated damages, and because of which is what are, the ETR for the quarter is also little high because that's been disallowed for the purpose of income tax and we also had some Capex related cost on account of GeM so all these three constituted this Rs.27 Crs, there was no third party cost involved in this.

Nemish Shah

Okay, I got it. So, going forward, will not the entire Rs.27 Crs. continue, or will it be lower than that?

Vasudha Subrahmaniam

Yeah, it will be lower. We may make some investments, but they will not be the entire amount.

Nemish Shah

Got it. That's it from my side, thank you.

Praveen Malik

Thank you, Nemish. Next, we have Mr. Umang Shah from Banyan Tree Advisors
Umang, Please ask your question.

Umang Shah

Hi sir, am I audible?

Praveen Malik

Yeah, please go ahead.

Umang Shah

Sir, are we seeing any lower competitive intensity from Temenos, considering they have some issues that they need to look at on the AR side?

Rajesh Saxena

So, actually it's a very interesting and difficult question to answer but when we look at it from a market perspective, we are seeing Temenos still very much in the fray, so we have not seen that as if the intensity has got lost - this is from the ground market feedback.

Umang Shah

Right, sir. That's useful. Sir, in terms of T

hought Machine, I wanted to understand that Arun Sir made some comments about how new -age Fintechs don't have the kind of security features that we do. Would you include Thought Machine in that, or would you say that at least, on the security front, all three firms are on the same level?

Arun Jain

Rajesh, you want to answer.

Rajesh Saxena

Yeah, please go ahead. I can add Arun.

Mr. Arun Jain

Thought Machine, as a framework so basically Thought Machine provides a framework to the bank, not a full core banking product as such so their strategy is slightly different from Temenos and Intellect. Our strategy is to provide a full, complete domain -focused product, whereas on Thought Machine, a lot of things have to be worked out by the Implementation Partners. Hence, Implementation Partners make a lot of money on Thought Machine. Once they have to build the solution then they provide the partners, provide the security framework and other things on top of it. So, on the box on the cloud -ready product to be used, I think we have invested the money into that; in Thought Machine's case it's a customer who invests that money into them.

Umang Shah

Right Sir.

Rajesh Saxena

I was saying that I am going to echo the same point saying that Thought Machine is giving us a simple framework, and the framework either the Bank, IT team, or SI has to build on that framework, so if you really compare between Thought Machine and Intellect, we come not only with the underlying eMACH.ai architecture but we build, we bring the deep domain, the banking domain and that's what set us very unique from Thought Machine.

Umang Shah

Very useful, Sir, thank you so much.

Praveen Malik

Thanks Umang. Next we have Mr. Mukul Verma from Verma Associates. Mukul, you there, Mukul are you there? Mukul left, actually.

Okay, Next, we have Nitin Sharma. Oh Mr mukul Varma is there

Mukul Varma

Am I audible?

Praveen Malik

Okay, please go ahead.

Mukul Varma

Good evening, Sir. I just wanted to check on the buyback front last time. When I read this question, you said that you are in discussions at the board level. Can we look at something on that front in the coming year? By this year's end, you will have in excess of 1000 Crs. cash on this.

Arun Jain

Once we are crossing 1000 Crs. then definitely we can look at it. We should be, as you are guessing the right number.

Mukul Varma

Another thing with the RBI getting very harsh on Kotak Bank, PayTm and other Banking Institutions for want of Technology spend because of their business going up and the technology is not commensurate with the software they use, so how do you look at it? How does that kind of generate more business for us, or is it some they will have to go back to their existing vendor to set this right I heard the con-call of Kotak bank where they said they are already investing 1700 Crs. in Technology and they are going to invest much more to get things on track to start online onboarding through their 811 and credit card, so does it help you.

Arun Jain

I appreciate you are reading the right news from the system and, if you heard in the beginning, I mentioned some leakages in the old systems. Hence, it's like an old building legacy application is like old Bombay buildings or old Delhi buildings where leakages happen from somewhere. Now, to fix those leakages, either you refresh, or you fix them by the quick and dirty fix tools. Logically, these two incidents happened in India; there are more incidents that are bound to happen in US and Europe. Then only I will think the people will pay attention to the legacy migration, accelerate the legacy migration... still people are not fully believing it into what the new security standards of the world are and it will take another... I would say another 12 to 18 months to understand

that legacy

core and legacy lending platforms are fundamentally built on the technology by hollowing the code, by doing patchworks. It's not going to solve the problem; you need to go to the first principle thinking of understanding what customer events are, what services bank is providing them, and what APIs do they need. Today, they are getting into very, very quick and dirty fixes. Indian banks are still saying that the cost of technology, the RFP, still they are not understanding the difference between what enterprise grade software means for banking. So, we're facing those troubles to communicate the story of what enterprise grade solutions mean to the banks and why banks require enterprise-grade software of that nature with almost so many grades and, so much investment are required. Very few..., we are investing close to a thousand people in R&D each year. A thousand people in R&D, I am mentioning to some US person, is at \$100K per R&D cost, it's a \$200 Million per year cost compared to any other vendor in America or Europe. Which company can,

that's a huge number for us to invest into making the enterprise grade software. But people are still on the sidelines not in the Centre of the stage, to make an impact, but it will come somewhere, sometime.

Mukul Varma

Got it Sir. Thank you, Thank you. All the best.

Praveen Malik

Thank you, Mukul. In case you want to ask a question, please click to raise your hand. We have Mr Nitin Sharma from MC Pro Research. Nitin, you are there? Please ask a question, Nitin. Mr Nitin Sharma? It looks like he's not there and is not able to unmute. Mr Nitin Sharma, please ask a question.

Nitin Sharma

Hello, yeah, thank you. So, on your three new platforms, the APX, GPX, and CPX, you mentioned that discussions are ongoing. Help us understand whether these discussions focus only on the overseas market or the domestic market.

Mr Arun Jain

Just repeat the question.

Praveen Malik

Nitin, be a little louder.

Nitin Sharma

Yes, so are the discussions that you have mentioned focused only on the overseas market or also on the domestic market?

Mr Arun Jain

Yeah, they are starting from the Indian market and then going to the overseas market. GPX is focused on the overseas market as well and some of the Indian states are also looking for procurement solutions so that's marketed on. So now there is a central Government portal, and there is a momentum of state Government also wanting a government procurement portal, but this time, we'll not be getting into the investment mode, we'll be selling the license. So we will be getting the money upfront from the government rather than using the partnership-sharing model with the government. In corporate procurement portal we are finding a large space of procurement in India as well as in Asia Pacific and Middle East before we jump into Europe and America. It's the same strategy that we do for any other products. First, we used in India go to Asia nearby countries and then go to Europe and America. It's a 3-year journey when we move in this direction.

Nitin Sharma

Understood, Thank you.

Praveen Malik

Ok Nitin?

Nitin Sharma

Yeah.

Praveen Malik

Thanks, Nitin, I think Vivek wants to ask some questions once again.

Arun Jain

Okay!

Praveen Malik

Vivek, unmute yourself.

Vivek

Arun Ji, am I audible?

Arun Jain

Yeah.

Vivek

Just you mentioned to the previous participant that clients are going for a band -aid solution. So if you can give qualitative, I am not asking about the growth rate and all but qualitative commentary on competitive intensity across the market and which products you think you people are ready to invest. You are more positive to drive growth over the next two -three years, because during the last con-call you mentioned the same thing that in India people

are not really going for enterprise grade solutions. So if you can give us where you think our products will find acceptance and where the growth will come from and qualitative commentary with regards to how qualitative competitions shaping up across our products, across our products in the sense of at least whatever you want to mention? Thanks.

Arun Jain

I think Europe is definitely a market which is very sensitive to architecture change, So when they are going through it, Rajesh mentioned an OTP deal; it took us 18 months 21 sessions of various architectural sessions before they selected us over Thought Machine. That rigor of selection, wherever they have a rigor of selection, we are getting selected. Whenever the rigour is based only on RFP based or rigor based on the pricing based, our referencability become weak from that perspective. Our win ratio in those areas and it's there in Europe, it's there in Canada, it's there in some portion of US, not all the US banks, but I would classify the US into two categories. One is architecturally focused, and the second is band -aid focused banks. You can see them differently, and there where they are looking architecture, they are looking AI, they are more exploratory, they can be looking at understanding the technology first, I would not say exploratory they are. Understanding the technology better, they invest in their strong architecture teams, and they select the solution. So there are the virtual account systems in the US... one of the largest banks in US, and one of the top 20 banks in the US, they selected entire embedded finance platform from us, they took us almost again 24 months to evaluate. So these are the long -cycle deals. Now we will have our fourth...this is our third of fourth deal in the US in embedded finance. And once we have three, four ..once we cross a hump of five deals in the US in embedded finance, then the acceleration will happen.

Vivek

So BaaS, who can see as our competitors? In BaaS...because you said that.

Manish Maakan

They are primarily local vendors over there who are single mono liners. We could advantage, we right now are able to establish is it's a part of a full corporate treasury enterprise platform, they could start with a point solution on just managing virtual accounts on how to manage the payables or receivables better... but a full treasury needs a deposit product, a liquidity product, a receivable product... so the architecture validation through some of these are happening and once you break through and win with these through architecture, really then the competition eliminates. Because it's all legacy in the US like all of us know.

Vivek

So you over next few years you see this band-aid things, people having some, people realising that they have to invest in enterprise and anything that you think will force them.

Manish Maakan

I think there are two patterns I am looking forward to. One is a positive pattern that some of the banks are making those investments and will generate confidence in the rest of the market like we have seen. The second is the numbers of accidents are happening. Some times that accident accelerates the wave much faster. At that time are you ready or not ready, you have proven live sites, I think that makes a difference...so that we are following that journey right now.

Vivek

Thanks very much for the answer, Sir.

Praveen Malik

Thanks, Vivek. Arun, we have one last question from Mr Rohith Balakrishnan from ithought pms. Rohith, please quickly ask your question.

Rohith Balakrishnan

Hello Sir, am I audible?

Manish Maakan

Yeah

Rohith Balakrishnan

Good evening Sir . So Just my question is on platform revenues of this quarter were around 56 Crs.s, So first is this includes the 9 Crs. of GeM or is excluding that?

Vasudha Subrahmaniam

It includes.

Rohith Balakrishnan

Ok

ay. So if I were to exclude that so, we are around 45 Crs. around that 46, 47 Crs. of Revenue. How do you see this revenue shaping up. So over the next let say 8, 10 quarters. I mean just your colour would be very useful given we are seeing good traction in eMACH.ai but at the same time, in the past you said that you will do what your customer wants. So, just your comments on this, how do you see the platform revenue sort of coming in and just connected to this as a result then, the margins as well because those are expected to be higher margins.

Arun Jain

Yeah, I think we can have more predictability three years from now, not quarterly, so your question is right in three years' time. This business has to be a 50 to 75 -million -dollar business in platform revenue and should be there comfortably. So we are targeting 100 million, but 50 to 75 million dollars should be the platform revenue in 3 years' time. So, that's a better way to look at the platform revenue right now.

Rohith Balakrishnan

Sure, that was the only question; thank you.

Praveen Malik

Thank you, Rohith, and thank you, everybody, for joining the call today. If you have any further questions, please do write to us. Thank you. Now, you can log off. Thank you.

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Call: Aug 2024

Intellect/SEC/2024 -25 August 02, 2024

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited,

1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call
held on July 26, 2024 on the unaudited financial results for the quarter ended June 30, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record.

Yours truly,

for Intellect Design Arena Limited

V V Naresh

Company Secretary and Compliance Officer

Encl: As above

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In t ellect'sQ1FY25FinancialR esults

In v es t orE arningsCallT r anscrip t

Pr a v eenMalik:

Greetingsandwelcomeeveryone!

ThankyouforjoiningustodaytodiscussIntellectDesignArenaLimited'sfinancialresultsforthefirstquarterofthefiscalyear2024-25endi
ng30thJune2024.Theinvestorpresentationandpressreleasehavebeensenttoyouandareavailableonourwebsite.Ourleadershipte
amispresentonthiscalltodiscusstheresults.Wehaveitwithustoday,

MrArunJain,ChairmanandManagingDirector

MrManishMakan,CEOofIGTB

MrRajeshSaxena,CEOofGCB

MrBaneshPrabhu,CEOofIntellectAI

Ms.VasudhaSubramaniam,CFO

Someotherseniormember softheintellectmanagementteamwerealsopresentonthecall.

NowIhandovertoVasudhatotakeyouthroughthefinancialsandlaterMrArunJainwillgivehiscommentsonthesame.Thiswillbefollowe
dbyaQ&Asession.Yourquestionswillberepliedtobytheseniormember sofourmanagementteam.OncetheQ&Astarts,youcanaska
questionbyclickingonraisehandandwewillunmuteyousothateveryonecanlistentoyou.

Onesafeharbour ,Iwouldliketoremindyouthatanythingwesay,whichreferstoouroutlookforthefutureisafoward-lookingstatement.T
hismustbereadinconjunctionwiththerisksthecompanyfaces.

Withthis,IrequestVasudhatogiveherabriefing.

OvertoyouVasudha.

V asudhaSubr amaniam:

Thankyou,Praveen.Goodeveningeveryone.I'mhappytoreviewthefinancialhighligh tsofQ12025withyou.Ourtotalrevenueforthequ
arterwasRs.605Crswithlicencerevenue recordedatRs.125CrSandAMCatRs.121CrS.We hadagrossmarginof57%.OurEBITDAwa
sRs.121CrSat20%ofourrevenue.PATwasRs.74.CrsandPBTwasRs.98CrS.

Duringthequarter,wehavecollectedRs.556CrSandourcashpositionattheendofJuneendedatRs.813CrS.Andduringthequarter,weh
adwon11dealsandhavegoneliveon12digitaltransformationprojects.OurDSOasof30thJuneis126daysandexcludingGeM,itisactua
lly101

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days. Moving onto the LTM metric on a comparative basis, our total revenue for the last 12 months was Rs. 2318 Crs with license revenue at Rs. 458 Crs and AMC at Rs. 463 Crs. Our EBITDA crossed Rs. 500 Crs which is 22% of revenue, our collections during the period crossed Rs. 2300 Crs and our PBT for the period was Rs. 418 Crs. So during this period, we had won 52 deals and we had gone live on 56 digital transformation projects.

Arun Jain:

Mentioned that we have excluded Gem from this.

Vasudha Subramaniam:

Yes. So when I say on a comparable basis we have excluded GEM in this. Now talking about the composition of the currencies and the revenue, USD is at 37% followed by INR which is represented at 26%, CAD-8%, GBP is 14%, Euro 6% and others constitute 9%.

Now to give more colour about the new Deal Wins for the quarter, we had 3 new deal wins in North America, one with Vancity, Canada's largest Community Credit Union. These two are with an insurance company and the third is again with a wholesale insurance brokerage company. So we will hear more about it from the CEOs. There were three new deal wins in India and Bangladesh, one with an Indian public sector insurance company. Second is the major one, which is a leading financial institution and a global investment management firm that jointly created a strategic alliance for wealth and the third is the Stock Exchange in Bangladesh. In ANZ we had a couple of new deals and in the Middle East in Jordan, we had one deal. Talking about the accolades, we were ranked number one by IBIS in retail core banking, transaction banking and retail lending.

This is again another accolade and the analysts have reviewed us—Datascout and Celent and others. Talking about the pipeline, we have crossed Rs. 8500 Crs during the quarter, which is in fact more than 100 million for the quarter, I would say. And we have on the destiny deals we have about 86 destiny deals with an average size of about Rs. 52 Crs and the destiny deals are increasing from 73 in Q1 to 84 last quarter to 86 in this quarter. Out of the 86 new deals, 23 deals have a value of more than Rs. 50 Crs, 28 are in the range of Rs. 30 to Rs. 50 Crs and 35 are in the range of Rs. 20 to Rs. 30 Crs. Let me hand it over to Arun to talk about Purple Fabric.

Arun Jain:

Welcome to all of you. So, I will talk about Purple Fabric later. Let me just comment on the business results first. So I think we finished our quarter on Rs. 600 Crs plus revenue, a fifth quarter when we cross Rs. 600 Crs as revenue and I think our journey all the time in last few years, are Rs. 100 Crs each time, Rs. 500 Crs, Rs. 600 Crs.

Now the journey we are waiting for is Rs. 700 Crs. So this period of Rs. 600 Crs has results after Gem going away in the Q3 FY24, but still we can sustain the water above the Rs. 600 Crs number. Our

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focus is to get to Rs. 700 Crs. So we are preparing the organisation for 700 Crs per quarter and that's for the entire MACH.ai and Purple Fabric which I was showing the slide will drive towards that.

In the journey of Rs. 600 Crs to Rs. 700 Crs, I would say the wintering period for us has gone slightly longer. This quarter we could have moved away from the wintering season, but because one deal of 30 Crs plus has been postponed in the last week of June. This deal was almost on. It is signed—the MSA but has not been executed because the bank's financial budget limits are over and they will be signing this deal in the next financial year starting January, which is our Q4 quarter. With that, we could have managed all the expectations of the investor from a quarter-to-quarter perspective.

But overall, our traction is extremely high right now. As of now, our costs are also around Rs. 480 Crs range and that is the range which will be maintained in the next few quarters, so the new revenue that is getting generated 80% of it will translate into the margin of the organisation. So that's an important point which you mentioned all the time that how margin improvement will be happening. On a specific basis today this quarter may be. It will not show the right number because of the single deal of Rs. 30 Crs which could have come to the margin itself. If you add that the margin could have been better.

During this quarter, we won very significant deals. So sometimes you may not know the intensity of this deal wins, when we win in Canada or when we win in the US or when we win in Australia. I would like to invite Rajesh to say—when we say Vancity deal, we published a press release, but what does it mean to come into the entry into the Canadian market, a Credit Union market which is run by an over 30 to 40-year-old system to enter a new player in a market. So what went behind winning this deal? What is the futuristic view of winnings such deals in Canada Vancity itself, Rajesh?

Rajesh Saxena:

Thank you, Arun. I hope you can hear me. So let me just talk a little bit about Vancity. Vancity is the largest community Credit Union, based out of Vancouver, which is the western zone of Canada and it is the largest credit union in Canada, and this is a deal that we have been following through for the last 18 months. And this deal is very significant because of a few things, the deal is about a Digital Engagement Platform for retail, SME and subsequently also for the Commercial Bank. So it's a completed digital experience, a transforming experienced deal. This is a deal which will be where we will be doing the full managed services on Azure cloud. So that's the contour of the deal. But why this deal is significant because, in the credit unions space in Canada, there are a couple of vendors who are the providers of this digital engagement platform or lending platform and core banking platform. Winning this deal from one of those existing providers who had some time back tied up with the Backbase and that implementation failed for them, is a very significant milestone for us. Vancity is a leader in this space and therefore there is a lot of buzz in the credit unions space that we have a couple of leads which have come up after our announcement to Vancity. We have now started going into the implementation part of this. So this along with the footprint that we have from a GTB perspective in Canada makes us a full scale—starting from credit unions space all the

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way to tier one Banks, a full space where we will have our products in the market. So that's about Vancity. But let me talk specifically more about North America. I think a couple of quarters back we had talked about at least from a GCB perspective. We had talked about Europe as our strategic inroad and I think over the last couple of quarters we have demonstrated that we have been able to build a good momentum in our European market. When we look at Europe, we are seeing a very good pipeline being developed in Europe and you will see the result over the next couple of coming quarters.

After Europe, we decided that we will get into Canada from a GCB perspective leveraging a GTB footprint and that's what we have been doing for the last couple of quarters. I have been in North America for the last 5 weeks, spending time predominantly in the US. Some of you may

you have read it, we have just announced that we have hired Janine who's going to be leading our GCB business in the US market based out of North America. She and I spent a lot of time meeting prospects, consultants, partners, etc. to understand the contours of this market and deciding what to be a strategy to enter into the US market. The US market as you know is highly regulated, a tough market, but also from a TAM and a SAM perspective, a very huge market. So we are very positive. We are looking forward to the next couple of quarters into our U.S. market entry. Along with Janine, we are putting the team of people with Janine, some of them we are hiring from the US to get the US experience, and a few we will be transferring from India. So we are putting a team of people to go after the US market and we should see some momentum being built up in our US market. Janine comes from a very strong domain expertise. She has worked with Santander and PNC Bank. So we are looking forward to working with her as we take our journey back. So that was a high-level commentary about how GCB has moved from Europe as a strategy, went to Canada and now entering the US and you will hear in the next couple of quarters and years about our progress in the US market. Arun back to you.

Arun Jain:

Thank you, Rajesh. It has been almost 90 days since we met on the 9th of May when we announced the result is not over 90 days. I think a lot of us are on the road, so most of the management team is on the road in various countries obviously which resulted in travel costs going up, but otherwise, I was on the road. I visited eight countries during this period. We met close to 70 people from the customer side, and the partner side, conducting multiple meetings in each country. The events will happen in GTBOxford in London and then followed by Money 20/20. I think we have never been so busy in the last eight years and generated close to 120 leads almost two leads per day are coming up our way. So we organised a workshop in MACH.ai with 300 people in Chennai in April. It was that picture of the attendees of the workshop you saw at the beginning of the presentation. The entire magic of MACH.ai is surfacing. At this point, I just want to invite Manish to see how it is spanning out for him in winning the deals in Australia and these are all the difficult markets. Rajesh talked about the US market. Manish over to you.

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Manish Makani:

Thanks, Vasudha, and Arun thanks for giving the brief before this. I have been sharing in the previous quarters also, that a best-selling product on corporate treasury continues to help us win in the market place. So we closed two more deals in Australia in this quarter, which is primarily to help banks to help the corporates raise better deposits, get them better investment products and get them better manage their liquidity better. So two big deals we won in Australia after the previous quarter, we had two deals, one in Australia and one in the US around liquidity. Soliquidity as the flagship product continues to help us. Create that deepening the gap between us and anyone else. Because everyone else is trying to extend that out from core banking, I can also imitate and do this. We built the real competency around this, and today we have about 54 banks worldwide, which leverage this capability to extend this, bringing this efficiency to the balance sheet for the corporates as well as for the banks. So that's been very successful. We also closed two deals on DTB in the Middle East, both the product and the market are flagships for us. So we continue to win on DTB in the Middle East. Like Arun said the amount of time all of us were on the road, we have got across North America, several good opportunities which are maturing. In the next two quarters, we will share a number of them. Unfortunately, one deal where we got signatures on the MSA, it's just the last signature they had to postpone their budget spend from starting in September to the program which they were going to sign in June to start in September. Now it starts in January and they will sign in January. Everything was done on that. So that's a significant one like Arun said, Rs. 30 Crs which got deferred. The deal is won. So we should show this in our Q4 from that perspective. In Europe also we have got good momentum in the UK and France going right now, Australia opening up and there's been a big focus on developing Asia equally. So of what Arun said, two deals a quarter, even Asia, which has not been very strong for us was very good looking and it has good potential for us in the coming couple of quarters where we will show good results from there. So across the board, in all markets right now, activity is at an all-time high. The opportunities are what we call a P4 stage number of these things are there, how a cross the next two quarters we bring that in. I think that's where the team is focused. Thank you.

Arun Jain:

Yeah. So coming to the next area is Intellect AI. I have been posting a message on Purple Fabric daily on LinkedIn. So I reached up to 4 messages such as on Purple Fabric Imagine, Purple Fabric DIMS, Purple Fabric Expert Agent, Purple Fabric Traid, and two more are left. So in this slide, we are saying that AI is a hot product and so much generative AI is there. Our teams, our research team should look at this problem very differently and they looked at each persona - what is required for a product manager to look at AI?, what is CIO looking for in AI?, and what operations managers are looking for AI? and what compliance manager is looking for AI? So based on all four personas we designed them, one of the most comprehensive AI products in the market place where we signed up with all five consulting firms from Accenture, EY, KPMG, Deloitte and PwC. The beauty of this product is it is a comprehensive Enterprise Connect ed intelligence platform. And it is using a

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different set of technologies. And, it is giving a choice to the customer to decide the kind of LLM model one wants to use. Now, Banesh will tell you how many workshops and bootcamps we have done in the last 90 days from May to now. Almost every day there are two or three bootcamps or webinar happening

, which is driving a huge amount of lead generation. So over to Banesh on carrying forward this conversation.

Banesh Prabhu:

Thanks, Arun. I think Arun explained the overall Purple Fabric. Intellect AI has been working a lot on AI initiatives for a long time right now. I think what we have done is we are now able to implement AI using all the large language models, the LLM's and the LLM's are evolving just about every couple of weeks, and we see upgrade taking place by all the LLM's providers. I think what our platform provides for a financial institution is the ability to govern AI initiatives. There are billions of dollars' worth of money that is being put into AI by most financial institutions. All companies across the board are spending an enormous amount of money on AI, I think while it's on a hype cycle. I think very realistically the time has come for a significant change to transform operations and financial institutions using AI. I think the traction is significant and we did about over a dozen different types of bootcamps. Some of them are multiple discussions with certain clients and I think they are building a very deep pipeline of actually helping the clients implement AI initiatives with governance, control of data, with control of security. At the same time, the different people and different personas in an organisation can make a difference in how they can capture business outcomes from different AI use cases that we are putting together. We have over 55 documented AI use cases, another 80 odd that we are looking at right now. Now if I look at the quarter, our AI platform, is at the heart of four insurance businesses, so Purple Fabric is what we are sort of positioning as the name of this platform. Purple Fabric along with the MACH.ai for insurance. Last quarter we did four deals. In this first quarter, we have done two deals. Two more deals were assigned but they just didn't make the cut-off for the 30th of June. I must remind you that all of these deals

use a combination of MACH and AI, and also all of them are subscription deals. So from a financial perspective, you will have to see that the sea is longer-term. You know subscription type of calculations on the financials. I'm also happy to say that our wealth and capital markets business, I think Vasudha touched on you know two deals, but I just talk a little bit more about it. This is an existing client that's doing the first implementation in Bangladesh of a commodity derivative exchange for which we are providing our brokerage platform called Capital Alpha. We are implementing that for a very large Commodity Exchange set up in Bangladesh. These two are very exciting. It's the largest company in India joint venture with one of the largest asset managers around the world. The asset manager manages over 10 trillion in assets under management. I think we are seeing a phenomenal increase in wealth generation across the world and more and more people are talking about how we can implement MACH wealth solution along with what we used to call embedded AI. But it uses a combination of Purple Fabric and the MACH suite that we have to implement these wealth and capital market mandates that we won. We won three

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others. I think the contracts are in progress, we you know there has been confirmation that we have won them. One of them is the largest investment manager in Saudi. The other one of the largest private banks in India, not the largest but one of the largest, and also we won them and one of the largest global multinationals that want to scale up their wealth business. So I think the wealth and capital markets have a fantastic pipeline to look at. The MACH resonates, the AI embedded resonates and I think over a period of time that combination of MACH and AI, which is MACH AI, is a position for the future. Thanks all.

Arun Jain:

Thank you, Banesh. So I talked about it in the last two years back when we were looking at partners and distribution strategy. I think this year we started the journey by making our applications partner-ready. And MACH AI plays a critical role in being a partner-ready system. So from an investor perspective, what does the MACH AI mean? Why are we so excited internally? And how do you simplify the language of MACH AI to the elements for the typical investor. Because for technology it's a huge excitement because it's an open finance platform. So today the word Open Finance platform which, we call it first principle thinking, which means we ask the question of why the banks exist. It is because events happened in the life of finance and any of their customers. So if we design a system which is based on the First Principle Thinking from events in the life of a retail customer or wealth or SME or a corporate customer and then look at the services the bank provides, and which gets connected to other applications which are through API on a cloud and make it personalised headless and provide intelligent to it. It removes a lot of complexity which the bank has built over a period of time. They can wire the entire application based on customer desirability and that's why Rajesh when we were selected in Canada found that digital experiences if it is based on first principle thinking, we are mapping customer desirability to the business outcome. So we call it organising the thinking space, expanding the performance space and impacting the business outcome. So this is where we can put 329 decompositions of all banking business in just a single book where all the elements of the banking have been put onto the single banking chart.

Now this soon once we put this chart in front of the customer, he has a choice to put on the entire chart where and what his needs are. So we are not selling the full products. We are selling what he needs. And if he needs portfolio management only in the wealth management system, we can provide portfolio management. If he requires only the Relationship Manager office because he has an existing Avaloq install we can give him the RM office. Or this can be extended to the existing system and coexistence is possible in existing applications. That is what we can disrupt and that makes my GSI (Global System Integrator), very interested in our technology. We have conducted almost one session every week for each of our global SIs on MACH AI. Because then they can use my specific set of microservices to include in their value propositions which they are offering to their current customers by doing and accelerating their journey. So when the budgets are less, they

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can expand that space substantially because there are 329 microservices, 500 plus events and 1700 APIs.

Along with that, we built up iTurmeric, which I explained earlier. It is a completely codeless platform for composability and solving four key issues of transformation. For any transformation, you need integration, UX, workflow and data. Now all of it is wired and comes from a single platform, reducing the cycle time for delivery to half as well as number of defects to less than 10%, as well as almost 80% of defects are not there because they are codeless platforms and combined with Purple Fabric to build intelligence agents along with the operational processes, it is a truly partner-ready technology. We took some long time to get to partners. In 2022, you were questioning why we don't go to partners. We wanted to ensure that they have the right toolkit and right method to get into the partnership model. Then new leads, which have come enormously, we used to add some 50 leads per quarter. This time we added 120 leads in a single quarter because most of the additional lead came from our partnership network. We are close to the Rs. 600 Crs funnel with the partners which we are working on. Some of the detailed conversations are happening where partners are getting certified themselves.

on iTurmeric or Purple Fabric and going to gather in a few deals over this period. We are seeing this as a very disruptive technology. The opportunity going forward is significantly large. Because of that though the first quarter result is not in line with the expectation of the industry because 30 Crs slip on the contract. But 15% growth is what we talked about during last quarter, we are fully intact on that number. So that is what the current state of business is. So at this point, I just want to leave for questions and answers and I have seen more than 200 people join this investor conference. So we can have a good conversation based on an understanding of what we are doing in MACH AI in the tech nology space.

Praveen Malik:

Thanks, Arun. Now the forum is open for the Q&A. In case you want to ask a question, please click on the raise your hand. I repeat, please click, raise your hand and we will unmute you and you can ask the questions. Now, first, we have Mr Samir Dosani. Mr Samir Dosani, please unmute yourself.

Samir Dosani:

Can you hear me?

Praveen Malik:

Yes, Samir. Please go ahead.

Samir Dosani:

So, a couple of questions. When Rajesh is on the US business, you are trying to foray into the US as the geography. If you can just highlight which are the areas that we are targeting? And how's the competitive intensity? Because it's very difficult to sell business banking software in the US. We

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have seen it in other players. So what is the competitive intensity where when do you think there will be initial signs of some progress here and whether it will require any investments on your part?

The second question is for Vasudha. When you look at your funnel and deal wins, they have been phenomenal. But when you look at your last 12 months' revenue growth, obviously excluding GeM also has seen some deceleration. Right? We have come down to 12%. So do you think this can accelerate given your deal wins and whether you hold your guidance on revenue? And the third is from Gen AI. Very simply, if you can just indicate the number of projects like in some way can you give us some metric to quantitatively track that this is the number of projects that you have worked on versus you know last quarter this was the number of places we have worked on? So we can try that. So these are the 3 questions.

Rajesh Saxena:

Sure, I can take the first question. It is a very good question. So I think from a US perspective, as you rightly said the US is a competitive market. It is also a highly regulated market where you can have federal requirements, state-level requirements, etc. So you need to make sure that your platforms are certified and attested. However, having said that the market opportunity is very large. And what are market studies have indicated to us is that there are a lot of legacies and what we bring to the table MACH.ai can disrupt the US market if we get our act together. So there's opportunity is huge. And so that the landscape starts from a strategy perspective, I would say that's competitive information. So we wouldn't like to discuss it on this call, but enough to say that we are in the process of identifying what would be these segments and the key products that we will take to that segment and discussing them internally, debating the GTM strategy for that. So over the next couple of quarters, we should have that in place and we will go into the market. It's also important for us to put together a team of people. So there is some amount of investments that we are making from a US perspective. I also said we would be transferring some of our people from India. So there is some amount of investment which we will be doing. Both in terms of team as well as in terms of baking up a platform ready for the US market. And just a little bit more colour around the US market, what we are seeing is that some of our Indian competitors and peers can enter this market. So with that and our architecture and the MACH.ai that we bring to the table, we believe that if we get our act together we can really disrupt the market.

Vasudha Subramaniam:

Let me take up the second part of the question and Arun might add on. Yes, true it is like 12% in the first quarter. And as we said, this is the first quarter and we always want to be measured on a yearly basis, not on a quarterly basis. We still stick to the guidance of 15% excluding GeM and we are highly hopeful that it will happen.

And it so happened that, as Banesh mentioned, there were a couple of deals for which the contract got signed off post the cut-off date and for which we could not accrue the revenue in Q1. It so

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happened and there are some other deals with the high value that we could not accrue this part and which got deferred. So we are still hopeful of the strong pipeline that we emphasise and that we'll be able to meet up to the guidance.

Samir Dosani:

So I'm just tracking the last 12 month revenue on a Q-o-Q. So I think that is the prediction, I'm sure that is what one has to track

Arun Jain:

That's right

Samir Dosani:

Ok. And on the Gen AI level?

Arun Jain:

Banesh, how many projects you are working on?

Banesh Prabhu:

So just to get this right, we track our pipeline in a platform across all our product lines. Our Purple Fabric pipeline today has almost finished and when I last looked at it, it has got about 35 discussions in progress. Remember, AI is at a very early stage. So we have a very large pipeline building. We call it Purple Fabric as you just heard from Arun. And I think that pipeline will be looked at like any other pipeline discussion we would have if we have a Gen AI. It's not just a Gen AI. It's more than just Gen AI.

Samir Dosani:

So, 35 projects currently? How much was it like 6 months ago?

Banesh Prabhu:

35 discussions are in progress with various clients.

Samir Dosani:

Six months back. Six months back, how much the number was is something we can mention.

Banesh Prabhu:

The platform has only just been done. So I would say this pipeline has been built over the last 4 to 5 months where we have used Purple Fabric to be able to get people to use Gen AI. We have been working on the LLM for many years. We have been investing in it, but the LLM has made a difference in which AI is matched.

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Samir Dosani:

Got it. I am sorry if I'm allowed to follow up. So, does this investment in the US have that impactable margin improvement trajectory or it was already built in, you can comment on that Vasudha. Thanks.

Arun Jain:

That's what we are currently discussing. Let me be in a board meeting also, what kind of new number should be put in if additional investment is required or not. We are seeing that based on the more traction and winning we are able to articulate how many additional sales people were required. So it's not about technology investment. More investment will be required in go-to-market investments.

Samir Dosani:

Ok. Fair to say it will be higher gross margins or it will initially have some lower margins than their business. Do you think?

Arun Jain:

It will be a lower margin. In the beginning, Purple Fabric requires investment. The revenue will not be front-loaded but back-loaded in Purple Fabric where subscription-based revenues are there. So sure that is one point which is to be clarified.

Samir Dosani:

Sure. Thanks for that.

Pravleen Malik:

Next, we have Mr Rahul Jain from Dolat Capital. Rahul, please unmute yourself. Rahul, are you there?

Rahul Jain:

Yeah. Hope I'm audible.

Pravleen Malik:

Yeah, Rahul. Please go on.

Rahul Jain:

Yeah, so basically I have a couple of questions. One question is what I have observed from the last couple of quarters is that the growth in our implementation revenue has not been pretty much catching up with the growth that we are observing in the licence revenue. So is there any specific

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reason why this trajectory has gone down from 6% to 7% or does it include any L1 or L2 services related to GeMo which probably has any particular impact there?

Arun Jain:

So I think, with the Codeless platform, our implementation revenue is expected to come down. That is not the most profitable business for us. The implementation business we were doing. - We want to get it done with the partners. So that is the intentional approach which is being looked at from the perspective of creating more efficiency. This growth of implementation may not be that high and we would like to push licence and SaaS revenue more.

Rahul Jain:

And when you say that also because there are partners. So is there a number that we could say that the number of deals that are going to the third party versus implementation versus let's say year back or two years back, any data that you could share?

Arun Jain:

It's too early right now. As of now, we are not saying that we have won too many deals with the partner. We have won two to three deals while working with the partners. So that data is not sufficient to be shared. When it is ready, we will share it with you.

Rahul Jain:

During the quarter, we have also observed that the software expenses have, I mean the main cost of services, increased during the quarter. Is it more because of the many things that you spoke about, the total of factors that you did but eventually did not culminate into revenue? Or these are general investments that have gone into the quarter?

Arun Jain:

SD cost has gone up, so we acknowledge that SD cost has gone up for two reasons. One is a generative AI. Some of the investments have gone and the consumption of the cloud has been baked into this. Some of the bundle cost with a cloud cost, also got embedded into it. So these are two areas which are there. And the third is the Rs. 30 Crs investment. The deal, which was there almost too close, got postponed by the financial constraint of our client. But all the initial work has been set up for that. These are three reasons for our SD cost to go up.

Rahul Jain:

Right and any input on the ideal tax rate that you are expecting for this year and next year that would be a fill?

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Vasudha Subramaniam:

We can take it as 24%, Rahul.

Rahul Jain:

For FY25?

Vasudha Subramaniam:

Yes

Rahul Jain:

OK. Thank you. That's it, from my side.

Pravleen Malik:

Thank you, Rahul. Please click on Raise your hand. Please click on Raise your hand in case you want to ask a question. Next, we have Mr Mehul Panjwani from 40cents.

Mehul Panjwani:

Yeah. Am I audible, Sir?

Pravleen Malik:

Yeah, please go on.

Mehul Panjwani:

Thank you so much for the opportunity. This is not a question, but a request to the entire management team. Because, you know, we are doing so much higher-end work and we have very promising products and we are focused on disrupting quite a lot of traditional banking technology. So I request that as shareholders, we should know what is there in our product that is going to disrupt the market. Because you know, just in your introduction you mentioned that we are here to disrupt the American banking software market. So I request that we can have a couple of hours of session where we only talk about technology and not financials. So that we know where our company is going. Right now, for a layman, it is very difficult to understand that anybody can claim that I am going to build a disruptive product. Because I have been following this company for a long time and have been trying to understand a lot and I also have a technology background. I was working in the IT industry but still, I am not able to figure out anything. I will just go by whatever I Google and you know whatever I can make sense out of. But if you can, you know if you have 2 hours of sessions for our fellow shareholders, whoever is interested, to demonstrate that this is what traditional

anks do and this is what our software will do for them. Then we also can be our champions, through our network etc. but more importantly, understand our products.

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Arun Jain:

OK. Thank you for this advice. We should do it. Malik, we should organise a two-hour session for the people. I would like to have two sessions, one on MACH and another on Purple Fabric, two hours for both.

Arun Jain:

In the next one month.

Pravleen Malik:

Sure.

Mehul Panjwani:

Thank you so much, Arun Sir. I appreciate it.

Arun Jain:

Secondly, if you really want to experience the power of Purple Fabric in two days' time, we can conduct a session on bootcamp where you can put the application wiring for a use case by a salesperson. Note even a technology person. A salesperson was able to build a Purple Fabric extra agent in two days of bootcamp. So that's the simplification of the disruption. For certain people, we are organising a bootcamp and Purple Fabric on the 29th and 30th of August. But for the individuals, that is for the companies, we will organise the bootcamp. So sometimes we can see if you register and are willing to look at it, time to be spent on two days of understanding what AI is going to disrupt the market and what it means.

Mehul Panjwani:

Definitely, Sir. I would be looking forward and eager to attend this kind of bootcamp. Because every body is talking about AI. But I don't know if a handful of companies will be doing actual AI work.

Arun Jain:

That's right. And because there's so much noise there, how to find the voice from the noise is a challenge for most of the investors.

Mehul Panjwani:

Yeah. Absolutely. So I will look forward to this two-hour session first and then obviously also bootcamp as well.

Arun Jain:

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Thank you.

Mehul Panjwani:

I will request Mr Malik as well to send a mail out after the meeting. Thank you so much.

Pravleen Malik:

Sure. Thank you, Mehul. Next, we have Mr Vivek Kumar from BestPal. Vivek, please unmute yourself.

Vivek Kumar:

Amlaudible?

Pravleen Malik:

Yeah, Vivek, please go on.

Vivek Kumar:

I know I am asking a quantitative question. But leave this year, if I take 3 to 4 years, we will go back to our 20% because you have been investing a lot of MACH before. If you come from your Investor Day 1-2, which is exactly where you explained how the company is going to pan out and what you are going to do with your products and you're across products across continents, across countries and across like you are into insurance like now you have AI and different business verticals. So when can we count on 20% to be taken over a 3 to 4-year period? But it's a purely quantitative reason.

Arun Jain:

Definitely. I think 15% we are looking for this year. 20% is designed for ups and downs will happen. There could be 25%, they could be 15%, and there would be 20%. So 20% is that organisation is designed for and designed for long term 20% and not one time 20%. That is why these investments are required in a technology company like ours, a multi-product company, a multi-geography company. Because of ensuring that we can sustain this growth over the next 5 years or not? Otherwise, we end up acquiring the companies and aggregating the companies. That's not what we want. It's a pure organic company.

Vivek Kumar:

And second one is on your partnerships and if you can go deeper like you have explained clearly on the three verticals by the three vertical heads. So similarly on partnership how it is shaping up because we have started and how is the distribution? You remember in the last two calls you were saying our next one to two years is about DDD, which is Distribution, Distribution, Distribution. So can you tell us more about how it is shaping up and how confident you are?

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Arun Jain:

The confidence is that distribution partners have started chasing us. Earlier we were chasing them. So reverse flow has happened. It started to happen. We need to demonstrate to them that there is the money for them. If we make \$1, they, they can make \$2 for us. Then they are in the game. If our technologies are not able to help them make \$2, we need to demonstrate to them that in the next few years, they can build up their own practices of 10 Million, 20, 30, and 40 Million Dollars practices around MACH. And that's the process of building confidence, we are going through. And that's the way Rajesh, Manish and I have been travelling. And meeting each partner, ranging from senior executives, CEOs, and business heads of the country to explain what MACH is and how it is disruptive. The question Mehul asked, is the same question we need to explain face to face. It cannot be explained on a Zoom call. So that's what we are in the process of doing it. And that process will continue for another two more quarters and then we get into a few deals to execute. One deal we executed with one of the large partners. It is going live in the Philippines. So which is a very good success story. One success story of winning the deal and making the client successful peaks a lot of volumes and the partnership game.

Viv ekk umar:

Let's say, in the next few quarters of the year, we will be behaving much better

ArunJain:

Yeah. Then the acceleration will happen. Only after two to three quarters, we will see the acceleration.

Pr a v eenMalik:

OK. Thank you, Vivek. In case anybody wants to ask a question. Please click on Raise your hand. Next, we have Mr. Jayaprakash Parekh. Jayaprakash, please unmute yourself. Looks like Mr. Jayaprakash is not there. Now Mehul wants to ask the question again. Yes, Mehul, please ask your question once again. You want to have some more questions I believe.

MehulP anjw ani:

Yes. I have unmuted myself. Thank you so much, Arun Sir, One question from the follow-up on the earlier question you were answering. How many partners do we have and can you just share some details about who the partners are?

ArunJain:

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We have all five partners, Accenture, PwC, EY, KPMG and Deloitte in consulting partnership. In global system integration, we are working with HCL, Coforge, Tech Mahindra, Wipro, L&T, Hexaware, and Persistent.

MehulP anjw ani:

OK. So one follow-up question on this. Which deals we have won are through which partners so far, because we have won very few deals right? That's what I understand.

ArunJain:

Yeah, we just want to keep it confidential which may disturb the confidentiality equation with the partner.

MehulP anjw ani:

OK. And any particular reason why we do not have TCS and Infosys as partners? Is it because they have their banking product?

ArunJain:

That's Right.

MehulP anjw ani:

OK. Thank you so much, Sir.

ArunJain:

OK, Praveen. It's almost on time.

V asudhaSubr amani am:

He seems to have logged off.

ArunJain:

OK. Please go ahead asking the question. Unmute yourself.

Pr a v eenMalik:

Vipin.

ArunJain:

Yeah, please.

Pr a v eenMalik:

Mr Vipin Abraham, you are there? Mr Vipin Abraham.

Q1R esultsFY2024-25

VipinAbr ahim:

I want to ask this question that the revenue of 15% which is mentioned based on the reported number of last year or after adjusting the government contract?

V asudhaSubr amani am:

After adjusting the government contract.

VipinAbr ahim:

Oh alright, thank you.

V asudhaSubr amani am:

Welcome.

Pr a v eenMalik:

Thank you, Vipin. Arun, Mr Vivek Kumar wants to ask one more question. Can we?

ArunJain:

Yeah, sure. Just one more. We have another four minutes to go.

Pr a v eenMalik:

Yeah. OK. Vivek can ask the question again and unmute yourself.

Viv ekk umar:

So, just continuing on the partnerships, so if we think that they pay off and what percentage of our deals will be through partnership in 2 to 3 years like or 4 years whatever, I don't know because like when will we feel that this is done and we are this we have succeeded in our distribution and what percentage of deals would go to the partners like that?

ArunJain:

Our target is that close to 20% deals should go to the partners.

Viv ekk umar:

OK. So we have only two minutes left. So I have one more question. Can I ask Sir?

ArunJain:

Yeah, sure. Continue.

Viv ekk umar:

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Afewquartersback,yousaidtherearethreewidemovements.This isBaaSandGCBdigital,the corebankingandinsurance.Peoplespoke aboutthelasttwo,buttheinitialBaaSthing.AnyupdatefromManishJi?

ManishMak an:

Wedidonedea lintheUSlastquarter.Withafairlyargetop20USbank.Sothatitworkedwell.

Viv ekK umar:

Oh,OK.Are youfindingsuccessinthatintheUSmarket?

ArunJain:

Yes.IthinkwelaunchedtheBaaSintheUSmarket.MainlyManish,theBaaS,wehavelaunchedinitiallyintheUSmarketbecause that'sa moretechnology -savvy market.

Viv ekK umar:

Oh.Thankyou,Sir.Thankyouverymuch.

Pr a v eenMalik:

Thanks,Vivek.Arun,wehavealastquestionfromMrRohitBalakrishnanfromithoughtPMS.Rohit,pleaseunmuteyourselfandaskaquestion.

R ohitBalakrishnan:

Yes,Sir.Goodevening.Amlaudible?

Pr a v eenMalik:

Yeah.Pleasegoahead.

R ohitBalakrishnan:

Sorry,Iwasonmute.Goodevening,Sir.Goodevening,everybody.Sovere encouragingtohearthe commentaryonwhatyouareseeingin terms ofnewleadsandthekindoftractionthatyouaregetting.Fromnotimmediately,notinthisyearornotinthisquarterornexttwoorthree quartersorliketwotothreeyearsout,Whatyouhavebeentryingtoto do,Ithinkisyouare tryingtoinvestaheadofthecurve.Butgiven the businessmodel,asyouhavealsomentionedinthepast,incrementalmarginsaregoingtobever yhighatsomepointintime.Soljustwantedtounderstand,howfararewefromthatinflectionpointwherewhattoto20to22% marginswherewecangetgobeyondthatandgettomaybeclose to30%oreven30%andbeyond.Manyofthecompaniesthatarethereinthisspace,eveninIndia listed,havethatkindofmarginsandyou have

Q1R esultsFY2024-25

alsotalkedaboutthatthesekindsofmarginsarenotlikenotunachievable.Sojustwantedtohearyourperspective,howfararewefromthatkindofmargin?

ArunJain:

Wecannotspecifyatimeframeatthispointbecauseit'sacontinuousinvestmentinthisarea.Rightnow,ourmarketshareismore importantthanourmarginshare.However,forourbusinessmodel,ifwecompareitwithourcompetitors,thepotentialmargin couldbe40%whenw ere duce investment.So,increasingthemarginto40%isnotabigissue.Thekeyquestioniswhetherwewant to reduce investmentor continue investingto achieve global leadership.Themain concerniswhetherthepartnershipnetworkwearebuildingwillstartpayingoff.Ifthe 12partnerswehaveidentifiedstartdeliveringresultsquarterbyquarter,themargincouldreach30%ormoreinashorterperiod,possibly withinthenextsixtoeightquarters.Asamanagementteam,weexpectittoreach30%insixtoeightquarters,butmarketconditions willdictatetheactual timeline.

R ohitBalakrishnan:

That'sveryhelpful.Ithinkthat'sprettymuchit.That'sitfrommyside.Thankyouverymuchandalltheverybest.

Pr a v eenMalik:

Thanks,Rohit.Arun,thatisallwehave.

ArunJain:

Yeah.Thankyouverymuch.

Pr a v eenMalik:

Anddon'thaveanyfurtherquestionsortimeisalsoover.Sothankyouverymucheverybodyforparticipatinginthecall.Incaseyouhaveany follow-up questions,pleasedowritetous.Thankyouverymuchandthankthemanagementteamalso.Thankyouverymuch.Youcanlog offnow.

Call: Nov 2024

Intellect/SEC/ 2024 -25 November 01, 2024

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol:

INTELLECT

2. BSE Limited ,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code:

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call
held on October 25, 2024 on the unaudited financial results for the quarter ended
September 30, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record .

Yours truly,
for Intellect Design Arena Limited,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q2

Results

FY

2024-25

Intellect's

Q2

FY25

Financial

Results

Investor

Earnings

Call

Transcript

Praveen

Malik:

Greetings

and

welcome

everyone!

Thank

you

for

joining

us

today

to

discuss

Intellect
Design
Arena
Limited's
financial
results
for
the
second
quarter
of
the
fiscal
year
2024-25,
ending
30th
September
2024.
The
investor
presentation
and
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press
release
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our
website.
Our
leadership
team
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to
discuss
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results.
We
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with
us
today,
Mr
Arun
Jain,
Chairman
and
Managing
Director
Mr
Manish
Makan,
CEO

of
iGTB
Mr
Rajesh
Saxena,
CEO
of
iGCB
Mr
Banesh
Prabhu,
CEO
of
IntellectAI
Ms
Vasudha
Subramaniam,
CFO.
Some
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senior
members
of
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Vasudha.
Vasudha
Subramaniam:
Thank
you,
Praveen.
Good
evening,
all.
Thank
you
for
joining
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today.
It's
my
pleasure
to
welcome
you
to
our
investor
meeting.
We
appreciate
your
continued
support
and
interest
in
our
company.
Today,
we
will
provide
an
overview
of
our
financial
performance,
discuss
key
Q2
Results
FY
2024-25

highlights
from
Q2
and
share
our
strategic
outlook
for
the
future.
Together,
we
look
forward
to
achieving
our
shared
goals.
Let
me
start
with
the
financial
overview.
Our
revenue
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and
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With
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experience
and
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Let's
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the
quarter
amounted
to
550
crores
and
our
cash
position
as
at
the
end
of
Q2
is
755

crores.
We
had
12
deal
wins
and
we
went
live
on
nine
digital
transformation
projects
during
the
quarter.
Our
DSO
outside
India
is
119
and
in
India
it
is
270,
which
makes
overall
DSO
at
146.
For
the
half
year
ending
September
24,
total
revenue
is
1161
crores
with
210
crores
coming
from
the
license,
241
crores
from
AMC
and
112
crores
from
the
platform
revenue.

We
have
had
23
deal
wins
during
the
half
year
and
21
new
deal
transformations
have
gone
live.
PBT
for
H1
stands
at
168
crores
and
PAT
stands
at
127
crores.
In
the
last
12
months
ending
September
24,
our
total
revenue
was
2,344
crores
with
468
crores
of
license
revenue
and
470
crores
of
AMC
revenue.
EBITDA
for
the
period
stood
at
20%
and
we

had
a
PBT
of
408
crores.
In
the
LTM,
we
had
53
deal
wins
and
we
had
gone
live
on
52
digital
transformation
projects.

Q2
Results
FY
2024-25
Talking
about
revenue
mix,
39%
of
our
revenues
are
in
USD
followed
by
18%
in
GBP,
16%
in
INR,
7%
in
Euro,
6%
in
CAD
and
14%
from
other
currencies.
The
numbers
we
went
through
in
the
previous

slides
are
presented
together
in
a
tabular
column
here
with
further
details.
eMACH.ai
is
accelerating
growth
with
deal
wins
and
digital
transformations
in
Q2,
detailed
in
the
forthcoming
slides.
eMACH.ai
has
been
selected
by
12
customers
across
the
globe
in
Q2,
and
these
financial
institutions
look
forward
to
embracing
Enterprise
Connected
Intelligence
through
the
first
principles
thinking-based
open
finance
platform.
We
have
six
deal
wins
in

the
Americas
driven
by
eMACH.ai.
Our
corporate
digital
transformation
deal
in
the
Americas
paved
the
way
for
our
entry
into
the
Mexican
market.
Our
Magic
Submission
and
eMACH.ai
Xponent
are
highly
capable
offerings
that
have
been
inked
by
five
large
and
speciality
insurance
firms
in
the
US.
In
Europe,
we
had
two
major
deal
wins.
eMACH.ai
Xponent
for
easier
underwriter
consumption
will
be
used
by
the

UK's
largest
business
insurance
provider
and
a
UK-based
leader
in
global
finance
with
a
huge
asset
size
of
€1478
billion
will
be
using
our
payment
solution.
We
continue
to
offer
low-cost
and
reduced-risk
products
to
all
our
clients.
There
are
four
deal
wins
in
IMEA;
our
card
platform
is
chosen
by
a
large
foreign
bank
in
India
Our
wealth
platform
has
been
chosen
by
one
of

the
leading
banks
in
Saudi
Arabia.
A
tier-one
lender
in
Kenya
has
chosen
our
eMACH.ai
lending
platform,
and
the
largest
bank
in
UAE
has
chosen
eMACH.ai
CTX
to
power
their
customers
with
higher
returns
on
their
cash
capital.
We
have
made
nine
digital
transformations
this
quarter.
The
icing
on
the
cake
is
the
significant
digital
transformation
deal
going
live
with
our
liquidity
and
CTX
in
a

global
tier-1
bank.
This
is
the
largest
program
in
the
bank,
impacting
processing
of
about
15
billion
dollars
per
day
and
running
in
50-plus
countries
on
a
single
instance.
Here
are
some
of
the
analysts'
endorsements
that
came
our
way.
Datos
Insights
has
recognised
eMACH.ai
Magic
Submission
as
an
intelligent
document
processing
ecosystem
solutions
provider,
and
eMACH.ai
Digital
Lending
has
been
identified
as
a
vendor
providing

AI
functionality
in
business
lending.
Celent
has
recognised
our
Xponent
as
an
underwriting
workbench
with
strong
decisioning
tools.
Chartis
has
recognised
our
credit
lending
operations
as
leaders
in
5
different
quadrants.
Gartner
has
recognised
us
as
a
representative
vendor
in
digital
marketing,
multi-channel
solutions
and
commercial
loan
origination
solutions.
We
are
proud
to
celebrate
our
excellence
in
human
Capital.
We
have
received
the
Gold
Award
for

excellence
in
creating
a
culture
of
continuous
learning
and
up
skilling
at
The
Economic
Times
Human
Capital
Awards.
Secondly,
we
have
been
honoured
with
the
Most
Preferred
Workplace
for
Women
Award
2024-25
by
the
Republic
World
and
Team
Marksman
Network

Q2
Results
FY
2024-25
We
have
a
funnel
of
8,889
Crs
as
at
end
Q2,
with
Destiny
deals
accounting
for
64%
of
the
funnel
size
in

the
quarter.
The
average
deal
size
of
the
Destiny
deals
is
50
Cr\$,
and
our
Destiny
deals
as
a
percentage
of
the
total
opportunity
size
hovers
above
60%.
Our
funnel
has
grown
by
18%
over
the
last
one
year.
The
number
of
destiny
deals
that
are
being
pursued
has
also
increased
from
74
at
the
same
time
last
year
to
89
this
year.
In
summary,
we

have
a
healthy
funnel,
which
is
getting
stronger
and
stronger
as
quarters
roll
by.
The
total
high-value
active
pursuits
continuously
increasing
to
89
in
Q2.
Overall,
we
have
5
losses,
73
carried
from
the
previous
quarter
and
added
16.
The
number
of
wins
is
more
than
the
number
of
losses,
and
we
have
also
added
more
than
what
we
have
won
or
lost.
Thank
you
so

much
and
over
to
you,
Arun.
Arun
Jain:
Thank
you,
Vasudha,
for
taking
through
the
numbers.
So,
first
of
all,
in
my
commentary,
I
think
this
quarter's
financial
results
are
not
in
line
with
the
expectations
of
analysts
that
Praveen
Malik
mentioned
in
the
Safe
Harbour
statement:
We
can't
predict
the
future.
We
try
to
make
it
possible.
I'm
looking
at
the
analyst
perspective
differently
from

an investor's perspective. From the investor perspective, last quarter accrued significantly in terms of 2 main shifts we are doing. So, if you're observing as an investor in the previous six quarters from March 2023, We are shifting eMACH.ai to drive the aspiration of having a larger significant business from the US and Europe and Australia. So, the advanced market share we wanted to increase, and

that's
how
we
shifted
our
pivot
from
product
to
eMACH.ai.
Because
we
analysed
these
customer
needs
more
deeply
that
they
need
two
ways.
One
is
the
legacy
modernisation
space
and
the
second
is
the
application
rationalisation
space.
These
are
relevant
from
the
eMACH.ai
perspective.
So
that
is
a
shift
we
first
changed
the
technology.
So,
we
will
spend
time
changing
the
technology
landscape
in
the
first

three
quarters.
Then,
in
the
last
three
quarters,
we
have
approached
the
problems
differently.
And
this
time,
if
you
see
it,
we
have
close
to
2/3
rd
of
the
deals
won
from
advanced
markets.
So,
out
of
12
deals,
eight
deals
are
from
the
advanced
market.
So
that's
a
big
shift
which
we
are
looking
at.
The
second
shift
we
are
doing
is
around
the
distribution

network.
So,
in
the
last
4
quarters,
we
have
been
building
trust
among
the
four
influencers
in
the
market
—
Deloitte,
KPMG,
EY,
and
PwC.
So,
these
are
the
four
key
players
for
my
consulting
side
who
are
influencing
buying
decisions.
We
are
working
with
BCG
and
McKinsey
as
a
key
Board-level
intervention
and
there
are
seven
SI's
we
are
working
on
distribution
networks.
So,
our

distribution
partnership
team,
the
second
lever
for
our
predictable
revenue,
is
coming
from
that
area.
So,
first
shift
is
towards
getting
a
higher
margin
business
and
a
large
sustainable
window
size.
The
second
is
towards
building
sustainable
revenue.

Q2
Results
FY
2024-25
Those
are
the
larger
canvases
which
we
built
around
the
largest
suite
of
eMACH.ai.
As
soon
as
you
move
to
the
Americas
and
Europe,

I
think
we
need
to
recognise
these
large
institutions
which
we
are
working,
which
is
tier
one
institutions
in
the
space
of
what
you
call
JPMC
or
Citi
or
HSBC
or
Wells
Fargo,
these
are
the
names
Santander
all
these
names
desirable
name
in
any
product
company
that
they
are
acustomer
whether
it's
HDFC
or
ICICI.
All
of
them-
ENBD
-
are
the
kind
of
customers

who
need
to
be
there.
Now,
for
each
of
them,
the
only
problem
is
that
each
customer
requires
five
bridges
to
be
crossed
to
close
the
deal.
And
with
more
global
volatility,
the
risk
department
is
taking
longer
and
longer
cycle
time
to
close
the
deal
bridge.
Bridge
number
one
is
the
business
manager,
where
we
need
to
sell
the
concept.
Bridge
2
is
my
technology

and
CIO.
Bridge
3
is
my
architect.
So,
once
I
qualify
all
three
bridges
against
an
RFP,
and
I
win
the
RFP
in
spite
of
that,
it
takes
6
months
to
close
to
the
next
bridge
for
the
next
bridge
is
the
procurement,
and
5th
bridge
is
contracting.
It's
close
to
5
bridges
we
need
to
cross
to
have
these
deals.
So,
for
some
of
the

deals
which
we
are
already
in
the
contracting
stage,
I'll
ask
Manish,
Rajesh
and
Banesh
what
we
are
looking
at
and
how
is
the
business
opportunity
we
are
looking
at
it.
And
those
deals
are
still
-
on
your
question
-
,
would
be
the
basis
on
our
guidance
of
15%.
So,
I
think
now,
at
this
point
in
time,
I
would
say
we
stopped
taking

the
guidance
because
these
deal
values
are
large,
like
what
Vasudha
has
mentioned.
There's
a
deal
of
3
million
dollars
that
we
got
signed
just
one
week
later
because
of
the
paperwork
of
15
signatures.
One
signature
happened
only
on
a
much
later
date
-
rather
the
whole
deal
should
have
been
signed.
Now
that
has
impacted,
let's
say,
the
100
crores
EBITDA
versus
non-100
crores

EBITDA.

At
least
many
more
deals
of
a
similar
nature
which
are
there
already
we
won
the
deals
and
are
still
in
the
contracting
process.
So,
it's
not
for
a
defensive
position
that
we
are
postponing.
But
it's
the
nature
of
the
business
that
we
are
in,
and
that's
why
I'm
addressing
the
investor.
This
is
a
core
business
model
issue
because
we
are
looking
for

a
big
ARR.
So,
we
are
looking
at
a
single
ARR
of
\$1
million,
\$2
million.
The
annual
recurring
revenue
of
\$1
million
if
it
is
signed,
normally
small
startup
will
sign
\$20,000
ARR
or
\$30,000
ARR.
We're
talking
about
an
ARR
of
\$2
million.
Now
that
those
ARRs
are
creating
a
huge
value
for
the
company,
signing
up
multiple
times
for
evaluation
is
taking
an

equally
longer
time.
So,
once
I
shifted
to
distribution,
Microsoft,
we
worked
very
closely
with
them,
and
now
we
are
the
top
5
players
in
the
banking
and
financial
sectors.
They
have
chosen
us
in
that
category
now.
So,
the
entire
lifting
up
of
Microsoft
has
gone
up.
AWS
is
doing
a
similar
job
in
other
geographies
with
our
financial
sector
inputs.
As
a
consulting
firm,

we
now
have
a
full-fledged
organisation.
We
opened
a
new
partnership
office
in
Bangalore
to
service
these
partners
and
do
a
boot
camp
with
them
and
then
global
integrators.
So,
we
are
now
ready
to
integrate
eMACH.ai
with
iTurmeric
and
Purple
Fabric.
We
are
prepared
to
let
go
of
implementation
to
our
partners,
and
we
are
successful
in
implementation.
And
in
the
Philippines
is
one
of

the
largest
deals
where
Accenture

Q2
Results
FY
2024-25
implemented
our
solution,
and
that's
why
we
are
building
a
good
capacity
with
Accenture.

So,
this
is
on
the
distribution
side.

At
this
point,
I
would
like
to
invite
Banesh
to
discuss
how
he
sees

AI
in
insurance
and
wealth.

Banesh:
Thanks,
Arun.

I
think
I'm
going
to
stay,
you
know,
on
the
same
theme
that
Arun

brought
up.
I
think
if
you've
seen
your
company
consistently
winning
insurance
deals
in
North
America
over
the
last
couple
of
quarters.
Our
insurance
business
is
primarily
focused
on
North
America,
and
it
is
a
complete
100%
AWS
SaaS
subscription
platform.
Over
the
last
quarter,
Vasudha
highlighted
all
the
deals
we
have
won
over
the
last
quarter.
We
have
got
a
good
amount
of
5
odd

deals
every
quarter
that
we
are
doing.
But
there
are
two
frames
to
this.
One
frame
is
the
continuous
focus
because
we've
got
a
very
large
set
of
leads.
We
have
over
300
leads
actually
in
the
insurance
business,
and
I
think
the
leads
are
focused
on
a
certain
set
of
segments
of
insurance
carriers,
brokers
and
wholesalers
in
different
insurance
business
lines
where
we
continuously

expect
that
every
quarter,
we
will
sign
subscription
deals.
Now,
all
of
you
know
that
subscription,
as
Arun
mentioned,
ARR
gets
accounted
for
every
quarter
on
a
monthly
run
rate
basis
and
therefore,
the
revenues
that
you
sometimes
see
you
know
do
not
justify
the
shorter-term
subscription
revenue,
but
they
grow
significantly
over
some
time.
We've
got
over
25
customers
in
North
America
right
now
in

the
insurance
business,
but
what's
interesting
is
we
just
completed
a
recent
sort
of
mega
event
for
insurance
in
the
world,
not
just
in
the
US.
It's
called
the
ITC
event
in
Las
Vegas,
where
we
shared
the
primary
booth,
which
had
almost
300
people
come
to
it.
We
shared
the
presentation
jointly
with
Microsoft
to
the
whole
panel.
I
think
almost
9000
people
attended
it.

So,
I
think
our
insurance
business
is
what
you
are
seeing.
And
your
company
is
seeing
that
it
is
actually
a
very
solid
frame
of
business.
Now.
We
have
a
bunch
of
deals
which
are
pretty
large
ARR,
as
Arun
mentioned,
and
there
also
seeing
some
people,
based
on
the
sheer
size
of
the
business
and
the
growth
they're
seeing,
would
also
like
to
consider
doing

license
deals.
So,
we
are
actually
very
flexible
in
the
way
we
approach
how
we
can
help
the
customer
succeed.
And
just
to
remind
everybody,
we
are
sort
of
the
best
in
the
underwriting
ecosystem
in
the
US.
As
a
matter
of
fact,
recently,
we've
been
awarded
again
for
2024
the
Luminaries
award
by
the
leading
property
and
casualty
insurance
analyst
that
covers
pretty
much
through

an
independent
panel
insurance
capability.
So,
I
think
what
I
would
like
to
say
that
this
business
momentum
is
growing,
and
it
will,
for
both
large
and
smaller
deals
on
a
regular
basis,
keep
your
subscription
revenues.
So,
that's
a
bit
on
the
insurance
side.
I'm
going
to
touch
on
the
very
exciting
area
of
AI
or
your
platform,
Purple
Fabric.
We've
had
pretty
much
all

the
partners
that
Arun
mentioned
leading
audit
companies,
some
clients
of
ours.

I
think
we've
done
over
35
sessions
in
the
last
quarter.

And
what
this
platform
does

Q2
Results
FY
2024-25
differently
is
because
there's

a
lot
of
noise,

a
lot
of
AI
platforms
there
in
the
market
today.

I
think
what
our
platform
does
differently

is
it
helps
financial
institutions
manage
their
data
securely.

Because
we
know
all
the
security
threats
that
today
exist
on
data,
both
information
securities
as
well
as
privacy.
We
help
them
govern
their
AI
initiatives
because
many
people
try
small
pilots.
There's
a
lot
of
noise.
There
are
lots
of
companies
that
are
looking
for
small
use
cases
using
Chat
GPT
and
various
types
of
large
language
models.
I
think
we
believe
that
our
financial

institutions
owe
them
a
very
stable
platform
to
manage
AI.
And
we've
got
a
very
good
complete
platform
which
both
the
leading
audit
companies
very
well
accept,
the
consulting
companies
as
well
as
some
of
our
leading
clients.
And
we
have
actually
three
very
good
deals.
One
of
them
has
gone
into
a
pilot.
Two
are,
actually.
We
have
1
in
the
UK,
which
is
in

the
process
of
contracting,
and
I'm
sort
of
hopeful
over
the
quarter,
we
will
clear
out
some
of
these
contracting
things.
Remember,
AI
is
going
through
a
significant
amount
of
regulatory
influence,
with
new
regulations
coming
in.
So,
even
the
contracting
teams
do
take
time
to
put
together
all
their
signatures
before
they
go
ahead
with
us,
but
I
just
want
to
leave
with
you
that

we
are
probably
one
of
the
best
positioned
to
manage
AI
agents
and
multi-agents
working
together
to
transform
operations.
So
here
you'll
be
hearing
a
lot
of
Purple
Fabric
as
we
move
forward,
and
we've
already
launched
the
product
in
a
few
places.
So,
that
is
the
other
point
I
wanted
to
touch
on.
Third
is,
of
course,
your
wealth
business
is
beginning
to
get
traction.

We've
had,
you
know,
four
excellent
deals. As
you
know,
last
quarter
we
had
a
significant
deal
with
one
of
the
largest
asset
managers
in
the
world.
But
similarly,
we've
recently
won
a
very
good
deal
in
Saudi
too.
And
I
think
our
platform
is
well
geared
to
be
able
to
capture
what
is
a
growing
wealth
business
quite
significantly
in
most
of
the
markets
we
are

focused
on.
I
think
Arun,
that's
a
bit
of
a
snapshot.
In
the
longer
term,
the
business,
where
it
stands
with
its
leads
and
capabilities,
is
really
well
positioned
for
an
investor,
keeping
in
mind
a
longer-term
return
for
the
company.
Arun
Jain:
Thank
you,
Banesh.
I
think
today's
message
is
on
the
release,
as
well
as
the
Purple
Fabric
announcement.
This
is
a
very
unique

platform.
Last
time,
we
promised
to
have
a
separate
session
with
the
investor.
Banesh,
maybe
we
can
schedule.
We
should
do
a
separate
invite
to
the
White
Purple
Fabric
and
AI.
Because
a
lot
of
investors
don't
know
what
they
don't
know
and
it's
very
noisy,
as
you
mentioned.
So,
if
you
can
schedule
a
session
in
the
next
two/three
weeks,
Praveen,
for
the
investors
session

only
the
last
time
they
requested
it,
I
think
we
were
so
busy
with
the
client
and
prospect
that
we
didn't
pay
attention
to
the
investors.
So,
maybe
whoever
is
interested
can
request
and
participate
for
an
understanding
of
what
the
market
is
doing,
what
Palantir
is
doing,
and
where
we
are
where
the
customers
who

Q2
Results
FY
2024-25
have
been
using
Palantir
are
finding

opportunities
to
talk
to
us.
Okay,
now
it's
Rajesh.
If
you
can
look
at
core
banking,
which
is
a
big
area
of
change
and
transformation,
it
is
being
heard
about.
Where
are
we
on
that
journey?
Rajesh:
Sure.
Thank
you,
Arun,
and
good
morning,
good
afternoon
and
good
evening
to
everyone
on
this
call.
Let
me
give
a
little
bit
of
a
business
commentary
on
where

we
are
from
a
GCB
perspective.
And
in
line
with
what
Arun
and
Vasudha
talked
about,
our
focus
is
on
advanced
markets,
so
let
me
pick
Europe
as
an
example,
talk
about
what's
happening
in
Europe.
You
have
heard
me
talk
a
little
bit
about
Europe
for
the
last
couple
of
years
and
how
our
strategy
is
pivoted
around
Europe.
And
I
think
over
the
last

couple
of
quarters
and
years,
we
have
been
making
investments
and
building
our
Europe
sales
team,
presales
team,
delivery
team,
etc.
so
that
we
can
have
a
critical
mass
there.
Europe
from
a
couple
of
years
back
where
for
GCB,
Europe
was
a
very
small
proportion
of
as
a
percentage
of
revenue.
This
year,
in
fiscal
2024-25,
my
estimate
is
that
Europe
will
be
more
than

25%
of
my
revenue
will
come
from
Europe.
So,
that's
what
we've
been
able
to
build.
Let
me
give
you
a
little
bit
more
colour
around
Europe.
So,
I
think
if
you
look
at
it
from
an
existing
customer's
perspective,
you
will
recall
that
we
have
had
a
couple
of
wins
in
the
past.
We
talked
about
Santander
UK,
a
subsidiary
where
we've
got
a
core

banking
site.
I
am
happy
to
inform
the
investors
and
analysts
that
we've
been
able
to
renew
this
contract,
and
we
have
actually
renewed
it
with
further
more
work.
A
couple
of
years
back,
we
also
announced
the
deal
with
Otto,
one
of
the
second
largest
e-commerce
players,
where
we
provide
our
core
and
lending
platform.
There
also
the
customer
is
very
happy
with
us
and

they
have
actually
been
able
to
increase
our
footprint
in
order.
So,
there
the
strategy
of
increasing
our
and
trying
to
do
more
with
our
existing
clients
is
working
very
well
in
Europe.
From
a
new
client's
perspective,
though,
we
couldn't
sign
large
deals,
and
I
think
Arun
talked
about
that.
We
have
five
deals
where
we
are
in
the
last
stages
from
an
Europe
perspective;

two
of
them
on
core
banking
are
in
the
UK,
two
are
in
continental
Europe,
and
one
is
in
South
Africa,
which
is
a
multi-country
roll
out.
So,
I
think
we
are
seeing
our
proposition,
our
references,
our
investments
that
we
have
done,
and
hopefully,
in
the
next
couple
of
quarters,
we
hope
to
close
these
deals
and
bring
the
license
revenue
in.
So,
that
was

a
little
bit
about
Europe.
I
also
wanted
to
take
a
minute
to
talk
about
that
learning
from
iGTB
Oxford,
it
has
been
able
to
make
a
sage
brand
and
doing
this
transaction
banking
event.
For
the
first
time,
from
November
4
th
to
November
7th,
we
are
having
a
central
banking
event
on
similar
lines
that
we
do
in
GCB
where
we
are
doing
this

in
Oxford
at
the
Rhodes
House,
where
we
now
have
about
50
central
bankers,
and
these
central
bankers
range
all
the
way
from
governors
to
deputy
governors
and
executive
directors
attending
this
event
with
us,
and
we
have
about
30
confirmed
speakers
globally
coming
into
this
event.
So
this
is
the
kind
of
effort
and

Q2
Results
FY
2024-25
thought
leadership
that
we've
been
able
to

create
in
Europe
and
this
is
something
similar
that
we
are
doing
in
other
parts
of
the
world.
So,
I
just
thought
I
will
pick
up
Europe
since
Arun
and
Vasudha
talked
about
it.
And
you
know,
sitting
where
I
am,
I'm
feeling
very
bullish
about
some
of
these
deals.
So,
hopefully,
in
the
next
couple
of
quarters
we
should
be
able
to
see
good
results.

Thank
you,
Arun.
Arun
Jain:
Thank
you,
Rajesh.
I
think
the
important
thing
is
the
eMACH.ai
and
core
banking,
which
we
are
able
to
implement
in
Santander
UK
or
Otto.
They're
happy
customer
because,
a
lot
of
times,
this
transformation
is
never
completed.
A
lot
of
people
promise.
Now,
in
PNG,
one
of
the
largest
banks,
has
gone
live
on
core
banking
transformation
in
7
months.

It's
the
fastest
transformation,
and
it's
on
the
website.
Their
chairman
is
publishing
how
they
help
the
customers
to
go
live
in
7
months.
So,
that's
why
I
think
we
are
creating
differentiation
over
our
competition.
Manish,
it's
your
turn
for
your
GTB
brand
and
large
account
access
you
have,
the
dream
account
access.
Manish
Makaan:
Thanks,
Arun.
I
feel
quite
proud
that
we've
implemented
a

successful
market
strategy
by
aligning
all
our
eMACH
assets,
both
IP
and
Talent,
across
tier
one
and
Tier
2
banks
worldwide.
A
core
strategy
has
always
been
to
grow
with
customers
globally
and
extend
to
other
regional
or
local
banks
in
the
market
where
we
enter
through
global
tier-one
banks.
So
that
helps
us
to
remain
with
the
market
leaders
and
establish
a
market
leadership
brand.

This alignment has fostered deep trust and a strong relationship with the top 60% of the banks across all continents, leads to high-quality revenue growth consistently for us. A steady stream of winds has demonstrated continued success and impact of the strategies. In this last quarter, we moved to very, very large banks close to a trillion dollars of their assets deposit base from one platform

to
the
other.
And
it's
been
very
big
success
for
them.
So,
our
capability
to
execute
large
executions
is
also
a
proven
point
in
our
winning
strategy.
This
has
now
further
been
strengthened
with
the
enterprise-grade
eMACH
cloud
availability,
which,
in
the
last
120-150
days,
Arun
was
talking
about,
we've
been
rolling
across
markets.
The
big
differentiation
this
offers
now
is
that
our
core
capabilities
are

available
in
a
unified
solution.
And
they
have
embedded
AI
into
the
core
platform.
This
also
excites
all
our
system
integrators
and
consulting
partners.
Now
that
they
have
the
capability
to
roll
out
and
implement
these
things
effectively.
Additionally,
we
have
been
working
with
McKinsey
and
BCG
to
articulate
better
the
unique
value
we
create
for
wholesale
banks.
I
think
we
are
one
of
those
unique

partners
who
understand
the
depth
of
the
corporate,
understand
what
a
retail
industry,
what,
an
oil
and
gas
industry,
what
different
industry
core
needs
are,
and
we're
able
to
compose
composite

Q2
Results
FY
2024-25
solutions
for
each
of
the
corporates
using
that.
Based
on
this,
in
the
last
quarter,
we
closed
four
significant
deals
across
the
Americas,
Europe
and
the
Middle
East.
And
notably,
three

of
those
four
were
existing
customers
who
bought
more
capability
and
more
IP
from
us.
The
4th
customer
we
opened
up
in
a
new
Mexican
market.
The
beauty
of
that
is
that
a
number
of
senior
executives
from
this
bank
had
experienced
our
wholesale
banking
CBX
in
their
previous
roles,
in
their
previous
lives.
So,
consistent
endorsement
and
high
NPS
have
helped
us
continuously
to
win

in
these
markets.
I
think
looking
ahead,
I
see
a
robust
pipeline
of
about
ten
deals
we
expect
to
close.
These
are
deals
between
20
to
30
crores
across
the
next
4
quarters,
and
I
will
look
at
the
4
quarters
as
two
different
horizons.
H2
FY25
as
the
first
horizon,
and
then
H1
FY26
as
the
second
horizon.
For
this
period,
I'm
quite
bullish,
and

we
just
concluded
last
week
with
a
very
successful
Sibos.
There
were
apprehensions
about
it
being
in
Beijing,
but
despite
that,
we
managed
to
pull
a
good
amount
of
customers
and
prospects,
and
we
had
over
130
meetings
over
there.
I'm
looking
forward
to
monetising
these
connections
and
strengthening
our
sales
funnel
further
with
this
successful
event
conclusion.
Thanks,
Arun,
back
to
you.
Arun
Jain:
Yeah.

Thank
you,
Manish.

I
think
the
overall
commentary
is
we
are
busier
than
at
any
point
in
time.

I
have
personally
visited
20
different
cities
and
met
the
customers
and
the
prospects.

I
think
the
kind
of
appreciation
we
are
getting
from
the
market
is
that
you
are
better
than
any
other
architecture
framework
which
is
there.

I
would
say
this
is
a
journey
of
Intellect

3.0,
where
we
are
looking
to
expand
some
sales
investments
in
the
next
4
quarters.
So,
there
will
be
some
additional
cost
on
the
sales
investment
because
there's
a
right
time,
and
we
can
leverage
it,
whether
it's
in
the
sales
of
Purple
Fabric.
So
we
were
discussing
multiple
times
whether
that
should
take
AI
business
out
of
Intellect.
However,
we
believe
that
the
AI
business

is
a
core
part
of
our
strategy,
and
it
works
in
an
integrated
way.
But
we
need
to
make
an
investment.
We
have
sitting
on
a
large
cash
pool
of
700
plus
crores
in
our
kitty.
This
is
the
time
when
we'll
be
putting
some
investment
into
expanding
the
sales
network
in
the
US
and
Europe.
Our
proof
point
has
been
established
in
the
last
six

quarters.
So
that's
the
most
important
piece
that
we
wanted
to
prove
whether
it's
working
or
not,
and
the
first
three
quarters
are
just
like
concept
selling.
But
after
that,
it
became
a
really
good
value
creation
where
we
can
have
a
deep
conversation
with
the
CIO
about
how
you
can
reduce
his
cost
by
\$50
million
over
the
next
five
years.
What
kind
of
conversation

can
we
have
at
a
strategic
level?
It
lifted
our
conversation
from
a
product
level
conversation
to
a
strategic
level
conversation
with
the
customer,
and
that's
where
a
significantly
deeper
relationship
can
be.
We
have
close
to
around
35
accounts
with
and
there
is
a
potential
for
each
account
to
become
a
\$10
to
\$20

Q2
Results
FY
2024-25
million
size
in
the
next
3
to

5
years,
and
that
is
the
potential
to
can
become
500
to
700
billion
dollar
business.
So,
I
think
that's
why
our
excitement
is
very
high
and
we
are
all
travelling.
Rajesh
is
in
the
US,
and
Banesh
is
in
London.
So,
all
of
us
are
in
different
parts
of
the
geographies
in
this
period.
So,
I
know
the
numbers
for
this
quarter
are
not
met.

But
look
at
it
from
an
overall
investor
perspective.
The
company
has
got
better
assets.
We
had
such
an
event
happen
in
the
last
6
years
of
the
journey
and
that
every
3
years
that
something
drops
down
and
then
come
back
again.
So,
this
is
again
an
opportunity
for
somebody
to
find
investment
opportunities
in
the
company.
Thank
you.
I'm
willing
to
have
some
questions.

Praveen
Malik:
Thank
you,
Arun.
The
forum
is
now
open
for
Q&A.
If
you
have
a
question,
please
click
on
"raise
your
hand."
I
repeat:
If
you
have
a
question,
please
click
on
"raise
your
hand."
First,
we
have
Mr.
Vivek
Kumar.
Vivek
Kumar
from
Bestpaul
.
Vivek.
Unmute
yourself.
Vivek:
Am
I
audible,
Sir?
Arun
Jain:
Yeah.
Praveen:
Yes,
Vivek.
Please
go
on.
Vivek:
Sir,

thanks
for
the
opportunity.
My
question
is,
when
will
we
get
back
to
this
EBITDA
being
about
20%?
That
is
definitely
a
function
of
the
deals,
and
every
quarter,
we
are
missing
a
few
deals
at
the
end.
A
few
deals
are
getting
postponed
to
the
next
quarter
signing
up,
and
because
of
that,
margins
are
getting
affected.
So,
for
the
last
two
and
a
half

years,
you've
been
investing
in
eMACH.ai
and
all
these
new
platforms.
From
the
Investor
Day,
you
were
saying
that
you
are
so
positive
because
you
are
looking
at
the
current
demand
and
prospects.
So,
when
do
you
think
all
these
products
will
fire
up,
and
we
will
definitely
stay
above
20%
margin
and
good
growth?
When
I
say
good
growth,
it
is
about
10%
or
15%.

Irrespective
of
all
these
small
events,
because
these
are
not
big
things
like
huge
disruptions
or
COVID
kind
of
things,
these
are
like
one
deal
getting
signed
or
delays
even
accounting
for
delays
and
minor
disruptions.
When
will
we
as
a
company
go
about
20%
and
stay
there?
Arun
Jain:

Q2
Results
FY
2024-25
It
will
be,
I
think
when
a
20%
EBITDA
margin
is
not

a
big
issue.
Even
LTM
is
still
20%
plus
on
the
LTM
basis.
Maybe
in
the
next
2
quarters,
we'll
see
a
significant
shift.
If
you
look
at
it,
it
is
on
an
annualised
basis.
So,
we
are
quite
bullish
about
it.
Ten
deals
in
Manish,
five
deals
in
Rajesh,
and
three
deals
in
Banish
are
all
more
than
3
million
dollars
each
of
them.
So

even
if
you
are
able
to
convert
out
of
those
18
deals,
6
to
7
of
them
will
be
above
20%.
Vivek:
So,
growth,
Sir?
When
will
we
get
back
about
this?
Because
we
have
designed
our
company
as
architecture
in
20%
growth.
So,
and
because
of
this
GeM
and
your
investments
taking
time
to
pay
off,
I
think
this
is
getting
delayed.
So
when
will

we
get
back
to
this
predictable
15%
growth?
Arun
Jain:
That's
right,
yeah.
Last
quarter,
I
mentioned
the
700
Crs
annual
run
rate.
So,
I
think
our
target
in
the
next
three
quarters
is
to
have
at
least
one
quarter
above
700
Crs.
Which
is
lucky
quarter
could
be
that's
another
point
of
view
because
these
sizes
are
big.
Vivek:
OK,
Sir,
on
the
digital
core

banking,
can
you
throw
more
light
off
because
you
said
we
have
come
on
to
the
top
3
and
we
are
fighting
deals
and
how
many
deals
are
we
fighting
in
the
digital
core
banking
and
how
are
we
faring
with
respect
to
competition,
Temenos
and
Thought
Machine?
So,
if
Mr.
Rajesh
can
throw
more
light
deeper
light
on
that.
Arun
Jain:
Rajesh.
Rajesh:
Yeah.
So,

I
think
you
know
we
are
seeing
good
traction
in
the
core
banking
space
from
a
market
perspective.

I
think
we
are
seeing
good
traction,
and
we
are
seeing
a
lot
of
banks
who
were
earlier
apprehensive
of
doing
a
core
banking
transformation
coming
into
the
core
banking
transformation
space.
So,
I
think
from
a
market
perspective.
It's
a
good
sizable
market;
of
course,
some
banks

may
have
different
strategies.
Some
may
have
hollowing
the
core,
and
some
may
have
other
strategies.
But
this
market
size
is
good.
And
I
think
from
the
deals
we
are
invited
for,
we
are
seeing
a
competition
space
either
from
Temenos
or
sometimes
from
new
age
players
like
Thought
Machine
or
Mambu,
etc...
And
you
know
I've
said
this
multiple
times,
but
let
me
repeat
it

again.
We
are
in
a
very
sweet
spot
because
we
have
the
latest
technology
stack
with
a
new-age
platform
brings
but
we
also
have
the
domain,
the
domain
and
the
width
of
the
product.
So,
we
are
really
in
a
sweet
spot
for
able
to
do,
and
whenever
we
compete,
I
would
say
that
we

Q2
Results
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2024-25
are
winning.
You
know
as
much
as

the
Temenos
or
a
Thought
Machine
will
win.
So,
it's
the
top
3
players,
and
we
are
seeing
good
traction
in
that.
The
other
point
I
wanted
to
make
was
that
last
year,
we
announced
the
win
of
OTP
Bank
in
Hungary.
As
a
reference
point,
OTP
Bank
is
like
the
HDFC
of
Central
Eastern
Europe
market.
It's
a
very
prevalent
bank
there,
and
we
are

currently
implementing
it
for
OTP.
The
kind
of
maturity
our
platform
is
getting
is
because
of
what
we
are
doing
for
OTP.
I
can
confidently
say
that
from
a
platform
perspective,
we
are
to
be
the
world's
best
platform
from
a
core
banking
perspective
That's
why
there
is
so
much
bullishness
from
that
perspective.
Vivek:
Thank
you,
Mr.
Rajesh.
Mr.
Arun,
someone
mentioned
that
clients
prefer

license
deals.
Is
there
any
shift
towards
clients
preferring
licenses,
or
is
it
just
a
random
remark?
Arun
Jain:
They
both
are
there.
I
think
that
people
in
large
tier-one
banks
prefer
license
revenue.
Sometimes,
they
look
at
it
as
we
want
to
sell
recurring
revenue
because
that's
for
a
10-year
deal
value
recurring
when
you
have
\$
1
million
is
a
\$
10
million
revenue,

while
a
license
of
2
million
doesn't
give
you
that.
And
our
values
are
like
FLEXCUBE.
If
you
look
at
it
the
Oracle
OFSS.
As
they
say
old
pickle
or
old
Wine.
The
wine
is
costlier
if
it
is
old.
As
the
company
become
older
the
value
of
the
company
grow
o
r
Bigger
our
company
grows;
its
value
gets
increased.
We
prefer
these
annual
ARRs,

but
if
a
customer
has
a
very
large
deal
value
running
into
4
or
\$5
million
in
license
revenue
where
the
AMC
itself
is
\$1
million,
we
are
okay
with
going
for
license
revenue.
Vivek:
Sir,
last
question
on
the
BaaS.
Two
years
ago,
Mr.
Manish
said
we
are
trying
to
do
it
in
the
Americas,
North
America
and
the
advanced
economies.
How
is
it
traction

in
the
BaaS
strategy
that
we
have
taken?
Manish
Makaan:
We
did
announce
a
deal
in
quarter
one
on
that
in
the
US
market,
and
we
are
working
with
3
or
4
more
of
those
in,
like
I
said,
out
of
the
ten
deals
in
the
marketplace.
See,
it's
I
would
wanna
add
to
what
I
said.
Its
BaaS
is
one
thing,
the
second
significant
shift

is
embedded
AI
in
our
platforms
and
that's
what
everyone's
looking
at
of
how
I
can
transform
my
operations
with
AI
doing
it
outside
the
platform
versus
because
of
our
Purple
Fabric
assets,
our
capability
to
orchestrate
within
our
platforms.
I
think
that's
the
magic
bullet
right
now,
which
is
creating
my
excitement
and
has
a
big
differentiator
in
the
market.

Q2
Results
FY
2024-25
Vivek:

Thank
you.
Thank
you,
Sir.
Thank
you,
Mr.
Arun.
Thanks
for
the
opportunity.

Q2
Results
FY
2024-25
Praveen:
Thanks,
Vivek.

Next,
we
have
Mr
Umang
Shah
from
Banyan
Tree
Advisors.

Mr
Umang,
please
unmute
yourself.

Umang
Shah:

Hi,
am

I
audible?

Praveen:
Yeah.

Please
go
on.

Umang
Shah:
Yeah.

Hi.

Thank
you
for
the
opportunity.

Two
questions.

How
much
investments
are
we
planning
to
make
in

the
eMACH.ai
in
terms
of
setting
up
sales
offices
in
North
America
and
Europe,
that
was
the
first
question.
Second,
North
American
banks
have
been
very
reluctant
to
move
to
newer
technology,
be
it
core
banking
or
cloud
native
platforms.
So,
what
gives
us
this
confidence
that
the
eMACH.ai
platform
that
we
currently
have
will
help
these
North
American
banks
leapfrog
from
their
30–40-year-old
legacy
systems

to
the
current
microservices
architecture?
What
are
the
conversations
that
have
changed
over
the
last
2
years
and
have
not
changed
for
the
last
10-15
years?
Those
would
be
the
two
questions.
Thank
you.
Arun
Jain:
In
response
to
the
first
question,
I
think
in
the
next
6
quarters,
we
should
be
spending
around...
we
still
have
to
work
out
the
details
on
the
investment,
which

will
be
close
to
\$20
million.
We
are
in
the
board
meeting
we
were
discussing
about
it
that
it's
an
opportunity.
It's
the
lowest
cost
investment
because
the
products
are
ready.
People
take
time
to
build
the
product
over
here.
We
have
invested
the
last
10
years
in
building
the
product.
Now
it's
time
of
GTM.
So,
it
takes
9
to
12
months
for
the
sales

team
to
start
realising
the
value
of
what
is
invested.
To
respond,
second
question
to
you
on
why
American
customers
are
more
open
right
now.
I
think
the
cloud
technology
and
AI
technology;
I
think
what
Manish
has
mentioned
embedded
AI
is
a
sweet
spot
we
are
getting
because
we
are
talking
about
enterprise-grade
AI
platform,
not
ChatGPT
as
a
transactional
grade
solution.
So,
we
are

embedding
AI
into
the
trading
system
we
are
embedding
AI
into
the
lending
system,
AI
into
the
underwriting
system.
So
that's
why
our
US
customer
is
the
entry
point
for
us
is
AI
now,
so
AI
is
the
starting
entry
point
and
then
we
build
up
a
story
around
microservices.
So,
they
are
not
looking
to
change
the
entire
core
banking
system.
Still,
with
my
iTurmeric

and
Purple
Fabric,
we
can
offer

Q2
Results
FY
2024-25
application
rationalisation,
which
is
an
emerging
space
because
they
are
running,
let's
say,
30
applications
that
are
fragmented
with
a
fragmented
database.
With
the
AI
we
are
able
to
consolidate
those
30
applications
into
two
applications.
That's
a
big
win
for
their
perspective.
So
that's
how
we
are
addressing
to
build
a
trust
in
US.
So,

I
must
appreciate
your
deep
study
in
the
market
that
they
will
not
be
changing
core
system.
We
are
also
not
asking
them
to
change
core
banking
system.
Banesh:
Arun,
just
wanted
to
add
if
it's
fine,
right?
So,
thanks
for
the
question.
You
know,
at
least
on
the
insurance
side,
one
of
the
things
we
are
seeing
is
everybody
using
a
cloud-hosted
multi-tenanted
platform.
However,

on
the
banking
side,
the
interesting
thing
is
that
eMACH,
because
of
the
nature
of
its
architecture,
can
coexist
with
its
legacy.
So,
I
think
you
can
take
certain
pieces
and
not
transform
all
of
the
core
banking
in
one
shot.
I
think
it
is
a
very,
very
interesting
way
of
actually
implementing
and
coexisting
along
with
legacy
regardless
of
whether
you
go
to
a
cloud

solution
because
we
are
agnostic
on
cloud
in
eMACH.
You
could
take
parts
of
this,
compose
it
and
execute
it
to
actually
improve
the
priorities
for
a
client
and
get
good
business
outcomes
rather
than
expect
to
do
a
full
transformation,
which
was
something
that
many
people
had
to
do
in
the
past,
and
you
know,
had
its
own
challenges.
Umang
Shah:
Great
Sir,
this
is

very
helpful.
Thank
you
for
explaining
this.
So,
because
we
are
reluctant,
I
mean
the
banks
are
reluctant
to
do
full
transformations
and
our
entire
pitch
around
our
core
banking
system,
IDA
core
banking
system
was
that
we
would
ease
this
transformation
for
these
banks
and
help
them
move
to
a
much
more
componentised
nature.
Then,
wouldn't
eMACH.ai
actually
compete
with
your
core
banking
product
which

you
have
for
the
banks?
Arun
Jain:
Core
banking
product
is
embedded
into
eMACH.ai.
So
all
the
microservices
are
available;
like
in
Otto
Payments,
which
is
the
largest
company,
we
embed
the
core
banking
microservices
into
the
application.
So,
I
think
we
need
to
just
explain
to
you
more
clearly
that
microservices
is
what
we
said
386
microservices.
We
may
choose
fifteen
microservices
to
make
an

application
rationalisation
which
can
coexist
with
the
existing
core
in
phase
one,
Phase
two,
and
Phase
three.
So
that's
what
we
are
proposing:
we
can
help
the
bank
reimagine
banking
rather
than
modernisation.
Manish
Maakan:
Arun,
just
adding
to
what
you
said,
look
at
some
of
the
modern
new
core
banking
players.
The
difference
between
what
they
have
and
what
we
have
is
they
just
have

an
SDK,
and
the
domain
depth
of
those
capabilities
is
really
lacking.
Our
experience
and
expertise
in
rolling

Q2
Results
FY
2024-25
these
things
out
across
these
large
tier-one
banks
across
so
many
markets.
So,
we
have
modern
technology,
which
has
been
recomposed
on
the
eMACH
architecture,
and
we
have
30
years
of
depth
of
expertise.
You
don't
overnight
become
that
expert.
You
can
read
a

ChartGPT,
but
ChatGPT
doesn't
give
you
depth
of
knowledge.
Depth
of
knowledge
comes
from
experiences.
Jokingly
says
cars
we
have
on
our
tracks,
building
and
learning
through
these
30
years
of
journey.
You
can't
underestimate
that
for
any
new
competitor.
Enterprise-grade
technologies
are
not
built
overnight.
Umang
Shah:
Great,
Sir.
Thank
you
so
much.
Praveen:
And
so
on.
Next,
we
have
Mr.
Ravi
Mehta
from
DEEP

Financial.

Ravi:

Yeah,
am

I
audible?

Praveen:

Yeah.

Please
ask
your
question.

Ravi:

So,
my
question
was
more
about
the
Environment.

So
we
hear
a
lot
of
IT
service
companies,
you
know,
giving
good
commentaries
around
BFSI
demand
uptake.

How
is
it
for
you?
At
least,
you
know,
when
we
compare
it,
say,
three
to
four
quarters
back
and
now
when
we
see
this
deal
signing

is
delayed,
at
which
leg
it
is
getting
delayed,
whether
it
is
the,
you
know,
concept
selling
stage
or
the
compliance
or
risk.
Just
want
to
understand
how
the
environment
is
changing
and
where
exactly
the
delay
is
happening.
If
it's
at
the
closer
end
of
compliance
and
all,
it
is
still
OK
whether
the
initial
pitch
is
getting
sales
through.
Just
want
to
understand
that.

Arun
Jain:
Okay,
so
I
think
that
if
you
look
at
the
lead
generation
process
to
the
closure
process,
we
call
it
P0
to
P5.
Six
stages.
Our
lead
generation
process,
as
Banesh
puts
it,
now
we
need
to
really
take
a
conscious
call
about
which
are
suspects
and
which
are
prospects
to
further
work
on,
which
is
how
do
we
move
from
P0
to
P1

to
P2.
So,
we
have
a
good
amount
of
traction
in
last
one
quarter,
we
added
close
to
150
plus
or
180
leads
in
this
same
quarter
in
the
funnel.
There
is
a
significant
acceleration
happening
in
the
lead
to
opportunity,
which
is
close
to
100
leads
have
moved
to
opportunities.
There's
a
movement
happening.
What
the
results
issues
are
there,
which
is
related
to
50%

of
issues
are
related
to
the
contracting
phase
after
the

Q2
Results
FY
2024-25
third
fourth
bridge
within
the
deal
win.

So,
after
winning
that
deal
from
the
business
manager,
the
technology
manager
and
CIO/
Architect
-

After
qualification
of
this
gate.

We
are
stuck
at
gate
4,
gate
between
gate
3

and
gate
4.

We
are
stuck
at
the
procurement
and
want
to
negotiate
100

thousand
dollars.
Somebody
wants
to
put
in
some
contract.
One
meeting
will
happen.
The
second
meeting
will
happen
after
4
weeks,
5
weeks.
So
those
are
the
things
which
are
50%
really
get
stuck
50%
deal
which
is
there
in
the
pipeline
which
Vasudha
mentioned
are
in
the
space
of
we
are
in
last
2.
We
have
superior
architecture
and
some
deals
we
are
new
to

the
country.
So
we
need
to
re-establish
our
ability
to
reference
that
country.
So,
some
of
the
Nordic
countries
and
some
of
the
European
countries
where
we
don't
have
a
footprint,
our
own
footprint.
It
takes
reference
ability
as
a
lever
which
extends
the
time
they
go
for
the
reference
check
for
the
existing
client.
We
are
in
the
last
two
I
think
we
are
reaching

the
last
two
with
eMACH.ai.
Most
of
the
deal
is
almost
80%.
Once
we
are
able
to
apply
for
an
RFP,
we're
in
the
last
two.
The
last
two
are
one
of
the
other
gate
50%
deals.
So
50%
deal
is
after
we
have
won
the
deal,
there's
a
time
to
close.
With
all
the
tick
marks
of
auditors,
it's
a
big
shift
for
all
the

Risk
Committee
members.

So,
Ravi,
have

I
answered
your
question?

Ravi:
What
would
be,
you
know,
the
timeline
of
closure
compared
to,

say,
maybe
3-4
quarters
back
and
today
has

it
shrunk
or
is
it
getting
if

the
deal
size
is
the
same?

I
understand
that
you're
getting
into
larger
deals
will
take
time,
but

a
similar
size
deal
is

it
shrinking?

Arun
Jain:
It's
for

us.
It's
expanding.
So,
there's
no
shrinkage
for
us
even
12
months
back,
we
were
not
shrinking.
IT
services
company
maybe
shrinking,
but
we
were
not
shrinking
and
4
quarters
back
also.
So,
our
valuable
position
is
not
shrinking.
Ravi:
And
just
one
bookkeeping
question.
The
subscription
revenues
had
actually
fallen
Q-on-Q.
I
thought
it
was
sticky
business
when
you
learned
that
our
client
was
getting

into
a
subscription
contract.
So,
anything
to
read
into?
Why
is
it
so?
Arun
Jain:
The
subscription
revenue
also
flips
on
recognition
system
of
subscription
revenue
because
as
per
accounting
policy,
if
subscription
revenue
of
license
is
independent
of
the
infrastructure,
one
can
accrue
full
year
revenue
in
a
quarter.
So
those
are
the
flips
in
their
subscription
revenue.

Q2
Results
FY
2024-25
Ravi:
Okay.
Thanks.

Praveen:

Thanks,

Ravi.

Next,

we

have

Mr

Rahul

Jain

from

Dolat

Capital.

Rahul.

Please

unmute

yourself.

Rahul:

Yeah.

Hope.

I

hope

I'm

audible.

Praveen:

Yeah.

Please

go

on.

Rahul:

Yeah.

So,

just

a

couple

of

questions;

I

think

firstly

to

extend

the

part

that

we

were

discussing

earlier

on

the

SaaS

reduction.

So,

is

there

an

element

of

annualised

booking

in

one

of

the

previous

quarters

for
us
to
have
this
number
at
this
point?
And
secondly,
is
there
still
a
GeM
kind
of
revenue
element
which
could
have
caused
this
thing
in
this
SaaS
revenue
line?
Arun
Jain:
No,
there's
no
GeM
revenue.
Vasudha:
There
is
no
GeM
revenue
there.
so
but
one
or
two
projects,
yeah,
we
had
a
high
subscription
revenue
in
the
previous
quarter
because
it's
all
depending

upon
volumes,
right.
So,
if
we
have
a
higher
volume,
so
naturally
the
subscription
revenue
will
be
higher.
So
that
way
we
had
some
in
last
quarter.
Comparatively,
it
was
lesser
in
this
quarter.
That's
it.
Rahul:
And
have
we
observed
this
in
multiple
accounts
and
not
one
or
two
specific
lines?
Vasudha:
Yes.
Volumes
will
not
be
consistent,
right?
So,
it
will
not
be
the

same
from
one
quarter
to
other
quarters
so
will
be
ups
and
downs.
Rahul:
Yeah,
that
we
understand.
But
this
is
a
significant
decline
so
like
a
30%
decline.
So,
that
way,
of
course,
it
sounds
pretty
different
from
that
context.
And
we,
on
the
demand
side,
Arun
Ji,
of
course,
have
explained
in
detail
how
some
of
the
landscape
is
shaping
up.
But
Q2
Results

FY
2024-25
from
our
specific
pipeline
perspective,
what
is
the
way
to
go
back
to
15
to
20%
kind
of
growth
journey?
What
are
the
challenges
you
see
in
the
immediate
future
in
case
you
know
that
it
becomes
a
risk
from
the
next
4
quarter
perspective
to
go
back
to
15
to
20%?
Arun
Jain:
The
deals
are
there
in
the
pipeline
and
I
think

it's
a
question
of
when
it
gets
accrued.
So,
we
just
need
some
more
patience
in
this
area,
which
we
should
have
taken
care
of
in
one
or
two
quarters.
But,
we
are
looking
for
a
positive
number.
I
mean
coming
quarters
because
deal
pipeline
has
been
matured
now.
Manish
Maakan:
I
think
Arun,
just
to
add
what
you
said,
if
you
look
back
in
the

past,
also
Q3,
Q4
typically
are
better
quarters
for
us.
That's
why
the
annual
we
say.
So,
we
just
got
to
watch
that
out.
Arun
Jain:
Because
it's
better
like
America
and
Europe,
most
of
the
budget
cycle
is
Q3-Q4.
So,
the
budget
cycle
of
America
and
Europe
is
linked
to
the
budgeting
cycle.
When
we
have
more
deals
in
this
part
of
the
world,
Asia

Pacific,
it's
Q1
and
Q2,
which
are
also
good.
But
Q3
and
Q4,
when
we
move
our
focus
to
America,
will
be
better
in
Q3
and
Q4.
Because
their
decisions
are
budget
cycle
decisions
and
planned
decisions,
while
in
Asia,
decisions
can
happen
anytime.
Rahul:
Understood.
And
you
know,
one
of
your
competitors,
Oracle,
they've
been
witnessing
a
significantly
higher
value
of
cloud
deals
in
the

total
license
fee
that
they
are
signing.
And
our
conversation
suggests
that
they
see
significant
traction
from
the
cloud
deal
perspective.
So,
is
there
something
like
that
our
positioning
in
those
kinds
of
deals
is
slightly
different,
and
that's
why
we
see
the
slight
difference
from
the
momentum
difference?
In
the
last
couple
of
quarters
versus
what
Oracle
is
probably
delivering
right
now?
Arun
Jain:
Yeah,

Rahul,
Oracle
has
the
advantage
of
4
deals
of
20-year-old
deals
which
they
are
migrating
to
the
cloud.
So,
they
are
when
I
look
at
the
study,
the
new
wins
versus
migrating
wins
are
the
upgrade
wins.
So,
when
they
upgrade,
they
are
upgrading
on
a
cloud.
So
that's
a
tailwind
that
is
available
with
them.
Rajesh
mentioned
Santander,
we
upgraded,
and
Otto,
we
upgraded.
So,

whenever
we
upgrade
the
client,
you
get
a
higher
value
and
pricing
for
the
deal.
We
are
still
not
as
big
as
Oracle's
financials
on
the
existing
clients,
which
are
more
than
10
years
old.

Q2
Results
FY
2024-25
Manish
Maakan:
They
are
also
trying
to
leverage
the
lost
ground
on
cloud
computing
by
subsidising
some
of
these
deals
on
a
cloud
basis.
Arun
Jain:
Even

Oracle
is
subsidising.
Manish
Maakan:
Yeah,
Oracle
cloud
they
say
comes
at
the
same
price
we
are
in
competitive
bids.
They
say
whatever
is
the
other
person's
bid,
our
bid
is
along
with
cloud.
So,
they
need
to
show
cloud
growth
because
that's
where
they're
losing
out
with
Amazon
or
Microsoft.
Rahul:
Understood
Mr.
Manish
your
point
and
sorry,
Arun
ji,
if
I
missed
the
comment

because
you
were
mentioning
something
around
the
guidance
part.
So,
since
Manish
is
saying
that
the
H2
could
be
good
for
some
of
your
bigger
markets.
So
are
we
still
commenting
on
our
annual
guidance
for
this
year
or
we
are
saying
for
now,
we
should
be,
you
know,
skipping
that
for
now?
Arun
Jain:
You
want
to
pinpoint,
but
we
don't
want
to
give
any

more
guidance
with
the
kind
of
volatility
that
happened
in
the
deal.
So,
we
want
to
avoid
any
guidance.
What
we
want
to
do
is
commentary
on
the
quality
of
the
business
and
the
conversation
quality
of
the
business.
This
quarter
and
quarter
pressure
is
unnecessary
and
depletes
our
energy
at
the
company
employee
level.
They
feel
that
suddenly,
share
prices
move
up
and
down.
Our

momentum,
which
is
there
in
the
market,
feels
positive
right
now.
So,
we
don't
want
to
like
to
look
just
as
a
mirror
for
lines
for
guidance.
So,
we
don't
want
to
give
guidance
now,
but
we
are
very
positive
and
healthy
about
it.
Still,
growth
can
be
there
for
this
year.
So
don't
worry
about
that.
So,
how
much
growth
can
be
there
depends
on

out
of
these
18
large
deals
which
are
there,
how
many
we
can
close,
which
is
almost
cross
the
gate
of
the
3rd
gate
or
4th
gate
they've
crossed.
Manish
Maakan:
We
genuinely
feel
responsible
for
the
growth
we
have
to
deliver.
It
also
balances
medium
to
long
term.
There
are
challenges
I
could
close
deals
with
by
dropping
prices.
We
are
driving
the
right
value

and
right
margins
for
the
organisation.
By
expanding
the
footprint,
the
most
beautiful
thing
is
now
cross
sell
of
all
product
lines
into
large
tier
one
banks
with
GTB
really
won
them
early.
There's
a
lot
of
effort
on
their
AI
is
behind
us.
It's
just
two
quarters
we
have
come
off
GeM.
And
H2
is
always
better
than
H1.
These
are
factual
statements.
I'm
saying

Q2
Results
FY
2024-25
none
of
this
is
an
emotional
comment.
I
think
we
need
that
confidence
and
support
of
each
one
of
you
on
this
journey.
We've
enjoyed
it.
We
look
forward
to
that.
Rahul:
Yeah,
it's
definitely
heartening
to
hear
that.
And
we
are
sure
in
last
7-8
years,
Intellect
has
been
the
fastest
growing
in
this
category.
So,
we
don't
have
any
question
around

it.
We're
just
trying
to
understand
the
current
state
of
things.
Best
wishes
for
the
time
here.
Thank
you.
Manish
Maakan:
Thanks
for
appreciating
that.
Arun
Jain:
Thank
you,
Rahul.
Arun
Jain:
Can
we
close
the
call?
Praveen:
Arun,
some
four
more
are
there.
Arun
Jain:
Okay,
let's
extend
it
by
10
minutes.
Praveen:
Thank
you,
Rahul.
Next,
we
have
Mr
Rohit
Balakrishnan
from
ithought
PMS.

Hello.
Rohit,
are
you
there?
Rohit:
Good
evening,
Sir.
Am
I
audible?
Praveen:
Good
evening.
Yeah.
Please
go
on.
Yeah,
you
are
audible.
Please
go
on.
Rohit:
Yeah.
Good
evening,
Arun,
Sir.
So,
Sir,
just
a
couple
of
questions.
So,
you,
in
your
opening
remarks,
talked
about
distribution.
Actually,
we
are
focusing
a
lot,
and
even
in
the
last
couple
of
calls
you've
been
or
the

last
3-4
calls
you've
been
talking
about.
So,
at
this
point
in
time,
is
it
possible
to
share
some
quality
quantitative
numbers
in
terms
of
how
many
deal
wins
are
coming
from,
maybe
in
this
quarter
or
in
this
H1
or
from
the
distribution
partners
or
in
terms

Q2
Results
FY
2024-25
of
value,
anything
that
you
can
share?
Out
of
the
ones
that
you've
been

talking
about
where
you
are
very
confident,
or
we
are
sort
of
moving
quite
forward
in
terms
of
getting
the
deals,
have
they
been
facilitated
by
the
distribution
strategy
that
we
have
gone,
if
you
can
share?
Arun
Jain:
Yeah,
I
think.
We
will
not
be
sharing
the
number
because
there
are
multiple
partners
involved
in
it,
one
closing
the
deal,
so
giving
a
reference
to

some
deal
where
there
will
be
a
GSI
will
be
involved.
A
consulting
partner
will
be
involved,
as
will
Microsoft
and
AWS
would
be
involved.
So,
all
three
partners
will
be
involved
in
creating
a
trust
circle
with
the
customer.
So
sometimes
it's
a
direct
GSI
who
is
becoming
a
front
end
for
me.
The
second
time,
he's
been
providing
comfort,
which
I
have
mentioned
when

you're
in
a
new
country
and
your
reference
ability
issue.
Trust
anchoring
comes
when
the
customer
talks
to
one
of
the
consulting
partners,
one
of
the
GSI,
one
of
the
scalers,
or
cloud
scalers.
If
they
heard
the
name,
it
would
help
us
win
the
deal
and
provide
comfort
because
he
loves
technology.
But
we
are
new
in
the
market
compared
to
the
many
other
players

like
Temenos,
which
is
30
years
old,
and
Infosys,
which
is
30
years
old.
We
are
new
in
the
market.
That's
where
this
ecosystem
is
working.
So,
we're
not
able
to
specify
separate
line
items
of
distribution
deals,
but
the
network
effect
is
happening
now.
Rohit:
So,
I
mean,
so
if
I
look
at
our
and
I've
been
tracking
our
company
for
some
time
now,
almost

six
to
seven
years
or
even
more.
So,
Sir,
if
I
look
at,
let's
say,
over
2016
or
2017
till,
let's
say,
2023,
we
grew
about
15-16%
in
terms
of
our
revenue,
even
if
I
exclude
GeM
from
that.
Right?
Over
this
time,
I
mean
our
products
have
become
mature
in
the
first
journey.
It
was
GTB,
then
GCB,
and
now
even
insurance
and
wealth
are

getting
again.
Geography-wise
we
are
also
getting
more
and
more
traction
in
advanced
markets.
So,
forget
the
immediate
issues
because
of
either
GeM
from
the
revenue
base
going
away
with
distribution
tailwind
also
coming
and
is
getting
more
and
more.
I
mean,
the
last
4
or
5
years,
or
as
I
said,
6-7
years
has
been
around
15%.
If
I
take
a
longer
term
view.
Maybe

3-4
years
is
it?
Is
it
right
to
say
that
we
will
probably
improve
that
growth
rate,
given
that,
on
the
headwind
side,
there
are
issues
in
terms
of
geopolitics,
slowdown,
etc.?
So,
I
mean,
how
do
you
see
that?
Arun
Jain:
I
think
the
way
you
put
the
question
across
is
also
very
nice
of
6-7-year
traction.
How
we
get
it
and
in
spite
of

all
those
headwinds
of
Brexit
and
all
those
issues
that
happened
during
the
past
that,
we
can't
predict
that.
But
around
a
15
to
20%
growth
rate,
I
think
we
are
all
comfortable
for
the
next
3
to
5
years.
Because
this
technology
is
available,
it
is
meant
for
a
20%
growth
rate.
Specific
year-specific
quarter,
but
we're
not
able
to
look
at
it.
But
if

you
say

Q2
Results
FY
2024-25
15%
growth
rate
year
on
year
for
the
next
4-5
years,
our
margin
growth
will
be
30-40%
year
on
year.
So,
EPS
growth
will
be
30-40%.

Rohit:
Yeah,
right.
So,
actually,
that
was
my
second
question.

I
think
I
also
asked
this
question
during
the
last
conference
call.

I
think
the
first
question
that
Vivek
asked,
I
think
20%,
as

you
also
said
20%
we
are
anyway
doing,
and
in
the
last
call,
I
had
asked
that
the
journey
would
be
closer
to
30%,
and
you
said
6
to
8
quarters.
And
in
this
call,
you're
saying
that
maybe
we'll
have
to
invest
given
the
opportunity.
So,
are
you
still
confident
that
over
6
to
8
quarters
will
get
to
that
30%,
or
given
the
investment

of
\$
20
million,
maybe
there
will
be
some
delay?
Arun
Jain:
I
think
I'd
like
not
to
comment
on
it.
Let
the
time
tell.
Tell
us
how
the
market
will
behave
and
how
we'll
work
it
out.
But
you
have
seen
some
5-6
years,
so
improvement
can
happen
because
it's
all
depends
on
license
number.
Our
costs
are
now
stabilised.
Last
year
and
last
quarter

was
483
Crs.
This
time
it's
477
Crs.
So,
the
total
cost
is
6
Crs
lesser
than
the
last
quarter.
It
may
go
maybe
495
to
500.
If
our
revenue
numbers
go
to
656
to
675,
suddenly,
the
EBITDA
number
will
be
much
higher.
So,
all
these
are
calculable
numbers
for
you,
Rohit.
Rohit:
No,
Sir.
Of
course,
license.
I
mean,
obviously,
if
we
win
the

deals,
that
putting
level
will
definitely
come.
No,
I
was
actually
asking,
I
mean
from
a
cost
point
of
view
and
from
an
investment
point
of
view
that
you
said
that.
Arun
Jain:
Only
sales
investments
are
more
here.
Rohit:
Okay.
Ceteris
paribus,
I
mean,
assuming
the
deals
there
is
no
delay,
etc.,
I
mean,
that's
a
big
assumption
I'm
taking.
In
that
journey,
6
to

8
quarters
or
probably
10
quarters,
the
margins
you
think
I
don't
want
specific
numbers,
I'm
just
trying
to
see
directionally
we
are
getting
towards
that
number
of
closer
to
30%
margins,
or
is
that
still,
I
mean
given
what
you
see
more
opportunity?
Arun
Jain:
Yeah,
definitely.
30%
margin.
Directionally
3
years
from
now.
We
are
definitely
there.
Vasudha:
If
things
are
closed
on
time,

yes.

Q2

Results

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Arun

Jain:

Definitely
directionally
we

are

30%

margin

business,

yeah;

otherwise

we

shouldn't

be

wasting

time

on

us.

So

many

of

senior

leadership

is

sitting

here

there.

Rohit:

Sure.

No,

no,

absolutely,

Sir.

And

so,

this

is

one

last

question.

At

least

two

just

numerical
questions.

One

was

that

balance

sheet-wise.

Post

GeM,

we

thought

our

balance

sheet

would

probably

become

slightly
better
in
terms
of
receivables
and
unbilled
revenue
etc.
So,
is
that
clean
up
has
happened
or
is
yet
to
happen.
I
mean,
in
a
sense,
has
that
gone
away
from
the
balance
sheet?
And
if
you
can
just
give
that,
and
second,
I'll
just
quickly
ask
if
it
is
possible
to
share
revenue
from
advanced
markets,
a
broad
number
that
we
have,
let's
say,

for
the
last
12
Months.
These
are
the
two
questions,
Sir.
Thank
you
Arun
Jain:
Yeah,
yeah,
we'll
note
it
down,
but
the
GeM
hangover
is
still
there.
Yeah,
there's
that
lot
of
money
sitting
correctly
with
the
GeM
Kitty.
So,
we'll
park
it
that
way.
You
know,
the
Government
of
India,
where
all
the
payments
are
now
since
we
are
not
even
in
the
system,

we
are
struggling
with
the
money
collection
from
there.
So,
we
have
to
do
something
different
to
collect
that
money.
So,
we
need
to
keep
it
separate,
and
I'm
suggesting
that
the
CFO
publish
non-GeM
DSO
and
then
collection,
which
is
there.
So
that
will
make
the
balance
sheet
stronger.
Rohit:
And
so,
there
is
advanced
market
revenue
if
you
can
share
broadly.
Arun
Jain:
Yeah.

We
will
look
at
it.

Thank
you.
Rohit:

Sir,
all
the
best.

Praveen:

Thanks,
Rohit.

Next

Arun,

we

have

Mr.

Harsh

Jhanwar

from

Avendus

PMS.

Harsh,

quickly,

can

you

ask

the

question?

Harsh:

Yeah.

Am

I

audible?

Q2

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Praveen:

Yes.

Harsh:

Yeah.

I

just

have

one

question

for

Manish.

Manish,

our

strategy

analyst

made

one

and

a

half

years

back.

You

mentioned

the

strategy
where
you
know
we'll
be
able
to
cross-sell
more.
So,
in
FY23,
the
product
for
the
customers
was
2.9,
which
we
were
supposed
to
take
4
per
customer
by
FY26
and
increase
the
number
of
clients
by
101
to
150.
Hence,
in
the
process,
increasing
market
share
by
2.9
to
6%.
So,
where
are
we
on
that
journey?
How
much
have
we
been
able
to

achieve?
Manish
Maakan:
Thank
you
very
much.
Thank
you
for
remembering
like
I
gave,
I
think
the
strategy
remains
same,
the
results
remain
same.
I
briefly
mentioned
that
3
out
of
4
deals
in
the
last
quarter
came
from
existing
customers
in
cross-selling,
and
4th
was
also
somebody
who
had
bought
from
me
before
in
their
previous
roles
and
lives.
So
that
continues
to
win.
I

will
share
the
specific
statistics
more.
What
I'm
feeling
far
better
and
more
good,
I
would
want
to
say,
is
those
were
limited
to
the
GTB
portfolio.
Now,
there's
a
lot
more
focus
on
all
other
products
for
Intellect
with
eMACH.ai.
Our
ability
to
execute
and
sell
and
for
the
customers
to
consume
because
we
are
in
built
into
their
environment.
That
is
improving,
and
that's

what
you
will
see
a
lot
more
success
on.
For
the
next
3-4
quarters,
you
will
hear
a
lot
more
cross-sell
of
other
products
in
this
portfolio.
Harsh:
I
understood.
And
thank
you
so
much.
Manish
Maakan:
That
may
be
one
of
the
reasons
we
are
saying
we
are
bullish
about
the
Americas
and
Europe.
AI
is
one
enabler.
This
is
second.
We've
established
the
proof

point
of
our
strength
of
core
banking.
The
first
one
is
difficult,
but
the
number
of
wins
on
core
banking
independently.
We
have
also
executed
in
Europe
in
the
last
few
quarters
is
further
adding
to
that
strength.
Arun
Jain:
Actually,
the
strategy.
Yes,
we
look
at
the
strategy,
first
GTB,
then
GCB,
then
AI.
Then
we
look
at
the
strategy
first,
Asia,
then
Europe,
then

America.

So,
in
the
US,
we
are
only
spending
time
just
2
years
back.

So,
it's
growing
step
by
step,
and
that's
the
very
calibrated
strategy
for
the
investor
with
the
way
we
are
approaching
the
market,
and
that's
how
we

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Results
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prepared
eMACH.ai
to
cater
to
the
US
market
because
the
US
is
the
Mecca.
If
you
have
a
billion-dollar
company,
the

US
has
to
give
us
\$300
million
from
there.
Manish
Maakan:
Yep.
And
if
you
look
at
last
2
quarter
results,
we
are
saying
the
number
of
deals
from
US,
you
could
go
back
and
see
is
that
a
significant
number
or
not?
Arun
Jain:
Okay.
Next?
Praveen
Next,
we
have
Mr
Rohit
P.
He
is
an
individual
investor.
Rohit
P:
Thank
you
for
your
opinion.

Like
some
of
the
other
callers,
I
have
been
following
the
business
for
six
or
more
years.
And
I
mean,
I
was
lucky
to
see
the
Design
Center
also.
Mr
Malik
had
very
kindly
shown
it
to
me.
So,
my
question
is
on
the
trajectory
we
are
on
in
terms
of
distribution,
I
mean
in
the
initial
remark,
you
mentioned
that
we
are
in
the
phase

where
we
can
finally
let
go
of
implementation.

I
mean,
at
least
my
study
of
various
global
leaders
in
the
product
space
indicates
that
when
they
let
go
of
implementation
and
focus
on
product
development
and
selling
primarily,
that's
when
the
growth
really
takes
up.

Implementation
is
a
large
chunk
of
the
work
because
you
want
to
control
the
quality
in
the
beginning,
but
once
that

is
done
and
you
trust
others
to
do
the
implementation
and
the
growth
really
takes
off.
So,
could
you
give
more
details
here
in
terms
of
what
proportion
of
our
business
is
self-implemented
versus
outsourced
and
going
forward
over
the
next
3
to
5
years
where
do
you
see
this
number
going?
Arun
Jain:
So,
I
think
we
are
doing
it
jointly
with
the
partner.
So,

when
we
are
looking
at
IBM
or
Accenture,
we
are
working
with
them
alongside
them.
So,
they
also
have
a
revenue.
We
also
have
revenue
from
that.
So,
there
is
one
portion
of
that
business.
Our
focus
will
be
that
in
if
it's
the
5
years
from
now.
We
want
to
maintain
deep
customer
relationships
ourselves.
So,
that
is
a
deep
relationship
that
we
are
talking

about,
with
35
accounts
with
\$
20
million
potential
each.
For
those
accounts,
we
would
like
to
see
that
there
are
deep
relationships
and
deep
margins.
That
strategy
will
be
different
from
a
normal
product
layer
because
we
would
like
to
add
strategic
value
to
the
client
of
those
35
accounts.
Well,
the
rest
of
the
banks,
which
are
out
of
1000,
are
looking
at
it,

and
out
of
500
insurance
companies,
we
are
looking
at
it.

There,
we
are
looking
for
significant
partnership
expansion.
So,
that's
a
dual
strategy
over

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here

I
would
like
to
suggest
to
you.

Percentages
are
too
difficult
right
now
to
predict.

Your
target
is
20%
of
partners'
revenue
in
the
next
3
years,
which
would
be
a
good
benchmark
for
us.
Rohit

P:
So,
when
you
say
20%,
is
It
on
the
overall
Intellect
level?
Arun
Jain:
Yeah.
Intellect
level.
Rohit
P:
OK.
Thank
you.
That
was
helpful.
So
and
the
second
question,
see,
I
mean
again,
as
you
indicated
in
this
call
because
we
are
not,
we
cannot
easily
talk
to
the
customers
in
terms
of
the
product
that
is
implemented,
and
because
we're
not
part
of

the
company
itself,
it
becomes
difficult
to
figure
out
the
trajectory
and
we
always
have
to
sort
of
wait
for
con
calls
and
understand
what
is
happening.
So,
are
there
more
metrics
which
give
us
a
better
understanding?
I
mean,
I
don't
look
at
quarterly,
but
the
LTM
angle
says
we
have
not
done
well
this
quarter,
which
is
for
temporary
reasons,
of
course.
But
I

mean,
it
is
offset
by
the
fact,
as
you
said,
that
in
many
deals,
because
of
the
delay
and
closure,
we
are
in
the
last
two
or
three
levels.
So,
is
there
more?
Features
around
that
that
can
be
shared,
which,
along
with
the
numbers,
gives
us
a
more
holistic
picture
of
where
we
are
at
this
point
in
time,
in
terms
of
the
number
of

deals
where
we
last
2
or
last
3.
So
is
that
something
that
is
possible?
Otherwise,
it
gives
us
an
incomplete
picture,
and
we
are
not
able
to
read
the
right
conclusions.
Arun
Jain:
Yeah,
Rohit,
a
lot
of
numbers
we
can't
share
just
because
competition
is
there.
So,
the
problem
is
all
the
investor
numbers
are
competition
tracked.
We
have
seen
whatever
you're
sharing
in

investor
conference
are
going
to
competition
and
next
time
the
strategies
change.

So,
we
are
very
guarded
right
now
what
should
share
what
not
to
share.

We
don't
mind
sharing
with
you,
but
the
question
is
it's
a
public
domain.

Rohit
P:
Understood,
Sir.
Fair
enough.
Yeah,
that's
absolutely.

Manish
Maakan:
This
is
an
alternate
resource
for
how
technical
analysts
assess
us.
They
look
at
both

qualitative
feedback
and
assessment
of
products,
as
well
as
who
is
the
best-selling
product.
So,
there
are
enough
data
points
from
third
parties
which
you
can
also
access.

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Rohit
P:
Yeah.
Thank
you,
Manish.
Sir.
Fair
enough,
the
analyst
and
analyst
coverage
reports
are
definitely
helpful.
And
so
my
last
question
basically
is
if
I
see
you
over,
I
mean
if
you

can
help
me
understand
the
last
2
or
3
years
we've
talked
about
how
we
are
reaching
the
deal
ends.
But
we
still
have,
let's
say
seven
wins
this
quarter,
five
losses.
So,
in
general,
how
has
our
win-loss
ratio
been
and
how
has
our
trajectory
been
to
reach
the
last
page
of
different
contracts
over
the
last
2-3
years?
Is
that
something
that
you
could

discuss
in
the
call?
Arun
Jain:
Not
on
the
call.
Let's
see.
That
will
be
difficult
to
discuss.
It's
too
many
things
that
are
there
in
this
last.
Sorry,
we
are
just
running
out
of
time.
Rohit
P:
Thank
you.
Thank
you.
Arun
Jain:
Yeah.
Praveen
:
Thank
you,
Rohit.
Arun,
we
are
done
with
this,
but
there
only
2
repeat
questions.
Can
we
take
it

or
can
we
close
it?
Arun
Jain:
No.
Thank
you.
Yeah.
Why
can't
you
send
it
to
me?
Happy
Diwali
to
all
the
investors.
Praveen:
OK.
Thank
you
everybody.
Vivek
and
Rahul,
we
can
send
your
questions
to
me
and
then
we'll
take
it
forward
from
there.
And
thank
you
everybody
for
attending
the
call
today.
Now
we
are
closing
it.
Thank
you.
Vasudha:
Thank
you.

Call: Jan 2025

Intellect/SEC/ 2024 -25 December 27, 2024

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited ,

1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir ,

Sub: Regulation 30 and 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Analysts/ Institutional Investors Call

In accordance with Regulation 30 & 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, enclosed please find transcript of the Analyst s/ Institutional Investor s Call held on
December 19, 2024 , regarding “ Purple Fabric - Our Enterprise AI Platform ”.

The Transcript of the Analyst/ Institutional Investor Call is also available on the website of the
Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

for Intellect Design Arena Limited ,

V V Naresh

Company Secretary and Compliance Officer

Encl: As above

Investor

Meeting

Transcript

Praveen

Malik

Greetings

and

welcome

everyone.

Thank

you

for

joining

us

today .

The

exclusive

event

for

the

investors,

Transform

Operations

with

our

enterprise

AI

platform,

that

is,
Purple
Fabric.
We
have
with
us
today ,
Mr.
Arun
Jain,
Chairman
and
Managing
Director ,
Mr.
Banesh
Prabhu,
CEO
of
IntellectAI.
Then
we
have
Ms
Vasudha,
she's
the
CFO
and
we
have
Mr.
Deepak
Dastrala,
he's
the
CTO
of
IntellectAI.
So
now
I
hand
over
to
Arun
for
his
briefing
first.
But
before
that,
one
safe
harbour ,
I
would
like
to
remind
you
that
anything
which

we
say,
which
refers
to
our
outlook
for
the
future
is
a
forward
looking
statement,
which
must
be
read
in
conjunction
with
the
risk
the
company
faces.
With
that,
we
hand
over
the
mic
to
Arun.
Over
to
you,
Arun.
Arun
Jain
Good
evening
everyone.
Thank
you
very
much
for
joining
this
special
session
on
Purple
Fabric.
This
was
requested
during
the
investor
presentation
where
all

of
you
asked
us
to
present
what
the
Purple
Fabric
means.
We
know
it's
a
multi-agent
AI
platform,
but
what
does
it
do?
And
that
was
a
curiosity
you
demonstrated
in
your
investor
conference.
So
just
to
recap
what
Intellect
Design
Arena
stands
for.
It
addresses
the
kind
of
wastages
which
is
happening
in
the
way
the
IT
industry
works.
I
was
addressing
a
bank
conference

two
weeks
back
and
some
of
the
CEOs
are
saying
that
we
have
a
technology
budget,
need
to
increase,
somebody
is
spending
more
than
double
digit
billion
dollar
technology
budgets
and
they
think
we
have
a
technology
manpower
of
more
than
50,000.
Is
it
a
right
thing
to
do
that
you
need
to
have
50,000
people,
you
need
to
have
spent
more
than
10
billion
dollars,

15
billion
dollars
for
technology?
Something
is
wrong
somewhere
that
we
are
solving
the
problem
and
creating
a
forest
and
jungles
of
the
knowledge
or
data.
And
if
you
apply
first
principle
thinking,
which
I
was
reading
a
book
of
"What
is
life?"
from
Paul
Nurse,
he
simplified
the
life
-
which
is
so
complex
to
me
-
into
just
five
words.
There's
a
cell,
there's

a
gene,
there's
an
evolution,
there' s
chemistry
and
there' s
information.
So
six
words,
five
words,
we
simplified
life.
And
similarly ,
when
we
talk
about
Intellect
Design
Arena,
what
we
had
achieved
in
last
10
years,
yesterday
was
our
10th
anniversary
of
getting
listed
in
Bombay
Stock
Exchange.
On
18th
of
December ,
we
got
listed
in
2014.
In
10
year
journey ,
what
we
have
achieved
is.
We

ask
this
fundamental
question
of
why
banks
should
exist,
why
financial
institutions
should
exist.
Financial
institutions
should
exist
because
there
is
a
financial
event
happening
in
the
life
of
a
customer .
And
customers
are
consumer ,
SME
and
corporate.
There
are
three
categories
of
customer

s
a
bank
has.
And
a
bank
provides
just
six
or
seven
services,
core
events
they
handle.
First
event
is
opening
a

SAVING
ACCOUNT

when

I

get

a

job

first.

Then

maybe

some

LENDING

ACCOUNG

to

buy

my

scooter

or

a

car,

or

I

have

surplus

money

to

do

the

DEPOSIT

,

or

I

have

to

invest

the

money

INVESTMENT

,

and

I

have

need

a

CREDIT

CARD

and

I

need

to

make

some

payments

so

PAYMENTS

These

are

the

role

of

a

consumer

banking.

When

it

comes

to
SME,
then
I
may
add
SUPPLY
CHAIN
FINANCE
to
it
or
working
capital
to
it.
And
if
it
is
a
corporate,
I
need
a
GUARANTEES
or
some
instrument
of
LC
and
guarantees,
which
is
important
for
me
to
provide
my
guarantee
to
some
of
the

Investor
Meeting
Transcript
imports
or
some
of
the
export
I'm
doing.
So
these
are
the
seven,
eight
services,
bank
events

happen
in
the
life
of
the
customer
and
bank
provides
the
services.
And
these
services,
when
you
package
into
technology ,
is
called
micro
services.
So
the
events
are
finite.
The
services
which
is
required
to
support
is
also
finite
if
it
is
revolved
around
client. But
today ,
if
you
look
at
it,
many
banks
say,
I
have
50
products,
I
have
60
products,
I
have
150
products.

and
when
we
go
to
Europe
and
America,
they
say
we
have
400
products.
Now ,
these
400
products,
when
they
have
to
support
with
400
different
databases,
you
are
creating
a
huge
data
waste
and
we
are
challenging
that
initiative.
And
then
similarly ,
when
there
are
400
products,
they
get
connected
to
each
other
there
will
be
10,000
APIs.
We
simplify
this
entire
architecture
to
make

it
finite
thinking
possible.
There
are
only
386
microservices.
They
are
close
to
750
events,
even
micro
events.
And
there
are
2,000
plus
APIs.
That's
all.
So
now,
by
making
everything
finite,
we
are
able
to
go
deeper
and
deeper
and
providing
the
configurability
to
compose
a
solution
and
to
contextualize
the
solution.
This
is
what
we
call
Black
Book
for
us
when
we
go
to

customer;
we
just
show
this
black
book
that
this
is
the
map
of
the
banking.
There
are
13
product
lines
bank
operate
on,
on
the
top
we
have
the
channels
and
bank
office
operations
here.
Then
we
say
each
product
line,
if
it
is
G1,
how
this
product
line
map
to
the
detailed
processes
of
the
bank
and
each
process
over
here
is
numbered,
is
zip

coded.
And
for
each
line
of
business,
lending,
to
Credit
card,
to
Wealth,
to
Transaction
banking,
Liquidity ,
all
our
Wealth
management
is
put
into
eMACH.ai.
So
this
is
my
core
collateral
for
selling
my
banking.
Our
propositions
to
the
banks
are
stop
buying
products,
start
buying
customer
solutions
and
you
can
do
the
composing
yourself.
And
this
is
available
in
the
next
level.
Each
micro
service

has
been
codified
into
a
coding
zip
code
number .
Each
API
is
written
over
here
with
the
API
number .
Each
technology
is
in
a
Blue
book
such
as
a
micro
services
security
for
getting
enterprise
grade
solutions.
So
we
invested
close
to
20
million
hours
of
the
time
in
10
years
since
we
went
for
public.
Two
million
hours
per
year,
you
had
the
international
cost

of
\$100
per
hour.
It's
a
\$2
billion
cost.
At
the
cost
of
India,
20
million
hours,
it
still
cost
\$400
million
of
the
investment
which
we
made
in
building
this
platform
together .
Today ,
I
want
to
spend
some
time
on
what
came
out.
We
have
a
team
of
close
to
150
research
engineers
since
2016.
They
were
operating
from
US,
UK
and
India.
And
these

people,
since
they
started
in
2017,
they
knew
what
works
in
AI,
what
didn't
work
in
AI.
We
failed
in
2018,
we
failed
in
2020.
We
did
some
work,
we
succeeded
to
bring
back
with
accuracy ,
87%,
sometimes
bring
89%,
sometimes
you
bring
91%,
but
we
are
not
able
to
make
it
usable
AI.
The
difference
is
the
promise
of
AI
and
usability
of
AI.
And

that's
the
biggest
gap
we
find
in
our
journey .
But
since
we
had
more
chances
of
exploration
and
experimentation
between
2017
to
2021-
22,
when
generative
AI
landed
us
in
2022,
we
could
identify
the
right
places
where
generative
AI
can
create
a
larger
value
for
the
customer .
And
we,
over
the
period
of
time,
when
we
built
up
these
use
cases
of
magic
submission
in

America
for
insurance
underwriting
space,
or
we
built
up
this
technology
for
ESG
for
the
largest
investment
bank,
Norwegian
Investment
Bank,
or
we
use
it
for
magic
invoice
processing.
All
were
build
on
the
same
technology .
And
this
technology
revolves
around
principally
eight
technologies.
First
is
how
you
get
the
data
from
the
various
sources,
whether
it's
a
structured
data
sources,
which
is
a
data
source

DS
1,
you
get
a
data
sources
from
second
data
source,
which
is
a
document
which
are
present,
which
customer
is
submitting
it,
or
document
you
are
are
crawling
and
r

etrieving
back
from
a
website
of
a
customer ,
that
is
a
DS

2
data
stream
2.

There's
a
data
stream

3
which
you
pick
up
from

,
from,

Investor
Meeting
Transcript
not
websites,
the
paid

data,
you
buy
out
from
Dun
&
Bradstreet
or
ROC
data.
Then
there
could
be
a
regulation
related
data
and
there
could
be
operation
related
data.
These
data,
we
convert
into
knowledge
by
using
four
technologies.
The
technology
number
one
is
ingestion
technology .
Technology
number
two
is,
Deepak
will
highlight
to
you
what
these
technologies
are.
Technology
number
two
is
classification
technology .
Technology
number
three
is

extraction
technology
and
technology
four
is
trusted
data
technology .
Now
these
four
technologies,
once
it
is
done,
we
call
it
'Document
"Intelligence
Management
System".
And
this
is
the
four
technology
constitute
to
create
DIMS
system,
which
is
parallel
to
DBMS
what
Oracle
has
promoted
in
1985.
So
today ,
with
the
AI
coming
into
picture,
banks
needs
a
document
intelligent
management
system
of
their
own.
It's
not

a
part
of
LLM,
it's
a
part
of
the
bank,
their
own
LLMs,
which
should
be
sitting
in
the
bank
system,
or
whether
we
call
bank
LLM
or
bank
SLM.
But
these
documents
must
be
tagged
so
that
we
can
do
a
continuous
KYC
and
continuous
risk
monitoring
can
be
done
on
the
same
documents.
From
this,
we
move
to
technology
number
five,
which
is
how

do
you
create
agent,
which
will
be
shown
to
you
Deepak
will
show
you
how
we
create
agent
by
feeding
in
the
information
by
creating
almost
like
a
digital
expert.
So
there's
a
digital
expert
and
there's
a
human
expert.
So
how
do
we
replicate
human
expert
to
digital
expert
is
the
technology
number
five.
Once
you
get
a
human
expert,
we
simulate
an
operation
room

where
five
or
six
different
category
of
experts
are
there,
which
we
call
role
holder .
They
could
be
sales
manager
role
holder .
They
may
be
ops
manager ,
they
may
be
compliance
manager ,
they
may
be
a
collection
manager
who
is
responsible
for
collection.
They
could
be
a
risk
manager .
So
all
these
roles,
we
create
five
human
expert
in
operation
room.
Now
technology
number
six
is

how
the
six
digital
experts
are
talking
in
a
same
operation
room
is
technology
number
six.
Now ,
once
the
six
people
come
together
in
an
operation
room,
you
can
understand
how
much
noise
they
can
create
because
everybody
has
their
own
perception
and
contradictions.
To
manage
the
contradiction
among
the
six
people
is
the
biggest
job
management
deal
within
a
bank.
But
in
AI
world,
it's

much
better .
We
developed
a
very,
very
highly
sophisticated
algorithm
called
'Socrates
Dialogue
algorithm'.
We
trained
this
digital
expert
to
do
the
prompt
engineering
among
themselves
and
ask
the
questions
which
make
the
difference
to
their
life.
And
that
is
Socrates
Dialogue
is
technology
number
seven.
And
once
these
contradictions
are
there,
we
record
all
the
conversation
behind
it
with
the
traceability .
So
if
the
regulator

wants
why
you
come
on
the
decision
or
business
head
wants
why
operations
has
decided
in
particular
lending
or
not,
he
can
look
at
the
actual
Use
Case
and
traceability
of
it.
And
all
throughout
the
journey ,
then
this
the
jury
of
six
agents
will
give
a
final
file
or
final
recommendation
and
that
recommendation
go
for
the
human
advisor
who
is
there.
So
I
am

converting
your
operation
room
of
100
people
to
just
few
recommendation
advisors
or
who
can
take
decisions
on
it.
And
that's
recommendation,
the
technology
number
eight,
which
should
come
in
the
shape
of
file
or
it
can
come
in
the
shape
of
recommendation
letter .
So
this
8
technologies,
we
wired
together
and
all
are
wired
into
a
single
box
with
all
the
security
and
entitlement
embedded

into
it.
And
all
these
technologies
are
LLM
agnostic.
So
this
is
our
first
platform,
which
is
LLM
agnostic.
It's
not
that
Microsoft
is
selling
Open
AI,
which
is
better
than
Bedrock.
We
say
for
each
different
use
case,
we
do
the
benchmarking
of
the
LLMs.
And
this
benchmarking
of
LLMs
Investor
Meeting
Transcript
capability
is
on
three
AI
constraints,
which
is
a
speed,
cost
and

accuracy ,
we
benchmark
which
is
the
best
LLM
there.
So
this
purple
fabric
platform
can
consume
the
best
and
optimized
LLM
model
for
solving
a
specific
problem,
not
one
problem.
Within
one
problem,
we
may
use
multiple
expert
agents.
Deepak
will
show
you
how
we
use
for
solving
one
problem
more
than
13
experts,
digital
experts
to
solve
that
problem.
Now
you
look
at
it,
what

is
the
market
size
as
an
investor?
How
will
it
translate
into
the
business
scenarios?
I'll
come
to
you
after
Deepak
present
to
you
Purple
Fabric,
that's
how
we
are
translating
this
into
the
business
case
through
three
different
business
models,
how
Purple
Fabric
is
leveraged
for
creating
a
shareholder
value.
So
at
this
point
in
time,
I
want
to
give
the
stage
to
Deepak.
Deepak

Dastrala
Thank
you,
Arun.
Good
evening,
everyone.
Let
me
know
if
you
all
can
see
my
slides
.
See,
one
of
the
biggest
opportunity ,
I
mean,
historically ,
all
the
technology
companies
spent
in
terms
of
helping
the
banks.
But
if
you
look
into
that
typical
area
opportunity ,
which
at
this
moment
we
targeted,
was
IT
costs
of
a
bank
is
anywhere
between
the
11%
to
17%.

And
at
least
40%
to
46%
of
the
cost
goes
in
terms
of
an
operations.
And
this
is
a
completely
new
space
is
actually
up
for
the
opportunity
for
purple
fabric.
Because
right
now,
if
you
see
the
nature
of
the
work
that
can
be
done
in
the
middle
and
back
office
,
so
far
the
technology
could
not
penetrate
into
that
because
it
requires
a

human
level
of
capability
in
terms
of
intelligence
to
do
that.
Now ,
with
where
the
AI
is,
where
the
purple
fabric
is,
I
think
this
is
the
completely
new
opportunity
space,
I
think
where
we
are
working
on
the
various
use
cases,
and
I
will
walk
through
some
of
the
use
cases.
So
the
value
of
the
Purple
Fabric
is
not
only
to
bring
in
the

operational
efficiency
or
reduced
the
cost,
but
also
in
terms
of
helping
the
banks
to
improve
their
revenue
through
h
improved
customer
satisfaction,
enhance
risk
and
compliance
and
all.
So
pretty
much
we
help
both
in
terms
of
banks
improving
their
top
line
as
well
as
their
bottom
line.
And
just
to
give
a
context,
when
we
say
AI
agents,
this
is
very
important
for
me

to
set
the
context.
Because
a
lot
of
people,
historically ,
even
automation,
they
might
have
a
view
about
the
bots.
But
why
agents
are
different
and
how
different
they
are
from
bots?
At
a
very
high
level,
the
expert
for
some
particular
digital
agent
to
become
an
expert
agent,
one,
they
should
have
a
capability
to
leverage
the
foundation
models
which
pretty
much
trained
on
the

universal
data
and
process
it.
That's
what
first
brings
the
human
level
of
an
intelligence,
number
one.
Number
two,
it
should
have
a
memory ,
just
like
a
human,
right?
How
we
have
a
short-term
memory ,
long-term
memory ,
it
should
have
the
memory .
Plus,
it
should
have
an
access
to
the
tools
because
with
the
kind
of
a
digital
transformation
that
happened
over
the
past
decade
and

so
a
lot
of
the
digital
information
is
available
through
the
APIs
or
the
website
and
everything.
So
it
should
have
an
access
to
tool
for
it
to
act.
But
to
a
little
bit
further
context,
right?
To
go
right
at
a
very
high
level,
you
also
can
look
into
that,
a
combination
of
IQ,
EQ
and
AQ.
Why
I'm
trying
to
highlight
this
is
because

at
this
moment,
what
we
are
trying
to
do
is
build
a
digital
twin
of
a
human.
It
means
at
a
very
high
level,
it
should
have
an
understanding
about
a

Investor
Meeting
Transcript
language
it
should
be
able
to
synthesize
the
knowledge.
And
more
importantly ,
it
could
reason
and
reflect
because
a
lot
of
people
who
are
playing
with
the
chat
GPT,
they
might
be

using
it
to
create
a,
using
a
text,
they
can
create
a
text
or
audio
or
video.
But
I
think
what
we
are
talking
right
now
is
about
actually
further
where
like
you
can
do
a
human
level
of
reasoning
and
reflect
on
certain
things
before
making
a
decision.
Another
thing
is
EQ,
which
is
empathy .
And
because
whenever
we
are
talking
about
one
of
the

biggest
use
cases
around
the
customer
service,
you
should
really
have
a
right
level
of
understanding
what
the
customer
is
talking
about,
whether
his
customer
is
sad,
angry ,
happy ,
any
of
those
things,
and
also
adapt
based
on
that.
Then
the
AQ,
and
this
is
the
most
important
thing,
because
what
people
haven't
leveraged
the
AI
for
so
far
is,
once
you
reason,
once
you
understand,

once
you
contextualize
what
actions
that
you
can
take,
which
typically
so
far
only
humans
can
do.
Now ,
as
long
as
anything
is
digitally
available,
actually
these
agents
can
take
an
action
leveraging
the
tools
and
all.
And
this
is
just
to
give
you
the
context
about
what
qualifies
when
we
say
expert
agent,
what
actually
qualifies
in
terms
of
the
cognitive
ability .
Now
at
a

very
high
level,
Purple
Fabric
as
Arun
highlighted,
these
are
the
eight
proprietary
technologies
that
we
have
built
in
the
last
10
years
with
a
lot
of
research
work
that
we
have
done
and
all.
So
if
you
see
a
lot
of
people,
I
know
at
this
moment,
they
just
plug
into
the
LLM
and
they
call
it
as
an
AI
platform.
But
what
is
the

fundamental
challenge
is
still
the
age-old
problem
of
garbage
in
garbage
out
exists
with
the
data.
Unless
you
really
get
the
data
at
the
right
quality ,
this
models
cannot
really
make
sense..
So
what
we
use
this
LLMs
is
largely
for
purely
for
thinking
like
a
brain.
Actually
the
doing
part
is
what
we
have
the
unique
these
capabilities.
And
what
we
also
we
do
is,

for
example,
while
we
have
this
capability ,
the
biggest
opportunity
what
we
have
is
how
we
can
leverage
the
knowledge
that
exists
in
enterprise.
That
knowledge
could
be
enterprise
structured
data.
And
here,
right,
a
lot
of
critical
information
from
a
decision
perspective,
it
helps
in
such
data.
So
we
have
ability
to
really
tap
into
structured
data.
Then
the
unstructured
data.
And
this
is
where

we
have
spent
lot
of
time
in
last
10
years.
And
because
everyone
who
focuses
on
the
data
quality ,
all
the
AI
program,
they
have
a
challenge.
And
when
they
say
challenge,
they
still
they're
struggling
with
structured
data. And
the
10
years'
work
that
we
have
done
in
unstructured
data,
which
is
what
gives
us
a
significant
differentiation.
And
we
see
the
unstructured
data,
it
could

be
a
text
data,
or
it
could
be
an
image
data.
And
right
now
everyone's
comfortable
with
multimodality ,
but
that's
what
we
spent
last
10
years,
how
we
can
get
this
data
right
at
a
scale.
And
also
we
can
tap
into
the
knowledge
of
enterprise
policies
and
practices
because
most
of
the
banks
have
their
own,
let's
say
from
lending
perspective,
what
are
the
guidelines,

what
are
the
process,
policies
that
they
need
to
apply
for
a
different
line
of
business
so
we
can
tap
into
all
of
the
data.
And
along
with
the
market
data,
it
could
be
from
website,
it
could
be
the
third
party
providers,
it
could
be
anything
at
any
frequency
of
any
format.
And
then
also
the
regulators
kind
of
a
thing.
So
these
are
the

five
different
knowledge' s
that
we
can
tap
into,
whether
they're
in
a
structured
data
form
or
unstructured
data
form.
Now ,
a
little
bit
going
into
the
eight
technologies
that
we
have
developed.
The
first
is
Data
Ingestion
technology .
Here
we
can
actually
ingest
the
data
at
a
huge
volume,
and
basically
at
any
scale
that
is
possible,
whether
that
is
structured
or
unstructured
and
all.
So,

and
also
some
for
most
of
the
use
cases
that
we
need
to
do,
probably
we
have
to
d

o
it
at
a
near
real
time
across
the
various
sources.
That's
what
we
can
do.
And
then
especially
in

Investor
Meeting
Transcript
enterprise,
people
will
just
leave
the
data
wherever
it
is.
And
it's
very,
very
important
to
have
an
ability
to
classify
the
data,

whether
they're
structured
or
semi-structured
or
an
unstructured
form.
Because
the
classification
is
so
important
in
terms
of
getting
the
context
right
and
all.
And
normally
you
might
see
right
in
the
landing,
someone
just
submit
all
the
documents,
all
of
that
be
under
one
PDF.
So
how
do
you
know
actually
which
one
is
a
PAN
card,
which
one
is
a
passport,
or
which
one

is
anything
else,
right?
And
sometimes
they
do
it
within
a
one
page
itself.
So
we'll
be
able
to
classify
the
data
at
a
various
level,
at
a
page
level,
the
document
level,
it
could
be
anything
and
all.
Then
how
do
we
contextually
extract
them?
Because
it's
not
just
an
extraction.
This
is
where
the
major
difference
is.
And
we
need
to
really
understand
what

I
meant
by
contextual
extraction
is
which
Use
Case
we
are
looking
into
that.
Within
that
Use
Case
also,
what
sub-Use
Case
that
you
are
looking
into
and
how
do
you
really
get,
right,
and
all.
Because
the
word
policy
might
be
very
different
depending
upon
when
you're
looking
into
the
insurance
versus
some
other
context
and
all.
So
how
do
you
understand
the
context?
This

is
where
our
deep
domain
knowledge
in
the
BFSI
will
come
in
and
that's
what
differentiates
us
from
anyone
else
and
all.
Because
it
is
not
just
about
just
applying
in
AI,
right?
Unless
you
understand
the
domain,
unless
you
understand
the
data,
you
really
can't
get
that
last
2%
right.
And
for
us,
this
contextual
extraction,
where
our
deep
domain
knowledge
helps
in
terms
of

how
do
we
apply
to
the
various
banking,
financial
services,
and
the
insurance
use
case.
And
ultimately ,
it
is
about
trusted
data.
So
because
especially
when
you're
taking
the
data
from
so
many
sources,
how
do
you
triangulate
it?
And
how
do
you
know
which
one
is
trustworthy ,
especially
when
you're
combining
your
in-house
enterprise
data
versus
external
market
data?
Even
external
market
data,
you
don't

depend
upon
just
one
source.
You
get
from
multiple
sources.
Each
of
them
may
be
best
at
some
particular
entities
and
might
not
be
good
at
other
entities.
Some
might
be
good
for
MSME,
some
might
be
good
for
the
large
enterprises.
So
how
do
you
bring
all
of
together
in
contextualize
where
actually
you
can
make
a
critical
decision
in
your
bank
on
the
particular

data?
So
that's
what
this
trustful
data
helps
us.
Then
the
expert
agent,
as
I
mentioned
the
expert
agent
what
qualifies,
right?
Now
there
are
the
three
major
user
journeys
what
we
focus
on
while
you
might
see
so
many
co-pilots
out
there,
so
many
agent
related
platforms
out
there,
and
we
see
it
as
three
major
journeys.
It
is
basically
assist,
augment
and
autonomous.
Assist

this
could
be
any
help
that
will
help
you.
It
will
give
you
only
the
10
to
15%
incremental
productivity .
Augment
is
we
are
talking
about
a
very
deep
domain
expertise
persona
within
the
bank.
It
could
be
an
operations
person,
it
could
be
compliance
person
and
all.
So
that's
where
we
focus
a
lot
of
our
use
case
because
that's
where
our
domain
expertise
helps

us
to
really
make
a
difference
and
all.
So
how
we
build
deep
expert
agents
and
all
that
is
the
augment.
Then
autonomous
could
be
typically
any
critical
decisions
never
happened
by
the
one
person
within
the
division
or
sometimes
even
one
division
itself.
So
how
do
you
have
this
expert
agents
within
the
divisions
and
across
the
divisions
can
work
together
to
actually
make
the

business
decisions
happen.
So
a
lot
of
our
focus
is
around
the
augment
and
autonomous
any
that's
where
our
domain
knowledge
and
data
understanding
that
we
worked
on
for
last
10
years
makes
a
difference.
And
finally ,
the
decision
and
action.
So
even
the
decision,
right?
How
do
you
actually
make
these
agents
collaborate
each
other?
Because
a
lot
of
people
are
talking
about
agents
there.

Our
differentiation
is
how
these
agents
collaborate
each
ot

her
and
how
they
actually
come
together
to
the
decision
and
all.
And
then
finally ,
what
actions
and
all.
When
probably
they

Investor
Meeting
Transcript
are
happy
for
someone
to
bring
into
the
loop
and
when
they
are
comfortable
to
make
a
decision.
These
are
the
critical
capabilities
of
Purple
Fabric
provide.
Again,
we
are
completely

cloud
provider
agnostic
and
the
model
provider
agnostic,
and
our
deep
knowledge
has
really
helped
us
to
really
solve
the
last
2%
better
than
anyone
else.
So
what
I
will
do
is
just
to
contextualize
it
further .
I'll
focus
on
the
one
major
use
case.
By
the
way,
I
think
to
the
best
of
our
understanding
we
have
with
talking
to
many
firm,
we
are
the

first
one
to
put
out
there
the
multi-agent
use
case
in
the
world.
While
everyone
is
talking
about
the
platforms
and
I
think
we
already
went
live
in
a
highly-legged
financial
services
form
and
I'll
walk
through
that
particular
use
case
now.
So
if
you
look
into
the
use
case,
Right
now,
the
complaints
are
claims.
While
they're
a
universal
problem,
right
now
if
you
just

take
UK
alone
at
this
moment,
this
actually ,
it's
costing
around
\$9.24
billion
a
month
and
handling
the
complaints
across
the
various
businesses

.
This
is
the
data
from
the
Institute
of
Customer
Service
in
UK.
So
if
I
just
take
the
Use
Case
that
we
have
operationalized,
especially
after
the
consumer
duty
came
into
the
picture
last
year,
a
lot
of
people
are
complaining
around

the
various
financial
services.
So
what
we
are
talking
about
a
Use
Case
with
a
one
of
the
largest
financial
services
firm
where
they're
dealing
with
so
many
complaints
and
these
complaints
are
actually
sometimes
cost
them
anywhere
few
thousand
pounds
to
the
sometimes
a
millions
of
a
dollars
kind
of
a
thing.
And
they're
not
that
easy
for
someone
within
their
department
to
really
investigate

in
a
short
span
of
a
time.
So
the
reality
out
there
is
at
this
moment
while
they
have
almost
more
than
150
people
they're
able
to
actually
meet
only
less
than
30%
of
the
SLA.
Because
of
the
complexity
of
the
case,
it
is
taking
so
much
time.
And
the
number
of
complaints
are
just
increasing,
especially
because
some
of
the
legal
firms
are
just

recruiting
the
customers
who
have
a
concern.
they
are
doing
everything
on
behalf
of
the
customer .
Why
it
is
so
complex
is
typically
this
compliance
could
be
anywhere
between
last
year
to
the
last
14
years.
And
each
of
the
time,
the
policies
or
the
regulations
might
be
very
different.
And
there
is
no
single
source.
The
data
might
be
across
the
various
sources.
And
also

because
there
is
no
standardised
rubric
for
the
nature
of
a
complaint,
it
will
be
extremely
difficult
for
people
to
really
investigate
and
do
that
within
SLA
of
less
than
50
days.
So
if
just
for
you
to
understand
what
it
looks
like,
this
is
the
typical
operations
team
that
looks
like.
If
you
look
into
the,
if
you
have
to
deal
with
the
capacity
of

anywhere
between
the
200
to
400
complaints
per
week,
at
this
moment
they
need
anywhere
between
five
to
10
FTE
just
to
look
into
the
complaints,
log
those
complaints,
and
they
need
five
to
10
FTE
just
to
classify
and
understand
whether
the
complaint
is
right
or
not.
And
they
actually
need
a
50
to
100
FTE
if
they
have
to
meet
a
capacity
of
700

per
week
to
just
do
the
evidence
gathering
and
then
finally
to
the
case
handling,
they
need
100
FTE.
So
if
you
look
into
the
whole
thing,
right,
everything
is
manual
in
nature
because
of
the
complexity
and
the
nature
of
the
challenge.
Only
thing
that
this
is,
they
have
a
complaint
system
where
they
log
in
the
user
to
a
system
of
record.
That's
all.

That
is
what
it
is.
Now
what
we
have
done
is
this
is
where
we
build
this
multi-agents
who
actually
replicate
this
particular
persona
for
us
and
pretty
much
each
agent
replicate
this
persona.
You
have
a
compliance
manager ,
just
like
how
in
a,
any
division
you
have
a
manager
or
supervisor ,
and
then
you
will
have
the
complaints
checkers
who
does
the
various
roles.
Someone

focused
on
extracting
the
complaints,
someone
goes
and
creates,
not
reports,
someone
focused
on
verification
and
all.

Investor
Meeting
Transcript
So
what
we
have
done,
how
these
agents
will
work
together
is
they
work
together
in
terms
of
tracking
the
incoming
complaints,
understanding
and
classifying
them,
creating
the
whole
dossier ,
which
shortly
I'll
do
a
demo,
and
finally
actually
recommending
the
decision.
So
the
most
important

thing
that
you
need
to
understand
here
is
these
sources
could
be
both
structured
and
semi-structured
and
could
be
unstructured,
number
one.
Number
two,
we
never
just
use
the
one
LLM
to
do
that.
And
this
is
where
Arun
is
referring,
right?
We
benchmark
what
is
the
right
LLM
for
the
right
agent
for
that
particular
job.
So
for
this
particular
Use
Case
that
I'm
referring,

we
use
more
than
six
LLMs
from
the
different
providers.
And
13
plus
agents
actually
came
together
to
really
deliver
the
outcome.
So
the
outcome
that
we
have
provided
took
five
weeks.
We
are
able
to
deliver
the
outcome
in
20
minutes
for
80%
of
the
plus
cases
which
has
brought
in
the
significant
operational
efficiency
and
customer
satisfaction.
The
beauty
of
this
work
is
now

what
we
have
delivered
to
the
customer
actually
doing
a
very
reactive
work
of
doing
the
complaints
because
we
have
built
agents
in
a
modular
and
reusable
form.
Now
the
customer
is
using
this
to
proactively
look
into
who
are
the
other
vulnerable
clients
who
might
complain
and
what
are
the
risks
they
have.
So
this
is
where
our
first
principle
thinking
actually
helped
us
to

really
build
the
whole
thing
in
a
very
modern
way.
So
what
I
will
do
is
I'll
quickly
get
into
the
demo
and
then
I
will
probably
walk
through
where
exactly
it
is
headed.
So
this
is
our
Purple
Fabric
platform.
And
what
you
can
see
is
so
many
agents
that
we
have
here.
So
let
me
go
through
the
agent
who's
actually
the
complaints
manager

who
pretty
much
orchestrates
all
the
work
that
across
the
various
agents.
So
what
I
will
do
is,
because
this
takes
some
time,
I'll
just
probably
fire
the
case
in
front
of
you.
And
then
I'll
go
through
the
previous
case
in
the
interest
of
time.
So
before
I
go
through
that,
what
you
can
see
right
now
is
just,
again,
for
the
interest
of
the

demo,
we're
showing
it
more
as
a
conversation,
but
the
whole
thing
works
as
an
API
at
the
back
end.
So
what
you
can
see
here
is
just
I
asked,
I
clear
this
particular
complaints
of
a
case
reference,
something.
And
what
you
can
see
is
there
are
complaint
manager
immediately
kind
of
called
the
complaint
logging
agent.
And
in
fact,
this
is
where
you
can

see
live
what
is
happening
and
all.
So
the
Complaint
Manager ,
I
gave
a
very
natural
language,
investigate
the
complaint
for
case
reference.
So
this
is
where
the
decision
logic,
because
this
way
the
explainability
and
everything
will
come
into
the
picture.
What
the
Complaint
Manager
has
done
is
first,
I
need
to
extract
log
and
verify
the
complaint
using
the
Complaint
Logging
Agent.
And
then

it
gave
the,
what
is
the
action.
This
is
where
I
referred
to
as
a,
what
is
the
decision,
what
is
the
action?
You
can
see
we
made
it
completely ,
which
will
be
available
for
the
people
to
actually
understand
what
happened.
Because
tomorrow ,
Regulator
want
to
come
and
see
okay ,
how
these
agents
had
made
a
decision?
What
exactly
happened?
Can
you
prove
me?
We

have
a
complete
audit
trail
at
any
point
of
a
time
how
this
happened.
Okay ,
now
if
you
see,
right?
I
mean,
this
is
just
what
happened
is
that
it
has
kind
of
got
that
particular
complaint.
This
is
actually
the
letter
which
it
has
read
and
it
got
completely
that
information,
which
is
a
very
unstructured
here
in
nature.
And
then
it
has
logged
this

particular
complaint
in
the
complaint
system.
You
can
see
the
input
for
that.
What
I
will
also
do
is
just
to
see,
it
is
also
verifying
whether
the
complaint
has
a
mandatory
details
or
not.
And
it
is
also
clearing,
giving
the
output.
It
is
actually
successful.
For
example,
it
is
saying
that
all
the
required,
if
we
can
see
what
I
highlight,
and
all
the

required
information
present,
which
i

s
the
first
name,
last
name,

Investor
Meeting
Transcript
date
of
birth,
address,
and
everything.

And
also,
it
has
the
letter
of
authority
and
all.

So
just
like
how
the
human
will
do,
the
agents
are
doing
it.

Now
what

I
will
also
show

is
it
is
actually

it
took
that
particular
text
that
is
classifying
the
complaint.
This
is

where
like
a
human,
right
when
we
read
it,
we
can
always
see
there
might
be
more
than
one
category
might
be
qualified
for
a
complaint.
Sometimes
when
a
human
who
is
not
trained,
they
might
miss
this.
This
is
where
agent
has
really
read
the
whole
thing,
which
is
a
text.
And
if
you
can
see
it
has
kind
of
understood
the
complaint
category .
For

example,
if
you
see
here
it
has
two
categories.
One
is
inappropriate
product
transfer
and
the
partner
service.
And
it
also
kind
of
validated
according
to
the
FCI
category ,
what
are
those
particular
categories
they
come
under .
This
is
a
pure
human
intelligence,
which
is
actually
replicated
by
the
agents.
Now ,
if
you
can
see,
as
I
said,
right,
complaints
gathering.
This
is
where
you
can

see
just
these
agents.
It
is
actually
gathering
the
data
from
the
various
client
systems.
And
it
is
gathering
the
data
now
even
from
the
data
warehouse,
which
is,
as
I
said,
we
have
a
capability
to
really
get
the
data
from
the
structured
data.
And
all
these
things
it
is
doing
in
doing
parallel.
Now ,
what
it
also
doing
is
once
it
gathered
all
the

data,
it
is
saying
that
the
next
step
is,
for
example,
in
this
case
the
next
step
is
to
the
side
it
started
investigating
that
and
all.
So
basically
it
has
identified
that
I
need
to
investigate
two
complaint
reasons
in
a
product
transfer
and
partner
service.
First
I
will
handle
just
like
human,
first
I
will
handle
it
in
a
product.
So
it
is
doing

all
this
particular
investigation
going
through
the
various
sources,
which
could
be
structured,
semi-structured
and
everything.
And
then
what
it
is
also
doing
is
now,
now
I
have
an
outcome
of
an
inappropriate
product
transfer
complaint
it
will
proceed
to
investigate
the
partner
service.
So
it
has
completed
one
investigation
and
it
is
going
through
that.
And
because
it
is
happening
live,
some
of
the
work

is
in
progress,
but
let
me
show
what's
already
done
just
before
this
meeting
I
had
done
demo.
What
it
will
do,
I'll
go
through
the
traces.
What
it
will
do
is
once
the
investigation
is
completed,
it
say,
I
have
all
the
necessary
details
to
generate
a
final
report.
Now
I
will
use
the
Complaints
Report
Agent
to
generate
the
report.
And
what
you
can

see
is
Complaint
Agent
has
taken
all
the
information
that
it
has
received
so
far
and
it
has
created
a
simple,
easily
understandable
report.
So
let
me
show
that
in
the
actual,
this
one.
If
you
look
into
this
particular
report,
that
you
can
see
this,
just
like
how
the
human
at
the
end
of
the
investigation
prepares.
Dear
case
handler ,
I
have
completed
the
investigation,

so
on
and
so
forth.
What
is
the
client
information?
What
are
the
case
details?
And
what
are
the
complaint
categories?
And
what
are
the
reasons?
And
how
these
are
against
the
FCA?
And
what
is
the
final
verification
status?
The
status
is
successful.
And
it
got
whole
complaint
summary ,
and
it
got
all
the,
in
this
case,
this
is
the
context
to
say
a
wealth

advisor .
So
these
are
the
various
products.
It
has
all
the
particular
product
details
the
codes
and
everything,
the
client
name,
and
all
the
advice
details.
And
then
finally ,
what
is
the
investigation?
So
in
case
the
first
thing
is,
first
is
an
inappropriate
product
transfer .
The
outcome
is
the
complaint
is
rejected.
The
reason
is
it
has
identified
actually
within
this
particular
record,
where
there's

an
evidence
that
client
has
agreed
to
the
recommended
portfolio
and
also
accepted
the
higher
ongoing
advice
fee.
So
I'll
show
you
where
it
is.
And
then
similarly ,
the
second
one
is
a
partner
service.
Basically ,
for
something
to
be
qualified
under
the
advice
service,
it
has
to
prove
that
actually
within
the
12
months,
the
advisor
has
met
the

clients
at
least
once.
So
from

all
the
kind
of
a
meeting
details,
it
got
all

Investor
Meeting
Transcript
the
dates
and
it
has
calculated
that
actually
the
advisor
has
met
the
clients
multiple
times
in
less
than
a
year
and
it
has
rejected
And
it
has
given
evidence
for
that.
Now
people
may
still,
don't
believe
it.
Just
go
for
that.
This
is
where
that
information
is
available
in
the
document.

What
we
got
is
only
like
one
reference.
And
similarly ,
this
is
like
some
28
pages
document,
the
information
available
on
the
26th
page.
We
show
exactly
where
that
information
came
from.
For
example,
if
someone
want
to
see,
here
there
is
a
note
like
agreed
client
has
a
medium
attitude
or
risk
and
is
given.
SRA
willing
to
play
high
to
high
equity
content.
So

all
this
is
recorded.
So
everyone
knows
exactly
where
that
information
in
and
just
leave
it
to
the
humans.
How
many
people
for
how
many
hours
they
need
to
coordinate
across
them,
across
the
various
systems
to
achieve
that.
And
this
is,
we're
able
to
do
that
in
less
than
20
minutes.
Now ,
going
back
to
the,
what
was
the
outcome
look
like
after
we
implemented

the
system.
This
is
the
difference
that
I
showed
you,
right?
This
was
the
state
before
it
was
everything
is
manual.
Now ,
everything
that
is
manual,
now
we
replace
that
with
an
AI
agent.
And
in
fact,
we
have
an
agent,
which
is
also
kind
of
recommending
the
decision,
but
we
are
leaving
the
decision
to
the
human
expert
to
look
into
it.
And
what
was

where
they
have
some
number
of
an
FTE
for
each
of
this
task.
Now ,
they
really
don't
need
any
FTE
for
that
and
actually
the
capacity
could
be
infinite.
It's
up
to
them
because
we
can
scale
the
compute.
Similarly
for
try-outs,
they
don't
need
anyone
and
actually
the
capacity
could
be
actually
scaled
to
the
infinite.
And
then
for
the
case
handling,
this
is
where

we
left
the
defining
decision
with
the
human.
Actually
with
the
same
capacity ,
they
can
do
the
10X
of
the
work.
So
this
is
the
kind
of
an
impact
that
we
have
provided
to
our
customer .
And
this
is
just
a
one
Use
Case
and
we
are
already
many
use
cases
as
Arun
has
mentioned
in
the
insurance
underwriting
space
and
the
ESG
are
non-financial
risk.

In
fact,
what
we
have
done
for
ESG
now
in
governance
risk
and
the
compliance
space
can
be
applied
for
any
company .
It
is
basically
a
corporate
intelligence,
then
account
payable,
the
trade
finance.
These
are
the
various
use
cases
where
we
are
already
making
a
huge
difference
in
terms
of
an
operational
efficiency
and
the
newer
opportunities.
This
is
just
a
start.
We
are
applying

it
across
various
intellect
products.
We
have
identified
hundreds
of
agents
that
can
be
implemented
within
our
intellect
products.
Over
to
you,
Arun.
Arun
Jain
Thank
you.
Perfect
timings,
I
think
4:42
and
exactly
less
than
25
minutes
to
explain
such
a
complex
topic
was
quite
interesting
Deepak
for
looking
at
it.
People
may
have
many
questions.
I'll
put
on
the
chat
box
if
you
can

ask
that
question
on
it.
In
the
meantime,
I'll
ask
Banesh
how
areyou
trying
to
monetise.
What
is
the
business
model
through
which
Purple
Fabric
can
be
giving
value
to
the
shareholders?
Banesh
Prabhu
Arun,
I
think
you
know
I'm
just
going
to
touch
on
a
couple
different
thoughts
and
also
the
areas
that
we
are
focusing
on
for
our
clients.
So
firstly ,
I
think
as

we
have
already
seen
the
platform
capability ,
the
operations
area
of
a
financial
institution
spends
a
lot
of
money .
And
the
work
we've
been
doing
and
investing
over
the
last
many
years
is
actually
helped
us
identify
certain
specific
ways
in
which
AI
can
be
implemented
for
our
customers.
Clearly ,
we
focused
a
lot
on
the
UK,
US
and
the
developed
markets
because
their
cost
income

ratios
are

Investor
Meeting
Transcript

very
high
in
operations
over
there.

And
the
other
important
thing
about
the
platform,
I

just
wanted
to

state
one
more
thing

is
that
we
bring

in
a

lot
of
experience
in
BFSI.

I
think
it's
very
critical
because
when

we
use

AI
we
have

to
ensure

an
lot

of
focus
on

trusted
data,

the
audit
trail

of
what

we
do

from
an
AI
perspective,
all
of
which
Deepak
has
covered
and
something
we
have
considered
very
carefully
when
we
built
the
platform.
So,
I
think
it's
very
important
to
understand
because
a
lot
of
people
are
doing
investments
in
AI
in
very
generic
cases.
But
I
think
our
capability
very
much
focused
on
ensuring
that
services
are
well
managed
from
an
AI
perspective.
I
think
is

very
critical.
Now
to
Arun's
question.
We
have
3
broad
categories
of
how
we
are
monetising
the
system
as
such
Purple
Fabric.
So
Purple
Fabric
has
one
where
we
basically
offered
the
whole
platform
that
you
saw
so
that
the
client
who's
already
been
working
on
existing
various
kind
of
use
cases
and
AI
initiatives
can
actually
bring
those
initiatives
can
take
some
of
our
use

cases,
can
build
their
own
use
cases
for
which
we
actually
train
them
through
an
Academy
of
Purple
Fabric
where
they
can
get
certified
to
actually
build
use
cases,
we
provide
them
the
support
required.
They
can
take
various
capabilities
and
tools
that
you
saw
on
the
platform
that
we
have
built.
These
tools
are
continuously
evolving
as
AI
is
evolving
in
the
market.
So,
we'll

keep
looking
at
new
capabilities
and
enhancing
existing
capabilities.
Deepak
gave
an
example
of
how
we
use
multiple
LLMs
we
benchmark
which
LLMs
is
most
ideal
and
also
various
sort
of
AI
ethical
focus
around
data
because
data
is
at
the
heart
of
it.
And
I
think
all
the
technologies
the
first
4
or
5
of
the
technologies
focus
a
lot
on
data,
and
I
think

that's
very
important
for
us
to
consider .
So,
we
actually
offer
the
platform
for
them
so
that
they
can
govern
multiple
AI
initiatives.
So
if
you
are
an
CIO
or
you
are
an
business
manager
or
an
CEO,
when
you
have
multiple
use
cases
across
financial
services
and
across
the
various
platforms
that
Arun
mentioned
as
part
of
our
eMACH.ai
frame,
the
books
that
you
was

talking
about,
whether
it's
wealth,
whether
it's
insurance,
whether
it's
banking,
whether
it's
lending
or
any
of
those
areas.
As
a
CEO,
there's
a
lot
of
pressure
by
organisations
to
capture
AI
capabilities
which
are
very
generic
today .
What
we
bring
is
BFSI
focus
platform
that
they
can
actually
govern
multiple
AI
initiatives,
ensuring
they
use
the
best
LLMs.
They
ensure
that
the
data
is
trusted.

It
is
very,
very
well
trailed
from
an
audit
trail
perspective
so
that
we
can
follow
all
the
risk,
compliance
and
regulatory
requirements
for
the
client.
So,
this
is
what
we
basically
offer
as
a
platform
is
one
construct.
The
second
construct
is
the
example
Deepak
gave
of
use
cases.
We
have
multiple
use
cases
in
different
functional
areas.
We
take
those
use
cases,
and
we

offer
those
use
cases
for
a
customer
to
be
able
to
actually
implement
it
in
their
technology
environment
or
their
technology
ecosystem
in
the
bank.
And
we
therefore
have
these
use
cases
which
we
normally
charge
per
Use
Case
for
a
customer .
And
the
third
is
where
we
actually
embed
some
of
the
AI
capabilities
that
you
heard
today
into
various
services.
For
example,
you
know

in
wealth,
so
from
a
relationship
manager
perspective,
you
could
have
actually
embedded
certain
capabilities
for
the
financial
advisor
to
be
more
efficient
in
the
way
they
would
deal
with
customers.
So,
there
is
a
lot
of
embedded
AI
in
various
solutions
for
our
various
platforms
as
eMACH.ai.
So,
there
are
these
3
constructs.
Most
of
our
customers
come
and
offer
this
as
a
subscription
type

of
pricing
rather
than
the
traditional
license
type
of
pricing
that
we
have
had
in
some
of
our
products.
So,
this
is
what
we
actually
I
think
right
now
we
are
focused
on
and
this
is
evolving
very
rapidly .
As
both
Arun
and
Deepak
mentioned,

lot
of
people
are
doing
stuff
in
GenAI
asking
assistance
questions
of
data.
But
our
ability
to
replicate
and
human

operation
setup
through
multi
agents

Investor
Meeting
Transcript
from
an
AI
perspective.

I
think
is
a
unique
positioning
and
I
think
it's
effectively
going
to
grow
into
sort
of
a
replication
of
a
different
workforce
within
the
bank
that
will
complement
the
human
and
change
the
future
of
way
work
is
done.
Arun
Jain
Thank
you,
Banesh.
In
summary
you
are
saying
there
are
3
business

model
to
monetise.
BM
1
model
is
around
Purple
Fabric
as
a
platform.
Like
Palantir ,
they
offer
a
platform.
They
charge
\$3
Mn
per
annum
per
customer
subscription.
We
are
looking
this
to
be
in
the
range
of
\$1Mn
a
year.
Customer
can
purchase
it.
So
that's
the
first
model.
Second
model
is
built
up
an
application
specific
application
like
invoice
processing,
application,
AI
based
invoice

processing
application,
which
is
APX,
underwriting
application
like
Magic
Submission
which
you
have
launched
in
the
US.
We
have
more
than
20
clients
using
the
complete
underwriting
platform
which
is
AI
driven
platform
where
we
are
charging
from
them
on
basis
point
for
the
insurance
premium
they
are
underwriting
on
our
platform
or
we
are
using
claim
management
which
is
per
transaction
per
application
file
or

per
complaint
which
could
be
even
if
it
is
close
to
100
pound
per
complaint.
It's
a
kind
of
a
if
10,000
complaints
or
100000
complaints
are
there.
Looking
at
the
market
complaints
in
the
marketplace
of
mis-selling.
So,
these
are
the
cases
within
business
Model
2.
There
are
4
business
cases
of
5
business
cases
we
have
already
put
in
the
market.
Each
Use
Case

we
are
looking
at
it
that
each
use
case,
it
should
be
minimum
Rs.100
crores
revenue
index
3
to
5
years.
Each
Use
Case
can
bring.
And
because
model
canvas
model
one
which
is
around
Purple
Fabric
as
an
platform,
if
we
can
reach
out
to
50
to
100
clients
in
next
4
years,
that's
the
kind
of
an
objective
that
we
are
looking
at
it

and
3rd
with
the
case
which
is
there
which
is
embedding
our
eMACH.ai
in
all
our
products.
So,
our
product
value
which
we
are
selling,
we
can
sell
at
least
20%
at
higher
premium
to
other
market
players
using
the
Model
Canvas
3.
So,
there
are
3
models
–
BM
1,
BM
2,
and
BM
3
to
capitalise
on
it.
With
this
we
are
quite
bullish

about
this
entire
Intellect
AI
platform
investments
are
quite
high
from
the
the
R&D
perspective
and
POC
perspective.
So,
there
are
2
kinds
of
investments
we
are
making.
One
is
on
research.
Second,
on
doing
the
proof
of
concept
for
our
clients.
So
as
of
now,
that
investments
are
going
in
proof
of
concepts
because
whenever
we
want
to
implement
certain
thing
as
Deepak
puts
it,

the
claim
investigation
system
is
the
first
of
its
time
which
has
gone
live
in
the
world
where
it
is
using
enterprise
structured
data
from
multiple
databases
and
unstructured
data
from
the
market
perspective.
Nobody
has
currently
used
the
2
systems
of
structured
data
and
unstructured
data
and
multiple
system
for
multiple
system
to
solve
a
particular
problem
what
he's
showing
using
13
digital
experts.
I

don't
call
it
digital
agent
because
they
are
experts,
so
they
are
13
digital
experts
plus
6
LLM
models.
So
interesting
thing
is
6
LLM
model.
So,
for
one
claim
management
system
we
are
using
6
LLM
model
and
system
is
going
smoothly
there.
It's
traversing
and
saying
what
is
the
billing
for
Open
AI?
What
is
the
billing
for
bedrock?
What
is
the
billing
for

different
LLM?
And
these
are
the
important
things
which
we
are
very
uniquely
defining
and
getting
a
good
traction
from
our
partners.
So,
we
have
one
partner
who
started
doing
the
Academy .
He
wants
to
train
many
people
in
his
organisation,
so
we
have
a
line
from
January ,
February ,
March
will
be
training
our
partners
who
can
sell
to
their
customers
to
reach
extend
our
outcome.

So,
at
this
point
in
time,
maybe
I will
reply
the
questions
what
you
have.

Investor
Meeting
Transcript
Praveen
Malik
Now
you
open
further
questions.
Please
click
on
raise
your
hand
so
that
we
can
ask
your
question.
Arun,
some
questions
are
there
in
the
chat
box.
Also,
let
us
take
that
first.
Nachu
please
read
the
question.
Nachu
Nagappan
Thanks,
Praveen.
The
first
question
is,
what

is
the
unique
value
proposition
of
multi
agent
platform
against
any
other
GenAI
platform?
Arun
Jain
That's
what
we
explained.
So,
I
think
this
has
been
explained
very
well
that
the
multi
agent
is
13
agents
solve
one
problem
.
You
go
to
next
question.
Nachu
Nagappan
How
can
manage
trust
and
explainability
in
platform?
Arun
Jain
Deepak
Deepak
Dastrala
I
think
there
are
multiple
levels,

not
just
an
one
dimensional
thing,
because
throughout
that
what
is
required
typically
for
data
privacy
perspective,
we
will
ensure
that
from
an
either
there
is
a
masking
capability
for
any
PII
data
and
there
is
a
toxicity
capability
to
ensure
that
the
questions
are
the
right
and
sensible
kind
of
a
thing
actually
adhering
to
the
standards
of
an
GDPR
and
everything
is
one
part.

But
explainability
you
have
seen
right?
I
mean
every
single
thing
what
the
agent
does
is
absolutely
available
to
verify
-
we
ensured
that
actually
the
trust
is
visually
felt
also.
We
spend
a
lot
of
time
to
really
understand
what
the
human
AI
interaction
should
look
like
and
how
they
should
be
able
to
interpret
what
agents
are
doing.
That's
the
reason
we
have
decision

logic
and
action.
So,
this
helps
in
in
terms
of
having
the
right
traceability
right
explainability
not
only
in
the
interest
of
an
organisation,
but
also
an
auditor
and
the
regulator .
So,
this
is
what
we
have
put
in
place.
Nachu
Nagappan
Ok.
So,
the
next
question
is
are
the
target
plans
even
ready
to
adapt
to
AI
agents
actively?
A
lot
of
current
adoption
is

let's
do
a
small
pilot
and
we
will
see
later.
Arun
Jain
Exactly ,
that's
what
we
have
demonstrated.
In
US,
there
are
20
clients
are
already
using
it
for
full-fledged
underwriting
submission.
These
agents
are
being
used.
We
started
this
journey
in2021
and
today
we
have
pipeline
of
more
than
100
leads
where
we
are
doing
the
PoCs
with
them
so
that
they
can
on
board.

Inn
claim
one
customer
is
fully
live
ESG
customer
is
fully
live.
So
that's
what
our
uniqueness
is.
We
are
in
action
mode
not
only
in
PoC
mode.

Investor
Meeting
Transcript
Banesh
Prabhu
No,
just
to
add
right.
Most
of
the
clients
go
through
a
PoC,
but
once
a
particular
Use
Case in
the
BM
2
sort
of
model
is
Available,
then
they
can
actually
start
consuming

this
much
faster
than
before.
But
what
really
happens
is
the
client
is
still
going
through
the
stage
of
accepting
AI
into
their
environment.
And
I
think
that
takes
an
POC
which
we
do.
We
are
doing
multiple
PoCs
across
product
lines
today
and
I
think
that's
the
way
the
model
is
still
a
point
where
everybody
will
accept
it
and
then
you
can
scale
it

a
lot
faster
thereafter .
Arun
Jain
Deepak,
can
regulatory
requirement
on
how
AI
is
implemented
in
BFSI
sector
detailed
some
of
the?
Solution
you
have
built.
Deepak
Dastrala
I
think
one
of
the
things
is
we
are
very
actively
working
with
the
various
regulators
through
the
sandboxes
in
the
UK
and
other
places
and
also
trying
to
ensure
that
the
ISO
standards
like
42001
are
applied.

So
that
it
is
completely
in
the
context
of
regulatory .
For
example,
in
both
UK
and
US,
lot
of
regulators
are
helping
with
innovators
like
us
in
terms
of
how
to
operationalise.
So
at
least
where
we
are
operating,
what
we
are
doing,
we
are
kind
of
seeing
some
help
and
we
are
also
constantly
focusing
on
what
are
the
new
frameworks
they're
releasing,
new
regulators,

regulations,
they're
calling
it
out
for
us
to
adopt.
Banesh
Prabhu
Arun,
just
to
add
to
what
Deepak
is
saying,
right.
I
think
what
we
also
do,
not
just
all
the
discussions
with
the
regulators.
But
we
are
actually
finding
ways
in
which
we
supplement
the
human
beings.
Sometimes
people
feel
believe
AI
is
completely
autonomous.
Not
only
do
we
ensure
that
the
data
of
the

bank
is
something
that
we
keep
secure
within
all
the
security
regulations
of
data
that
exist,
but
also
the
work
that
we
do
actually
enhances
the
human's
capability
to
do
processing.
And
therefore
it
supplements
or
augments
the
human' s
decision
a
lot
faster ,
and
it's
not
something
that
from
an
AI
perspective
is
completely
doing
things
which
eliminate
the
control
of
the
human
in
this
case

or
the
operations
process
where
it
will
land
up
doing
the
wrong
things,
you
know
the
wrong
financial
transactions
for
the
customer .
Deepak
Dastrala
And
also,
Banesh
just
adds
to
you
right
the
use
cases
that
we
operationalize
the
biggest
challenge
for
the
companies
is
they
don't
have
enough
expertise
available
to
deal
with
the
demand
that
is
coming
on
their
way.
And
if
you
look

into
the
use
case,
,
the
biggest
challenge
they
have
is
they're
not
able
to
meet
SLA.
They
were
adding
more
and
more
people
that
is
not
helping
them.
So,
if
we
especially
look
into
the
risk
and
compliance
space,
there
is
a
huge
shortage
of
an
expertise,
and
this
is
where
the
agents
help
in
terms
of
giving
the
right
coverage
and
also
reducing
the

cost
or
optimising
the
cost.
Arun
Jain
Yeah,
there's
a
question.
How
is
it
to
some
of
your
leading
competitor
to
replicate
this
kind
of
solute?
I
think
we
have
an
almost
10
years
experience
since
when
we
are
working
on
it.

Investor
Meeting
Transcript
Replication
is
possible
and
that
nothing
can
be
said
that
we
have
a
unique
solution
which
cannot
be
replicated.
We
have

applied
few
patents
on
it
which
can
protect
us
from
the
replication.
But
more
than
that,
I
call
it
basement
1,
basement
2,
basement
3,
basement
4.
If
our
solutions
well,
as
we
find
as
97%
accuracy
or
98%
accuracy ,
somebody
has
to
reach
to
98%
accuracy
takes
almost
months
and
months
of
jobs.
At
least
it
is
a
two
year
to
three-year
moat
available
to

us
on
an
applying
in
banking
financial
sector
which
I
have
talking
about
black
book.
This
black
book
gives
us
a
uniqueness
because
it's
within
each
area
process,
we
know
the
difference,
which
is
there.
What
are
the
cumulative
investments?
Cumulative
investments
in
this
business
over
few
100
crores
were
made..
Something
is
available
in
our
balance
sheet
capitalisation.
Something
is
available
in
UK
subsidiaries.
Few

100
crores
of
the
investment
are
already
made
in
this
area.
With
platform
potentially
replacing
human
operations,
are
we
facing
resistance
from
the
employee
from
our
customer?
Deepak
highlighted
in
very
beautifully
that
we
are
not
able
to
solve
the
problem
fully.
The
regulator
questions
we
are
not
able
to
solve.
Today ,
it's
not
a
question
of
employee,
it's
that
people
are
paying
fine
in
US

and
UK.
They
are
paying
fine
to
the
government
because
they
are
not
able
to
solve
problems.
This
is
a
problem
solving
they're
using
both
hands,
so
there
will
be
some
situation
where
employees
may
feel
constrained,
or
they
may
feel
threatened
with
it.
The
question
number
two,
Rahul
Bhansali,
you
are
asking
what
the
biggest
risks
seen
to
monitize
the
Purple
Fabric.
I
think
the

risk
or
opportunity ,
if
we
look
at
opportunity ,
whether
this
opportunity
there
1000
crore
opportunity
or
5000
crore
opportunity ,
that's
the
dilemma
we
have.
1000
crore
we
are
sure
of
it
in
next
4
years
we
will
be
able
to
capitalise
on
it.
Can
1,000
crores
be
5000
crore
opportunity
for
us
at
a
margin
of
50%?
That's
what
is
current
challenge
right
now,
which
Banesh,

Deepak
or
me
spending
a
lot
of
time
in
the
flight
to
look
at
it,
how
do
we
make
it
1000
crore
to
5000
crores
journey
anywhere
in
between.
In
terms
of
complexity
of
implementation,
I
think
this
is
where
the
beauty
of
the
platform
Deepak
has
done
a
phenomenal
job
under
R&D
team.
WeYou
can
do
it
so
sometime
if
you
want
to
take
it.

We
can
give
a
session
to
you.
You
can
build
on
it.
Praveen
Malik
Rajeev
Sharma.:
Has
any
customer
that
does
not
use
any
of
the
company
product
s
signed
for
this
platform?
Banesh
Prabhu
We
have
one
which
is
right
now
doing
a
PoC
with
us.
I
think
we
have
got
a
big
pipeline
of
PoC
is
going
on
with
clients.
Many
of
them
are

not
clients
of
ours
at
all.
Arun
Jain
Manish' s
question,
there
is
one
beautiful
question.
How
well
does
Purple
Fabric
integrate
with
legacy
infrastructure
of
the
banks
in
US?
This
is
a
beautiful
question
because
that's
exactly
the
structured
data
access
which
we
are
able
to
provide,
which
generative
AI
of
many
players
not
able
to
do
it,
therefore
he
explained.

Investor
Meeting
Transcript
Banesh
Prabhu

Yeah.
And,
you
know ,
there
was
this
question
the
other
day
also
somebody
asked
me
all
the
platforms
that
we
have
built
and
clients
have
our
platforms
this
platform
actually
is
an
operations
transformation
platform
that
connects
to
those
platforms
to
pull
data
along
with
the
unstructured
data
from
documents,
puts
it
together
through
the
agents
and
the
multi
agents
to
do
the
actual
decisioning
involved

in
supplementing
the
human
to
achieve
an
outcome.
So,
it
is
actually
complementing
existing
platforms
by
pulling
data
just
like
a
human
would
log
into
those
systems,
pull
the
information
and
take
decisions
and
AI
agent
is
helping
the
human
doing
it
more
efficiently
and
faster .
Arun
Jain
There
is
another
interesting
question
is
that
can
it
reduce
the
cost
of
building
software.
So
how
the

software
engineering
cost
has
come
down?
I
think
we
are
doing
it.
We
have
stop
hiring
the
people
from
October
onwards,
our
headcount
is
constant,
and
we
are
now
in
the
phase
of
using
the
Purple
Fabric
for
our
internal
automation
substantially .
How
much
is
incremental
investment
is
needed?
I
think
we
need
to
continue
the
investments
s
every
week
changes
there.
Our
GTM
Investments
will

be
much
higher .
We
are
we
are
creating
a
good
marketing
department
in
US
and
UK.
These
are
2
countries
we
picked
up
as
a
first
phase
of
going
there.
Does
Purple
Fabric
improve
conversion
ratios?
I
think
it's
just
a
question
of
each
lead
generation.
It's
improving
a
lot.
I
think
each
quarter
we
are
signing
around
8
to
10
deals.
There
may
be
small

POC,
they
may
big
POC
which
may
not
reflect
on
the
revenue
as
much
in
each
quarter .
But
each
signup
customer
has
a
potential
to
grow
the
revenue
based
on
testing
our
products.
So,
some
of
the
customer
can
become
almost
like
ARR
of
an
\$1,Mn
ARR
to
\$3Mn
ARR,
those
are
the
possibilities
of
this
large
customer
who
are
under
pressure
for
regulator
to
solve

their
problems.\$3Mn
for
them
is
a
peanut
for
the
kind
of
a
penalty
they're
being
charged
by
the
regulator .
Any
other
question?
Praveen,
you
can
look
at
it,
even
raising
the
hands
if
somebody
wants
to
ask
question.
Praveen
Malik
Yes,
there's
one
from
Neil
Chabra.
Please
unmute
yourself.
Nagesh
please
unmute
him.
Moderator
Neil,
you
may
ask
a
question.
You
are
unmuted.
I
can
see

in
it
is
not
mute
from
your
side,
so
you
can
ask
the
question.
Praveen

ji,
you
are
maybe
some
technical
issues
you
might
go
on
to
the
next
one.
Praveen

Malik
Vimal
Kumar
has
already
put
it
in
the
chat
also.
There
are
no
other
hands
that
are
raised.

Investor
Meeting
Transcript
Arun
Jain
Okay .
Two
participants
raised
hands.
Moderator
Vipul,
you
may
ask
the

question.

Vipul

Yeah.

Am

I

audible?

Moderator

Yes.

Praveen

Malik

Yeah.

Please

go

on.

Vipul

So

sorry ,

you

said

that

the

revenue

potential

is

INR

1000

to

INR

5000

crores.

So

that

is

spread

over

how

many

years?

Arun

Jain

5-year

period.

Vipul

5-year

period.

So,

can

we

say

that

from

next

quarter

onward

will

be

clocking

revenues

will

in

hundreds

of

crores

for

this

product?

Arun
Jain
Hundreds
of
crores
we
are
saying
it's
an
accelerating
revenue
not
a
quarter -to-quarter
revenue.
So
please
don't
expect
anything
significantly
change
in
quarterly
revenue
because
when
you
are
doing
an
POC,
we
are
doing
first
100
complaints
to
be
handled,
not
1000
complaints.
But
as
soon
as
it's
accepted,
it
can
become
1000
complaints
a
month.
So
that
is
the
time
the
revenue
build

up
will
start.
Vipul
And
what
will
be
the
margin
profile
for
this
product
as
compared
to
our
other
products?
Arun
Jain
This
is
a
completely
different
lines
of
business
than
other
products
in
enter
transform
enterprise
space.
This
is
in
the
transform
operation
space.
They
are
not
contradicting
to
each
other .

Investor
Meeting
Transcript
Vipul
Margin
will
be
higher
or
lower .
Arun
Jain
Margin
will

definitely
be
higher .
This
is
a
very
distinctively
different
AI
product.
Today ,
AI
margins
are
still
on
higher
side.
So
that
will
be
higher
than
the
existing
products.
Vipul
Okay .
Thank
you,
Sir.
Praveen
Malik
There
is
no
other
hand
raise.
Arun
Jain
Time
is
also
over.
We
have
a
one-hour
session.
So,
we
can
close
the
call.
Praveen
Malik
Any
other
question
out
there,
please

click
on
raise
your
hand
so
that
we
can
unmute
you.
Moderator
There
is
2
question
Praveen
from
Pratap
and
Nishanth.
3
now.
Arun
Jain
Go
ahead
Pratap.
Moderator
You
can
speak,
Pratap.
Pratap
Yeah,
Am
I
audible?
Moderator
Yes.
Pratap
Yeah.
So,
can
you
explain
few
other
use
cases
that
that
can
be
like
one
is
that
customer
resolution
you
have
explained
like
what
are

the
other
areas
or
what
are
the
other
use
cases
you
have
currently
developed
or
in
future
what
are
the
other
areas
where
you
will
be
you
think
you
can
have
developed
application
basically?

Investor
Meeting
Transcript
Arun
Jain
There
are
68
use
cases
we
identified
in
banking.
We
are
going
step
by
step
to
look
at
like
trade
finance
business.
The
entire
use
case
is

in
trade
finance
business.
The
entire
use
case
in
lending
underwriting
solutions,
the
entire
use
case
in
regulatory
management
of
the
reporting
which
is
there.
So,
there
is
a
68
list
of
experts.
Digital
expert
use
cases.
We
have
a
book
available
which
we
are
using
for
selling
in
entire
black
book
space.
Pratap
If
out
of
the
68
like
for
all
of
these
are
developed

or
like
how
confident
we
are
with
the
how
many
cases
and
like
what
is
our
plan
to
add
up
basically?
Arun
Jain
Yeah.
So
that's
what
our
depend
on
our
capacity
to
go
to
market.
So,
we
are
doing
at
least
2
use
cases
per
quarter
to
go
live.
So,
we
are
just
picking
2
at
a
time
and
then
making
it
perfect
and
then

go
to
market
on
that.
We
need
to
set
up
a
full
team
to
sell
this
product
like
claim
which
is
for
UK
market.
Now ,
it
can
go
to
the
US.
So
now
we
are
setting
up
a
US
team
for
claim
investigation,
so
one
quarter
it
will
take
to
set
up
an
US.
Team
UK
team
is
ready .
US
team
will
be
set
up
in

next
quarter .
So,
it's
a
3-step
process.
First
is
building
the
agent,
second
is
do
a
first
live
sites
and
then
3rd
cycle
is
for
go
to
market.
Banesh
Prabhu
And
just
to
add
to
that,
this
is
not
like
a
coding
platform.
We
actually
configuring
this
so
the
third
option
is
to
get
the
partner's
trained
so
that
they
can
actually
create
the
use
cases

for
their
customers
or
cases
that
the
customer
already
has
enabled
them
on
this
platform.
So,
it's
not
a
traditional
coding
type
platform
as
the
earlier
plan.
Pratap
And
so,
what
is
your
plan
for
go
to
market
like
we
want
to
have
some
partners,
or
you
have
mainly
we
want
to
have
our
own?
Arun
Jain
So,
this
we
will
be
doing
with
the
partners.

So,
some
other
use
cases
are
taken
by
consulting
companies.
The
consulting
companies
of
big
4,
which
I
mentioned
big
5
we
have
mentioned
not
big
4.
We
added
another
company
also
along
with
the
4
partners.
So,
5
companies
which
are
there,
we
are
going,
they
are
taking
us
to
the
customers.
Pratap
OK.
So
just
to
understand
like
traditional
IT
software
companies
like,
can

they
be
our
partner
or
there
are
some
conflicts
of
interest?

Investor
Meeting
Transcript
Arun
Jain
They
are
our
partners.
Traditional
IT
companies
are
definitely
partners
and
there
are
two
IT
companies
which
are
definitely
training
their
workforce
using
Purple
Fabric.
Pratap
So,
there
is
not
much
conflict
of
interest
in
with
them,
basically?
Arun
Jain
Initially
we
felt
the
conflict
of
interest
when
we
launched

it,
and
they
also
launched
it.
But
when
they
saw
our
platform,
they
themselves
backed
out
that
they
don't
have
capacity
to
do
such
a
deep
R&D
on
these
kinds
of
products.
Banesh
Prabhu
Particularly
in
the
multi
agent
side.
Pratap
Thank
you.
Nachu
Nagappan
Next,
we
have
a
question
from
Nishant
Gupta.
Nishant,
you
can
ask.
Nishant
Gupta.
Nishant
Hello.
Am
I
audible?
Nachu
Nagappan

Yes,
Nishant.
We
can,
we
can
hear
you.
You
can
ask
your
questions.
Nishant
Thank
you
for
the
for
this
interactive
and
deep
dive
session.
So,
I
had
actually
2
questions.
One
is
this
product
definitely
has
a
lot
of
use
cases,
right?
But
and
you
are
targeting
the
back
office
in
the
operations
team.
But
will
this
actually
lead
to,
you
know ,
termination
of
the

workforce
on
that
front,
I
mean
you
briefly
touched
on
that,
but
I
just
wanted
to
get
an
more
realistic
sense
that
will
people
lose
out
on
jobs
when
you
start
implementing
because
eventually
you
replacing
the
agents
with
technology ,
so
more
from
of
fairness
point
of
view ,
right?
If
you
can
comment
more?
Arun
Jain
Yeah.
So,
I'm
not
to
comment
on
this
fairness
point

of
view ,
but
I
think
AI
will
definitely
take
away
a
lot
of
routine
jobs.
People
have
to
reengineer
themselves.
Within
a
software
engineering
business,
I
believe
that
30%
of
our
engineering
service
industry
will
lose
their
jobs
in
2026.
A
software
engineering
industry
from
India
has
a
serious
risk
of
losing
the
business
as
well
as

Investor
Meeting
Transcript
jobs,
so
it's
a
fair
question.

There
is
no
answer
to
it.
By
not
doing
it,
it
doesn't
solve
the
problem.
If
technology
has
come
in,
those
technologies
have
to
create
a
new
kind
of
a
job.
More
fear
jobs,
more
sustainability
element.
So,
if
the
job
can
be
put
on
ESG
compliance,
more
sustainable
thing,
I
think
world
will
be
a
better
place
using
AI.
Banesh
Prabhu
And
this
is
a

bigger
moment
than
the
Internet
when
it
started.
And
new
kind
of
jobs
will
arrive,
but
there
is
going
to
be
a
transition
of
skills
and
changes
and
different
kind
of
jobs.
But
this
is
not
like
Arun
said,
this
is
not
something
you
can
stop.
This
is
already
in
motion.
Its
changes
are
going
to
happen,
and
it
is
going
to
change
the
way
we

operate.
Nishant
Got
it,
sir.
So,
my
next
question
is
that
Google
Gemini,
they
are
also
innovating
a
lot.
They
are
also
conducting
sessions
where
they
are
telling
about
what
all
capabilities
they
are
developing.
You
mentioned
that
there
are
4
levels
of
basements,
and
anyone
would
take
2
to
3
years
kind
of
a
timeline.
But
considering
Google
is
there,
you
know
perplexity
has
recently

received
and
fundraise
of
\$500M
valued
at
9
billion
dollars.
Is
it
fair
to
comment
in
light
of
these
events
that
you
still
have
a
2-to-3-year
kind
of
a
moat
in
this?
Arun
Jain
The
difference
is
we
are
in
applied
research.
We
are
not
in
foundational
research
for
Google
and
Gemini
spending
money
is
in
foundational
research.
We
are
leveraging
them
to
solve
the
specific

business
use
case,
which
is
not
their
competency .
What
did
work
on
is
a
technology
competency .
We
work
on
applied
banking
competency .
That's
what
Banesh
tried
to
highlight
in
the
beginning
of
the
session
that
our
differentiation
is
which
particular
smaller
space
it
when
you
are
issuing
an
LC,
where
is
the
in
LC
which
is
the
particular
context
of
LC
and
which
business
will
need

to
be
applied
for
that
is
not
known
to
Gemini
or
any
of
these
products.
So
that's
where
the
moat
of
2
years
is
there.
Deepak
Dastrala
Just
to
add
to
what
Arun
said
right.
If
you
see
pretty
much
from
the
level
of
intelligence,
this
narrowing
down
between
the
top
players.
Now ,
even
if
you
see
OpenAI,
most
of
their
recent
work,
they're
all
trying

to
figure
out
how
to
verticalise
their
intelligence.
And
what
kind
of
a
user
journeys?
What
kind
of
problems
they
want
to
solve?
So
that's
where
being
in
an
BFSI
space
for
more
than
3
decades
gives
us
say
that
very
unique
insights
on
how
this
can
be
applied
and
how
it
can
be
solved
to
the
last
mile
better
than
anyone
else.
That's
where,
that's

where
our
differentiation
is.
Nishant
Got
it.
One
final
question
from
my
side.
This
is
more
like
from
a
long-term
view
you
are
targeting
to
capture,
let's
say
1000
to
5000
crores
for
market,
right?
But
let's
say
for
a
bigger
player
comes
in,
offers
to
buy
this
particular
product
segment
from
you.
Would
you
be
open
to
selling
it
at
a
particularly
higher
value
or

you
want
to
keep
it
in-house
and
keep
kind
of
getting
a
recurring
revenue?

Investor
Meeting
Transcript
Arun
Jain
Boss,
you
have
seen
the
Intellect.
These
investors
do
come
with
the
always
some
purchase
options
we
must
do
some
action
on
this
company ,
some
corporate
action
on
this
business.
We
can
think
about
something
of
that
nature
where
we
can
leverage
it
better ,
subsidise
it
something

we
don't
know
as
of
now.
We
are
just
discussing
it
how
do
you
really
capture
the
value
of
1000
crore
to
5000
crore
journeys?
That's
what
we
are
discussing
in
board
meetings
that
how
do
we
capitalise.
1000
crore
we
are
sure
of.
But
5000
crores,
if
you
have
to
take
some
action,
where
we
need
to,
we
are
exploring.
Nishant
Got
it.
And
you

are
targeting
not
the
Indian
market
right
now,
only
the
US
and
the
UK
and
all
market
right
now.
Arun
Jain
Yeah,
that's
right.
Nishant
And
any
particular
setting
for
that?
Arun
Jain
Pardon,
the
question.
Nishant
So
why
not
also
target
the
Indian
market
where
you
know
the
BFSI
sector
and
the
Backoffice...
Banesh
Prabhu
There
are
some
Intellect
tactical
clients,
which
are
critical
to

us,
where
we
are
talking
in
other
geographies
to
those
clients.
But
our
main
focus
of
scaling
the
business
is
going
to
be
in
the
US
and
in
the
UK
to
begin
with.
Arun
Jain
We
are
doing
an
APX
model
like
Magic
Invoice,
some
small
way,
Indian
market.
We
are
using
it.
Some
big
customers
for
India,
we
want
to
look
at
its
Central
Bank

and
as
of
now,
India
rules
are
not
clear
where
they
can
use
where
they
cannot
use
Central
Bank
has
not
issued
any
notification.
How
can
they
use
AI
or
not.
We
tried
doing
in
India.
I
think
we
will
take
it
up
when
some
clarity
will
emer ge
from
the
Central
Bank
on
the
how
AI
and
which
use
cases
can
be
there.
So
as
of

now,
we
are
waiting
for
the
AI
policy
to
confirm
India
and
then
we
can
use
in
India.

Investor
Meeting
Transcript
Nishant
Got
it,
sir.
Thank
you
and
all
the
best.
Nachu
Nagappan
Thanks
Nishant.
Next,
we
have
a
question
from
Puranik.
Puranik,
can
ask
your
question
please.
You
can
unmute
yourself
and
ask
the
question.
Puranik
I
have
a
question.
See
this
year,
human
and

agent
is
a
wonderful
collaboration.
So,
this
produces
tremendous
output.
Can
you
hear
me?
Arun
Jain
Yeah.
We
can
hear
you.
Puranik
Yeah.
So,
it
it's
been
it
pretty ,
it's
delivered
fantastic
optimisation.
It's
an
optimisation
tool.
It's
an
enhancement
tool.
It's
done
a
fantastic
job.
So
how
do
you
measure
this
going
forward?
From
use
case
to
use
case
you
know
from
application
to
application,

the
productivity
of
this
in
combination
when
they
work,
how
do
they
work
and
how
do
they
get
technology
and
domain
specificity
together?
Then
how
they
will
get
the
productivity
of
the
platform,
because
I
don't
see
much
of
a
productivity
in
this
application.
Banesh
Prabhu
No.
So
yeah,
I'll
just
take
that
question
Arun.
So,
I
think
you
got
the
example
from
Deepak
on
actually

showing
you
the
outcome
from
50
days
to
20
minutes,
30
minutes
for
an
investigation.
You
got
the
accuracy;
you
got
the
cost
benefit
of
that
speed.
So,
all
the
quality
dimensions
that
would
be
there
in
Gen
in
any
kind
of
quality
management
on
accuracy ,
speed,
cost
and
efficiency
is
all
there
to
actually
measure
use
case
by
use
case.
So,
the
client
actually
can

see
that
and
that's
what
we
work
with
the
client
as
part
of
the
PoCs
to
do.
Puranik
My
question
is
seeing
if
you
what
you're
saying
is
right.
If
let's
say
your
spread,
it
across
the
10
use
cases.
So,
is
there
an
improve
productivity
improvement?
Is
there
an
output
efficiency
coming
up
in
each
and
every
I'm
trying
to
understand,
let's
say
it
does

10
application,
10
projects,
at
every
stage
because
of
the
agent
involvement,
the
combined
productivity
should
get
better .
The
output
could
get.
More
importantly ,
the
output
get
better
the
result
that
you're
seeking
gets
better .
So,
does
that
happen?
Arun
Jain
So,
Deepak
what
is
the
benchmark
you
are
looking
at?
He
is
asking
the
question
that
you
have
a
benchmark
metrics
now
which
you're
not

showing
it.
Otherwise,
they
were
the
accuracy .

Investor
Meeting
Transcript
Deepak
Dastrala
And
yeah,
I
think
if
you
see
right,
we
are
in
a
very
interesting
phase
where
we
are
actually
initially
the
people
see
as
more
of
an
automation
journey .
That
is
the
reason
a
lot
of
metrics
are
around
the
operational
efficiency
and
the
productivity
that
was
the
first
part.
But
if
you
see

right,
this
is
where
also
we
have
working
with
our
customers
to
also
see
the
different
dimension
because
automation
is
a
largely
the
FD
saving
and
those
kinds
of
metrics.
But
what
we
are
also
doing
is
like
the
use
case
that
we
developed
for
the
complaints
right
now
we
are
using
it
for
a
compliance
means
what
is
the
cost
of
getting
the
decision
right

and
how
we
are
reducing
it
means.
For
example,
if
you
take
the
banks,
,
the
real
value
is
how
you
can
reduce
your
NPA?
How
you
can
deliver
the
loans
so
that
your
chances
of
you're
paying
and
all?
So
that
is
where
what
we
said
is
we
are
not
only
helping
in
terms
of
improving
the
bottom
line,
but
we
are
also
helping
in

terms
of
improving
the
top
line.
So
that
the
mis-
selling
can
be
stopped
So,
it's
so,
because
that
is
the
reason
we
are
also
helping
and
educating
our
clients
to
not
to
see
it
as
an
automation
way,
but
also
see
it
an
AI
way.
That
was
the
number
one
second
thing
is
in
fact
we
are
working
with
some
Advanced
Research
universities
to
how

we
can
benchmark
the
competency
of
an
agent
across
the
human.
Because
right
now,
from
a
human
perspective,
right
when
you
on
board
someone,
this
is
the
competency ,
this
is
the
salary
and
all.
Now
we
will
be
continuously
increasing
the
competency
and
that
also
will
give
a
differentiation
in
terms
of
a
price
point
and
also
the
quality
of
decisions.
So,
this
is
the
various

ways
we
are
helping
the
banks
also
kind
of
a
creating
a
new
way
to
benchmark
on
this.
Arun
Jain
So,
I'm
using
this,
Puranik,
for
my
software
testing.
And
for
software
compliance
testing
of
security ,
I
am
using
the
Purple
Fabric
for
doing
it,
which
used
to
take
4
weeks'
time
to
have
a
security
leakage
in
the
software.
Today
I'm
using
Purple
Fabric
to

check
gates
of
entire
software
quality .
So,
we
are
going
to
leverage
almost
20%
headcount
reduction
for
the
same
job
in
next
6
months.
Puranik
Wonderful,
Banesh,
can
you
give
us
some
use
cases
on
underwriting?
Because
underwriting
is
everybody's
concerned
that
a
well-earned
loan
is
well
recovered.
So
initially
you
give
it
the
right
lender ,
you
don't
have
to
put
in
too
much
effort.
The

borrower ,
you
don't
have
to
put
in
too
much
effort
in
collection.
So
how
will
you
help
in
that
process?
Arun
Jain
Banesh
has
run
Citibank
operations.
Banesh
Prabhu
Underwriting,
whether
its
loan
underwriting
or
insurance
underwriting,
you
know
for
underwriting,
you
normally
get
unstructured
documents
that
are
that
we
have
a
product
called
Magic
Submission
where
people
submit
documents,
and
this
can
be
very
complicated

Investor
Meeting
Transcript
documents
with
great
deal
of
details.
So,
we
actually
through
our
technology
that
you
just
heard
today ,
you
can
take
that
data,
you
can
ingest
it
whether
it's
unstructured
or
structured.
We
can
also
have
a
data
platform
of
our
own
for
underwriting
where
you
can
triangulate
this
combination
of
data.
Now ,
what
are
you
doing
in
this
model?
You're
actually
going
up
to

BPOs,
right?
BPOs
do
these
jobs
operationally .
Document
hand
to
them,
they
data
enter
few
fields
in
the
document
and
then
that
underwriter
uses
those
fields.
But
what
we
are
actually
doing
is
through
AI,
not
just
collecting
all
that
information
into
knowledge
database
of
information
for
the
underwriter
to
ask
questions,
but
we
will
also
be
creating
underwriter
agents
to
help
the
underwriter
become
more

efficient
as
we
go
forward.
With
those
examples
on
underwriting
and
this
can
apply
across
the
board
for
underwriting.
Puranik
Can
you
give
some
examples
of
that?
So,
what
are
the
fields
that
you
have
eliminated?
What
fields
you
got
it
more
efficient
than
what
it
is?
Banesh
Prabhu
So,
if
you,
I
mean
we
don't
need
to
go
to
the
field
level,
but
there
are

lot
of
data
that
you
do
not
capture
from
submissions,
right?
Because
data
entered
into
a
few
things,
but
actually
the
data
is
kept
on
document
folders
and
then
the
operations
people
actually
look
at
document
folders
and
look
log
into
systems
and
then
do
the
decisioning.
Here
actually
by
extracting
all
the
information
from
these
unstructured
documents
along
with
the
transaction
systems,
you
can
actually

get
the
AI
agent
to
help
the
underwriter
become
faster ,
taking
complex
underwriting
decisions.
For
example,
in
the
US
you
wanted
to
insurance
on
50
Marriott
properties
or
something
like
that
at
one
time.
That
is
very
difficult
to
do
as
a
human
underwriter
today .
Puranik
But
how
does
predictive
underwriting
engine
work?
Banesh
Prabhu
So,
it's
not
about
predictive
underwriting
only.
This
is
actually
about

helping
the
human
with
information
to
help
them
manage
underwriting
and
give
them
things
that
they
will
have
missed
as
humans
with
more
information
to
triangulate
and
take
decisions
faster .
Deepak
Dastrala
Just
to
add
to
what
Banesh
said,
right?
What
we
do
is
extracting
the
data
is
one
thing,
but
what
we
do
is
we
really
enrich
the
data
also
with
the
multiple
sources
and

then
triangulate
it.
So
that
way,
because
as
a
human,
the
challenge
is
most
of
the
time,
with
all
due
respect,
depending
upon
the
time
in
a
day
they
end
up
taking
an
different
decisions
and
most
of
the
time
they're
biased
with
their
historical
view
of
that
particular
entity
or
that
particular
organisation
or
whatever
it
is.
So,
what
we
do
is
we
completely
irrespective

of
the
size
of
the
data
or
volume
of
the
data
will
triangulate
the
whole
thing
and
then
we
will
identify
the
blind
spots
at
every
single
thing.
So,
if
you
see
what
is
the
value
that
we
are
creating?
Because
if
you
see
the
one
that
I
showed,
we
also
kind
of
recommended
the
decision
on
the
various
Investor
Meeting
Transcript
things.
So
that
we

kind
of
do
the
red
flags.
At
this
moment,
it
all
depends
upon
the
underwriter ,
he
or
she,
what
they
view
about.
The
biggest
challenge
in
underwriting
is
standardisation.
Every
underwriter
has
a
particular
view ,
irrespective
of
the
clear
guidelines
within
the
organisation.
So
now
what
we
do
is
we
actually
ensure
that
those
guidelines
are
properly
applied
irrespective
of
the
volume
of
the
data
and

also
when
there
are
gaps,
we
also
have
an
ability
to
enrich
that
by
connecting
to
the
public
or
private
sources
and
fill
the
gaps
also.
The
coverage
also
will
increase.
So,
the
biggest
value
that
we
bring
in
is
ensuring
that
we
are
able
to
aggregate,
triangulate
and
then
also
recommend.
Arun
Jain
Enrich
and
one
more
process
is
continuous
monitoring.
Yeah.
Every
3
months

I
can
go
to
website
and
check
it
up
that
status
as
the
loan
-
continuous
KYC
and
continuous
loan
monitoring.
So,
I
can
I
go
every
month
to
the
website
of
the
customer
and
see
whether
they
are,
or
any
new
results
have
come
in
embed
and
along
with-it
triangulate
it
again.
Deepak
Dastrala
Exactly
as
Arun
beautifully
said,
right,
the
biggest
challenges
people
do

this
only
when
they
disburse
the
loan.
They
never
have
a
capability
to
do
it
on
a
continuous
basis.
So
that
way
a
predictive
part
what
you
are
saying,
right?
This
is
what
we
can
bring
in
terms
of
predicting
the
chances
of
a
default
at
a
frequency
that
you
can
configure
for
that
particular
corporate.
Puranik
One
another
question
I
have
is
how
do
you

measure
an
agent's
performance
with
reference
to
its
augmenting
the
human
skill?
Deepak
Dastrala
So,
for
example,
the
use
case
that
we
have
done
initially ,
that
was
the
exact
dilemma.
So,
we
kind
of
actually
led
the
same
use
cases.
Because
in
an
model
office,
that's
how
they
benchmarked
and
what
is
the
beauty
is,
it
kind
of
opened
up
an
lot
of
gaps
because
typically

when
humans
make
an
decision,
very
rarely
people
will
check
now
we
have
a
way
to
compare
on
the
performance.
The
way
they
got
the
acceptance
is
actually
when
they
ran
on
the
use
cases
where
where
already
the
decisions
were
made,
we
identified
how
many
cases
actually
they
wrongly
paid
back
for
the
wrong
reason
because
the
human
hasn't
really
validated
them.
So,
the
sign

off
on
this
happened
against
the
human
benchmarks
Puranik.
Puranik
Interesting.
Arun
Jain
Thank
you,
Puranik.

I
think
we
need
to
just
close
the
call.
Puranik

I
think
we
need
a
lot
of
chat
on
this.
Thank
you.
Very
interesting.

Investor
Meeting
Transcript
Praveen
Malik
Thank
you,
Puranik
ji.
Arun,
we
have
a
last
question
from
Mr
Vivek
Kumar
from
BestPal.
This
is
the
last
one.

Vivek
ji,
please
unmute
yourself.
Vivek
Kumar
Can
you
hear
me
now?
Arun
Jain
Yeah,
Vivek.
Go
ahead.
Vivek
Kumar
Thanks
for
making
us
understand
how
AI
agents
can
bring
big
opportunity
for
Intellect,
sir.
But
in
terms
of
changing
of
profit
polls
of
the
industry ,
like
what
happened
in
the
content
creation
has
moved
to
aggregators
like
that.
Are
you
seeing
any
trends
in
IT,

Arun
ji?
I
understand
how
AI
is
helping
agencies
and
Intellect,
but
in
general?
Arun
Jain
It
will
happen.
It
will
happen
if
you're
going
first
principle
thinking
a
lot
of
aggregation
will
happen.
I
think
India
IT
industry
is
still
sleeping.
And
too
much
disruption
will
happen
on
the
service
companies.
It's
going
to
happen.
It's
bound
to
happen.
As
of
now,
we
are
still

not
acknowledging
the
capacity
of
what
AI
has
done.
I
am
pursuing
it
from
last
10
years,
so
I
know
what
the
power
is
and
how
it
accelerates.
Completely
it's
a
titanic
shift.
It's
a
tsunami.
It's
no
less
than
tsunami
right
now.
But
tsunami
takes
three
hours
to
come
to
surface
when
it
happened
from
the
where
the
attack
happened.
It
will
take
3
years

for
India
to
understand.
Vivek
Kumar
Got
it.
Thank
you,
Arun
ji.
Arun
Jain
T
hank
you.
Praveen
Malik
Thank
you,
Vivek.
Thank
you
everybody
for
joining
the
call
today
and
still
in
case
you
have
any
more
questions,
please
do
write
to
us.
Thank
you.
Now
you
can
log
off.

Call: Feb 2025

Intellect/SEC/ 2024 -25 January 31, 2025

1. National Stock Exchange of India Limited ,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block, Bandra Kurla
Complex,
Bandra (E), Mumbai – 400 051.

Scrip Symbol:

INTELLECT

2. BSE Limited ,

1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code:

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor Earnings Call
held on January 24, 2025 on the unaudited financial results for the quarter and nine months
ended December 31, 2024 .

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited,

V V Naresh

Company Secretary and Compliance Officer

Encl: As above

Investor

Meeting

Transcript

Praveen Malik:

Greetings and welcome everyone!

Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the
third

quarter

of

the

fiscal

year

2024-25

ending

31st

December

2024.

The

investor

presentation

and

the

press

release

has

been

sent

to

you

and

is

also

available

on

our

website.

Our

leadership

team

is

present

on

this

call

to

discuss

the

results.

We
have
with
us
today,
Mr.
Arun
Jain,
Chairman
and
Managing
Director,
Mr.
Manish
Maakan,
CEO
of
iGTB,
Mr.
Rajesh
Saxena,
CEO
of
iGCB,
Mr.
Banesh
Prabhu,
CEO
of
IntellectAI,
Ms.
Vasudha
Subramaniam,

CFO,
and
Mr.
Vikas
Misra,
he's
a
partner,
and
he
looks
after
the
strategy
in
the
company.

Besides, some other senior members of the Intellect management team are present in the call.
Now I hand over to Vasudha to take you through the results. This will be followed by a Q&A session
where

your
question
will
be
replied
by
the
senior
members
of
the
management
team.
Once

the
Q&A
starts,
you
can
ask
a
question
by
clicking
on
raise
your
hand.
And
then
we
will
unmute
you,
and
everybody
will
be
able
to
listen
to
you.

One safe harbour. I would like to remind you that anything which we say, which refers to our outlook
for

the
future,

is
a
forward-looking
statement.

This
must
be
read
in
conjunction
with
the
risk
that
the
company
faces.

With this, I request Vasudha to give her briefing. Vasudha.
Vasudha Subramaniam:
Thank you, Praveen.
Good evening, everyone, and thank you for joining us for the Q3 FY25 Investor Earnings Call. It is my
privilege

to
take
you
through
the
highlights
of
this
quarter.
As
you
would
have

noticed

from

the

Press

release

and

Investor

deck,

we

have

significant

milestones

to

share

this

Quarter

Today's discussion will cover four key sections:

1.

A

deep

dive

into

our

financial

performance.

2.

Two

Strategic

initiatives

that

would

significantly

drive

growth

and

Market

leadership.

3.

How

eMACH.ai

is

accelerating

our

leadership

position

in

the

market

and

4.

On

Market

Recognition

&

Events

Section1: Financial performance.



Revenue

from

operations

for

Q3

FY25

stood

at

INR

607

crore

(while

the

total

income

is

625

Cr)

,

registering

growth

YoY

on

a

like

to

like

basis

Our

Year-to-date

(YT

D)

revenue

from

operations

for

FY25

has

reached

INR

1,768

crore

(while

the
total
income
is
1828
Cr)
,
we
continue
to
maintain
double
digit
growth
in
2
yr
and
3
yr
CAGR
on
an
LTM
basis

●
The
License-linked
revenue,
comprising
Platform,
License,
and

AMC,
stood
at
INR
292
crore
,
contributing
nearly
48%
of
total
revenue
this
quarter.
Investor
Meeting
Transcript

●
The
LTM
ARR
as
of
Q3
FY25
was
INR
700
crore
,
underscoring
the
trust

and
stickiness
of
our
platform-driven
solutions.

●
EBITDA

for
the
quarter
stood
at

INR
121

crore
,

with
a

margin
of
20%
.

●
Profit

before
tax
came

in
at
INR

93
crore
,

and

profit

after

tax

was

INR

70

crore

,



Despite

global

challenges,

we've

sustained

financial

stability

with

zero

debt

and

INR

804

Cr

of

cash

in

hand

.



This

financial

resilience

positions

us
to
capitalise
on
future
opportunities,
ensuring
sustainable
growth
for
stakeholders.

Section 2: Strategic Initiatives

Q3 FY25 was pivotal for Intellect as we continued to execute bold strategic moves to strengthen our market

leadership
and
drive
sustainable
growth.

A significant milestone this quarter was the signing of an agreement with Central 1 Credit Union, enabling

Intellect
to
assume
its
digital
banking
operations.

This
agreement
marks
an
important
step
in

expanding

our

presence

in

North

America,

a

region

critical

to

our

growth

strategy.

To put this agreement in perspective, we had stated in earlier calls that North America is our next focus

geography

after

our

success

in

Europe

initially

with

the

Transaction

Banking

Products

and

subsequently

with

Consumer

Banking,

Wealth

and

Insurance.

We have a significant presence amongst the P&C Insurance leaders with our Purple Fabric platform adopted

by

20+

Carriers

after

individual

POCs

and

evaluation.

Our

Liquidity

and

Payments

products

also

enjoy

an

installation

base

with

the

Market

leaders

in

the

US

and

Canada.

We

recently

struck

a

large

engagement

with

the

Market

leader

in

Mexico

This arrangement will further strengthen our presence in Geography taking our Digital Engagement Platform

to

pole

position.

We

are

excited

about

our

association

with

the

Credit

Unions

and

the

possibilities

with

our

eMACH

platform

in

driving

their

transformation

agenda

as

well

as

that

of

other

Financial

leaders

in

the

US

and

Canada.

The transaction is expected to close in the next few weeks and will serve a substantial network of Canadian

credit

unions.

SME Enablement through Global Linker

Our strategic investment of Rs.20 Cr in DigiVation Digital Solutions Pvt Ltd positions Intellect as a leader

in

corporate

and

government

e-procurement,

driving

growth

in

trade

and

supply

chain

finance

globally.

The Asia Pacific has been identified as a major Trade corridor in most Global studies. Similarly, the vibrant

SME

segment

has

been

identified

as

a

key

engine

of

Economic

growth

in

every

developing

economy

as

well

as

advanced

markets.

GlobalLinker is a startup in the SME Ecosystem space that offers shop front and e catalogue services to

SMEs,

apart

from

access

to

financial

services
through
partnership
with
Banks
and
has
an
enrolled
Investor
Meeting
Transcript

base of over 300K SMEs. Intellect's eMACH Platform encompasses the iCPX and iGPX platforms that power

the
intelligent
procurement
process
for
Corporates
and
Governments.
Our
Transaction
banking
products
support
Global
Trade
and
Supply
Chain
Finance,

apart
from
the
regular
Payments
and
Collections.
We
see
significant
synergies
and
potential
in
the
IP
assets
coming
together
to
form
an
Interconnected
Commerce
Ecosystem
with
value
accretion
to
all
participants
like
SMEs,

Banks,
Buyers
and
the
Platform.

Section 3: eMACH.ai – A Catalyst for Transformation
eMACH.ai, continues to lead the digital transformation journey for financial institutions worldwide.
The

Zero
waste
architecture
based
on
First
principle
thinking
helps
Financial
institutions
accelerate
the
realisation
of
their
transformation
vision,
while
keeping
total
costs
of
ownership
across

-

Run

the

Bank

and

Change

the

Bank

-

initiatives

the

least.

In Q3 FY25, eMACH.ai achieved significant milestones by being chosen by 11 global customers across

key

regions,

showcasing

its

capability

to

address

diverse

and

complex

financial

requirements.

The

notable

deal

wins

include:

One of the largest U.S. banking institutions, focused on Asset and Wealth Management adopted CTX

-

Corporate
Treasury
Exchange
-
to
enhance
liquidity
management
and
automate
cash
operations,
ensuring
efficiency
and
superior
client
service.

A Wholesale insurance brokerage firm specialising in Risk Management across multiple P&C lines has adopted eMACH.ai

Magic
Submission,
Xponent,
and
Risk
Analyst
,
empowering
underwriters
with
AI-driven
tools
to
streamline

workflows

and

improve

decision-making.

A prominent Nordic wholesale bank reinforced its trust in CTX, leveraging the platform to optimise liquidity

and

provide

sustainable

treasury

solutions.

A Spanish banking giant expanded into Asia with eMACH.ai Payments, focusing on innovation, operational

excellence,

and

seamless

customer

payment

experiences.

A large Turkish bank implemented the Digital Engagement Platform to deliver AI-driven personalised,

real-time

interactions

for

customers

across

all

touch

points.

Africa's largest financial institution awarded us a multi country CTX engagement - spanning across 22 countries,

replacing

legacy

systems

with

scalable,

future-ready

treasury

solutions.

A major South African banking conglomerate adopted the Digital Engagement Platform, enhancing customer

satisfaction

with

personalised

and

seamless

engagement.

A financial services leader in Southern Africa implemented eMACH.ai Core Banking to provide contextual

and

personalised

banking

journeys

for

its

evolving

customer

base.

A prominent corporate bank in the UAE renewed its trust in eMACH.ai TRADE, delivering a unified Omni

channel

experience

across

its

transaction

banking

services.

A top Saudi financial institution adopted eMACH.ai TRADE, enabling seamless Omni channel solutions

tailored

to
the
dynamic
needs
of
trade
corporates.
Investor
Meeting
Transcript

Finally, we're thrilled to announce that a Greenfield EMI in Malta has revolutionised its services across

the
European
Economic
Area
by
implementing
our
eMACH.ai
and
iTurmeric
platforms,
significantly
enhancing
customer
experience
and
operational
efficiency

eMACH.ai is Driving Business Impact across the Globe
It's composable open architecture coupled with the iTurmeric composability platform accelerates Transformation

initiatives,

with

more

customers

successfully

adopting

our

platforms

this

Quarter

Here

are

some

of

the go-live

highlights

of

Q3 that

showcases eMACH.ai's global

impact:

There were 3 Go Lives in AMERICAS Magic Submission powered by Purple Fabric

1 Go Live in Europe in Corporate Treasury

5 GO-LIVES in India in Digital Core and Treasury Solutions, Cash Management and Wealth Management

4 GO-LIVES in Middle East & Africa in Central Banking Transformation, Core Banking, Cash management

and

Digital

Banking

Innovation

2 GO-LIVES in Asia Pacific in Liquidity Management and DTB platform

And 1 Go Live in AUSTRALIA & NEW ZEALAND involving Core Banking Transformation

For the year till date, we had 34 wins and we had gone live on 37 digital transformational projects

Section 4: Events and Market Recognition

Events:

Intellect also made its mark in key Industry and Technology events during the Quarter, showcasing the

prowess

of

our

eMACH.ai

architectural

and

technical

superiority.

SIBOS, the annual event for Corporate Banking was held in China in October where we demonstrated our

AI

led

Trade

and

Supply

Chain

platform

apart

from

other

Industry

leading

platforms

of

CTX,

Payments

and

Digital

Transaction

Banking.

In

the

Transaction

banking

business,

we

also

held

a

launch

of

Wholesale

Banking

in

Dubai

At the Insuretech event at Las Vegas, we demonstrated the versatility of our Purple Fabric platform and

Industry

specific

products

such

as

Magic

Submission,

Risk

Analyst

In the Consumer Banking business, we hosted the Global Finance Awards event in Washington attended

by

the

Global

chieftains

of

the

Industry.

We

also

hosted

the

iGCB

Oxford

Central

Banking

event,

attended

by

several

leaders

from

the

Central

Banks

world

over.

Arun

delivered

the

plenary

address

at

the

BIAN

Banking

Summit

at

London

Closer home, we held an event for Bank Treasurers at Mumbai and a two day for 'Transformation through

eMACH.ai' for

Bankers

from

the

Indian

subcontinent

The response and feedback during and post these events enthuse us further in our pursuit of Global leadership

in
the
Financial
Technology
space.
Investor
Meeting
Transcript

On the Market Recognition
Our leadership is consistently acknowledged by top analysts:

●
Recognised
as
a
Strong
Performer
in
The
Forrester
Wave
TM
for
Digital
Banking
Platforms.

●
We
are
Named
Category
Leader
in
the
Chartis

Risk

Tech

Quadrant

for

Regulatory

Reporting.



We

are

Ranked

Leader

in

Omdia

Universe

Payment

Hubs,

with

best-in-class

vendor

execution.

These accolades validate our position as the preferred partner for financial institutions globally. In conclusion, Q3 FY25 has been a quarter of transformation, marked by stable financial performance,

bold

strategic

moves,

and

innovation-driven

growth

eMACH.ai platform continues to accelerate our acceptance and adoption by leaders across geographies

In December, we hosted a session with specific focus on Purple Fabric, our Enterprise Connected Intelligence

platform.

The
potential
of
these
technologies
and
platforms
is
evident
in
the
robust
pipeline
build
and
enhanced
Market
activities.
With
the
advent
of
the
new
calendar
year,
that
marks
a
new
financial
year
for

Institutions

in

the

advanced

markets,

we

are

hoping

for

further

closures

in

the

ensuing

quarters.

We

are

confident

in

our

ability

to

deliver

long-term

value

for

stakeholders

through

disciplined

execution,

continuous

innovation,

and

customer-centricity.

Arun Jain:

Before jumping into the question, I think Central 1 is a very big initiative. Can you hear me?

Mr. Manish Maakan:

Yes, Arun.

Arun Jain:

Yeah. So, fortunately, we have Rajesh here. So, Rajesh, Investors will love to know what agreement you

have

signed

in

Canada

with

Central

1

and

how

Central

1

is

important

from

its

growth

of

iGCB

business

to

cross

Rs.1,

000

crores

for

next

year.

Rajesh Saxena:

Yeah. Thank you, Arun. I think, let me just step back and talk a little bit about what we have told

investors

a

couple

of

quarters

back.

I

think

we

have

talked

about

our

strategy

of

first

going

to

Europe

following

iGTB

and

building

a

business

a

good

retail

banking

business

in

Europe.

We

have
had
decent
success
there,
and
our
next
bastion
in
was
North
America,
wherein
we
said
we
will
go
into
Canada.
So,
Canada
is
an
important
market
for
us.
It's
what
we
call

as

a

strategic

C1

market

for

us.

So, from that perspective, from a marketplace perspective, Canada is important. And if you look at our

product

and

if

you

have

been

listening

to

our

investor

calls,

our

digital

experience

platform,

which

is

a

codeless

platform,

has

been

seeing

a

lot

of
success
in
the
markets
built
on
the
eMACH.ai
principles,
and
it's
seeing
substantial
success
in
the
last
couple
of
quarters.
If
you
look
at
both
the
Investor
Meeting
Transcript

market and the product, we had an opportunity to look at, C1. So, for just I will just take two minutes
to
give

a
credit
union
perspective
for
Canada.

In Canada, there are about 390 credit unions. Over 200 are in Québec region, which is a French speaking

region,

and

190

are

in

the

other

parts

of

Canada.

Central

1

has

been

formed

for

serving

this

credit

unions,

and

it

has

3

or

4

businesses.

One

of

the

business

that

Central

1

does

is

to

provide

a

digital,

platform

for

retail

customers,

SMB

customers,

and

commercials.

So,

out

of

these

190

odd

credit

unions,

Central

1

has
a
majority
of
these
customers
who
run
their
digital
experience
platform
on
Central
1's
platform.
They
have
three
platforms.
They
have
MemberDirect,
Forge,
and
a
mobile
app.
All
of
this
is
a

multi-tenant

and

SaaS

based

model.

We

have

signed

into

an

agreement

with

Central

1

to

acquire

this

digital

business

and

run

this

business

from

Central

1.

And

with

this,

and

that

as

Vasudha

said,
the
deal
will
close
in
a
couple
of
weeks
from
now,
wherein
we
will
be
getting
a
substantial
number
of
employees,
from
Central
1
to
come
into
our
fold.
So,
we
will

have

scale

in

Intellect

Canada

with

Canadians

coming

over

and

working

with

us.

And also, we get substantial number of customers who will become our clients now from a digital experience

platform.

The

important

thing

to

note

is

that

this

is

not

only

about

digital

experience

platform,

but

it's

also

about

opportunities

where

we

can

cross

sell

core

banking,

we

can

sell

lending,

loan

origination,

and

also

commercial

banking

solutions.

Most

of

these

credit

unions

are

also

looking

at

getting

into

the

commercial

banking

space.

So,

from

that

fit,

we

are

suddenly

seeing

a

significant

scale

that

we

will

we

are

getting

into,

from

a

Canadian

from

a

strategic

market

in

a

strategic

line

of

business

for

us.

Arun back to you.

Arun Jain:

Yeah. So, thank you, Rajesh for, concluding this acquisition of the more than 150 clients in that region.

So,

this

makes

Americas

over

200

clients

for

Intellect.

And,

as

we

said,

there

are

five

markets

for

the

investor.

America

market

was

the

last

when

we

entered
in
a
strategy,
and
that
was
the
focus
you
keep
asking.
And
ARR
is
the
second
focus.
So,
this
business
will
bring
Rs.200
crores
of
additional
ARR
to
the
revenue
pool
of

Intellect.

So,

this

is

a

substantially

valuable

entry

from

a

three-dimensional

perspective.

eMACH.ai expanding the product line into a large number of customers, North America entry. And expanding

eMACH.ai

footprint

from

a

perspective

of

multiple

products

that

can

be

sold.

So,

this

is

a

one

very,

very

important

leveraging

we

are

looking

at

it.

The

second

part

was,

Manish,

to

highlight

around

what

is

the

GlobalLinker,

investments,

could

be

or

the

whole

iGTB

growth

engine

is

working

on.

So,

if

we

just
take,
just
to
update
because
all
our
three
businesses
now
are
accelerated
in
2025.
IntellectAI,
we
shared
on
19th
December
2024,
we
shared
with
you
that
the
potential
of
Purple
Fabric
could

be

Rs.1,000

crores

to

Rs.5,000

crores.

Manish

is

sharing

the

growth

engine

with

iGTB,

w

high

is

our

frontline

business,

which

is

the

first

business

which

crossed

Rs.1,000

crores.

Now

Rajesh

business

will

be
crossing
Rs.1,
000
crores.
And
then
the
third
business
which
we
are
creating
IntellectAI.
So,
that's
the
kind
of
a
storyboard
what
we
have
been
telling
you
from
last
five
years.
I

think

step

by

step

it

is

moving

in

the

right

direction.

Investor

Meeting

Transcript

Manish Maakan:

Thanks, Arun. This is an important asset from my perspective. We have focused from a transaction banking

perspective

of

how

to

expand

the

cash

management

and

trade

supply

chain

capabilities

for

all

large

corporates

and

SME

mid-market

segments.

What this offers us as a capability is to be able to offer three things now. First, its capability is equivalent

to

Alibaba

to

create

a

marketplace.

It

has

capability

like

Shopify

that

you

can

create

your

e-markets

and

you

can

create

your

own

engines

from

where

you

can

make

payments.

And the third capability it brings on board is that I can embed this into my CBX channel now, whereby the

banks

can

get

access

to

a

much

larger

SME

customer

segment

base.

So,

our

attempt

with

this

investment

will

be

to

scale

this

up

to

add

to

the

edge

of
our
platforms,
whereby
all
SMEs
can
be
onboarded
through
it.

And then we can potentially run the entire lifecycle of an SME where banks will go after them through

this
route.

This
will
help
in
the
supply
chain

as
well
as
receivables,
which

the
large
corporates
really
look
after

them

for.

This

is

a

good

footprint

in

the

market

right

now.

It's

about

now

taking

it

across

Asia,

Middle

East,

and

Europe

for

its

expansion,

and

in

stage

two,

take

it

to

North
America.
So,
we
are
going
to
closely
work
along
with
the
team
to
scale
it
up.
Our
distribution
access
to
the
products
sophistication
will
be
the
magic
which
we
will
create
with

this.

Back to you, Arun.

Arun Jain:

Thank you.

Banesh, anyway, we shared last time, so let me hand it over to investors to ask questions of this strategic

move

with

what

we

have

at

this

point

of

time.

Praveen Malik:

Thanks, Arun.

Now in case you want to ask a question, please click on raise your hand. Please click on raise your hand.

First,

we

have

Mr.

Rahul

Jain

from

Dolat

Capital.

Mr.

Rahul

Jain

from

Dolat

Capital.

Please

unmute

yourself.

Rahul Jain:

Yeah. Hi. Hope I'm audible now.

Praveen Malik:

Yeah. Please go on.

Investor

Meeting

Transcript

Rahul Jain:

Yes. Thanks for that detailed explanation, but I think I would still need some more help to understand,

about

this,

Central

1

kind

of

a

transaction.

If

what

I

have

got

so

far

is

basically,

we

might

be

taking

over

the

tech

team

of

C

1and

is

it

also

involves

migrating

from

their

current

Backbase

platform

to

eMACH.ai,

or

that's

not

part

of

the

equation

at

this

point?

So

I

love

to

hear

more

on

this.

Arun Jain:

Rajesh?

Rajesh Saxena:

Yeah. So, I think, Raul, thanks for that question. I think, what we are taking over, as you rightly said, is a

team

of

people

predominantly

in

that

is

engineering,

solution

architects

-

there.

But

we

are

also

taking

over

a

team

which

is

the

relationship

management

team,

the

sales

team,
the
product
team.
So,
it's
a
combination
of
members
coming
from
various
fields
predominantly
being
on
the
engineering
and
the
solution
architect
side.

To your second question on Backbase, a couple of years back, C 1 had decided to take Backbase. But unfortunately,

they
were
not
able
to
scale
up
and

that
project
was
discontinued.

And
so,
they
went
with
a
few
credit
unions
to
Backbase,
and
then
they
had
to
discontinue
and
come
back
to
the
original
their
home-grown
solution.

And that's the solution I talked about, which comprises of three products, Member Direct, Forge, and
their
mobile

app.

The

possibility

for

us

is

that

now

over

a

period

of

next

couple

of

years,

we

would

like

to

migrate

many

of

these

customers

from

this

platform

to

our

digital

experience

platform.

So,
we
are
going
to
run
this
platform
and
then
work
with
the
credit
unions
to
migrate
these
customers
into
our
platform.

Rahul Jain:

So, Rajesh, if I got you right, essentially, right now, this is just like, rebadging of their team, and we will

have
a
fixed
billing
on
this
team.
And
over

the
period
of
time,
since
we
will
be
knowing
all
these
150
odd
credit
union
over
a
period
of
time,
we
might,
chase
some
of
them
into
our
customer
base
and
migrate
it

to
a
much
better
and
modern
solution.
Is
that
understanding
right?
And
if
yes,
then
what
are
the
billing
and
cost
that
we
might
see
on
an
annuity
basis
at
this
point?

Arun Jain:

So, I think it Rahul, you have to understand this like acquisition of business of Rs.200 crs as a revenue

line.

ARR

business

Rs.200

crs

running

it

and

upgrading

it

using

our

eMACH.ai

technology.

As

simple

as

that.

Rahul Jain:

So,

basically,

we

would

be

getting

Rs.200

crs

from

this

150

credit

union

or

this

would

be

from

C

1?

Arun Jain:

That's right. From the credit unions.

Investor

Meeting

Transcript

Rahul Jain:

Okay. And eventually if we are able to migrate, the potential of these Rs.200 Crs will keep on increasing

over

a

period.

Arun Jain:

Keep on increasing. So, our target is how do we cross sell them, core banking and lending, and, upgrade

them

on

DEP.

Rajesh Saxena:

Yeah. Just to add Rahul. To just to be precise, it is 160 customers. So, that's one.

And I think important point for all of us to notice the opportunity is not only to migrate them to our digital

experience

platform.

But

these,

credit

unions

also,

as

I

said

in

my
earlier
preamble,
are
looking
for
core
banking,
lending,
and
commercial
banking
solutions.
So,
there
is
an
opportunity
to
cross
sell
other
eMACH.ai
assets
that
we
have.

Rahul Jain:
Right. And just last bit from my side, on C 1, is there a lock in for us, for the employee base that we
are
going
to
take
it?

Or,
we
are
open
to
optimise
it,
whenever
we
wish
to
do
that?

And secondly, on the other transaction that we have done, is this a strategy wherein we would start using

our
cash
flow
to
add
more
capability
on
more
product
side?

Or
it's
like
one
off
transaction,
and

we
would
not
like
to
see
this
as
a
trend?

Arun Jain:
Okay.

So,
just
to
respond,
the
first
question
is
around
...
Sorry,
Rajesh,
you
can
respond.

Rajesh Saxena:
I would rather not, answer that question, Rahul, because it's a little sensitive about employees. So, if
it's

okay
with
you,
we
will
let

the
deal
close,
and
then
we
will
talk
about
that
piece.

Rahul Jain:

Sure, please. On the second question, if you could close it.

Arun Jain:

Second question is about strategic fit. We have a CPX and GPX announced earlier. That's what the two-product.

So
we
want
to
get
into
procurement
space,
and
this
is
the
SME
business
space.
We
saw
the
opportunity,

and

it

fits

into

DTB.

So,

we

have

more

over

50

customers

on

DTB.

So,

it's

not

just

cash

to

be

reinvested.

It's

a

part

of

the

strategic

fitment,

which

required

this

investment

to
be
there.

Rahul Jain:
Can we see it as in module extension to our existing GTB system?

Investor

Meeting

Transcript

Arun Jain:
That's right. It's like where we are bringing all the CPX, GPX, DTB, and GlobalLinker into one common ecosystem.

It's
an
ecosystem
design
investment.

Rahul Jain:
Good to see all this transaction is like we are working beyond the usual path. Thank you, and I'll go back

to
the
queue.

Manish Maakan:
Rahul, this significantly expands the TAM which we are going after and to be able to bring in things for

the
full
life
cycle
of
an
SME.
Next
one?

Praveen Malik:
So, I think Rahul is not here.. Well, thanks, Rahul. Next, we have Mr. Meet Rachch from Equirus PMS. Meet?

Meet Rachch:

Yeah. Thanks for the opportunity. Am I audible?

Praveen Malik:

Yeah. Please go on.

Meet Rachch:

Yeah. So, first question is on the few of the deals which were won in earlier quarters, but, were slipped

to

the

subsequent

quarters

due

to

dealing

compliance

or

signing

maybe.

So,

just

wanted

to

know,

have

those

deals

started

to

ramp

up?

Arun Jain:

Manish?

Manish Maakan:

yup. With that some of those deals are what Vasudha read out, which we closed in South Africa and we

closed

in

the

US.

Meet Rachch:

Okay. So, all of those deals have been started. Right?

Manish Maakan:

Yes.

Meet Rachch:

Okay. Second question is in terms of FY25 revenue. So, earlier, our expectation was to block a 15% growth

in

FY25

excluding

GeM

revenue.

But

if

I

look

at

the

nine

months

revenue

and

the

QoQ

ask

Investor

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Transcript

rate for Q4, it seems a very bold task. So, that guidance is still intact, or are we expecting some lower growth?

Arun Jain:

Yeah. Obviously, last time also you mentioned the guidance. We have stopped giving guidance, but I think,

we

are

looking
for
expecting
better,
much
better
next
quarter.
So,
that's
what,
we
would
like
to
look
at
it.
I
mentioned
to
you
Rs.700
Crs
a
quarter.
I
think
we
will
be
closer
to

that.

Meet Rachch:

Okay. Next question is regarding R&D expenses. So, Vasudha ma'am, we capitalise Rs.140-150 Crs worth

of

R&D

annually.

And,

another

Rs.200

Crs

worth

of

R&D

spent

gets

expensed

out

in

P&L.

So,

just

wanted

to

know

the

breakup

of,

that

between

the

maintenance

or

upgrade

of
our
existing
products
and
the
R&D
which
is
spent
for
new
product
development?

Vasudha Subramaniam:

Anything related to the new product development is what is allowed to be capitalised. So, for maintenance

or
something
is,
anyway
being
expensed.

Whatever

you

see,

as

part

of

the

C-WIP,

which

is

the

capitalised

work

in

progress,

relates

to

the

new

product

development.

Meet Rachch:

Okay. And can we expect the current run rate of R&D spends to continue going on?

Vasudha Subramaniam:

Continue. Yes.

Meet Rachch:

In absolute terms.

Vasudha Subramaniam:

Yes.

Meet Rachch:

Okay. So, as a percentage of revenue it may decline?

Vasudha Subramaniam:

As far as the R&D spends are concerned, we only look at the absolute numbers. So, Rs.140 crore is the

target

and

that's

the

budget

that

we

had

put

in

the

beginning

of

the

year.

And,

we

will

be

meeting

that

budget.

Arun Jain:

Yeah. And in percentage terms, it will decline.

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Vasudha Subramaniam:

Yeah.

Meet Rachch:

Understood. And can I squeeze in one more?

Vasudha Subramaniam:

Yes.

Praveen Malik:

Quickly, please.

Meet Rachch:

Yeah. So, last is in terms of the, contract assets that we report under the other financial assets. So just

wanted

to

understand

the

nature

of

this.

Because,

if

I

look

at

our

contract

assets

for

last
5
years,
they
have
remained
between
100
to
120
days
of
our
revenue.
While,
if
I
compare
that
with
some
of
the
other
product
companies
as
well
as
service
companies,
that
normally

ranges
between
30
to
50
days.
So,
just
wanted
to
understand
the
accounting
treatment
and
the
nature
of
this.

Vasudha Subramaniam:

Generally, in a product company, it will, be quite difficult to have it between 30 days and all. It will be quite

high
because
the
accrual
happens
as
and
when
we
complete
the
deliverable

milestones,

whereas,

the

invoicing

will

happen

only

when

we

kick

in

the

payment

milestone,

only

when

we

meet

the

payment

milestone.

So,

the

gap

will

always

be

there,

in

many

product

companies.

So,

that's

the

reason

for

the

120

days.

Meet Rachch:

Okay. And related to that, so what is a normal deal cycle once we sign and once we close and the revenue

is

booked?

Vasudha Subramaniam:

All those deal wins that you are seeing this quarter, you have some accrual in the books. We report deal

wins.

Whatever

deal

wins

that

you

see

as

reported

during

that

quarter,

we

have

accrued

against

all

of

them

this

quarter

itself.

Signing

and

accrual,

there

will

not

be

much

of

a

time.

Meet Rachch:

Okay. Thanks a lot. Thanks a lot.

Praveen Malik:

Thank you, Meet. Next, we have Vivek Kumar from Bestpals. Vivek, quickly ask your question.

Vivek Kumar:

Am I audible, sir?

Investor

Meeting

Transcript

Arun Jain:

Yes.

Vivek Kumar:

Sir, my question is regarding if you see the last two years, our pipeline is growing at much faster growth

rate

than

our

revenue

even

if

you

take

away

the

GeM.

So,

someday

and

with

Trump

winning

and,

yields

falling

and,

financials

to

get

if

you

see

the

bank

stocks,

I

understand

it's

a

very

superficial

comparison,

but

people

are

positive

about

banks

investing

in

tech

and

all

in

US.

So,

because

are

you

confident

about

this

pipeline

converting?

Because

even

in

the

last

quarter,

you

mentioned

why

many

deals

are

getting

stuck

at

a

stage

where

and

things

are

taking

time

to

move.

Because

pipeline

is

growing

in

a

faster

rate

than

our

revenue.

So, that's my question. Maybe I think I made it clear. So, will we see the same go through translating into

revenues?

Arun Jain:

Obviously, that's what we are saying Q4 will be much better. I mentioned in the previous answer.

Vivek Kumar:

So, we can go back to 15-20% from next year. We can hope that? I'm not asking for guidance but the pipeline

Arun Jain:

We have a good pipeline. For the pipeline to closure, it says cycle time of 12 months. So, when we went

to

eMACH.ai

marketplace,

putting

to

Europe

and

Americas.

So,

now

if

you

look

at

it,

Europe

and

Americas,

both

market

Americas

will

be

Rs.600

Crs

market

as

of

now,

Europe

will

be

another

Rs.600

Crs.

So,

we

have

a

potential

as
both
the
market
could
be
1,000
Crs
market
in
next
four
years.
And
then
we
have
a
Middle
East
and
Africa
market
which
could
be
Rs.800
Crs
market.

APAC and ANZ could be Rs.800 markets. India is Rs.800 Crs market. So, this is a kind of a landscape we are planning

to
expand.
We
are
quite
confident
of
meeting
some
of
the
expectation
which
you
have.
Because
there's
a
delay
cycle
between
when
pipeline
gets
built
and
there's
a
six
months
delay
from
the

pipeline

to

the

closure.

Vivek Kumar:

So, about GeM, about the receivables, can you throw I mean, have we got from government and any opinion

on

that?

Any

comment?

Arun Jain:

No comment. Government is government. So, they are delaying the process right now. We have to look

what

we

can

do.

Vivek Kumar:

Thank you very much.

Investor

Meeting

Transcript

Praveen Malik:

Thank you, Vivek. Next, we have Mr. Manoj Dua from Geometric. Mr. Manoj Dua.

Manoj Dua:

Am I audible, sir? Yes.

Praveen Malik:

Yeah. Please go on.

Manoj Dua:

Okay. So, sir, last few years, we have seen AI as one of the greatest technological innovations. You have

very

earlier

said

that.

As

an

individual,

we
are
now
understanding
the
importance
of
that
and
trying
to
learn.

So,
I
know
Intellect

is
more
than
a
software

we
have
the
relationship.

We
know
the
exact
detail
of
banking
and

insurance
and
knowledge
of
industry.
Now
if
you
see,
AI
is
helping
us
to
create
our
product
more
cheaper
and
anyone
who
is
a
beginner
in
this
industry
or
new,
is
it
advantage

for
them
to
build
a
product
more
cheaper
as
we
have
talked
a
lot
about
earlier
that
we
have
spent
so
many
hours
to
build
a
product?

But at the same time, it will be useful to you to build further new things. Can you throw some light on

it?
Just
as
a
school

kid

to

explain

to

me

because

we

are

not

a

computer

person.

Arun Jain:

So, there are two things about the enterprise grade product in banking. For large corporations like HSBC,

HDFC

Bank,

AI

can

help

facilitate

reducing

the

some

of

the

drudgery

work

to

build

a

product.

But

fundamental

product

is

not

just

coding.

It's

about

entire

life

cycle

of

saying;

can

I

build

a

car?

Can

I

build

a

Mercedes

car?

Obviously,

it

requires

much

more

than

just

assembling

the

car,

which

could

be

done

differently

over

here.

So,

I

think

AI

will

have

a

two

facets

of

it.

How

do

I

use

AI

to

reduce

my

cost

or

to

reduce

the

efforts

for

implementation

to

become

more

competitive

in

the

market.

That's one facet which we are doing. Manish is leading that initiative of applying AI within Intellect for

further

strengthening.

From

a

moat

perspective

that

other

people

can

build

a

product

fast

enough,

I

feel

that

in

enterprise

grade

space,

it's

a
long
way
to
go
for
anybody
unless
they
have
deep
domain
or
a
substantial
domain
understanding
to
make
the
right
product
for
the
customer.
Because
AI
gives
you
95%
right,
96%
right,

92%

right.

But

for

enterprise

grade

solution,

we

need

110%

right,

not

100%

right.

So,

that's

the

difference

between

the

two

of

them.

Manoj Dua:

Okay. And how now AI is advantage to you, going further that, you answered my first part. How AI is in

terms

of

reducing

cost

whatever

you

have

or

building

because

you

have

already

a

domain

knowledge,

how

fast

can

you

accelerate

new

products

or

something

like

that?

Arun Jain:

Yeah, so it will definitely decrease the cost. We have targets to reduce the headcount for the efficiency

of

AI

efficiency,

which

is

there.

That's

one

part

of

it.

But

the
second
part,
which
is
more
Investor
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Transcript

interesting for the investor, is that we can build a business. If you can go back to the call of 19 December

2024,
which
is
published
on
the
website,
that's
where
we
are
putting
a
complete
AI
Purple
Fabric
as
a
product
in
the

market,
and
we
are
first
in
the
market
for
AI
as
a
product,
which
we
are
selling
to
many
enterprises
in
the
world.
So,
please
go
through
the
script.
That
will
be
useful

for

you

to

understand.

Manoj Dua:

Thank you. My last question is as we are increasing TAM, and building products, so I understand a lot of

new

cost

is

being

incurred.

And,

what

operating

margin

which

a

mature

product

throws

the

cash

flows

we

are

not

able

to

capture

that.

As

you

said,

that

Rs.800

Crs

will

come

from

this

Rs.5,000

Crs

can

come

in

4-5

years.

How

much

operating

margin

we

can

see

from

where

the,

expenses

which

help

us

to

grow

are

little

bit

reduced

or

comes

at

normal

pace.

How

to

look

at

that

part?

Not

I'm

asking

for

operating

margin

next

year

of

4–5-year

period.

I

don't

know

whether

at

that

time

we

what

we

will
be
doing.
Just
a
colour
on
that
to
understand
how
much
cash
can
come
at
that
period.

Arun Jain:
So, Manoj, the mature product gives a margin of 30% plus. So, like, GTB has a business if you have a separate

business
that
will
give
30%
plus
margin.
Then
GCB
will
be
less
margin,

then

AI

will

be

less

margin.

That's

how

the

whole

book

is

constructed

for

as

a

portfolio

book.

So,

whenever

the

product

gets

matured

significantly,

it

can

start

going

up

to

40%

margin

as

a

product

level

itself.

So,

that's

how

a

4

years

horizon

we

are

looking

at

it,

getting

to

30%

margin

can

be

expected

in

4

years'

time

window.

Manoj Dua:

That was helpful. Thank you, and best of luck.

Praveen Malik:

Thank you, Mr. Dua. Next, we have Mr. Pankaj Gawade from Affluent Assets.

Mr. Pankaj Gawade:

Thanks. Am I audible, sir?

Arun Jain:

Yeah.

Pankaj Gawade:

Yeah. Well, sir, just wanted to understand we have almost all the products, launched and in the market.

So,

how

soon

do

you

expect

to

reach

sales

revenue

of

around

half

a

Billion

dollars

and

margins

of

upwards

of

20%?

Arun Jain:

4 years.

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Pankaj Gawade:

Okay. Sure. And the second thing is regarding this C 1. Is this acquisition margin accretive or dilutive?

Arun Jain:

Yeah. Initially, it will be dilutive. Overall, it will be accretive. With the cross-sell opportunities, it will be

accretive.

Individually,

it

may

be

dilutive.

Pankaj Gawade:

Okay. Thank you. Thank you, sir.

Praveen Malik:

Thank you. Next, we have Ruchita Ghadge from I-Wealth. Ruchita, please unmute yourself and ask the

question.

Ruchita,

are

you

there?

Ruchita:

Hello! Good evening. So, my question was on the Purple Fabric platform. So, just know if I have missed

it,

is

our

POC

done

already?

Arun Jain:

Yeah. the full product is ready. It's been in boot camps, so we will forward you the link of this full system.

Full

investor

call

is

there.

Praveen,

can

you

forward

her

full

call.

Banesh Prabhu:

The product is being used by many customers, both in North America and in the UK.

Ruchita:

Hello. Sorry. I kind of missed it and I couldn't hear the answers. There was some technical issue. Can you

please

repeat

it?

Like,

is

the

POC

done?

Banesh Prabhu:

Yeah. So, this is a live platform. It is operating. If you go through the December Investors Meet, which was

attended

by

almost

100

investors,

you

can

go

through

the

script

and

it

will

tell

you

that

the

platform,
which
has
evolved
over
the
years,
is
pretty
functional.
Many
pieces
of
that
are
already
being
used
by
customers
in
North
America
as
well
as
in
the
UK
and
few
other
customers

in
different
geographies.

But
it
is
primarily
up
and
running.

So,
there's
no
POC.

It's
not
like,
you
know,
it's
not
like
the
platform
is
not
live.

Ruchita:
Okay. Understood. Thank you.

Praveen Malik:
Thanks Ruchita. Next, we have Mr. Prolin Nandu from Edelweiss.

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Prolin Nandu:

Hi, Praveen. I have three questions. So, Arun ji firstly, on, your comment that from Q4 FY25, we should

be

at

an

Rs.800

Crs

revenue

rate.

Arun Jain:

No. I never said Rs.800 Crs revenues.

Prolin Nandu:

Sorry. My bad. Right. So, is that the base now going ahead or should that be your new normal?

Arun Jain:

No. We are saying this for full year, some of the deals got postponed in this quarter as well. So, Q4 will

be

much

better

quarter.

We

are

not

giving

guidance

to

it,

but

I'm

saying

we

are

looking

for

20%

growth

year

on

year.

That

trajectory,

we

want

to

keep

it

whether

its

15%,

16%,

18%.

Those

are

the

number

which

we

look

at

it

as

a

trajectory.

Prolin Nandu:

Understood, Arun. So, my larger question was that, you know, one of the reasons why we stopped giving

guidance

was

because

of

these
deal
delays.
Right?
And
we
were
probably
targeting
larger
deals.
So,
when
will
you
get
that
confidence
back
of
giving
guidance
and
this
is
not
from
a
guidance
perspective,
but
from
a

clarity

on

pipeline

perspective,

I'm

asking

this

question.

Is

it

still

a

bit

of

delays

which

are

going

on

in

the

system,

or

now

that

pipeline

is

DE

clogged?

How

do

you

see

that?

Arun Jain:

Let me just clarify that point to you. The guidance is big because these deals are very large values in enterprise

space.

If

deal

value

is

5

million

dollars,

it

switched

the

revenue,

and

so

the

last

12

months

numbers

are

more

projectable.

So,

if

you

have

somebody

talk

to

me

for

next

4

years

where

we

will

be

reaching,

we

are

saying

we

can

be

Rs.4,000

Crs

in

next

four

years.

That

is

a

very

easy

for

me

to

answer

it.

But

when

you

say,

what

will

be

the

next

90

days?

I

cannot

say

what

next

90

days.

Next

90

day,

we

are

saying

this

Q4

is

definitely

looking

close

to

Rs.700

Crs.

But

whether

all
the
quarters
will
be
of
that
baseline,
we
love
to
have
it.
Let's
see
how
much
we
can
able
to
do
it.

Prolin Nandu:
Sure, Arun. That's understood. Second question is on this AI and, you know, you will be using internally

also
AI
to,
see
and
you
I
think

in
the
Purple
Fabric
call
also,
you
mentioned
that
probably
you
won't
be
adding
more
employees.
Right?
And
I
want
to
link
this
comment
of
yours
to
the
margin
guidance
wherein
some
of

the
past
calls,
you
have
guided
for
this
30%
trajectory
a
lot
sooner.
Maybe
next
6-8
quarters
is
what
you
had
guided
for.
And,
so,
internal
use
of
AI,
can
this
accelerate
the

growth
of
margin
towards
that
30%
aspiration
is
what
I
want
to
understand.

Arun Jain:
Yeah. Definitely. That's a whole objective. Manish, you want to highlight?

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Manish Maakan:
Sorry. I missed it. Could you please repeat that? Sorry.

Arun Jain:
Will AI, help you reducing the cost and margin, including the margins?

Manish Maakan:
No. Good. Now I think, two things. One is, we have experienced good success with Purple Fabric by embedding

that
in
as
we
build
out
our
applications.
And
those
are

things
which
in
Banesh
has
been
talking
to
about
it.
I
think
the
inspiration
we
have
taken
from
that
is
to
internally
put
that
in
use
to
automate
of
how
software
engineering
is

done.

So,

let's

look

at

the

four

stages

of

a

software

lifecycle

and

engagement

with

a

customer,

the

build,

the

validation,

and

migration.

Step one, we are looking at the entire build cycle on how do we bring in significant productivity. Next will

be,

how

do

we

the

validation

cycle,

how

do

we

bring

in

significant

productivity.

The two ends of working with the customer and migrating, those will be in the second phase we will take

at.

So,

over

next

two

quarters,

we

focused

on

the

middle

two

legs

of

driving

engineering

using

this

as

well

as

validation

using

AI.

Arun Jain:

The margin obviously will go up because if you're not hiring more people, so it's an obvious corollary that

if

I'm

growing

even

revenues

by

10%,

margin

will

go

by

20%.

Prolin Nandu:

Yeah. Right. So, then in that sense, maybe that 3-4 years' timeline of 30%, you would, I mean, is that more

like

a

conservative

kind

of

a

number?

Because,

see,

Arun,

if

you

look

at

the

product

companies,

there

is

an
operating
lever.
Some
of
your
peers
also
which
are
in
the
company
are
earning
far
higher
margin.
Right.
And
we
are
starting
from
a
lower
base.
So,
is
that
30%,
can
be

achievable

slightly

sooner

than

what

you

have

probably

called

out

earlier

in

this

call?

Arun Jain:

We can earlier, but I let's not look at earlier. And the point, a lot of product companies have not crossed

Rs.1,000

Crs

numbers.

If

you

look

at

it,

if

you

have

focus

on

margin,

your

growth

gets

stopped.

In

technology

business,

your

growth

is

important.

So,

we

have

a

credibility

now.

We

made

GTB

business

Rs.1,000

Crs.

I'm

saying

we

will

make

GCB

business

Rs.1,000

Crs,

then

we

will

make

AI

business

Rs.1,000

Crs.

How

many

companies

in

India

have

a

product

business

of

Rs.1,

000

Crs?

Three businesses of Rs.1,000 Crs nature, and that requires investment. If I publish separate numbers of

separate

margins,

you

will

see

the

margin

of

the

GTB

business

is

very

high

compared
to
the
other
businesses.
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Prolin Nandu:

Sure. That's clear. And last question from my side is that in your slide deck on, slide 30, where you have

probably,

you

know,

talked

about

the

funnel,

almost

Rs.10,000

Crs

of

the

value

of

the

funnel

in

Q3

FY

25.

Do

you

want

to
call
out
a
number
out
of
this
which
can
be
attributed
to
Purple
Fabric?

Arun Jain:
Not right now. As of now, it's we are not separating it.
Prolin Nandu:
Okay. But any timeline by which we will be able to, you know, give this number. Will it be a bit a year from

now,
or
do
you
think
more?

Arun Jain:
We have good traction. We have a lot of boot camps happen. We have around 100 different people are
in
various
stages
of
interest
being
shown.

A
lot
of
service
companies
are
showing
interest
that
they
can
use.
So,
this
is
Purple
Fabric
platform.
We
are
saying
some
of
the
tier
1
SI's
and
tier
2
SI's,
we
are

giving
to
them
so
that
they
can
solve
the
customer
problem.
So,
it's
a
platform
play
which
service
companies
are
finding
good
way
for
them
to
grow
their
businesses
better.

Prolin Nandu:

Sure. Because there also you are saying that it's not a question of when we reach Rs.1,000 Crs. It's a question

of

1,000

or

5,000.

Right?

Did

I

get

you

correctly?

Probably

the

outer

book

booking

might

should

be

happening

in

the

next

one

year.

Right?

I

mean,

to

probably,

achieve

that

number.

Right?

Am

I

correct?

Arun Jain:

No. It's an adoption. Revenue number is not an objective for Purple Fabric but adoption is. How do we

get

a

10,000

people

using

Purple

Fabric

will

be

our

first

objective.

Prolin Nandu:

Sure. That's very clear.

Arun Jain:

These are platform play, not as a revenue play in the beginning.

Prolin Nandu:

Okay. That's it from my side. Thank you so much, Arun, and all the very best.

Praveen Malik:

Thanks, Prolin. Next, Ram has come back again. Mr. Ram KV of QFSPL.

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Ram:

Thanks, Praveen. Mr. Arun, the question is addressed to you. Typically, I have been with the IT product

space,

so

the

question

is

coming

from

macro

point

of

view.

So,

I

would

just

like

your

thought

process

on

that.

We

have

seen

typically

in

the

IT

product

space

that

investment

goes

in,

the

products

become

live,

volume

builds

up,
and
then
at
the
end
of
it
the
PAT
margin
or
the
gross
margin,
goes
up,
substantially.

In Intellect, we have been investing. We have been remaining invested over the last 6-7 years. When do

you
think
in
the
next
3-4
years,
will
the
tipping
point
come
when

PAT

will

grow

up

much

stronger

than

what

we

have

seen

in

the

past,

especially

in

the

background

of

90

million

quarter

revenue?

Arun Jain:

Sure. And that's what I have just talked earlier also when you are not on the call that the PAT margins will

definitely

grow.

If

you

look

at

the

cost

structure

in

last

four

quarters,

it

remains

around

Rs.475

to

Rs.480

or

Rs.485

Crs.

And

the

revenue

number

is

Rs.607

Crs

number

or

you

take

Rs.625

Crs,

the

number

will

be

different.

As

soon

as

it

becomes

Rs.700

Crs,

the

margin

will

look

very

different.

So,

if

you

just

plot

yourself

the

number

or

the

top

line

growth,

the

margins

need

not

be

articulated

to

you.

It
will
automatically
improve.

So,
that's
what
I'm
saying
30%
margin
can
be
possible
there.

It's
a
question
of
how
much
we
reinvest
back
into
building
business
1,
business
2,
and
business
3.

So,
now
business
1
GTB
has
been
Rs.1,000
Crs
plus,
business
2
is
now
GCB
will
be
Rs.1,000
Crs
next
year.
Now
we
are
building
AI
business
into
this.
So,
that's
how
the

margin
getting
redeployed.
It's
not
that
current
business,
has
a
bit
lower
margin
than
the
other
product
companies.

Ram:

That is obvious because the mix will always change. Correct.

Arun Jain:

Yeah. So, the growth and the investor, you have both the things are important from a growth perspective

because

lot

of

product

company

have

become

very

stagnant.

If

you

see

many
product
companies
doesn't
grow.
They
just
grow
the
margin,
but
not
the
revenue.

Ram:
Exactly. So, I was looking at the base part of it. So, my question focused manner is in the next four years,

will
we
see
Rs.1,000
Crs,
margin
vertical?
Uh-huh.

Arun Jain:
Rs.1, 000 Crs margin will be there after four years, definitely. If you want to put that in my mouth, we are

also
looking
for
1,000
Crs
margin
in

four

years.

Ram:

Okay. Great. Thanks a lot. Thank you. All the best.

Investor

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Praveen Malik:

Thank you, Ram. Next, we have Mr. Chirag Kachhadiya from Ashika Institutional Equities. Chirag? Are you

there?

Chirag Kachhadiya:

So, I want to know, your thought process on demand environment and, outlook from 3-4 years point of

view.

Arun Jain:

I have to repeat again. I think Vasudha has told that. Vikas is a part of strategy, would you like to share

the

market

outlook?

Vikas Misra:

Yeah. So, Chirag, good question, but I guess, probably you were not there before. Yes. See, the demand

is

very

much

there

and

which

is

pretty

evident

from

the

pipeline

that

we

have.

And

the

outlook

also

we

talked

about

in

the

next

3-4

years,

Arun

also

talked

about

it

to

create

a

billion-dollar

thing.

And

that's

where

we

are

heading.

And

just

few

minutes

ago,

he

just

talked

about

the

margin

piece

also.

So,

I

guess,

you

had

all

the

answers.

Maybe

you

just

need

to

just

go

back

and

rewind

a

little

bit

more.

Chirag Kachhadiya:

Yeah. I will going again and see. Yeah. Okay. Thanks.

Praveen Malik:

Thanks Chirag. Next, we have Mr. Ryan Floyd from Barca Capital. Ryan?

Ryan Floyd:

Yeah I am here

Can you hear me? Okay

Where are the financial statements on your website? Let's just start it easy. The financial statements.

So,

you

guys

are

doing

an

investor

presentation

for

December

2024.

Where

are

those

financial

statements

that

all

of

us

can

see?

Arun Jain:

It's not on the website?

Ryan Floyd:

It's not on your website, and this is not the first time that you have done a call where it's very difficult for

investors

to

see

the

financial

statements

before

the

call.

Praveen Malik:

Ryan. You mean for this quarter?

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Ryan Floyd:

Yes. For December 2024. It's not on the website. Where is the presentation?

Arun Jain:

It will be sent to investors. I think at this point, Nachu and Praveen Malik, you need to look at it that when

we

are

just

loading

it

from

the

website

or

not.

Ryan Floyd:

It's not on the website.

Arun Jain:

Okay. So, there's a delay in the loading on the website.

Ryan Floyd:

Yeah, it's very frustrating. I'm sure I'm not the only one that's frustrated by this. We are having a conversation

here

without

knowing

what

the

numbers

look

like.

So,

let's

do

our

best

here.

I

think

that

we

went

through

a

bunch

of

deals,

which

sounds

great.

Usually,

when

you

sign

a

deal,

you

are

bringing

in

revenue.

Can

you

give
us
some
rough
sense
of
the
revenue
growth
by
segment,
like
license,
maintenance,
SaaS?
And
if
it
went
down,
can
you
give
us
a
sense
of
why
those
segments
went
down?

Arun Jain:

Yeah. Ryan, I think all of the part of the presentation, maybe we will put you into investor list, of

communication.

Ryan Floyd:

That's okay. But let's talk about it now, please. Because we haven't talked about those things on the call,

and

it

seems

it

seems

fairly

important.

Arun Jain:

Vasudha can you share the revenue numbers again? Otherwise, will you switch on this if you want to put

the

presentation?

Vasudha Subramaniam:

So, let me let me voice out now. Yeah. Ryan, let me voice out now. Maybe you can even look at it later

after

it's

been

put

up

on

the

website.

So,

the

breakup

of

the

revenue

is

like

this.

For
the
quarter,
I
mean,
the
total
revenue
as
you
would
have
seen,
the
revenue
from
operations
is
Rs.607
Crs
while
the
total
revenue
including
other
income
will
be
higher.
So,
out
of

the
Rs.607
Crs,
we
have
about
Rs.118
Crs
for
license
revenue.
SaaS
revenue
is
about
Rs.50
Crs,
AMC
is
Rs.124
Crs
and
implementation
is
Rs.315
Crs.
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So, you can see some growth maybe if at all you want to compare with the previous quarter. There is
a
growth
in

the
implementation
revenue,
AMC
revenue,
and
also
in
the
SaaS
revenue
as
well
as
in
the
license
linked.
So,
we
have
grown,
over
the
previous
quarter
in
all
these,
segments.

Ryan Floyd:

And that is for the quarter, not 9 months. That's for the quarter, year on year. Is that right?

Vasudha:

Yeah.

Ryan Floyd:

What is the free cash flow that the we have produced? Because I think the free cash flow declined

last

quarter.

This

quarter,

is

the

free

cash

flow

margin

on

revenues

higher?

Vasudha Subramaniam:

It is higher. When I say free cash flow, it would be as high as close to Rs.50 cores.

Ryan Floyd:

What is that as a portion of total revenues? So, this is after intangibles? This is after leases? Like, the free

cash

flow

that

we

can

use

for

things?

Vasudha Subramaniam:

Right. It is after intangibles and after leases. Yes.

Ryan Floyd:

What is that as a portion of revenue?

Vasudha Subramaniam:

Closer to 10 percentage of the revenue.

Ryan Floyd:

10%. Okay. And, if it is 10%, that's that sounds very healthy. So, this deal in Canada, can you it sounds like

you

guys

are

buying

their
operation,
which
sounds
great
that
you
are
looking
at
M&A.
Can
you
give
us
some
sense
of
what
revenue
multiple
or
approximate
revenue
multiple
you
are
paying
on
this?

Arun Jain:

It's a very competitive industry right now, Ryan. We are not publicly announcing the price we are

for

this

acquisition.

Ryan Floyd:

Okay. Is it lower than the one that at which you are trading? Could you give us some rough idea?

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Arun Jain:

It's much lower. Yeah.

Ryan Floyd:

Okay. Great. That that sounds interesting. Are there more acquisitions that you could make of modular

product

companies

in

financial

software?

Arun Jain:

We want to go slow. Definitely, we like to look at it a part of this strategy to enter into. So, each region,

now

North

America

would

have

now

200

customers

plus.

We

would

like

to

have

a

Europe

to
also
have
similar
kind
of
a
number
of
the
customers.
So,
we
will
look
at
its
option,
but
we
will
go
step
by
step.
As
you
have
observed
our
company,
we
are

very,
very
conservative.

We

first,

we

build

GTB

business,

then

we

build

GCB

business,

then

we

build

AI

business.

We

don't

go

all

around

the

business.

Our

focus

is

to

go

very

paced

growth.

Ryan Floyd:

Right. If you're producing free cash flow to the tune of 10% of revenues, that will leave nice cash that you

could

potentially

make

nice

acquisitions

for.

Have

you

mapped

out

or

do

you

do

you

have

someone

potential

companies

that,

in

theory,

you

would

like

to

buy?

Have

you

reached

out

to

a

bunch,

or

are

these

inbound

deals?

Arun Jain:

As of now, acquisition is not a part of our core strategy. eMACH.ai is keeping us busy. We don't want to

get

distracted

as

a

core

part

of

the

strategy.

It's

inbound

only

right

now.

Ryan Floyd:

Okay. And you mentioned on the call, I think, that this Canada deal would not be accretive before cross

selling.

It

seems

like

what

should

be

a

good

product.

Why

when

I

hear

that,

I'm

thinking

you're

buying

something

that's

very

low

margin.

Why

would

that

be

the

case?

Arun Jain:

The current cost structure of Canada will be higher than the current cost structure of Indian companies.

So,

obviously,

it

will

be

any

western

acquisition

will

be

value

dilutive

in

the

beginning.

Ryan Floyd:

Why is that? I mean, there are certainly western financial services software companies with more than

10%

free

cash

flow

margins.

Arun Jain:

Yeah. It's a different kind of case. So, this acquisition will have a dilutive margin dilutive on the overall margin

dilutive.

So,

obviously,

we

need

to

build

up

the

accretion

when

we

sign

up

a

new

credit
core
banking
deal.
We
want
to
bring
it
to
the
value
accretive
in
next
18-36
months
period.
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Ryan Floyd:
Okay. And if this is sensitive, you don't need to answer it. But is this because perhaps the previous owner

hadn't
taken
price
increases
that
the
prices
weren't
high
enough?

Arun Jain:

Leave it.

Ryan Floyd:

It's okay. That's fine. That's fine. So, you have you have many customers, and some have been customers

for

a

really

long

time.

Sometimes

with

financial

services

software

companies,

the

margins

can

be

much

higher

for

a

unit

of

growth

than

you

have.

And

I'm

wondering

out

of

all

of

your

100s

or,

maybe

even

thousands

of

customers,

do

you

have

some

that

are

not

profitable?

And

if

so,

why?

Is

there

opportunity

for

you

to

make

them

profitable?

This

is

at
the
free
cash
flow
level
after
including
working
capital
changes.

Arun Jain:
Ryan, just to answer your question, I think I mentioned earlier also the margin question was asked.
We

have
three
businesses,
and
our
whole
business
design
from
2016
is
based
on
how
do
you
keep
a
CAGR
growth

in
double
digits.
So,
that's
the
whole
approach.
Lot
of
time
Product
Company
gets
into
the
trap
of
not
growing
and
growing
the
margin.
We
wanted
to
grow
both
of
it.
So,
we

build
up
one
business
and
make
it
a
Rs.1,000
Crs
business,
then
reinvest
some
money
and
cash
flows
from
there
to
build
up
a
second
business.
Then
we
make
Rs.1,
000
Crs,
and

then

we

reinvest

back

into

third

business,

which

is

the

AI

business.

So,

that's

how

our

journey

is

progressing.

So,

individually,

on

a

GTB

as

a

business,

our

margins

are

as

comparable

to

any
other
product
company,
which
is
long-standing
customers.

Ryan Floyd:
Right. When I look at other financial services software firms with similar revenues, they have higher margins,

though,
for
the
same
level
of
growth.

It
would
just
seem
that
perhaps
you
got
some
products
made
it.

Arun Jain:
Ryan, they are valued higher than that. We are not valued that much.

Ryan Floyd:
Your margins are very healthy. But is it possible you have some products where your customers just aren't

paying

you
enough?
You
need
to
increase
the
prices
of
those
products
in
order
to
make
it
worth
your
development
energy
and
expense?

Arun Jain:
There's always a case. Some products will be more profitable than others, so we will look into that.
Thank

you
for
your
advice.
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Ryan Floyd:
Alright. Well, thanks for doing the call. I would humbly request that before the calls that your

presentation

and

the

financial

statements

are

on

your

website.

Vasudha Subramaniam:

It's now up on the website, Ryan. You can check that out. Sorry for the inconvenience, but it's now up on

the

website.

You

can

please

refer

to

that.

Thank

you.

Ryan Floyd:

Okay. You got it.

Praveen Malik:

Thanks, Ryan. Thanks for attending the call. Mr. Mukul is not there, Jitender is not there. So, the last one

we

can

have,

I

don't

know,

is

the

one

Mr.

Rohit

Balakrishnan

from

ithoughtpms,

if

he's

there.

Rohit,

are

you

there?

Rohit Balakrishnan:

Yes, sir. I'm there. Good evening. Yeah. So, most of the questions have been answered, sir. Just, two questions.

This

Central

1

deal

that

we

have.

So,

sir,

I

was

just

checking

their

balance

sheet

that

is

there

on
their
website
for
last
year.
So,
I
think
this
division
is
loss
making.
So,
I
mean,
whatever
you
have
been
shared,
you
already
mentioned
this
margin
dilutive,
but
will
there
be
losses?

Because

I'm

assuming

that

cross

selling,

etc

will

be

probably,

will

take

quite

a

long

time.

So,

if

you

can

just

share

maybe,

what

are

your

thoughts

maybe

for

the

next

couple

of

years?

How

do

you

think

the

margins?

Arun Jain:

It will not be loss making. So, we want to just tell you, it's not loss making. We didn't done a deal in a manner

that

it

will

not

be

loss

making

for

us.

Rohit Balakrishnan:

Okay. That's happy to hear, sir. Yeah. And this last question, sir, so you already mentioned that, Rs.1,000

Crs

of

profits.

Arun Jain:

In four years. Not right now.

Rohit Balakrishnan:

I have been invested for last 5 years now and I've been tracking you for a long time. So, I understand, sir.

So,

I

just

wanted

to

hope

and

reiterate

that,

sir.

Like,

I

mean,

historically,

we

have

grown

around

15-16%.

So,

with

all

what

you

have

been

doing,

I

mean,

we

have

been

investing

ahead

of

the

curve.

We

have

been,

trying
to
invest
more,
and
you
have
been
articulating
this
fact
that,
our
idea
is
to
keep
growing
the
top
line
and
keep
on
increasing
our
TAM
and
keep
on
increasing
the
runway.

Is
there,
and
still,
like,
historically,
15%
growth
has
been
there
when
these
things
were
not
there.
And
over
the
last
6-7
years,
we
have
invested
a
lot.
So,
I
know
this
is

maybe

a

bit,

I

mean,

you

have

been

Investor

Meeting

Transcript

conservative. But what are the things that you are looking at where things can become faster for you?

I

mean,

from

a

revenue

growth

point

of

view.

Arun Jain:

Purple Fabric, DEP, core banking, I think you take anything, it can have a major blockbuster. We have to

just

remain

calm

so

that

we

can

deliver

to

our
customer
high
satisfaction.

This
business
is
a
non-forgiving
business.

You
can't
make
a
mistake.

That's
the
only
thing
we
want
to
protect.

Otherwise,
my
GTB
business,
GCB
business,

I
think
the
beauty

of
the
business
is
what
we
have
built
in
the
past
is
everything
is
distinctively
story.
We
have
displaced
and
disrupted
the
existing
competition
each
time.
We
disrupted
Finastra,
we
are
disrupting
Temenos.

We
are
disrupting
Palantir.
We
are
a
company
from
India
disrupting
a
global
player
with
such
a
low
investment
of
what
you
say,
Rs.140
Crs
plus
Rs.200
Crs,
Rs.350
Crs.
What
is
this

investment

in

terms

of

global

terms?

It

less

than

less

than

40

million

dollars.

That's like the power of our powerhouse of our R&D team and our committed team, which we have in

Intellect.

It's

an

amazing

team.

Rohit Balakrishnan:

So relative to that, of course, last you I mean, you have mentioned the growth has been tepid because

of

certain

delays.

So,

hopefully,

sir,

I

mean,

next

year

should

be

a

better

year.

You

already

mentioned

Q4

be

better?

Arun Jain:

Yeah. Sure.

Rohit Balakrishnan:

Thank you, Sir.

Arun Jain:

Thank you, Rohit.

Praveen Malik:

Thank you, Rohit. Now we are closing the call, and three to four people who have left can write the questions

to

me

so

we

can

answer

accordingly.

And,

those

also

who

have

once

again

put

their

hand

just
request
them
to
please,
write
back
to
us.
And
thank
you
for
attending
the
call
today.
So,
now
we
are
closing.

Thank you, everybody.

Note:

This
transcript
has
been
edited
for
readability
and

does

not

purport

to

be

a

verbatim

record

of

the

proceedings

Call: Jun 2025

Intellect/SEC/2025-26 May 16, 2025

1. National Stock Exchange of India Limited,
Exchange Plaza, 5th Floor, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra (E), Mumbai – 400 051.

Scrip Symbol :

INTELLECT

2. BSE Limited,
1st Floor, New Trade Ring, Rotunda Building, PJ Towers,
Dalal Street, Fort, Mumbai – 400 001.

Scrip Code :

538835

Dear Sir/Madam,

Sub: Regulation 30 and 46 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations 2015 – Disclosure of Transcript of the Earnings call

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find attached herewith the transcript of the Investor earnings call
held on May 09, 2025 for the 4th quarter and financial year ended March 31, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record.

Yours truly,
For Intellect Design Arena Limited,

V V Naresh
Company Secretary and Compliance Officer

Encl: As above

Q4

&

FY

2024-25

Investor

Earnings

Call

Transcript

Praveen Malik:
Greetings and welcome, everyone!
Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the
fourth

quarter

of

the

fiscal

year

2024-25,

ending

31st

March

2025,

and

also

the

full

year

FY25.

The

investor

presentation

and

the

press

release

have

been

sent

to

you

and

is

available

on

our

website.

Our

leadership

team

is
present
on
the
call
to
discuss
the
results.

We
have
with
us
today

Mr. Arun Jain, Chairman and Managing Director
Mr. Manish Maakan, CEO, iGTB
Mr. Rajesh Saxena, CEO of iGCB
Mr. Banesh Prabhu, CEO of IntellectAI, and
Ms. Vasudha Subramaniam, CFO
Besides some other senior members of the Intellect management team, are present on the call.
Now I hand over to Ms. Vasudha to take you through the results. This will be followed by Q&A session

where
your
questions
will
be
replied
to
by
the
management
team.
Once
the
Q&A

starts,
you
can
ask
the
questions
by
clicking
on
'raise
your
hand'
and
we
will
unmute
you
so
that
everyone
is
able
to
hear
you.

One safe harbour, I would like to remind you that anything which we say which refers to the outlook for

the
future
is
a
forward-looking
statement
which

must
be
read
in
conjunction
with
the
risks
that
the
company
faces.

With
this,
I
request
Ms.
Vasudha
to
give
her
briefing.

Over
to
you,
Vasudha.

Vasudha Subramaniam:
Thank you, Praveen. Good evening, everyone, and thank you for joining us today for our Q4 and full
year

2024-25
earnings
call.

The
PR

and

investor

deck

have

been

uploaded

well

in

advance,

and

I

hope

you

have

had

a

chance

to

go

through

the

same.

Let

me

walk

you

through

our

performance

for

the

quarter

and

the
full
year
and
then
share
some
deeper
insights
into
our
business
drivers
and
future
trajectory.
Starting
with
the
numbers
for
the
4th
quarter
of
the
financial
year
2025,
we
reported
revenue
of

Rs.749

Crores,

reflecting

a

19%

year-on-year

growth

as

well

as

a

balanced

performance

across

all

geographies

and

products.

This growth was driven by new customer acquisitions as well as deepening client engagements, driven

by

our

eMACH.ai

platform

and

Purple

Fabric,

the

open

business

impact

AI

platform.

Our
license-linked
revenue,
which
includes
license
AMC,
cloud
and
SaaS
platform
income,
which
defines
the
success
of

our
IP-led
monetisation
strategy,
stood
at
Rs.392
Crores.

We
delivered
a
healthy
EBITDA
of
Rs.227

Crores
for
the
quarter,
representing
an
EBITDA
margin
of
30%.
Profit
before
tax
for
the
quarter
came
in
at
Rs.181
Crores,
reinforcing
our
continued
focus
on
profitable,
scalable
growth.

EBITDA grew 48% year-on-year. Collections remained strong at Rs.712 Crores, keeping our operating cash
flow
healthy

and
aligning
with
revenue
recognition.
Q4
&
FY
2024-25

We closed the year with a cash balance of over Rs.1,000 Crores. Now, we looking at the full year performance.

We
closed
the
financial
year
2025
with
total
revenue
of
Rs.2,577
Crores
and
license-linked
revenue
contribution
of
Rs.1,247
Crores,
which
accounts
for
50%

of
our
revenue
from
operations.

As
mentioned
earlier,
this

is
a
significant
indicator
of

our
maturing
product
footprint
and

increasing
stickiness
of
our
platforms.

Our
annual
recurring
revenue
based
on
Q4
run
rate

stood
at
Rs.870
Crores,
giving
us
a
strong
base
as
we
enter
the
financial
year
2026.

It is important to note that this is real, predictable, and sustainable revenue anchored in long-term client

relationships.

Our
EBITDA
for
the
year
was
Rs.608
Crores,
and
the
PBT
was
Rs.442
Crores.

Margins

continue

to

be

healthy

even

after

absorbing

key

investments

into

Purple

Fabric

and

new

client

success

programs.

On the commercial success and market momentum, we ended the year with 43 new customer wins and

53

successful

digital

go-lives,

a

clear

demonstration

of

the

impact

of

First

Principles

Thinking

led

Zero

Waste

Architecture

is

creating

amongst

global

financial

institutions

and

our

ability

to

execute

at

scale

through

composable,

open

architecture

and

iTurmeric

platform.

Just

in

Q4,

we

on

boarded

nine

new

logos

and

executed

16

go-lives

across

geographies

from

Africa

and

Asia

to

the

Middle

East,

the

UK,

and

Europe.

Two wins I would like to spotlight here:

First, a landmark AI transformation deal with a leading London market brokerage firm. This is a 200-Cr

engagement,

which

is

one

of

the

earliest

real-world

implementations

of

our

new

platform,
Purple Fabric, combined with the 2 P&C Insurance applications, Magic Submission and e M A C H . a i Xponent, that already
have a significant presence in the US in production-grade underwriting and
clients'

operations.

Second, a multi-country wholesale banking deal with a European headquartered global bank that
selected

eMACH.ai

to

drive

composable

transformation

across

its

treasury

and

transaction

banking

businesses.

Both these wins underscore the confidence large institutions, which follow a rigorous architecture
and

technology

assessment,

have

in

our

ability

to

deliver

large

transformations

at

scale.

Apart,

we

have
wins
across
North
America,
the
UK,
Asia,
and
the
Middle
East
for
eMACH.ai
platforms
in
the
retail,
corporate
and
wealth
spaces.

Let me now turn to what I believe is the most exciting development this year: our launch of Purple Fabric,

the
world's
first
open
business
impact
AI
platform
for
financial

institutions.

When most people hear the term AI platform, they think of conversational chatbots, personal productivity

tools,

or

isolated

agents.

Purple

Fabric

is

not

that.

This

is

a

purpose-built

AI

platform

architected

from

the

ground

up

to

drive

concrete

business

outcomes

like

enhanced

customer

acquisition

and

growth,
operational
excellence,
more
robust
governance
and
compliance,
and
faster
and
sharper
financial
decisions.

It is built on four foundational technologies:

One, the Enterprise Knowledge Garden that combines organisational data from structured and unstructured

sources

from

the

ecosystem

and

regulatory

sources

to

knowledge-as-a-service.

This

Q4

&

FY

2024-25

powers our Enterprise Digital Experts, modular task-specific co-pilots that address underwriting, trade

and

supply
chain
finance,
customer
on
boarding,
fraud
detection,
and
more.

What sets Purple Fabric apart is its governance-first architecture. We have embedded 18+ AI guardrails,

ensuring
explainability,
fairness,
and
auditability
of
both
data
and
decisions,
apart
from
enforcing
security
and
entitlements
at
the
level
of
roles,

workspaces,
and
tenants.
We
have
also
introduced
the
first-of-its-kind
open
LLM
benchmarking
capability,
allowing
institutions
to
choose
the
best-fit
LLMs
based
on
the
triple
constraints
of
cost,
accuracy,
latency,
and
interpretability
for
each

application.

As we move into the financial year 2026, our strategy focus is clear. Deeper Purple Fabric deployments with several live installations and a healthy pipeline of new enterprise

AI
programs,
and
strengthen
international
business.

Our
banking
business
has
been
very
successful
in
Europe
and
is
breaking
new
ground
in
the
US.
We
also
have
a
strong
presence
in

Canada,
which
was
significantly
bolstered
by
the
integration
of
Central1.
We
hope
to
leverage
these,
as
well
as
the
Purple
Fabric
presence
in
the
US
to
deepen
our
footprint
in
that
geography.

Similar potential exists in other key geographies like Australia, Asia, and IMEA. We are entering this new

fiscal

year

with

confidence

that

comes

from

having

innovated,

delivered

and

delighted

clients

consistently

across

product

lines.

Before

I

close,

I

want

to

thank

our

investors

for

their

continued

trust

and

our

Intellect
associates
worldwide
for
their
commitment
to
excellence.

With
the
twin
engines
of
eMACH.ai

and
Purple
Fabric,
we
are
extremely
bullish
about
the
next
phase
of
our
growth
gen

Thank you.

Arun Jain:

Thank you, Vasudha, for sharing the results.

Praveen Malik:

Can we start the Q&A?

Arun Jain:

Yes, please. Because all the details are simply the same. So, whatever is being declared, whatever is a

continuation

of

the

AI

commentary

which

is

going

on

...

Praveen Malik:

Now we are opening for Q&A. Please click on "Ask Question." Hello. Please click on "Raise Your Hand"

to

ask

a

question.

Arun Jain:

I think there are eight participants.

Praveen Malik:

Please click on "Raise Your Hand."

Q4

&

FY

2024-25

Arun Jain:

Praveen, they have already raised their hand

Praveen Malik:

Yes, Arun?

Arun Jain:

No, no. They have already raised their hand

Praveen Malik:

First, we have Mr. Rahul Jain from Dolat Capital. Rahul, please ask your question. Please unmute him.

Rahul Jain:

Yeah, hi. Thanks for the opportunity, and congratulations on a very strong execution during the quarter.

I

have

a

few

questions.

Basically,
this
win,
which
you
announced
during
this
quarter,
and
you
have
mentioned
all
these
deal
wins
in
your
press
releases
as
also.
First
of
all,
just
for
clarification,
is
it
safe
to

assume
that
most
of
the
deals
we
have
announced
related
to
this
London
market
brokerage
firm
and
others
are
captured
in
the
Q4
financials,
or
they
are
partially
part
of
the
results,
by

some

of

it

would

feature

mainly

in

the

April-May-June

quarter?

Arun Jain:

Yes. To your very specific question, I think that the brokerage firm's deal is not fully accounted for.

This

Rs.200

Cr

will

be

distributed

over

the

next

three

years.

A

very

small

portion

has

been

recorded

in

the

last

quarter.

Rahul Jain:

Right. And you know, our wins have come at a time when we are seeing a very dramatic shift in the macro

thought

process.

Although

many

companies

are

talking

positively

about

BFSI

spending

so

far,

it

would

be

great

if

you

could

share

the

big

picture

as

well

as

your

near-term

thoughts

process

on
the
little
demand
scenario,
including
the
risks
associated
with
that
situation,
considering
how
the
macro
and
geopolitical
factors
are
evolving.

Arun Jain:

Let me take that question. I would like to point out a few parameters. One is our strategy at Intellect Design

Arena,
where
we
go
product
by
product
in
the
market

and
have
aimed
to
create
market
growth
opportunities
over
the
last
10
years.
If
you
look
at
the
journey
of
the
last
5
years,
iGTB
led
until
2019.
iGTB
was
a
strong
engine,

and
the
iGCB
engine
started
building
momentum,
while
the
AI
engine
has
also
begun
to
develop.
Thus,
three
different
trajectories
are
running.

First, we fully invested in the iGTB business. It is the business with the highest profit margin, followed by

iGCB,
and
investments
are
still
being
made
in
the

AI

business.

This

is

how

the

overall

composition

of

the

revenue

comes

in.

This

is

about

on

my

product-based

revenue

commentary

If I look at the geography commentary, we began in Europe, starting from Canary Wharf, UK. The Europe

business

is

now

a

substantial

part

of

our

overall

business

and

is
the
largest
segment.
One
of
Q4
&
FY
2024-25

the advantages of this business is its well-distributed nature. When I analyse it, my US, North America,
and
Europe
segments
account
for
about
45%
of
total
revenue,
coming
from
the
US,
North
America,
Canada,
and
Europe.
While
the

remaining

55%

is

evenly

distributed

equally

among

India,

IMEA,

and

APAC.

This

shows

that

all

three

regions

contribute

almost

equally,

reflecting

a

well-balanced

business.

There is no dependency on the product or market, resulting in a very well-balanced business. In America,

we

focused

substantially

last

year,

and

we

mentioned

that

America

would

grow.

America

has

started

to

grow

significantly,

with

lots

of

subscription-based

insurance

businesses

contributing

to

growth

in

both

the

American

and

Canadian

markets

due

to

the

Central1

investment.

With

the
acquisition,
this
business
will
also
expand.
Therefore,
my
European
and
American
businesses
will
balance
each
other
out
next
year,
which
is
excellent
news
for
our
balance
sheet.
Most
likely,
these
two
regions

will

make

up

50%

or

more

of

our

business

next

year.

That's

what

you

are

looking

for.

If you have been tracking the company for quite some time, we have been running a quarterly revenue

of

Rs.

500

Cr.

Every

year,

if

you

look

at

the

numbers,

we

moved

Rs.

100

Cr

per

quarter,

and

I

mentioned

to

you

in

the

first

quarter

of

last

year

that

we

are

targeting

Rs.700

Cr

to

be

the

next

milestone,

and

that's

what

it

took

us

some
time,
three
quarters,
to
achieve.

In
the
first
quarter,
the
number
range

from
550

Cr
to
750

Cr
in
the
same
year

is
a
completely
normal
business,
and
that's
the
nature
of

the

business.

If you look at it, the revenue for the last 12 months grew by 11%. So, in the previous quarter, when we

were

pushing

ourselves

to

grow

that

much,

we

could

grow

around

11%

last

year,

excluding

GeM.

So,

that's

a

commentary

on

the

overall

business.

Ideally, we should have grown 15% when we designed the business. We achieved 11% and then 12%. We

reached

those

numbers

year

on

year.

My

cost

structure,

when

you

look

at

the

last

4-5

quarters,

averages

close

to

Rs.500

Cr.

This

quarter/

average

quarter,

due

to

the

Central1

acquisition,

we

have

an

additional

Rs.16

Cr

added

to

that

cost.

Otherwise,

it

remains

in

the

same

range.

The global scenario of BFSI suggests that while people are seeking more modernisation, both Europe and

America

require

the

same

improvement.

eMACH.ai

represents

our

great

story,

as

does

First

Principles

Thinking.

They

do

not

notice

any

vendors

using

First

Principles

Thinking

who

assert

that

they

will

reduce

your

costs

going

forward

rather

than

increase

them.

This

is

the

reason

we

won

these

deals

this

quarter.

In last April, I mentioned to all of you that we are moving our eMACH.ai to the US and Europe, and it will

take

some

time

for
them
to
catch
up
because
they
started
telling
the
story
of
eMACH.ai
to
US
and
Europe
customers
after
the
April
conference.
Within
9
months,
we
are
able
to
see
the
impact
of

eMACH.ai,
hopefully
because
of
the
disruptive
technology.
So,
I'm
not
saying
its
incremental
technology;
eMACH.ai
is
the
disruptive
technology
that
we
have.
It's
completely
codeless.
Along
with
that,
the
second
platform,
which
is

the
Open
Business
Impact
AI
platform,
will
be
launching
on
Monday
morning
in
the
Financial
Times,
London,
and
is
one
of
the
most
suitable
enterprise
platforms
in
the
AI
space.

There are three spaces in AI. For all the investors, I want to emphasise that there's a space focused
on
foundation

models

like

DeepSeek,

OpenAI,

or

Bedrock,

which

are

the

foundation

models.

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Then the second area involves using these models to generate specific problem-solving tools, like Gamma

for

creating

presentations,

along

with

many

other

applications

that

utilise

our

model

to

address

particular

issues,

such
as
making
PowerPoint
presentations,
writing
letters,
and
recording
meeting
minutes.

These
are
Point
applications
of
AI,
including
tools
like
Cursor
for
programming
and
software
development.

And there's a third space, which is a platform space that enterprises want to implement in an enterprise

setting.

There's
a
company
called
Palantir,

and
there
is
a
company
called
C3.ai.
There's
also
a
company
called
H2O.ai.
These
three
companies
are
part
of
the
platform
space
and
are
still
evolving.
But
as
Vasudha
highlighted,
we
are
the

first
company
to
create
a
technology
stack.
All
four
technology
stacks
that
we
are
announcing
constitute
an
open
business
AI
platform
designed
to
enhance
efficacy.
So,
this
is
the
summary,
Rahul,
in
short,

that

I

wanted

to

share.

Rahul Jain:

Mr. Arun, thanks for providing that context. I just have a couple of clarifications. You are basically saying

that

our

business

is

designed

to

achieve

15%

growth

regardless

of

the

current

environment,

and

that's

the

trajectory

we

should

expect.

From

a

cost

perspective,

as

you
mentioned,
the
current
quarterly
run
rate
of
expenses
is
around
■
500
Cr,
plus
the
Central1
component.
This
cost
base
should
remain
largely
stable.
So,
on
an
annualised
basis,
there
could
be

meaningful

profitability

improvement.

Is

that

the

correct

understanding?

Arun Jain:

That's

right.

We

have

mentioned

that

we

are

investing

■

100

Cr

in

the

AI

business

model,

which

will

lead

to

some

incremental

costs.

However,

our

core

business

has

stabilised

at

■
500

Cr,

with

an

additional

■
50

Cr

for

Central1,

making

it

■
550

Cr.

With

some

extra

costs,

the

overall

structure

could

be

■
560–570

Cr.

So,

don't

immediately

look

at

Purple

Fabric

investment

separately.

We

are

not

separating

the

company,

but

we

will

keep

the

costs

separate.

Rahul Jain:

So,

just

to

get

the

math

right.

Even

at

a

■
700

crore

run

rate

we

are

getting

200

Crore

EBITDA

and

even

if

after

adding

■

25

crore

of

quarterly

run-rate

to

the

coast,

It

should

give

us

25%

annualised

run

rate

of

EBITDA

So,

is

that

what

is

basically

our

objective

to

achieve?

Arun Jain:

That's right.

Rahul Jain:

I am just trying to understand what can be considered as a guidance. Yeah, understood on that part.

That's

quite

helpful.

Just

one

or

two

bookkeeping

questions

for

Vasudha.

In

the

presentation

this

quarter,

we

couldn't

find

the

break-up

of

cost
items.
It
would
be
helpful
if
you
could
share
the
details
for
software,
sales
and
marketing,
and
R&D
expenses.

Vasudha Subramaniam
Sure. Since we introduced more rows this quarter, the breakdown may have been inadvertently missed.

We
will
share
that
with
you.
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Praveen Malik:

Rahul, I will share it with you.

Rahul Jain:

Ok, got it. And just one more clarification. As Mr. Arun mentioned, this Central1 was included in this quarter,

and

our

understanding

at

that

time

was

that

it

would

not

be

a

very

profitable

business

to

start

with,

given

the

pay-out

for

the

transaction.

However,

it

seems

that

we

have

performed

quite

well,

even

considering

that.

So,

is

it

safe

to

assume

that

the

profitability

should

be

viewed

as

significantly

better,

even

when

accounting

for

Central1?

Or

do

you

think

there

might

be

more
investment
coming
in
the
subsequent
quarter,
which
could
also
pose
a
headwind
for
profitability?

Arun Jain:
I think it's the last time you didn't pick up the right signal. We said Central 1 is one of the best acquisitions

we
could
have
considered.
Sometimes
you
miss
those
171
banking
customers
in
the
Canadian
market;
these

171

is
one-third
of
the
banking
market
over
there,
where
we
can
cross-sell
lending
and
core
banking.

So,
that
is
the
misinterpreted
signal.

Even though we started operating Central1 on the 1st of March, we only had one month of revenue,
and

it
was
profitable.

It's
not
a
very
high

profitability,

but

it's

not

a

loss

either.

There

was

a

profitable

high

single-digit

profit

in

the

new

business

we

acquired.

It's

not

a

value

eroding-reative;

it's

a

highly

value-accretive

acquisition

with

a

significantly

lower

cost

to

pay

for

this

business.

Rahul Jain:

Right. I understand the potential. I was just discussing margins, but thanks for that additional colour.

That's

all

from

my

side.

Thank

you!

Arun Jain:

Thank you.

Praveen Malik:

Thank you, Rahul. Next, we have Mr. Bhavik Mehta. Bhavik. Just unmute yourself.

Bhavik Mehta:

Yeah, thank you very much for this opportunity. I wanted to add that globally, the Agentic AI family's
Saas-driven

revenue

is

part

of

ARR.

Regarding

our

ARR

number,

does

Purple

Fabric

or

anything

related

to

it

contribute

to

the

platform

part,

or

does

it

form

part

of

the

ARR?

From

the

previous

quarter

to

now,

our

ARR

has

increased

by

approximately

Rs.

175

Cr.

Is

any

of
Purple
Fabric
included
in
there?
Is
it
split
into
two
different
verticals?

Arun Jain:
Yes, small numbers are present right now. However, I believe it will further grow significantly in ARR.
Next

year,
it
should
be
substantially
larger.

Bhavik Mehta:
So, primarily, any contract we have related to Purple Fabric is an ARR-driven number, right?

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Arun Jain:
Most of them.

Bhavik Mehta:
Okay, so the current deal we have announced is a mix of eMACH.ai and Purple Fabric. So, even within this,

what
component
of
Purple

Fabric

is

involved?

Arun Jain:

That's right.

Bhavik Mehta:

What will be the component of Purple Fabric in this Rs. 200 Cr deal?

Arun Jain:

Most of them are led by Purple Fabric, and the rest is a brokerage platform. This entire Rs.200 crores deal

over

the

three-year

period

will

double

the

revenue

in

the

Alpha

1,

Alpha

2,

and

Alpha

3

cycles.

3 years cycle doubling the revenue for 3 years. It's all classified under Purple Fabric.

Bhavik Mehta:

So, as a family, this Rs.200 Cr is entirely in our ARR. That's what I want to know.

Arun Jain:

That's right. However, 200 Cr is not booked for the quarter. A period of 45 days has been allocated within

this

three-year

timeframe.

Bhavik Mehta:

Sure. When we say three years, generally, ARR contracts are annual. I'm just trying to understand if

we

are

still

considering

the

multi-year

contract

format

and

just

dividing

it

into

ARR.

How

are

we

approaching

deals

related

to

Agentic

AI?

Is

it

user-based?

Is

it

at

the

company

level?

Is

it

customised?

Is

there

any

understanding?

Arun Jain:

There's no standard practice. Practices are evolving over time, so there's an ARR deal. There's a transaction-based

deal,

measured

by

the

number

of

transactions

or

a

percentage

of

business.

This

deal

is

based

on

a

percentage

of

business

volume.

For

many

Purple

Fabric

deals,

we

are

taking

a

percentage

related

to

the

business

volume.

Then,

this

will

grow

from

year

1

to

year

2

to

year

3.

This

is

also

a

pattern

we

are

observing.

The
three-year
value
in
the
third
year
would
exceed
Rs.100
Cr
per
year.

The
third-year
value
will
be
more
than
Rs.100
Cr.

Banesh Prabhu:
Okay, it's Okay. Go ahead.

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Bhavik Mehta:
Yeah. So, the last question was about our commendable target for Purple Fabric over the next five years.

Is
there
a
yearly

plan

for

FY26

regarding

what

we

expect

from

Purple

Fabric,

specifically

in

terms

of

ARR

addition?

Arun Jain:

Maybe we don't want to provide any numbers on that? I think the potential is quite significant. We don't

know

how

it

will

pan

out.

Let's

wait

and

see

as

it

develops;

we

will

share

updates

with

you.

Bhavik Mehta:

Yeah. Thank you.

Praveen Malik:

Thank you, Bhavik. Next, we have Mr. Sushovan Naik from Anand Rathi Securities. Sushovan, please unmute

yourself.

Sushovan:

Is my voice audible?

Praveen Malik:

Yeah, Sushovan. Please go ahead.

Sushovan:

Thank you very much for the opportunity, and congratulations on a strong set of numbers. Before I ask

my

question,

I

would

like

to

sincerely

thank

Praveen

Sir

and

Vasudha

Ma'am

for

providing

us

with

a

detailed

explanation

of

the
walk-through
of
the
company.

I
really
appreciate
that.

Now,

I
have
two
questions.

So, basically, we have seen historically that whenever the implementation revenues have come down as

a
percentage
of
total
revenues,
we
see
an
exponential
growth
in
profitability,
and
SG&A
also
reduces
because

your

tech

subcontractor

costs

reduce

in

SG&A.

This

quarter,

I

think

we

have

seen

a

400

to

500

basis

points

improvement

in

the

mix.

So,

I

just

wanted

to

understand

what

you

envisage

the
implementation
revenue
to
become
as
a
percentage
of
revenues
for
FY26
and
FY27.
I
just
wanted
to
get
your
feedback,
and
I
have
another
question,
but
we
will
ask
after
your
response.

Arun Jain:

I think we don't define too many things in each quarter, which is so variable. That's why we don't like any

number;

it's

just

License

Linked

Revenue,

which

is

more

than

50%.

Ideally,

our

target

is

to

make

it

60%

in

the

next

2-3

years.

If

my

License

Linked

Revenue

at

60%,

obviously,

the

margin

will

increase

by

10

percentage

points.

Then,

we

will

be

comparing

ourselves

to

all

the

best-in-class

product

companies.

Individually,

product-wise,

we

have

the

same

best-in-class

product

margins.

However,

on

a

consolidated

basis,

we

have

an

innovation

engine

which

will

drive

the

sustained

growth,

a

different

strategy.

A

lot

of

times,

product

companies

don't

have

as

much

innovation

coming

from

a

single

company.

We

have
a
wealth
of
products
that
are
now
performing
very
well
in
the
market,
and
our
wholesale
banking
is
developing
great
after
the
core
banking
and
lending
over
the
last
year.
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I believe in the company's entire capacity to continue investing. There are three cycles: Horizon 1, Horizon

2,

and

Horizon

3.

Horizon

1

becomes

a

30%

to

35%

margin

business,

Horizon

2

develops

into

a

20%

to

25%

margin

business,

and

Horizon

3,

which

is

the

investment

business,
will
operate
at
a
5%
to
10%
margin.
We
are
now
adding
a
new
segment
called
Direct
to
Corporate;
we
are
transitioning
from
banking
to
the
corporate
segment,
and
we
have
initiated

the
entire
GeM
force,
which
has
been
working
with
us.
We
launched
three
products:
iGPX,
the
Government
Procurement
eXchange;
iCPX,
the
Corporate
Procurement
eXchange;
and
iAPX,
the
Accounts
Payables
eXchange.
Currently,
these
three

products
are
managed
by
Direct
to
Corporate.
This
business
will
be
quite
flourishing
by
2028-29
as
we
expand
into
this
line.
However,
all
the
costs
have
already
been
invested
in
the
business.
We

are
investing
close
to
Rs.
40
Cr
per
annum
to
build
the
capacity,
which
the
GeM
team
has
developed,
creating
three
products
using
my
eMACH.ai
architecture
in
less
than
12
months.
This
showcases

our
innovative
capacity.

The
margins
will
grow,
but

I
cannot
comment
on
the
next
12
months
regarding
that.

Sushovan:
Understood. Do you have any views on how much the Capex investments will be for this year and
next
year?

When

I
say
this
year,

I
mean
FY26
and
FY27.

Any
thoughts

on

that?

Arun Jain:

Capex investment on capitalisation will be around same as last year, we aimed for 140. This year should

see

the

same

figure,

20

million

dollars.

Therefore,

20

million

dollars

will

be

my

Capex

investment,

while

Rs.160-170

Cr

will

be

my

Capex

investment

on

the

product

side,

which

will

be

capitalised.

Sushovan

Understood. Thank you so much for the opportunity.

Praveen Malik:

Thanks, Sushovan. Next, we have Mr. Vivek Kumar from BestPal.

Vivek, please unmute yourself.

Vivek Kumar:

Am I audible, Sir?

Praveen Malik:

Yes, please go on.

Vivek Kumar:

So, thanks for the opportunity. Given that we are now a multi-product company and that not many products

are

mostly

into

Horizon

3,

most

should

align

with

Horizon

1

and

2.

Additionally,

since

we

are

operating

in

multiple

geographies

and

considering

our
outlook
as
a
disruptive
technology,
should
we
assume
that
the
700,
720,
and
750
run
rates
will
be
maintained
over
the
next
3-5
quarters?
That's
the
first
question.
Q4
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Second, regarding margins. I'm not specifically inquiring about margins, but can we assume that around

24%

to

25%

can

be

projected

in

the

model

for

next

year?

So, the first question is this, sir: we are not reverting from the 720-750 range back into the 600s, right?

That's

one

question.

Arun Jain: We would not be commenting on quarter-on-quarter. So, we went up to 550 and then came

back

to

700,

so

I

will

not

commit

that

700

is

the

safer

side.

But

obviously

our

target

now

is

to

move

to

800.

So,

in

the

next

four

quarters,

we

should

be

crossing

800.

That

should

be

our

target,

and

that's

what

we

will

be

striving

for.

Vivek Kumar:

And can we assume a 24%-25% margin for next year?

Arun Jain:

That's right.

Vivek Kumar:

Thank you. All the best, sir.

Praveen Malik:

Thanks, Vivek. Next, we have Mr Nimish Soni from Carnelian Capital.

Nimish Soni:

Hi, am I audible?

Praveen Malik:

Yeah, Nimish. Please go on.

Nimish Soni:

Yeah. So, first of all, very congratulations to the management for a good set of numbers. My question is

about

the

R&D

capitalisation:

how

do

you

define

what

a

new

product

is

and

what

an

existing

one

is?

Vasudha Subramaniam:

Can you please come again?

Nimish Soni:

Regarding R&D capitalisation, how do you define what pertains to the new product and what applies to

the

existing

one?

Arun Jain:

What is the question? Well, I think the point is that we are accounting for two expenses. One is the R&D

expenses,

which

are

close

to

200

Cr

and

are

used

for

maintaining

the

existing

products.

Q4

&

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2024-25

Vasudha Subramaniam:

These are basically the research phase. So, whatever is in the research phase is actually charged off to

the

P&L.

That's

what

you

see;

something

goes

to
Rs.
200
crores
for
the
year,
wherever
we
develop
the
functionality
for
the
release
of
any
major
versions,
and
that's
where
it's
getting
capitalised.
That's
about
Rs.
140
crores
per
year.

Nimish Soni:
Okay. Thank you so much.

Praveen Malik:

Thank you. Now, we have Mr Manoj Dua from Geometrics. .

Manoj Dua:

Am I audible, Sir?

Praveen Malik:

Yes, please go on.

Manoj Dua:

Are you noticing a trend where the revenue is based on outcomes rather than license or transaction-based

models

that

indicate

the

kind

of

output,

savings,

or

deals

we

could

achieve

by

implementing

your

software?

Is

there

such

a

trend?

Arun Jain:

We are not accepting this. We don't want to take that risk right now. We will do it later.

Manoj Dua:

Okay, thank you. Best of luck.

Arun Jain:

Okay. Next.

Vasudha Subramaniam:

Praveen, are you there? You can open the next question.

Praveen Malik:

Next, we have Mr. Pavan Kataria from Bulls Eye. Mr. Pavan Kataria not there.

Next, we have Mr. Vipul Kumar Shah from Sumangal Investment.

Vipul Kumar Shah:

Hi, thanks for the opportunity. So my question is on the funnel, which was shown in our presentation.

On

this

funnel,

can

you

say

how

many

deals

are

for

pure

Purple

Fabric?

Or

does

every

deal

include

some

portion

of

Purple

Fabric?

Your

comments

are

welcome,

Sir.

Q4

&

FY

2024-25

Arun Jain:

As of now, the funnel has a 10 to 15% component from Purple Fabric. More components are getting built

up,

so

that's

how

you

can

look

at

it.

Vipul Kumar Shah:

Every deal will have 10 to 15% of Purple Fabric?

Arun Jain:

That's right.

Vipul Kumar Shah:

Okay. Thank you, Sir.

Praveen Malik:

Thank you. Vipul. Next, we have Ms Jyoti Singh from Arihant Capital.

Jyoti Singh:

Yeah. Thank you so much, sir. And congratulations on the good set of numbers and execution. Sir, my question

is

basically

on

the

margin

side,

like

you

mentioned

to

the

earlier

participant

24

to

25%

margin

for

the

next

year.

So,

overall,

we

are

targeting

this

range

going

forward

or

earlier,

we

mentioned

30%

plus

operating

margin

going

forward,

just

clarification

on

that

side.

Also

like

the

traction

on

the

AI

front

that

you

discussed

earlier

with

some

of

the

participants.

So,

what

are

the

targets

on

the

AI

side?

And

how

much

are

we

seeing?

Will

it

be

beneficial

on

the

revenue

front?

Arun Jain:

Two things are there. In the long run, the margin is 30%, which we are still staying because we have demonstrated

this.

This

quarter

our

margin

was

30%.

So,

if

you

look

at

the

margin

of

this

quarter

alone,

30%

annualised

is

around

24%?

Vasudha Subramaniam:

23%.

Arun Jain:

23% is annualised basis. So, obviously, this will grow year on year and more licenses when you grow as

the

previous

person

asked

that

question.

So,

this

margin

should

grow

2%

to

3%

year

on

year.

So,

if

you

are

looking

for

a

three-year

perspective,

definitely

the

margin

may

inch

towards

27-30%

depending

upon

how

the

license

works

and

how

the

Purple

Fabric

comes.

I

mentioned

during

the

18th

December

Purple

Fabric

conversation

for

investors

that

this

is

a

business

which

can

be

Rs.1,000

Cr

to

Rs.5,000

Cr

business.

We are quite sure of Rs.1,000 Cr. We are now in the last 4-5 months, we built up the entire use cases or

business

cases

to

make

it

Rs.1,000

Cr

business

in

for

next

three

years

for

Purple

Fabric.

We

have

created

a

complete

pipeline,

market,

and

strategy

around

Rs.1,000

Cr

business.

The

next

milestone

is,

can

we

make

it

a

5,000

Cr

business?

That's

where

our

efforts

are,

where

Banesh

and

I

are

working

Q4

&

FY

2024-25

along with Manish and Rajesh to make this as the greatest AI product in the world where we can challenge

Palantir,

c3.ai.

That's

a

dream

we

are

running

on.

Jyoti Singh:

Thank you, Sir.

Praveen Malik:

Thank you, Jyoti. Next, we have Mr. Jitender Agarwal from Relax Capital. Jitender, please unmute yourself.

No, I think that Jitender is not there. Next, we have Mr. Umang Shah from Banyan Tree Advisors. Mr. Umang

Shah?

Umang Shah:

Hi, thank you for the opportunity. Glad you shared the results much earlier and both the results and the

presentation,

we

could

go

through

it

really

well.

One

question

that

I

had

was

with

the

use

of

AI,

you

are
able
to
create
more
use
cases
for
your
technology.
I
just
wanted
to
understand
internally
how
it
is
helping
us
with
respect
to
employee
productivity
and
if
it
is,
how
do
we

plan

to

grow

the

employee

base

that

we

have?

Arun Jain:

Yeah. So, observe that the cost of Rs.500 Cr remains constant in spite of the salary raises being directly

equitable

to

productivity

and

the

revenue

has

grown

from

excluding

GeM

from

almost

11%,

and

that

11%

increase

has

not

translated

into

the
cost
structure.
That
is
a
productivity
gain.
More
productivity
comes
with
more
and
more
implementation
of
Purple
Fabric
within
Intellect.
And
AI
doesn't
give
only
productivity.
It
gives
you
accuracy
and
better

success

chances.

So,

first

of

all

I

want

to

clarify

the

role

of

AI

is

to

augment

the

capability

of

the

manager

in

the

company,

not

replacing

him.

So,

there's

a

myth

over

there

that

AI

will

replace

people.

AI

will

make

the

people

more

efficient

and

effective,

and

that's

what

we

are

making

Intellect

that

our

deliveries

are

on

time.

We

did

16

transformations

last

quarter.

So,

we

are

able

to

complete

those

transformations

faster

so

our

collection

can

be

better.

These

are

the

objectives

of

AI,

not

just

the

headcount

reduction.

Umang Shah:

Great Sir. And just Sir, one more question. One more question was you had started putting up a front end

for

selling

Purple

Fabric.

I
think
6
months
back
that's
when
you
start
talking
about
it.
So,
where
are
we
on
that
journey?
Do
we
have
sales
force
now
in
Europe
and
North
America?
Or
is
it

still
work
in
progress?

And
if
it's
already
there,
how
is
the
response
so
far?

Arun Jain:
Yeah, we are still building the sales force. Partnership network is already there. Some of the partnership

is
working
right
now.
So,
some
other
service
players
are
working
in
Europe
and
Europe
sales

force

is

still

there.

In

the

Americas,

we

are

just

building

up.

Umang Shah:

What is the size of the sales force?

Q4

&

FY

2024-25

Arun Jain:

Today it's an integrated sales force. Because the sales force is not separate from Purple Fabric but as all

the

sales

force

which

is

more

than

100

plus

sales

force

is

selling

Purple

Fabric

along

with

their

current

portfolio.

Umang Shah:

Great, Sir. Thank you so much, sir. All the best.

Praveen Malik:

Thanks, Umang. Now, next we have Mr. Samir Dosani from ICICI Mutual Fund.

Samir Dosani:

Yeah. Am I audible?

Praveen Malik:

Yeah, Samir, please go on.

Samir Dosani:

Yes. Congratulations on a great set of numbers, Sir. Can you share qualitative feedback/comments around

the

progress

of

the

US

business?

I

think

we

started

speaking

about

it

in

the

last

6-9

months

when

you

develop

business.

Any

qualitative

comments,

how

is

it

going?

And

I

think

you

had

a

target

of

some,

let's

say

it

will

become

X

percentage

of

your

revenue

in

3

to

4

years

so.

Where

are

we

on

that

journey?

Arun Jain:

Qualitative comments have been already given. What is the question? You can listen to this conversation

because

qualitative

conversation

was

given

at

that

time.

Samir Dosani:

Okay, Sir. So we already have a sales force on the ground that we are growing? You know you like the execution.

I

think

that's

there,

right?

Arun Jain:

Right.

Samir Dosani:

Okay. And there were two large deal wins. So, one of them I think is the 200 Cr Purple Fabric deal. You

said

it

will

start

coming

in

from

Q1,

the

other

large

deal

is

it

already

part

of

Q4,

or

it

will

have

to

be

accounted

for?

Arun Jain:

That is already accounted for.

Q4

&

FY

2024-25

Samir Dosani:

Sorry, Sir?

Arun Jain:

That is already accounted.

Samir Dosani:

Okay, Sir. Okay, thanks. Thanks. That's it from my side. All the best.

Praveen Malik:

Thanks, Samir. Next, we have Mr Srinivasu from TIA. Srinivasu, are you there?

Srinivasu:

Hi Sir, am I audible?

Praveen Malik:

Yeah. Please go on.

Srinivasu:

Thanks for the opportunity, Sir. Congratulations for the strong set of quarterly numbers. My question is

about

looking

at

the

deals

that

you

signed

in

Q4.

We

can

clearly

see

that

there

is

a

shift

from

the

traditional

digital

transformation

deals

to

AI

driven

transformation

deals.

Are

you

seeing

increasingly

clients

moving

towards

this

kind

of

nudging

use

cases?

Arun Jain:

Yes, definitely. There's a big trend on AI, plus eMACH.ai. So, the complete deals are there eMACH.ai deals

and

the

AI

deals.

Manish

if

you

want

to

share

the

second

large

deal

with

the

trend

of

eMACH.ai

on

transformation

that
will
be
helpful
for
them.

Manish Maakan:
So, the second largest deal is a fairly large UK bank for the wholesale bank transformation across all their

international
franchises.

This
is
the
capability
to
integrate
and
compose
using
eMACH.ai.

I
think
you
have
been
seeing
that
we
are
winning
large
transformation
destiny

deals.

What's

changing

now

is

the

embedded

AI

inside

the

platform

is

giving

the

right

excitement

to

the

banks

that

we

are

not

just

doing

a

patch

on

co-pilots

which

give

you

a

momentary

high

but

do

not

show

the

business

impact.

I

think

that's

a

differentiation

which

the

market

is

really

looking

for

and

with

the

work

we

had

done

on

Purple

Fabric

and

in

the
last
24
months
on
eMACH.ai,
the
combined
power
of
them
is
able
to
make
this
impact
out.
It's
very
exciting
right
now.

Srinivasu:
Okay. And which verticals are you seeing more demand for this Purple Fabric? Is it insurance
underwriting

or
finance
and
accounting,
back-office
operations
or
document

processing?

Where

exactly

are

you

seeing

the

demand?

Q4

&

FY

2024-25

Manish Maakan:

So, if you look at it, we have started this journey with insurance, and that's where we really cut our teeth

on

this

technology.

It's

gone

into

lending,

payments,

and

it's

getting

into

trade

and

supply

chain

finance.

So,

I

think

there

are

two

things:

One, we are embedding this in a standard platform like Arun called out.

Second, we are building it as an independent platform which can sit across whatever knowledge bases

you

have

and

how

we

build

an

Enterprise

Knowledge

Garden

and

how

we

build

digital

experts

on

top

of

that.

You

go

look

at

the

world

got
excited
with
Co-pilots
and
everything.
What's
it
delivered?
Go
ask
any
CFO,
how
much
is
your
cost
reduced
genuinely,
net
of
Azure
cost
added
on
to
it
and
you
will
find
very

different

answers.

Because

it

was

not

a

holistic

design.

You

were

just

looking

at

the

structured

data

component

of

the

data

lakes

and

you

are

not

harmonising

along

with

the

unstructured

data.

And that's what we started doing with insurance, and now it's a global launch to be able to take it across

all

products

we

have

embedded

it

already

into

a

number

of

platforms.

We

have

got

about

68

digital

experts

available

already,

and

that's

what

Arun

said.

We

will

formally

announce

it

globally

on

Monday.

And

the

following

week,

Arun,

Banesh

and

I

are

in

London

and

we

are

rolling

it

out

and

then

doing

a

global

roadshow

around

it.

We have got this confidence with the 200 Cr deal which we have announced, the scale of transformations

we

can

actually

do

and
when
we
are
able
to
say
we
are
going
to
take
basis,
the
impact
we
created.
That's
truly
it's
not
just
saying,
hopefully,
wishy-washy
some
cost
will
reduce.
We
have
really
put

our
stakes
on
the
ground
on
the
business
impact
and
that's
why
we
are
calling
it
business
impact
AI.

Banesh Prabhu:

Just to add to what Manish said to your question, it is a combination of eMACH and AI coming together.

So,
even
the
big
deal
we
won
is
a
combination
of
eMACH

insurance
product
along
with
AI
that's
coming
together
and
it
is
impacting
both
operations
and
the
actual
business
delivery
overall.
Because
that
combination
is
what
makes
it
give
the
final
business
impact
to

the

customer.

Srinivasu:

Thank you, Sir. Just to follow up on that. When you say productivity improvement to clients, what kind

of

ROI

is

expected

for

clients,

say

three

years

for

especially

this

AI

deals?

Is

it

10%

or

15%

or

20%?

Ball

Park.

Banesh Prabhu:

I think. Very difficult to give a percentage like that. You know, for every use case in every business, we show

improvement

in

risk.

We

show
improvement
in
compliance.
Some
of
them
are
cost,
some
of
them
are
improving
the
quality
of
those
risk
decisions.
So,
it's
very
difficult
to
give
that
kind
of
an
impact.

But you know for one of the deals that we had won with the largest wealth manager in the UK.
There,

we
had
a
significant
improvement
in
turnaround
time
for
complaints.

What
used
to
be
five
weeks
was
being
done
in
a
fraction
of
the
time.

Mostly
it
runs
into
something
like
30
to

45

minutes.

I

Q4

&

FY

2024-25

think there are different ways in which we measure it and eventually of course it reduces risks or compliance

risks

or

even

potentially

cost

of

operations.

Srinivasu:

Thank you, Sir. Best of luck.

Praveen Malik:

Thanks, Srinivasu. Next, we have Mr. Prathmesh Dewar from Tiger Assets.

Mr Prathmesh, please unmute yourself.

Prathmesh Dewar:

Yeah. So, just one question from my side. As we have grown Purple Fabric as of now till 1,000 Crs.

Any

timeline

would

like

to

give

by

when

we

can

reach

Purple

Fabric

to

5,000

Crs.

Arun Jain:

That's a difficult thing. Also 1,000 Crs will also reach in three years, we currently have visibility of 1000

Cr.

5000 Cr is what we are attempting to make with the brand in Financial Times and the branding we are

doing.

That's

the

potential

we

are

looking

at.

Because

if

Purple

Fabric

alone

gives

5000

Cr

banking

gives

you

5000

Cr,

we

are

a

10,000

Cr

company.

Prathmesh Dewar:

Got it, Sir. Thank you so much and all the best.

Praveen Malik:

Thanks Prathmesh. I think, we don't have anybody else. Arun?

Arun Jain:

Very right time to close the questions. Thank you, Praveen.

Praveen Malik:

Yeah!

Arun Jain:

Has somebody raised a hand?

Praveen Malik:

So, can. Can we close it, Arun?

Arun Jain:

There's somebody raising their hand right now. It's showing 5 participants on the screen.

Moderator:

Some people are there. Just check

Q4

&

FY

2024-25

Praveen Malik:

Doesn't seem to be any.

Banesh Prabhu:

Nobody's there, Arun.

Arun Jain:

Thank you.

Praveen Malik:

Thank you, everybody, for participating in the call. In case any more questions are there, you can just write

to

us

and

we

will

reply.

Thanks

for

joining

the

call

today.

Thank

you.

Now

you

can

log

off.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of

the

proceedings

Call: Aug 2025

IDAL/2025-26/SE/01 August 01, 2025

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on July 25, 2025 on the unaudited financial results for the quarter ended June 30, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Investors Meeting Transcript
Praveen Malik: Greetings and welcome everyone! Thank you for joining us today to discuss the Intellect Design Arena Limited financial results for the first quarter

of

the

fiscal

year

2025-26

ending

30

th

June

2025.

The

investor

presentation

and

the

press

release

have

been

sent

to

you

and

are

also

available

on

our

website.

Our

leader ship

team

is

presen t

on

the

call

to

discuss

the

results.

We have with us today -



Mr.

Arun

Jain,

Chairman

and

Managing

Director



Mr.

Manish

Maak an,

CEO

of

Intellect

Wholesale

Banking



Mr.

Rajesh

Saxena,

CEO

of

Intellect

Consumer

Banking



Mr.

Banesh

Prabhu,

CEO

of

IntellectAI



Ms.

Vasudha

Subr amanium,

CFO

Besides, some other senior member s of the Intellect manag emen t team are also presen t on the call.

Now,

I
hand
it
over
to
Ms.
Vasudha
to
take
you
through
the
results.
This
will
be
followed
by
commen ts
from
Mr.
Arun
Jain.
Then
we
will
start
with
the
Q&A
session
wher e
your

ques tions

will

be

replied

by

the

manag emen t

team.

When

the

Q&A

starts,

you

can

ask

a

ques tion

by

clicking

on

the

“Raise

Hand” ,

and

we

will

unmut e

you

so

everyone

can

hear

you.

Safe Harbour Statement - I would like to remind you that any statements that representatives of Intellect

Design

Arena

Ltd

make

refers

to

our

outlook

for

the

future

is

a

forward-looking

statement.

This

must

be

read

in

conjunction

with

the

risks

that

the

company

faces.

With this, I request Ms. Vasudha to give her briefing. Over to you, Vasudha. Vasudha Subramaniam: Thank you, Praveen. Good evening, everyone. A very warm welcome to all of you. I'm delighted to walk you

through

the

financial

and

strategic

performance

of

our

company

for

the

first

quarter

of

the

financial

year

2025-26.

This

quarter

marks

yet

another

important

milestone

in

our

journey

of

becoming

the

most

comprehensive,

composable,

and

intelligent

financial

technology

provider

to

forward-looking

institutions

across

the

globe.

On the financial performance, we had a strong start to the fiscal year. In Q1, we delivered a total income

of

■

734

Cr,

representing

a

growth

of

18%

year-on-year.

EBITDA

stood

at

■

176

Cr,

showing

a

28%

year-on-year

growth.

Profit

after

tax

was

■

94

Cr,

a

solid

27%

increase

year-on-year.

Investors Meeting Transcript
Collection

stood

at

■

586

Cr.

Our

cash

and

cash

equivalents

remained

robust

at

■

976

Cr,

giving

us

the

confidence

to

continue

investing

in

growth

and

innovation.

Our

license-linked

revenues

(LLR),

comprising

license

platform

and

AMC

revenue

stood

at

■

389

Cr

for

the

quarter.

The

LLR

is

now

more

than

50%

of

our

overall
revenue,
creating
a
predict able
and
recurring
engine.
And
our
ARR
(Annual
Recurring
Revenue)
now
stands
at
■
1,041
Cr.
This
is
a
strong
indic ator
of
how
our
business
is
maturing
towards
long-t erm,

commit ted,

high-quality

engagemen ts.

On the deal wins and go-liv es front, we won 17 new deals and went live with 15 digit al transforma tions in

Q1.

Let

me

highligh t

three

strategic

wins

in

the

US,

with

two

global

bank s

marking

the

entry

of

eMA CH.ai

into

the

US

mark et.

A Tier One Canadian multina tional bank has chosen both eMA CH.ai Core Banking and eMA CH.ai Paymen ts

for

their

US

expansion.

This

engagemen t

spans

their

corpor ate

and

investmen t

banking

oper ations

and

sets

the

stage

for

futur e

expansions

in

Europe

and

Asia.

This

win

is

signific ant

not

just

in

size

but

on

strategic

depth.

It

reinforces

our

relevance

for

Tier

One

bank s

oper ating

in

comple x

global

environmen ts.

In parallel, a San Francisc o-based global financial services firm oper ating across 35 countries select ed eMA CH.ai

Liquidity

Manag emen t.

This

solution

will

provide

them

with

real-time

visibility ,

control,

and

compliance

over

global

liquidity

positions,

a

vital

capability

in

today's

volatile

market.

These

deals

are

part

of

a

deep-growing

funnel

now

valued

at

■

11,300

Cr,

with

over

■

9,200

Cr

already

a

part

of

the

active

opportunities.

Let me shift gears to Purple Fabric, our open business impact AI platform. In just sixty (60) days since its launch,

Purple

Fabric

has
conduct ed
over
fifty
(50)
boot
camp s,
engaged
with
over
five
thousand
(5,000)
participan ts
through
our
business
impact
AI
masterclasses,
and
spark ed
deep
strategic
interest
among
global
bank s
and
insur ers.
Mor e
import antly,
this

platform

is

aligned

to

enterprise-wide

AI

deployments

which

generate

business

impact,

and

not

mere

experiments.

The market is clearly signalling that it is ready for AI that is audit able, traceable, governable, and most importantly,

impactful.

We

are

building

a

strong

pipeline

of

engagements

that

we

expect

to

convert

into

high-impact

AI

transformations

in

the

quarters

ahead.

I

would

like

to

talk

about

the

continued

validity

global

analysts.

The

growing

adoption

of

eMACH.ai

is

also

reflected

in

the

industry

analyst

community.

Gartner

continues

to

rate

us

highly

in

its

critical

capabilities

for

retail

core

banking

systems.

Chartis

has

positioned

our

credit

lending

operations

as

leaders

in

five

different

quadrants.

Celent

has

identified

our

eMACH.ai

Digital

Engagement

Platform

(DEP)

as

a

standout

in

terms

of

functionality

in

its

retail

and

SME

digit al

banking

platforms

across

APAC,

EME A,

and

North

Americ a.

These

recognitions

affirm

that

eMA CH.ai

is

not

just

a

visionar y

platform,

but

a

proven

execution

engine.

Investors Meeting Transcript

On the leader ship capital, to support our global scale-up, we have made some key leader ship additions. Dave Thomas has joined us as EVP and Business Head, Credit Union and Small Mark et Financial Institutions.

He

brings

three

decades

of

experience

from

Central

1,

ATB,

and

Accen ture,

and

will

lead

the

transition

of

Canadian

Credit

Unions

to

our

Digit al

Engagemen t

Platform.

John Turner has joined as the Presiden t and Business Head for Purple Fabric. Rajesh Makhija has been instrumen tal

in

shaping

eMA CH.ai

cloud

architecture

and

was

pivotal

in

launching

Purple

Fabric.

He

has

been

appointed

Chief

Marketing

Officer

to

lead

enterprise-wide

marketing.

Eshmael has joined as SVP and Country Manager for South Africa, and Conor has joined as Chief Marketing

Officer

at

Intellect

Wholesale

Banking.

Vivek

Patil

has

joined

us

as

EVP

and

Chief

Growth

Officer

for

Intellect

Consumer

Banking.

He

will

lead

large

transformation

deals

in

India

and

adjacent

markets.

These appointments reflect our conviction not only to build world-class products, but also to support them

with

global

talents,

strong

governance,

and

high-touch

customer

engagement.

To summarise, quarter one has delivered strong growth across all key metrics: top line, margins, profitability,

and

pipeline

progression.

eMA CH.ai

continues

to

gain

traction

with

Tier

One

bank s

and

analy sts

alike.

Purple

Fabric

is

assuring

a

new

era

of

audit able,

governed,

and

business

impact -focused

AI

adop tion.

We

are

back ed

by
a
growing
base
of
referenceable
clients
and
a
leadership
team
built
for
global
scale.
As
we
move
into
the
rest
of
the
financial
year
2026,
we
are
confident
of
building
on
this

momentum.

We

are

operating

from

a

position

of

strength

with

conviction

in

our

strategy,

confidence

in

our

products,

and

clarity

in

our

execution.

Thank you again for your time, your trust, and your continued partnership in our growth journey. Thank you.

Arun Jain: Thank you, Vasudha, for the brief. The presentation has been sent to all of you; as analysts, you have likely

reviewed

the

deck,

where

all

the

numbers

are

in
line
with
what
we
are
presenting
here.
You
had
expected
15%
growth,
and
I
think
we
are
in
line
with
that.
We
are
growing
despite
the
industry
slowdown,
and
we
have
a

good

pipeline

of

close

to

■

11,000

crore.

That's

a

significant

validation

of

our

eMA CH.ai

strategy.

Intellect winning three (3) deals in the US in a single quarter for digital transformation on eMA CH.ai core

is

significant

validation.

This

was

a

core

concern,

and

we

had

prepared

a

strategy

to

enter

the
US
market
with
our
eMA CH.ai
Core
Banking ,
eMA CH.ai
Payments,
the
eMA CH.ai
Liquidity
Management
solutions.
Therefore,
it's
very
significant
for
us
that,
in
a
single
quarter,
we
have
entered
the
US
market

Investors Meeting Transcript
for all the three major products. This highlights that our investments over the last six quarters are now
paying

off

one

by

one:

initially

in

the

UK,

then

in

Canada,

and

now

in

the

US,

apart

from

Germany

and

Hungary

earlier .

eMA CH.ai in the advanced markets is progressing in line with our expectations. In the Purple Fabric business,

similar

deals

are

emerging

in

the

US

and

UK,

which

continues

our

agenda

to

build

on

top

of

Purple

Fabric.

Purple Fabric has kept me extremely busy and excited over the last six months. It's very rare in the organisation's

history

that

we

have

introduced

a

technology

that's

compared

to

the

best

in

class

in

its

category;

technology

which

is

supported

by

a
massiv e
tailwind
and
technology
which
everybody
wants
to
acquir e.

Broadly speaking , there are two kinds of AI businesses - Data Lifecycle AI which is built on data and knowledg e,

such
as
Open
AI,
Perple xity,
or
Deep seek,
and
Applic ation
Lifecycle
AI,
wher e
the
applic ation
is
the
primar y
pivot
around
which
you

build

AI

to

translate

enterprise

needs

to

deliver

business

results.

Purple

Fabric

is

an

Application

Lifecycle

AI

technology .

There are three leading players in Application Lifecycle AI are – Planet, C3.ai, and now Purple Fabric.

An

independent

analyst

study

commissioned

by

us

on

Purple

Fabric,

positioned

us

in

this

bracket;

providing
us
the
validation
for
Purple
Fabric.
We
officially
launched
Purple
Fabric
in
the
UK
through
the
Financial
Times
on
May
12th
2025
and
followed
it
up
with
a
launch
in
India
through

The
Economic
Times
on
May
26
th
2025.
Our
basic
value
propositions
were
the
Enterprise
GPT
and
the
Enterprise
Knowledge
Garden
(EKG),
powered
by
our
four
tech
stacks.
It
was
surprising
to
see
that

even

a

traditional

newspaper

advertisemen t

in

The

Economic

Times

yielded

over

3,000

registrations

for

the

Mas terclasses.

Over

2,500

unique

companies

are

participa ting

in

this

journe y,

which

is

keeping

all

of

us

on

our

toes.

We

have

been

conducting

over

fifty

(50)

boot -camp s

for

Purple

Fabric

till

date,

almos t

at

the

rate

of

one

(1)

per

day;

including

two

(2)

to

three

(3)

boot -camp s

simult aneously

across

London,

the
Middle
East,
and
India.
These
boot -camp s
are
contributing
to
a
signific antly
growing
pipeline
for
Purple
Fabric.
In
just
sixty
(60)
days,
our
annual
pipeline
for
Purple
Fabric
has
reached
nearly
■
800

Cr.

We

will

aim

to

convert

this

lead

pipeline

into

an

opportunity

pipeline,

and

subsequen tly

into

a

closur e

pipeline.

A

signific ant

indic ator

of

our

optimism

for

growth

and

accep tance

of

Purple

Fabric

are

four
hundred
(400)
leads
that
we
have
generated
in
the
last
sixty
(60),
the
highest
for
any
product
we
have
launched
in
recent
year.
The
fact
that
these
leads
could
be
generated
in

such

a

short

span

highligh ts

how

differentiated

and

disrup tive

Purple

Fabric

is

in

the

mark et

as

an

open

business

impact

AI

platform.

We

are

focused

on

disrup ting

the

mark et

for

enterprise

AI

and

simplif ying

the

adop tion

of

AI

across

enterprises.

Investors Meeting Transcript

One crucial piece of feedback from customer s is how simple Purple Fabric is to use, especially when compar ed

to

alterna tives

like

Palan tir.

While

it's

still

early ,

we

plan

to

invest

a

total

of

■

100

Cr

in

Purple

Fabric

this

year,

with

■

10

Cr

already

invested

in

the

first

quart er.

Our

current

profit

in

this

quart er

stands

at

■

94

Cr.

With

the

■

10

crore

already

invested

in

Purple

Fabric,

we

anticipa te

investing

an

additional

■

20-30

Cr

over

the

coming

three

quarters,

incrementally

increasing

our

total

investment

from

■

100

Cr

to

■

130

Cr

over

the

entire

year.

Our

EBITDA

margins

are

projected

to

be

between
22%
and
25%,
though
this
band
might
fluctuate
depending
on
license
deals
and
market
scenarios.

This AI investment is fully on our balance sheet without external funding as a bootstrap model. This is a first

for

us.

This

contrasts

sharply

with

global

AI

investments,

which

typically

range

from

\$150

million

to

\$200

million

(



1,000

Cr

to



2,000

Cr).

Our research team has done a phenomenal job understanding the needs of enterprises and responding appropriately

to

the

needs

of

the

enterprises

where

we

have

deployed

our

technologies.

They

have

been

working

on

this

for

over

two

(2)

years

and

have

been

in

constant

communication

with

various

enterprises,

addressing

their

questions

and

doubts

over

enterprise

implementation

of

AI.

This

is

the

beauty

of

holistic

planning.

From

last

year

to

this

year,

we

have

proactiv ely

addr essed

all

mark et

objections

and

then

created

mark et-leading

messaging

for

this

global

launch.

We

are

really

excited

to

move

forward

with

Purple

Fabric.

Every

day

has

been

busy

for

all

of

us.

On another front, Purple Fabric is also significantly boosting lead generation for eMA CH.ai because Purple

Fabric

can

be

consumed

as

an

API

directly

on

our

eMA CH.ai

platform.

This

applies

across

our

entire

suite

of

products,

including

core

banking ,

lending ,

wealth,

custody,

capital

markets,

payments,

liquidity ,

trade

finance,
trade
operation,
and
supply
chain
finance.

We have developed digital experts that enhance our existing offerings, creating truly AI-native products for

the
market.

In
the
banking
industry,

it
is
the
first
time

we
are
launching
these

AI-native
banking
products

with
Purple
Fabric
providing
the
ability
to

consume

them

at

an

API

level.

The complete eMA CH.ai platform, which we initially launched in February 2023, began its AI journey over

the

last

two

years.

Now,

AI

has

become

a

forefront

conversation

with

our

customers.

For

example,

when

they

are

looking

for

a

trading

application,

we

are

not

just

offering

a

traditional

trading

applic ation.

Instead,

we

provide

a

comple te

trade

oper ation

solution

wher e

we

promise

them

20/20

bene fits,

i.e.

we

can

help

increase

customer

revenue

by

20%

and

decr ease

oper ational

costs

by

20%,

by

leveraging

Purple

Fabric

alongside

our

trade,

payment,

core,

or

wealth

platforms.

This

is

the

promise

we

are

making

to

our

customers

right

now.

Investors Meeting Transcript

I am ready to take as many questions as possible on our strategy. For financial numbers, I believe most of

you

are

already

aware

and

familiar

with.

Vasudha

will

handle

any

tactical

financial

questions

one-on-one

outside

this

session,

via

email

or

other

means.

We have one hour , and I think we can make good use of it to help you understand where we stand on this

journey.

If

you

have

questions

for

Manish,

Rajesh,

Banesh,

or

I;

the

four

of
us
are
here
to
respond
to
business
ques tions.
Please
use
your
time
effectiv ely.

The
financial
number s
are
readily

available.
Praveen Malik: Thank s, Arun. The forum is now open for Q&A . In case you want to ask a ques tion, please click on
"Raise
Hand" .

I
repea t,
please
click
on
"Raise
Hand"
and
we
shall
unmut e

you
and
everybody
will
be
able
to
listen
to
you.

So
first
we
have
Mr
Rahul
Jain
from
Dola t
Capit al.
Rahul,
please
unmut e

yourself.
Rahul Jain: Yes, hi. Hope my line is clear . Praveen Malik: Yes, please go ahead. Rahul Jain: Thank s for the colour that you
shar ed around the product. I just have a couple of ques tions. Firstly,
regarding

the
funnel
we
discussed
for
Purple
Fabric:
how

do

you

typic ally

see

this

culmina ting

into

business

for

us

over

time?

Also ,

wha t

are

the

top

use

cases

that

enterprises

are

looking

for

from

us

on

this

platform?

That's

my

first

ques tion,

and

I

will

likely

have

a

follow-up.

Arun Jain: Banesh, would you like to answer? Banesh Prabhu: Yeah. So, thank s, Rahul. As you know, we have been working , and you have seen from our regular results

that

we

are

continuously

closing

Purple

Fabric

deals

in

the

US

on

the

insur ance

side.

We

have

garner ed

several

leads,

and

as

of

this

point,
we
have
already
moved
forward
with
the
large
numbers
that
Arun
had
mentioned.
We
started
analyzing
them,
reached
out
to
all
of
them,
and
received
a
good
response.
We
already
have
87

leads

who

have

responded,

and

we

are

continually

scheduling

boot -camp s

for

them.

Additionally ,

we

are

in

advanced-s tage

discussions

with

several

Tier

1

clien ts

in

the

UK.

So,

to

answer

your

ques tion,

we

are

moving
forward
with
the
pipeline
opportunity
that
has
significantly
emerged
after
the
launch
of
Purple
Fabric,
in
continuation
of
our
existing
business
that
is
already
gaining
good
momentum
with
Purple
Fabric.

Investors Meeting Transcript

Rahul Jain: So, Banesh, are you trying to say that the bulk of the interest is coming from the insurance side, or is it from

three

or

four

areas?

Banesh Prabhu: I think it's well spread out. We have 39 leads in Europe, 16 leads in the US, and also a lot of interest in India,

with

20

leads.

These

are

all

advanced-s tage

discussions,

wher e

we

have

already

moved

them

from

initial

interest

into

leads,

and

man y

are

already

in

the

opportunity

stage.

We

have

21

opportunities

right

now

that

are

at

a

pretty

advanced

level

of

discussion.

So, to answer your question, it's not only insurance. It's across all of banking, wealth, and several other areas,

including

a

lot

of

operations

reimagining

and

significant

compliance

and

regulatory

interest.

We

actually

held

an

event

on

compliance

and
regulatory
topics
in
the
UK,
and
it
was
attended
by
all
50
people,
which
was
very
popular .
So,
I
wouldn't
say
its
insurance
only,
by
far.
Insurance
has
gained
a
lot
more

momen tum

because

we

initia ted

a

signific ant

amoun t

of

AI

work

on

it

earlier ,

and

it

has

been

well-in tegrated

with

our

products.

As

Arun

said,

a

lot

of

this

is

getting

attention

because

it's

being

embedded

with

our

products

in

a

way

that

allows

Purple

Fabric

to

coexist

with

eMA CH.ai,

which

is

exactly

wha t

eMA CH.ai

represen ts:

eMA CH

and

AI.

The

AI

componen t

is

Purple

Fabric

embedded

within

our
eMA CH.ai
suite.
This
uniquely
positions
us
for
the
chang es
taking
place
in
the
mark et
across
all
products,
as
every
product
is
looking
to
embed
AI.
So,
I
think
fundamen tally,
that's
the
unique

interest

we're

seeing

compar ed

to

everybody

else.

Rahul Jain:
Interesting.

And

as

Arunji

men tioned

about

scaling

up

the

mark eting

budg et

from

■

100

Cr

to

■

130

Cr,

or

moving

towards

a

■

30

Cr

run

rate.

I

don't

want

to

get

into

an

outlook -type

of

a

ques tion,

but

more

import antly,

given

this

scale-up

in

spend,

is

it

safer

to

assume

that

mone tisation

should

also

start

to

scale

up

meaningfully

for

us

in

the

later

part

of

the

year,

considering

we

are

increasing

our

spend

in

this

market

area?

Arun Jain: So, Rahul, first, it's important to understand the range of opportunities. We have opportunities in Enterprise

GPT,

which

focuses

on

customer

reimagination.

Then

there

is

the

Enterprise

Knowledge

Garden,

where

the

product

helps

relationship

managers'

design

and

compare

products.

We

also

have

opportunities

within

the

enterprise

operations

team,

covering

areas

like

customer

on-boarding ,

loan

origination,

and

trade

operations.

And

as

Banesh

men tioned,

the

compliance

area

is

signific ant

as

well.

So,

all

four

of

these

reimagina tion

business

impact

areas

have

their

own

list

of

opportunities.

Regarding

the

■

130

Cr

incremen tal

investmen t,

we

anticipa te

that

AI

should

cumula tively

gener ate

close

to

■

200

Cr

in

revenue

by

the

end

of

this

year.

This

will

come

from

all

the

sectors

we

are

targeting,

including

insur ance,

APX,

CPX,

Wealth,

GRC,

and

the

new

lines

of

business

emerging

in

this

space.

Investors Meeting Transcript

Rahul Jain: Yeah, thank s for that input. We have certainly seen how expansive the product has been in leveraging the

data

garden.

Does

this

also

open

up

opportunities

for

consulting ,

or

do

we

intend

to

stick

solely

to

a

product -only

model?

Or

would

it

be

a

combina tion

of

consulting

plus

product?

Arun Jain: Sure. Manish, would you like to answer the appr oach we are taking on the consulting side? Manish Maak an: Thank s, Arun. Yes, we are expanding into consulting , specific ally focusing on the business impact created

and

examining

the

target

oper ating

models

and

oper ational

efficiencies

that

AI

can

provide.

We

are

on-boar ding

a

number

of

senior

folks

next

week,

so

I

will

wait

until

then,

but

we

will

shortly

have

an

announcemen t

regarding

our

consulting

services.

Arun Jain: This will include indus try consulting , not just indus try AI consulting , but broader indus try consulting. Manish
Maak an: Yes. Rahul Jain: Appr eciated, and one last ques tion from my side. It's a numeric al one, I'm afraid. We have seen
platform

revenue

grow

signific antly

this

quart er.

Could

you

shar e

the

organic

portion

versus

the

Central1

contribution?

Also ,

is

there

any

seasonality

to

the

Central

1

run

rate

that

we

should

be

aware

of?

Thank

you.

Arun Jain: Yes, a portion of that increase came from Central1, so this revenue has gone up because of Central 1.

Central

1

was

expect ed

to

grow,

which

is

the

main

reason

for

that.

It's

sustainable.

Rahul Jain: So, what you are essentially saying is that we should consider the current run rate as the base, and there

isn't

much

seasonality

from

that

perspective.

Any

future

growth

will

be

from

this

base?

Arun Jain: That's right. Rahul Jain: Thank you so much.

Investors Meeting Transcript

Praveen Malik: Thank you, Rahul. Thanks for the question. Next, we have Mr Susho van Nayak from Anand Rathi Securities.

Susho van,

please

unmute

yourself.

Susho van Nayak: Yes, is my voice audible? Praveen Malik: Yes. Please go on. Susho van Nayak: Thank you for the opportunity. I have two questions. First, regarding working capital, this is for Vasudha, ma'am. I just wanted to understand the GeM receivable

contribution.

Also,

you

have

a

significant

non-curr ent

receiv able

of

almos t

■

200

Cr

in

Q4.

Could

you

shed

some

light

on

that?

My second ques tion is, wha t exactly contribut ed to the signific ant chang e in the currency mix compar ed

to

last

quart er?

Vasudha Subr amani: I belie ve you migh t have picked up these non-curr ent receiv ables from the Annual Report. That figur e represen ts

contractually

not-yet-due

cases.

As

per

accounting

principles,

we

are

requir ed

to

reflect

receiv ables

that

are

not

yet

contractually

due

under

non-curr ent

receiv ables.

So,

that's

wha t

that

is.

Regarding your ques tion about GeM, gener ally, we do not report customer -wise receiv ables. However,

it's

quite

a

signific ant

number ,

and

we

can

say

that

it's

gradually

reducing.

We

also

have

plans

to
liquidate
that
completely.

That's
one
of
the
reasons
for
the
increasing

DSO ,
and
you
should
see
good
improvements
in
the
quarters
to

come.
Sushovan Nayak: I'm sorry, the reason I asked about GeM receivables is that in this presentation, I believe you specifically mentioned

DSOs
both
including
and
excluding
GeM.

That
was

the

basic

reason

for

my

ques tion.

Vasudha Subr amani: Yes, we want to specific ally highligh t that the higher DSO is due to the inclusion of GeM receiv
ables,
which

is

why

we

chose

to

separ ate

it

out

and

show

it

that

way.

Additionally ,

other

global

macr oeconomic

factors

prevented

us

from

liquida ting

those

receiv ables

quickly ,

resulting

in

some

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delays in collections. Our account management team is working very hard to collect these at the earliest

possible

time.

Another reason for the DSO is that many projects are run on a milestone basis. We can only raise an invoice

and

collect

payment

once

we

complete

a

milestone.

So,

there

are

multiple

reasons

for

the

higher

DSO.

Sushovan Nayak: Thank you. And regarding the change in the currency mix, other than the Central1 acquisition, is there anything

else?

Because

the

UK

proportion

has

significantly

reduced,

and
the
US
has
significantly
increased
from
a
currency
mix
standpoint.

Vasudha

Subramaniam:

There's been a significant increase in CAD, which is why you are seeing a consequential impact in the UK

and
US
figures.
Otherwise,
the
absolute
numbers
for
what
we
have
been
generating
in
GBP
and
USD
remain

the

same

in

quantum.

Sushovan Nayak: Okay. Because what I see is that 29% of GBP has now become 14%, while USD has increased from 33% to

45%.

Vasudha Subramaniam: And the CAD would have increased significantly. Sushovan Nayak: The CAD is from 6% to 13%, right? Vasudha Subramaniam: Yes, CAD is separately shown as 13% here. Sushovan Nayak: Yes. Vasudha Subramaniam: Okay. Arun Jain: Some contracts are denominated in dollars, even though they are operating from different countries.

That's

why

we

have

45%

USD;

it's

not

exclusively

US

business,

but

rather

USD-denominated

business.

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Sushovan Nayak: Understood. Thank you. Praveen Malik: Thanks, Sushovan. Next, we have Mr Kesha v Surekha from Niveshaa y. Kesha v Surekha: Thanks for the opportunity. I see you have added five new logos in India. Your May presentation mentioned

nine

top

banks,

and

now

I

see

14.

Could

you

tell

us

about

these

deals?

What

kind

of

deals

you

have

won

in

India?

Also ,

are

we

expecting

more

deals

from

India

in

the

future,

particularly

any

major

ones

in

this

geography?

Arun Jain: Ramanan is the right person to discuss the India deals, but these five deals are in different areas. A few are

in

the

DTC

(Digital

Technology

for

Commerce)

space,

specifically

in

retail

and

commerce.

They

are

not

all

banking

deals,

though

they

are

reported

from

India.

Out

of

these

five,

two

or

three

deals

are

in

the

banking

sector,

and

the

remaining

are

in

the

commerce

area.

Manish Maak an: Additionally , Arun, we were previously showing the top 10 banks. We are now displaying the top 15. This

illustrates

how

the

width

of

our

coverage

across

these

markets

is

expanding.

Arun Jain: Okay, yes. Top 14 out of 15. So, that's the coverage that's installed. Okay, Manish, do you want to elaborate?

Manish Maak an: You will see that we were showing the top ten banks out of each of these markets. As we have gone deeper ,

we

are

now

looking

at

the

top

fifteen,

top

twenty,

and

top

thirty .

We

are

expanding

those

spaces

and

demons trating

our

deep

commitmen t

to

this

mark et.

The

focus

now

is

on

growing

these

accounts

and

expanding

our

presence

within

them.

Kesha v Surekha: How do you envision the Indian market as a driver of growth for your business? Arun Jain: The Indian market is very active. We are actively participating with eMA CH.ai, and Purple Fabric. It is a very

potent

market

for

us.

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Kesha v Surekha: OK. Thank you. Praveen Malik: Thank s, Kesha v. Next, we have Mr. Amar Bakth from Oman Investment. Amar , please unmute yourself.

Amar:

Hi.

Am

I

audible?

Praveen Malik: Yes. Please go on.

Amar

Bakth:

Yes.

I'm

trying

to

understand

the

revenue

model

of

these

two

new

products,

which

are

now

fully

implemen ted

and

ready

to

provide

incremen tal

revenue

for

the

compan y.

Will

revenue

come

at

the

time

of

implemen tation

itself ,

or

will

there

be

outcome-based

revenue

modelling ,

or

will

there

be

some

AMC-r elated

revenue

after

implemen tation

as

well?

How

is

the

revenue

life

cycle

with

these

two,

Purple

Fabric,

as

well

as

eMA CH.ai?

I

mean,

how

is

it

going

to

provide

revenue,

in

one

stream

or

in

different

streams?

Arun Jain: Manish, would you like to take it up? Manish Maak an: Yes, Arun. Sure. For Purple Fabric, it's a mix of initial revenue, smaller implemen tation fees, and a long tail

as

we

scale.

Ther e's

a

minimum

commitmen t

for

certain

volumes,

after

which

it

becomes

business

impact -based.

So,

this

will

introduce

a

lot

of

variable

componen ts.

On

eMA CH.ai,

we

are

also

moving

to

much

more

variable

revenue.

And

the

consulting

piece

we

are

looking

at

launching ,

will

be

business

impact -created,

focusing

on

how

we

can

help

bank s

move

from

poin t

A

to

point

B

on

their

revenues

and

costs,

and

that's

where

we

are

building

out.

Banesh Prabhu: I will just add a little more texture to the deals on Purple Fabric. I think customers normally pay in different

ways.

Some

of

them

are

entirely

subscription-driven.

Some

are

paying

for

the

platform

itself .

Some

are

paying

because

the
platform
is
bringing
those
savings.
So,
for
most
of
our
Purple
Fabric
implementations,
we
have
a
minimum
subscription
amount
they
pay,
which
covers
our
cost
of
operating,
running ,
and
licensing
the
platform

to
them.
The
balance
is
then
driven
by
the
outcome
related
to
impr oving
either
their
cost
reductions
or
achie ving
greater
volumes
on
the
platform.
Ther efore,
for
some
of
them,
we
char ge
by
AI

volume

or

agent,

and

for

other s,

we

char ge

for

the

entire

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platform. And wher ever it's embedded into our products, we also char ge similarly for the usag e of the AI

elemen t

of

that

license.

Amar

Bakth:

So,

if

my

under standing

is

correct,

that

means

there's

a

part

of

the

revenue

which

is
a
kind
of
annuity -based
stream.
That
means
that
once
I
have
a
customer
who
has
purchased
my
product,
a
portion
of
the
revenue,
whether
it's
AMC-based,
license-based,
or
platform-based,
will
continue
as

long

as

the

customer

is

using

it.

Probably

a

part

of

it

is

a

one-time

expenditur e

at

the

time

of

implemen tation

itself ,

and

now

you

are

also

adding

that

there

is

some thing

that

depends

on

the

output -based

model.

So,

if

our

customer

achieves

a

certain

efficiency

level

by

using

our

product,

there

will

be

a

kind

of

profit

sharing

or

a

fixed

arrangement,

with

the

company

receiving

a

share.

I

am

just

trying

to

understand,

for

longevity,

if

I

get

a

customer

today,

how

long

will

I

be

able

to

monetize

that

particular

customer?

Banesh Prabh: So, the subscription deals that we do typically range from three (3) to five (5) years. And they are, like you

said,

an

annuity

with

a
minimum
volume,
which
then
grows
as
the
volume
grows.
So,
there
is
volume
pricing
as
well.
There
is
a
separate
implementation
cost.
Very
often,
for
certain
projects,
we
do
pilots,
and
there

is
normally
a
char ge
for
those
pilots.
When
we
implemen t,
we
start
with
the
subscrip tion,
which
normally
runs,
as
I
said,
for
three
(3)
to
five
(5)
years
thereafter.
Additionally ,
several
chang e
reques ts

are

made

throughout

those

three

to

five

years

to

upgrade

the

platform.

Arun Jain: So, if it's an annual contract -



A1

revenue

is

the

pilot

cost



A2

revenue

is

from

implementation



A3

revenue

is

subscription

/

transaction-based,

often

a

percentage—for

example,

thirty

basis

points

on

the

insurance

premium

paid,

or

a

per-transaction

basis,

like

twelve

dollars

per

transaction,

or

nine ty-nine

dollars

per

'work

packet'

produced,

such

as

per

complaint

resolution.



A4

revenue

is

platform

licensing ,

which

is

on

an

annualised

basis

and

is

also

subscription-based,

and

dependent

on

the

number

of

cores

my

AI

platform

will

use.

So,

it

is

similar

to

how

Oracle

does

it,

with

the

number

of

cores-based

licenses.

We

have

a

similar

policy

for

platform-based

outsour cing.



A5

revenue

is

from

licence

pricing



A6

revenue

is

long-t erm

licence

with

AMC

(Annual

Main tenance

Contract)

So, these are the six different types of revenue streams in the company.

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Amar

Bakth:

So,

if

we

implemen t

the

product

for

one

particular

company,

all

those

six

streams

will

be

activ ated

over

a

period

of

time.

Ther efore,

as

and

when

we

add

new

customer s

to

our

new

platform,

this

will

compound

over

time,

correct?

Arun Jain: That's right. That's the value of a business like ours, it may not be all six (6) revenue streams for each customer;

there

may

be

three

(3)

for

one

customer ,

two

(2)

for

another .

Even

though

the

revenue

streams

vary,

compounding

does

take
place.
All
the
profit
gets
compounded.
That's
why
we
have
18%
year-on-year
growth
and
27%
profit
growth.
That's
the
important
point:
the
company
is
reaching
that
lever
where
profit
growth
is
higher

than
revenue
growth.
So,
it's
not
a
linear
model.
Amar
Bakth:
Okay.
And
then,
in
that
particular
model
itself ,
there
is
some
oper ating
leverage
built
in,
because
as
the
product
matures,
the
expenditur e

on

the

product

will

not

be

as

high

compared

to

its

revenue-generating

capacity .

So,

there

is

compounding

from

that

side

as

whole,

and

the

compounding

on

the

margin

side

too?

Arun Jain: Exactly . That's the value of product companies.

Amar

Bakth:

Okay.

Just
a
second
and
probably
the
last
one,
I
will
not
take
more
time.
To
clarify,
is
there
a
similar
level
of
lumpiness
in
this
type
of
business
as
well?
That
is,
in

some

quarters,

there

is

a

sudden

revenue

build-up,

while

in

others,

it's

significantly

lower.

What

I

understand

is

that

the

product

has

a

high

consistency

and

longevity,

which

is

quite

impressive.

However,

on

a

quarter-on-quarter

basis,

I

can

see

significant

lumpiness

in

revenue.

How

is

this

happening?

Arun Jain: It's happening because in the product business, each license can be as high as \$ 7 Mn. A \$ 7 Mn license materialising

or

not

materialising

in

a

particular

quarter

can

indeed

create

lumpiness

in

the

business.

So,

an

LTM

(Last

Twelve
Mon ths)
basis
is
a
good
way
for
you
as
an
investor
to
consider
a
metric,
rather
than
focusing
solely
on
the
quart erly
number s.
Amar
Bakth:
Okay.
And,
if
I
may
ask
one

last

ques tion.

Regarding

the

US

as

a

mark et,

I

can

see

your

main

strength.

Typically,

for

IT

companies,

the

US

is

a

signific ant

mark et;

however,

Intellect

has

gener ated

the

highes t

revenue

outside

the

US.

If

I

consider

the

US

dollar

denomina tion

as

a

separ ate

thing ,

the

business

coming

directly

from

the

US

is

not

as

big

compar ed

to

other

IT

companies.

Now,

we

all

know

US

is
a
huge
market
for
a
product
like
yours.

So,
how
as
a
company
are
we
approaching
to
build
that
particular

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pie into our business? Because, probably, the margins there are comparatively better, as we have
understood

from
other
IT

product-related

companies.

Arun Jain: There are not too many product companies from India getting significant revenue from the US market.
Intellect

is
still
performing
better

than
most
in
that
regard.
Regarding
margins,
they
are
almost
equal
in
the
US,
Canada,
and
Europe,
and
share
a
similar
nature.
In
fact,
we
sometimes
see
margins
in
the
UK
and
Europe

being
even
better
than
those
in
the
US,
from
that
perspective.
Our
approach
was
to
go
to
Europe
first,
then
Canada,
and
finally
the
US;
that
has
been
our
strategy
and
roadmap.
This

quarter,

we

are

pleased

to

announce

that

the

financial

year

has

commenced

with

three

deals

in

the

US.

So,

now

we

will

definitely

be

expanding

our

US

portfolio.

Amar Bakth: Thank you very much. I may be re-joining the queue. Thank you! Praveen Malik: Thank s, Amar . Next, we have Mr. Mihir Manohar from Carnelian

Asset

Management. Mihir Manohar: Yes, Hi! Thank you for giving me the opportunity , and congratulations on a strong set of numbers. Sir, I would

like

to
learn
more
about
Palan tir,
C3.ai,
and
Purple
Fabric.
You
men tioned
these
are
the
three
enterprise-gr ade
AIs.
Could
you
provide
any
colour
or
feedback
from
clien ts
or
indus try
analy sts
on
the
compe titive
positioning

of

Purple

Fabric

vis-à- vis

Palan tir

and

C3.ai?

Could

you

elabor ate

on

who

is

strong

in

which

areas

and

how

things

migh t

eventually

unfold?

Arun Jain: That's a beautiful ques tion for under standing the mark et. Palan tir is a compan y that started in 2005, making

it

a

twenty

(20)

year-old

compan y

in

the

AI

space,
originally
focused
on
commerce.

Their
major
revenue
still
comes
from
the
US
government.

After
2018,
they
began
moving
beyond
government
clients
and
looking
at
commercial
sector.

They
are
still
using
their
older

platform,

Foundry,

to

support

this,

so

they

have

a

large,

legacy

Foundry

platform

built

using

AI

technologies

that

were

available

between

2010

and

2012.

Intellect started investing in AI in 2016. C3.ai also began investing around the same time. However, we launched

Purple

Fabric

as

a

platform

only

in

2025,

after

thor oughly

under standing

the

implemen tation

pain

poin ts

of

AI.

When

you

look

at

it,

four

key

elemen ts

are

differentiating

AI

in

Intellect:



Enterprise

Knowledg e

Garden

(EKG)

is

our

first

value

proposition.

Intellect

is
the
first
to
trademark
that.
We
believe
that
alongside
a
Data
Lake,
you
need
an
Enterprise
Knowledge
Garden
because
the
true
moat
of
enterprise
value
is
the
knowledge
residing
within
an

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organisation. We have technology to vectorise that knowledge into a 'garden' and nurture it so

customer s

can

use

both

data

from

their

Data

Lake

and

knowledg e

from

the

Garden,

thereby

creating

expertise

for

the

organisa tion.

This

is

very

unique

and

not

provided

by

C3.ai

or

Palan tir.



We

don't
talk
about
'agents.'
We
believe
business
impact
happens
via
experts.
Agents
can
solve
smaller
issues,
just
as
an
executive
can
handle
basic
problems
or
call
centre
inquiries,
but
if
you
want
to

address

complex

finance

or

wealth

management

issues,

you

need

experts.

So,

we

have

an

expert

orchestration

system

with

Socrates

dialogue,

creating

immense

value

through

our

digital

expert

methodology .

Most

global

companies,

including

C3.ai

or

Palan tir,

primarily

focus

on

agents.

We

belie ve

it's

a

business

of

experts;

that's

a

signific ant

difference.

●

We

allow

for

open

technology .

Any

LLM

(Large

Languag e

Model)

can

be

used.

LLM

costs

are

continually

falling ,

so

customer s

shouldn't

be

locked

into

one

LLM.

We

enable

customer s

to

benchmark

and

select

LLMs

appr opria tely

This

flexibility

is

currently

not

offered

by

any

of

the

main

player

These are our three core differentiators besides this, in enterprise governance, specific ally entitlemen ts
and

controls,
all
three
of
us
(ourselves,
C3.ai,
and
Palan tir)
provide
strong
governance.
Enterprise
governance
might
be
consider ed
equal
among
us.
But
on
EKG
(Enterprise
Knowledg e
Garden),
digit al
experts,
and
LLM
flexibility ,
we
are

distinctly

differentiated.

Banesh Prabh: I think just to add to that, Arun, speaking to clients in Europe including some large banks, the orchestration

of

flow

through

EKG

(Enterprise

Knowledge

Garden)

and

the

digital

workforce,

setting

up

multiple

agents

or

digital

experts

as

a

digital

workforce,

is

easier

and

more

governable

with

us.

Because

the
clients
who
come
to
us
are
finding
that
they
cannot
scale,
and
some
of
them
are
using
our
competitors,
they
would
like
to
scale.
I
think
the
governance
part
of
managing
multiple

workforces,

we

are

better

positioned

in

some

sense,

and

we

are

also

more

flexible

and

easier

to

consume

those

services

compared

to

their

models.

So,

that's

the

feedback

we

are

getting,

and

we

are

obviously

learning

along

the

way.

Mihir Manohar: Sure, understood. Is there any more colour around whether people are looking to replace or change from

their

C3.ai

or

Palantir

offerings

to

our

offerings?

Arun Jain: I am saying that it is a co-existence model. We are not replacing Palantir right now; we are still a young player

to

battle

it.

Palantir

is

a

\$

300

Bn

company.

Even

if

we

take

a

10%

slice

of
the
total
market
share,
that
will
be
good
for
us.

Investors Meeting Transcript
Mihir Manohar:
Understood.

My
second
question
was
about
the
investment:

■

100

Cr

to

■

130

Cr.

So,

the

■

30

Cr

will

be

incremental,

right?

Will

that

impact

the

P&L

for

FY26?

Arun Jain: All of it will be in the P&L. In the market, we cannot capitalise on any of this investment. However, we will

still

manage

margins

to

the

level

we

are

targeting

between

20%

to

25%

even

in

spite

of

these

investments.

But

■

130

Cr

is

a

hard-core

investment.

Mihir Manohar: Last question on DSO. On both a quarter-over-quarter and year-over-year basis, even excluding GeM, there's

a

good

jump

in

DSO.

How

should

we

see

this

normalising?

Why

did

this

jump

occur?

Arun Jain: It keeps fluctuating. The last quarter was very successful; we were able to collect a substantial amount of

money.

This

quarter

is

bad.

Quarter-on-quarter,

this

is

a

transactional

item

when

a

project

goes

live,

and

a

large

paymen t

is

suddenly

receiv ed

(it's

miles tone-based).

So,

I

think

you

have

seen

the

compan y

for

the

last

three

year.

We

should

not

be

too

worried

about

DSOs.

Mihir Manohar: Under stood, sure. That's it from my side. Praveen Malik: Thank s, Mihir . Thank s for the ques tion. Next, we have Mr. Rohit Balakrishnan from ithough tPMS. Rohit, unmute

yourself

and

ask

the

ques tion.

Rohit Balakrishnan: Hello. Am I audible here? Praveen Malik: Yes. Please go on. Rohit Balakrishnan: Sir, a few ques tions. First, about the US Destiny deals that we won; one in Canada and one in the US. Can

you

share

more

colour

in

terms

of

whom

we

compete

against,

the

length

of

the

engagement,

and

whether

this

represents

an

important

inflection

point

to

win

more

US

deals?

First,

if

you

can

share

this.

And

then

I

have

two

more

questions.

Investors Meeting Transcript

Manish Maak an: Thank you. That's a very good question. It's the strength of our technology, of our eMA CH.ai architecture.

As

Arun

has

been

talking

about,

we

clearly

beat

a

number

of

existing
players,
fair
and
square.
When
you
go
deep
into
the
architecture,
the
purity
stands
on
its
own.
Our
strength
in
wholesale
banking ,
industry-aligned
solutions,
and
our
payments
platform
which
is
rated
by

analysts

in

the

leader

class

are

clear

advantages.

You

had

the

who's

who

of

all

the

key

core

banking ,

payments,

and

liquidity

players

in

each

of

these

wins.

This

is

a

good

start

for

us.

In

liquidity ,

we

are

market

leaders;

in

payments,

we

are

also

among

the

top

two.

The

power

of

our

core

banking ,

what

we

have

demonstrated

in

Europe,

is

now

evident

as

we

break

through

in

the

US.

Rajesh Saxena: If I can just add, Manish. From a core banking perspective, getting a Tier 1 client for the corporate DDA (Demand

Deposit

Account)

deal

in

the

US

is

a

great

achievement.

US

regulatory

requirements

are

very

steep,

especially

for

DDA,

which

has

both

state

and

federal

requirements.

We
won
this
deal
without
an
existing
reference
site
in
the
US
for
DDA,
which
clearly
shows
the
strength
of
our
eMA CH.ai
architecture
as
well
as
the
relationships
we've
built
over
the
last

10

years

with

Tier

1

clients.

Rohit Balakrishnan: Are you disclosing the size of these deals, Sir? Is it like \$ 30 to 40 Mn or less? Manish Maak an: The Canadian deal is very large. I'm not giving numbers, this is only phase one. There are multiple phases;

this

will

be

very

large.

I'll

stay

at

that.

Rohit Balakrishnan: Okay. Second, if I may say I am following the company since long and have invested in the company for five

(5)

years,

and

I

have

seen

you

invest

ahead

of

the

curve

(whether

eMA CH.ai

or

Purple

Fabric

is

the

culmina tion

of

that).

You

said

you

will

be

investing

around

■

130

Cr

this

year,

of

which

■

10

Cr

has

been

already

invested.

Looking

beyond

FY26,

gener ally,

margins

can

even

go

above

25%

or

higher .

When

do

you

see

Intellect

entering

that

upward

margin

trajectory,

not

a

quarter

or

next

quarter?

I'm

just

trying

to

understand

when

we

as

outsiders,

sort

of
expect
that
to
happen;
again
not
specific
quarter.
Just
would
like
to
hear
from
you.
How
are
you
viewing
this?
These
are
big
opportunities.
I
understand
what
you
all
are
trying
to

do,

not

looking

at

immediate

quarter

just

would

like

to

understand

from

you.

Arun Jain: The way we design our business is to keep growth pegged at around 20% year-on-year. We achieved 15%,

14%

previously ,

but

we

design

for

20%

growth

year-on-year.

That's

the

first

principle.

The

second

principle

is

we

have

pegged

20%

business

from

a

design

perspective.

But

economic

conditions

may

be

different,

customer

conditions

may

be

different.

But

margin

will

be

close

to

30%

growth.

So,

if

you

look

at

it,

the

difference

between

revenue

and

profit

growth

is

1:1.5.

If

you

look

over

a

three-year

window,

Investors Meeting Transcript
our

goal

is

to

achieve

■

4,000

Cr

revenue

and

■

1,000

Cr

PBT

(Profit

before

Tax)

going

forward.

This

is

what

we

are

designing

the

company

for.

From

your

investment

perspective,

a

PBT

of

■

1,000

Cr

and

■

4,000

Cr

as

a

top-line

number

in

three

years

is

very

much

possible.

It

is

not

guidance,

but

this

is

wha t

we

are

striving

for.

Rohit Balakrishnan:

Got

it,

that's

help ful.

Two

smaller

bits

-

of

the

pipeline

you

men tioned,

specific ally

the

■

9,000

Cr

activ e

pipeline,

could

you

share

roughly

how

much

is

US-related?

Has

the

consolidation

of

Central1's

acquisition

led

to

a

margin

drag

this

quarter

or

this

financial

year?

Arun Jain: The acquisition is profitable, but not as profitable as other businesses, so there may be a dip in percentage

margin.

More

importantly,

the

acquisition

has

given

us

a

big

acceleration

in

the

Canadian

market.

Rajesh

can

brief

you

about

this.

Rajesh Saxena: Yes, we announced the acquisition in March. Along with this, we gained approximately 170 new customers,

and

140

people

joined

us.

Our

first-quarter

results

are

better

than

expected.

Both

from

a

culture,

sales,

and
relationship s'
perspectiv e,
the
business
is
growing.

As
we
delve
into
a
new
segmen t
of

these
150
credit
unions,
we
are
seeing
numer ous
new
opportunities
emer ge.

So,
this
acquisition
is
primarily
for
the

Digit al
Engagemen t
Platform
(DEP).
But
we
are
now
seeing
opportunities
coming
up
in
core
banking ,
lending ,
commer cial
banking ,
and
paymen ts.
It's
still
early ,
but
the
Central1
acquisition
is
very
good,
signific antly
impr oving
our

Canadian
footprint,
client
base
and
providing
good
cross-sell/up sell
opportunities.

From
that
perspective,
it
is
a
very
good
acquisition.

Rohit Balakrishnan: For clarification, do you view Central1 separately in terms of operation, or are you fully consolidating it?

Numbers
are
one
thing.
But
from
your
own
lens,
as
you
sort
of

integrate,

how

do

you

see

the

margins

of

that

business?

Or

do

you

look

at

everything

together?

Arun Jain: We look at it as a merger: culture, people, thinking, not just numbers. We don't separate it. Rajesh Saxena: We have made significant progress over the last quarter, Rohit. Yes, it's now One Intellect operations. Manish Maakhan: It's a strategic intent. It gives access to over 150 banks, lots of cross-sell opportunities, and competence in

running

a

large-scale

cloud

SaaS

business,

extending

our

reach

further.

There

are

a

lot

of

strategic

Investors Meeting Transcript

decisions behind why we pursued these acquisitions, beyond just bringing in a certain revenue. The scale

we

gain

in

Canada

is

hugely

important;

we

are

becoming

a

dominant

force

there.

Rohit Balakrishnan: Did this acquisition help in clinching recent deals? Manish Maakhan: The Canadians have started feeling very comfortable with the size of our operation. Our intent is, we are

calling

this

as

one

of

our

three

home

markets.

India

is

a

home

market,

the
UK
is
a
home
market,
and
Canada
is
now
becoming
that
home
market.
And
the
intent
is
to
scale
each
one
of
these
to
a
\$
100
Mn
business
in
the
near

future.

So

it's

on

the

right

path.

Rajesh Saxena: If I can just add to that, Manish. Another important piece is that we gained 140 Canadian employees with

the

deal.

I

think

that

will

significantly

help

us

as

we

implement

these

deals

that

we

are

winning.

So,

it's

as

if

a

Canadian

team

has
now
reached
that
critical
mass,
which
should
enable
us
to
implement
better,
and
that
gives
confidence
to
clients
as
they
look
to
us
for
large
deals.
Rohit:
Got
it.
Thank
you
very

much

and

all

the

very

best.

Praveen Malik: Thank s, Rohit. Next, we have Mr. Adity a Trivedi from Nepean Capit al. Adity a. Adity a Trivedi: So, the ques tion I have is, is there a roadmap for expanding Purple Fabric' s adop tion beyond BFSI into sectors

like

manuf acturing

or

retail,

wher e

we

could

see

AI-driv en

workflo w

automa tion

and

procur emen t

optimisa tion

also

critic al?

Or

is

Purple

Fabric' s

architectur e

and

componen ts

restricted

to

BFSI?

What

I'm

trying

to

understand

is,

could

there

be

an

expansion

in

TAM

for

Purple

Fabric?

Arun Jain: Yes, Aditya, we are already expanding to procurement and e-commerce solutions. The DTC business is already

there.

Additionally,

we

are

seeking

partners

in

other

sectors

to

expand

into

the

pharmaceutical

and

retail

indus tries.

We

are

currently

exploring

potential

partner s

in

these

areas.

Banesh Prabhu: And we have some pipeline in the non-BF SI space, we are already working on.

Investors Meeting Transcript

Aditya Trivedi: Okay. And as of now, what are the top three AI-driven business impact use cases being deployed using Purple

Fabric?

Arun Jain: We have answered earlier . It's the same areas we have been discussing. We have just about five minutes

left;

we

are

running

out

of

time.

If

you

have

some

other

questions,

please

go

ahead.

Aditya Trivedi: No, that's it from my end. Thank you so much. Praveen Malik: Arun, should we take another two or three questions on there? Arun Jain: Yeah. So, how many are waiting? Praveen Malik: Maybe around four. Arun Jain: Just take all the four and let's close it out. Praveen Malik: Okay. And next we have Ms. Jyoti Singh from Arihant Capital. Jyoti Singh: Yes. Thank you for the opportunity , Sir. So, I just wanted to understand, like you discussed, about the Canada

thing.

So,

what

are

our

expectations

for

growth

in

that

area

after

the

Central1

acquisition?

Additionally ,

another

point

regarding

the

license-linked

revenue

is

our

expectation

of

60%

growth

over

the

next

two

to

three

years

could

you

please

update

us

on

the

progress

on

that

side?

Additionally ,

regarding

new

Digital

Technology

for

Commerce

platforms

like

GPX,

CPX,

and

APX,

how

are

they

expected

to

contribute

to

growth

by

2028-29?

Arun Jain: Let's not look at the Canadian market independently; it will grow. Manish has mentioned it's a home market

-

\$

100

Mn

market

in

the

next

few

years.

Similarly ,

APX,

GPX,

and

CPX,

we

cannot

quantify

individually

for

each

market,

as

they

are

early -stage

businesses.

At

Intellect

Design

Arena,

our

strategy

is

as

follows:

first,

GTB

expanded

the

market

share,

then

GCB

expanded

the

market

share,

and

now

AI

is

further

expanding

the

market

share.

DTC

is

in

the

incubation

stage,

so

that

will

take

another

three

(3)

Investors Meeting Transcript

years to contribute substantially . It generally takes five (5) years for incubation to start generating a big number .

To

sustain

a

product

company

year-on-year

and

to

create

a

robust

pipeline,

you

need

those

kinds

of

upfront

investments.

Jyoti Singh: Thank you, Sir. Praveen Malik: Thank s, Jyoti. Next, we have Mr. Srinivasu K from TIA. Srinivasu: Hi, Sir. Thank s for the opportunity . Congratulations on the solid set of Q1 numbers. My question is: with the

new

AI

laws

coming ,

and

you

said

the

regulation

is

very

tight,

how

is

Purple

Fabric

guaranteeing

governance

and

explainability

in

those

markets?

Are

you

pursuing

any

certifications

to

accelerate?

Arun Jain: There is no specific certification available yet for this, but we have full traceability and auditability and that's

why

we

have

won

clients

in
Europe.
A
large
wealth
bank
in
Europe
is
using
our
Purple
Fabric
platform,
and
their
risk
departmen t
has
certified
it.
However,
there
is
no
formal
global
certific ation
departmen t
worldwide
to
say
this

is
traceable.
It's
about
the
company's
own
risk
departments
validation.
However,
we
maintain
all
ethical,
traceability ,
audit able,
dialoguing ,
and
questioning
recorded
to
ensure
AI
responses,
where
the
AI
agent
provides
the
accuracy
level,

such

as

92%,

98%,

or

97%.

So,

we

have

built

a

very

solid

enterprise

governance

model

into

it.

Banesh Prabhu: Additionally , digit al experts ensur e that everything they do has an audit trail, just as a human would.
That

is

clearly

available

in

the

process

wher e

you

can

see

how

the

digit al

expert

works

in

collaboration

with

humans.

Srinivasu: Okay. Thank you for that. And a follow-up to the previous question about projects beyond the BFSI sector:

what

are

the

likely

ticket

sizes?

Are

they

similar

to

mid-tier

bank

deals,

or

smaller?

Arun Jain: As of now, we are saying as a platform it can go out to the market. We have to look with partners how deals

will

work,

how

consulting

companies

or

SIs

will

take

this

platform

to
non-BF SI
sectors,
which
is
still
to
be
evalua ted.
But
for
large
non-BF SI
clien ts,
deal
values
will
not
be
different
because
pricing
is
based
on
the
number
of
cores
being
consumed
for
the

platform.

So,

the

cores

consumed

by

bank s

and

cores

consumed

by

non-bank s

should

be

similar .

Investors Meeting Transcript

Sriniv asu: Okay, so when you say system integrators, how man y SI partner s are already selling this Purple Fabric platform

as

of

Q1?

Wha t

shar e

of

this

year's

Purple

Fabric

revenue

will

come

through

then?

Arun Jain: It's too early to give exact number s, we have engaged more than five SI partner s working on it right now,

and

this

number

is

increasing.

Sriniv asu:

Okay,

Sir.

And

my

last

ques tion

is:

out

of

the

■

11,300

Cr

funnel,

which

look s

very

impr essiv e,

wha t

kind

of

win

rates

and

sales

cycles

are

you

modelling

to

reach

this

■

800

Cr

quarterly

revenue

run

rate?

Arun Jain:

Yes,

■

800

Cr.

That's

a

good

point

you

raised.

It

takes

roughly

every

four

(4)

quarters

to

increase

by

■

100

Cr.

We

have

now

reached

■

700

Cr.

We

expect

to

reach

■

800

Cr

in

the

next

two

(2)

to

three

(3)

quarters.

Srinivasu: Okay, Sir. Thank you. Praveen Malik: Thanks, Srinivasu. Next, we have Mr. Samir Dosani from ICICI Prudential. Samir Dosani, please go ahead.

Samir Dosani: Yes, thanks for the opportunity. Basically, how should we think about the acceptability of your products,

especially

eMACH.ai

products,

which

are

AI-powered,

in

regulated

markets

like

the

US

and

Europe?

Do

you

have

any

thoughts

on

how

that?

Arun Jain: What's the question? Samir Dosani: Basically, how to think about the acceptability of AI-powered products given there are many security concerns

in

regulated

markets,

particularly

in

banking ,

which

is

very

tightly

regulated.

Are

there

any

security

challenges

impacting

you?

Arun Jain: No, in fact, every bank in the US is using AI for one reason or another . It is very well accepted. The question

now

is:

what

kind

of

use

case

is

being

deployed?

Some

banks

use

AI

in

call

centres;

others

use

Investors Meeting Transcript

it in operational processes. Most banks have adopted some form of AI. The question is whether the initiative

is

scalable,

platform-based

or

particular

use

case

based.

Our

offering

from
Intellect
is
a
platform-based,
scalable
solution
within
the
enterprise,
where
every
employee
can
use
the
same
platform
and
every
manager
can
build
their
own
agents
and
experts
to
deliver
better
value
in

operational
processes
and
reimagine
workflows.

That
is
our
key
differentiation.

Acceptance
of
AI
in
advanced
markets

is
already
established;
everyone
has
implemented
appropriate
processes.

Samir Dosani: Thank s. Praveen Malik: Thank s, Samir . Next, we have Mr. Pravesh Kocher from FourLion Capital. Pravesh?
Pravesh Kocher: Hi, thank you for taking my question. I just want to understand if you could bring together what you

talk
about
with
the
experts
rather
than
the

agents

into

a

sort

of

procurement

product

that

you

are

selling

to

some

of

the

non-BFSI

customers?

Thank

you.

Arun Jain: Yes. So, in the procurement area, there are a lot of digital experts specialising in areas such as vendor management,

vendor

qualification,

and

vendor

due

diligence.

We

have

experts

for

these

domains;

price

parity

agents

are

also

presen t,

as

well

as

other

digit al

experts

who

support

necessar y

procur emen t

documen tation

tasks.

In

terms

of

tender s

or

RFPs,

especially

when

large

RFP

analy sis

is

requir ed,

we

have

additional

experts

dedicated

to

this

area

within

procurement.

Banesh Prabhu: Extraction, comparisons, everything are all handled by digital agents for procurement activities. Pravesh Kochar: And how is the Knowledge Garden created for such use cases? Arun Jain: The Enterprise Knowledge Garden is founded on the company's policies and processes. Whenever a comparison

or

decision

is

made,

the

Knowledge

Garden

ensures

the

enforcement

of

all

relevant

knowledge.

Specifically,

it

is

a

part

of

the

broader

Enterprise

Knowledge

Garden.

It

consis ts

of:



Product

Knowledg e

Garden



Talen t

Knowledg e

Garden



Customer

Knowledg e

Garden



Policies

and

Process

Knowledg e

Garden

Investors Meeting Transcript

Whene ver you are writing any use case, you need to ensur e compliance with the policies the compan y has

for

procur emen t

or

any

other

action,

whe ther

it's

human-r elated

policies

or

employee

policies.

The

Knowledge

Garden

is

the

baseline

from

where

all

the

knowledge

emerges.

Pravesh Kocher: And should we think about the value creation target in the non-BF SI, this procurement scenario as well, that

4x

to

5x

level

that

you

talk

about,

or

is

it

different

in

this

scenario?

Arun Jain: What is 4x to 5x? Sorry. Pravesh Kocher: What are the cost savings you can achieve compared to the traditional method they might be using for this

process?

Arun Jain: It will be 20%. I think the savings as of now are not fully quantified. First of all, it's about effectiveness, which

is

being

given

greater

consideration

by

our

customers,

like

with

GeM.

In

Phase

one

of

GeM,

which

we

identified

as

being

about

transparency

and

the

speed

at

which

you

can

do

the
procurement.

At

Stage

Two,

you

start

looking

at

the

cost

savings,

which

can

range

from

8%

to

15%

of

the

absolute

procurement

price.

But

that

comes

in

Phase

two.

Phase

one

is

efficacy

and

transparency .

Pravesh Kocher: Under stood. Thank you, all the best. Praveen Malik: There are two more, I think. Puranic is hands down again. There is one repeat in case you want to take it.

Sushovan

from

Anand

Rathi

is

here

again.

Arun Jain: We will complete it and close it. Praveen Malik: Sushovan, please unmute yourself. Sushovan Nayak: I hope my voice is audible. Sir, just one question, Sir, on the Palantir thing that you had mentioned. So Palantir,

as

you

mentioned,

was

first

into

US

defence,

then

got

into

enterprise

AI,

and

then

gradually

it's

getting

into

BFSI.

While
the
way
you
are
going
or
evolving
is
that
you
have
been
very,
very
strong
in
BFSI
and
you
are
gradually
moving
towards
the
enterprise
AI,
by
which
I
mean
non-BF SI
enterprise

AI.

So,

in

Investors Meeting Transcript

the process of this, do you believe or do you envisage that Palantir may cannibalise you, and you obviously

did

mention

that

Palantir

being

so

big,

it

will

be

very

difficult

for

you

to

cannibalise

into

Palantir,

right?

So,

I

just

wanted

to

get

your

thoughts

on

this

evolution

as

such.

Arun Jain: What is the exact question? Will it be a difficult competition with Palantir? Obviously, it will be. Sushovan Nayak: No, so the other way around is what I was basically referring to: Palantir getting into the BFSI part of the

AI

business,

right,

because

they

are

starting

to

get

into

that.

Arun Jain: The market is too big, Sushovan. We are not looking for 100% market share; we are looking for 10% market

share,

which

is

good

enough

for

us.

We

can

coexist.

A

three-player

market

can

coexist.

A
three-pla yer
mark et
is
a
very
good
mark et
to
coexist
in
wher e
we
can
compe te,
win,
and
fight
it
out.
Remaining
in
the
top
3
in
the
enterprise
AI
space
is
a
great

celebration

for

Intellect.

Sushovan Nayak: Thank you. That answers the question. Praveen Malik: Mr. Tushar Verma from Big Shot Investment.

Tushar, are you there? Tushar Verma: I just need one clarity on your guidance. Like you said, the AI-based revenue by the end of this year will

be

around

■

200

Cr.

So,

is

this

new

AI

Purple

Fabric

only,

or

will

it

include

some

other

AI

revenue

as

well?

And

is

this

■

200

Cr

for

the

whole

year

or

a

per-quarter

figure?

Arun Jain: No, it's for the whole year. Everything is Purple Fabric; every AI is Purple Fabric. There's no other thing called

AI.

Thank

you!

Tushar Verma: Thank you, Sir. Arun Jain: Thank you.

Investors Meeting Transcript

Praveen Malik: Thank you, Tushar . Thank you, everybody , for joining us today. In case you have any other questions, please

write

to

us

and

we

will

reply

on

the

same.

Thank

you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Nov 2025

IDAL/2025 -26/SE/43 November 05, 2025

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on October 31, 2025 on the unaudited financial results for the quarter and half year ended September 30, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Q2 FY 2025-26

Investor Earnings Call Transcript

Nachu Nagappan: Good evening, everyone. I'm Nachu Nagappan, Head of Corporate Communications at Intellect Design Arena.

It

is

my

pleasure

to

welcome

you

all

to

our

investor

call

for

the

second
quarter
of
fiscal
year
2025-26,
ending
30th
September
2025.

Thank
you
for
joining
us
and
for
your
continued
interest
in
the
company.

We
are
delighted
to
have
you
with
us
as
we

take

you

through

another

quarter

of

progress

and

performance.

The investor presentation and press release have already been shared with you and are available on our website.

During

the

call

today,

our

leadership

team

will

walk

you

through

the

highlights

of

the

quarter,

covering

our

financial

performance,

business

momentum,

and

strategic

priorities,

and

will

then

take

your

questions.

We have with us today: Mr. Arun Jain, Chairman and Managing Director Mr. Manish Maakan, CEO of Intellect Wholesale Banking Mr. Rajesh Saxena, CEO of Intellect Consumer Banking Mr. Banesh Prabhu, CEO of IntellectAI Ms. Vasudha Subramaniam, Chief Financial Officer and Mr. Vikash Misra, Chief Strategy Officer. We are also joined by several senior members of the Intellect Management team. Before we begin, I

would

like

to

draw

your

attention

to

the

Safe

Harbour

Statement.

Certain

statements

made

during

this

call

may

be

forward-looking

in

nature.

These

involve
known
and
unknown
risks
and
uncertainties
that
may
cause
actual
results
to
differ
materially
from
those
expressed
or
implied.
These
statements
should
be
read
in
conjunction
with
the
risks
detailed
in
our

filings

and

disclosures.

With that, I would now like to invite Ms. Vasudha Subramaniam, our CFO, to take you through the financial

performance

of

the

quarter.

Over

to

you,

Vasudha.

Vasudha Subramaniam: Thank you, Nachu. Good evening, everyone. Thank you for joining us on our Q2 earnings call. It's a pleasure

to

connect

with

all

of

you

again

and

walk

you

through

what

has

been

another

solid

quarter

for

Intellect,

a

quarter
that
reflects
not
only
our
momentum
in
topline
and
profitability
but
also
the
underlying
strength
of
our
platform-led
strategy,
business
model
maturity,
and
consistent
execution.
Q2 FY 2025-26

Let me begin by sharing the highlights of our second quarter and then move on to a composite view of our

half-year

performance.

In Q2, Intellect delivered revenue of 789 crore, registering a year-on-year growth of 34 percent. On a sequential

basis,

we

grew

7

percent

over

Q1.

Our

EBITDA

for

the

quarter

stood

at

184

crore,

growing

68

percent

year-on-year.

Net

profit

almost

doubled,

reaching

102

crore,

a

94

percent

year-on-year

increase.

Our licence-linked revenue, which includes licence fees, platform, subscription, and annual maintenance, stood

at

423

crore

in

Q2,

up

by

69

percent

year-on-year.

Our

Annual

Recurring

Revenue

crossed

the

1,080

crore

mark,

establishing

a

strong

and

predictable

foundation

for

future

growth.

What is also noteworthy this quarter is our continued strength in collections and cash flow. Collections stood

at

753

crore

in

Q2,

up

from

550

crore

a

year

ago,

reflecting

a

37

percent

increase

year-on-year.

Our

cash

and

cash

equivalents

have

risen

to

927

crore

compared

to

755

crore

in

Q2

of

last

year,

highlighting

our

robust

working

capital

management

and

improved

operational

efficiencies.

Now let's look at the half-year performance to understand the broader trajectory. For the first half of the current

year,

we

recorded

revenue

of

1,523

crore,

representing

a

26

percent

growth

over

the

same

period

last

year.

EBITDA

for

the

half-year

stood

at

360

crore,

reflecting

a

46

percent

growth

year-on-year,

while

PAT

for

H1

reached

197

crore,

up

55

percent

from

126

crore

in

H1

FY25.

This transformation in revenue quality is not just a numerical shift. It reflects a strategic evolution, creating

value

through

sustained

investments

in

product

innovation,

strong

customer

relationships,

and

prudent

operational

discipline.

Let me now speak about the accelerating growth we are witnessing with our two synergistic platforms, eMACH.ai

and

Purple

Fabric.

Together,

they

are

powering

enterprise-wide

transformation

at

scale,

enabling

financial

institutions

to

embrace

intelligent,

composable,

and

open

architectures

that

deliver

measurable

business

outcomes.

In Q2 of the current financial year, Intellect recorded 18 new deal wins, including 11 multi-million-dollar

destiny
deals.
These
are
large
strategic
engagements
that
span
multiple
modules
and
represent
deep,
long-term
partnerships
with
some
of
the
world's
leading
banks
and
financial
institutions.
In
parallel,
we
enabled
22
successful
digital

transformations

this

quarter,

validating

not

only

the

breadth

of

our

offerings

but

also

our

delivery

excellence.

Looking at the demand side, our global deal funnel has now crossed 12,000 crore. This represents both the

depth

of

opportunity

and

the

strategic

nature

of

our

engagements.

Leadership

strength

is

a

critical

part

of
our
ability
to
scale
and
deepen
client
engagements.

This
quarter,
we
announced
two
significant
leadership
appointments
that
strengthen
our
global
presence
and
growth
momentum.
Q2 FY 2025-26

Vivek Gupta joined us as President and Global Head of Consulting. With over three decades of experience

in
global
banking
and
large-scale
transformation

programmes,

Vivek

will

lead

Intellect

Consulting

to

help

clients

accelerate

business

value

using

our

eMACH.ai

and

Purple

Fabric

platforms.

We also welcomed Rakesh Srivastava as President and Chief Revenue Officer for the Americas. With deep

expertise

across

financial

services

and

fintech,

Rakesh

will

spearhead

our

growth

and

client

relationships

across

the

US,

Mexico,

and

South

America.

I am also excited to share that we are investing in the creation of a state-of-the-art 7.25 lakh sq. ft. facility

at

our

Siruseri

campus,

which

will

house

the

Purple

Fabric

AI

Labs,

Design

Thinking

Centers,

eMACH.ai

Academy,

and

residential

infrastructure

to

support

our

leadership

development

and

training

initiatives.

This

facility

is

not

just

a

space;

it

is

a

strategic

investment

in

IP

creation,

customer

co-innovation,

and

future-ready

talent.

In conclusion, this has been a strong quarter on all fronts: revenue, profitability, cash flow, and platform growth.

We

remain

confident

of

sustained

growth

in

the

second

half

of

the

year.

The

opportunity

landscape

is

expanding.

The

deal

funnel

is

strong.

Our

execution

machinery

is

battle-tested.

Our

platforms

are

proving

themselves

across

regions.

Thank you once again for your time today and for your continued belief in Intellect. So, you want to add anything,

or

can

we

open

for

questions?

Arun Jain: It is a good storyboard right now. What we have been talking to investors over a period of time is that we designed

for

20

percent

growth

year-on-year,

and

I

think

we

are

on

that

same

trajectory.

The

important

thing

that

has

happened

is

that

eMACH.ai

was

the

agenda

for

advanced

countries.

This

half

year,

we

have

seen

the

Americas

growing

significantly

faster

than

other

regions.

So, the decision we took last April and May to move to advanced markets has worked out because eMACH.ai

fits

perfectly

into

the

legacy

modernisation

space,

where

a

lot

of

technologies

are

sitting

with

multiple

mainframes

and

old

systems.

Our
entire
investment
in
low-code,
no-code
Turmeric
as
a
customer
innovation
platform,
and
Purple
Fabric
as
the
next
area
that
is
most
usable
in
the
Americas
and
Canada,
is
paying
off.
This reflects what I mentioned in July 2024 that we are investing in the Americas and there would be a
dip
last

year.

To

investors,

I

just

want

to

say

that

all

the

decisions

we

are

making

are

calibrated

decisions.

We said we would be investing 130 crore in Purple Fabric, the business impact AI platform. In the last three

months,

I

have

met

more

than

a

hundred

different

people

during

masterclasses,

with

partners,

and

Q2 FY 2025-26

end customers. Our R&D teams have put together a business impact AI platform in terms of Enterprise Knowledge

Garden,

Digital

Expert,

Enterprise

Governance,

and

LLM

selection

and

optimisation,

using

it

as

an

API

has

been

very

well

received,

which

now

requires

new

investments

to

be

made.

Out of the 130 crore investment, we are close to 15 million dollars of investment this year. In these numbers

you

see,

almost

25

crore

is

Purple

Fabric

investment

already

taken

into

account.

Our

EBITDA

margin

would

have

been

better

by

3

to

3.25

percent

otherwise.

That

makes

it

close

to

about

25

percent,

which
is
the
guidance
we
gave
earlier
that
our
margins
will
be
close
to
25
percent.

So,
we
are
within
range
of
25
percent
in
spite
of
all
the
investments.

Thank you very much for participating and trusting the company. The entire management team is here to respond

to
your

questions.

Nachu Nagappan: Thank you, Vasudha, and thank you, Arun, for your detailed insights. We will now open the floor for questions.

If

you

would

like

to

ask

a

question,

please

click

on

the

raise

hand

button

and

we

will

unmute

you

so

everyone

can

hear

your

question.

I

repeat,

click

on

the

raise

hand

button

and

we

will

unmute

you.

Our first question comes from Rahul Jain of Dolat Capital. Rahul, you may ask your question. Rahul Jain: I hope I am audible.

First of all, congratulations on very strong execution. I have a few questions on the inputs

you

just

shared.

First, on the two hirings you mentioned, these are very interesting positions. Could you help us understand

specifically

the

consulting-led

hiring?

Is

it

more

to

drive

a

new

capability

from

a

transformation

point

of

view

or

more

about

the

existing

support

we

provide

to

banks?

And similarly, on the other hiring, the Revenue Officer, is that around the Purple Fabric investment and monetising

it,

or

is

it

for

a

broader

revenue

stream

from

the

Americas?

Arun Jain: Okay. Your voice broke in between, so I'm just repeating your questions: What is the role of Consulting in our journey? And second, the growth in North America is that driven by Purple Fabric or otherwise?

Q2 FY 2025-26

Rahul Jain: Yes, just to clarify, my questions were specifically about the two hirings we announced. What is the role of

these

two

gentlemen,

from

a

consulting

reach

point

of

view

and

from

the

Chief

Revenue

Officer's

perspective?

Would

that

be

pertaining

to

Purple

Fabric

or

the

overall

Americas

revenue?

Arun Jain: That's right. The Consulting role is because we are moving to the business impact transformation space.

With

eMACH.ai,

we

can

measure

impact

by

reducing

cycle

time,

reducing

implementation

and

operational

costs,

and

creating

business

impact

in

terms

of

revenue

generation.

The Consulting wing will help improve our pricing, strengthen business impact communication, and expand

eMACH.ai

across

organisations.

When

we

implement

one

product,

can

we

deliver

three

within

the

same

client

through

cross-sell?

That's

the

role

Vivek

Gupta

will

be

playing.

Rakesh Srivastava, as Country Head for the US, will look after the full interest of Intellect in the region. Rahul Jain: Understood. And the 25 crore investment you mentioned was that pertaining to H1 data or only Q2? Arun Jain: Only Q2. The first quarter was 10 crore, as mentioned in the last call. Fifteen crore incremental has gone in

this

quarter.

So,

15

crore

incremental

each

quarter,

targeting

130

crore

overall.

Rahul Jain: Right. And in terms of payback on this investment or early signs of monetisation, have we identified any timeline

by

when

proof

of

concept

could

convert

into

meaningful

revenue?

Arun Jain: Not yet. The opportunity size is so big that we don't want to monitor ROI on this yet. It's the minimum we

need

to

do.

Rahul Jain: Understood. I appreciate that a product like this requires meaningful investment and long-term ROI. But the

first

meaningful

revenue

would

that

come

in

FY27,

or

could

it

start

this

year?

Arun Jain: We mentioned 200 crore in Purple Fabric last quarter will come this year, and we are on track for that. Rahul Jain: Okay. And these are currently in the pipeline stage but could move to revenue soon?

Q2 FY 2025-26

Arun Jain: No. Purple Fabric in the US has been working for the last few years. The insurance business, as you know, is

already

working

on

Purple

Fabric

in

the

underwriting

space,

so

those

revenues

are

already

in

the

pipeline.

Rahul Jain: Right, so the Xponent and Risk Analyst opportunities are there, but the Lending side opportunities are yet

to

enter

revenues.

Arun Jain: Yes, there are many things. The Purple Fabric strategy we have shared with you in a separate session. Please

refer

to

that

as

a

platform,

as

lending,

as

GRC,

as

ESG,

there

are

multiple

ways

of

monetising

Purple

Fabric

with

partners.

We

are

not

sharing

all

the

strategic

details

in

this

conference

call

as

they

are

confidential,

but

there

are

multiple

dimensions

to

the

Purple

Fabric

strategy.

Rahul Jain: Yes, and I must appreciate your team recently, we saw your stall at GFF, and it had the best set of collaterals

among

all

stalls.

Intellect

Design's

materials

on

eMACH.ai

and

Purple

Fabric

were

very

impressive

and

relevant

for

that

forum.

Kudos

for

that.

Just one last question from my side on the Capex you just announced. Is there any investment timeline identified

for

this

infrastructure

spend?

Arun Jain: We usually invest once in 10 years. This is an investment for the next 10 years, creating capacity for business

impact

co-creation

with

customers.

We

would

like

to

invite

global

customers

to

come

there,

design
the
solution,
compose
it
themselves,
and
contextualise
it.

It
has
a
residential
facility
of
a
hundred
rooms
for
customers
to
stay.

It's
an
executive

facility.
This entire space is where AI business will be done in collaboration with customers. To us, AI is a very collaborative

exercise
with
the
customer.

eMACH.ai
is

a
collaborative
exercise
focused
on
business
impact.
That's
why
the
US
piece,
Consulting
piece,
and
Infrastructure
piece,
all
three
are
coming
together
as
one
initiative.
When
we
created
the
business
plan,
all
three

were

approved

at

that

time.

Rahul Jain: Sure, thank you. That's it from my side. Arun Jain: Thank you, Rahul.

Q2 FY 2025-26

Nachu Nagappan: Thank you, Rahul. Our next question comes from Sushovan Nayak from Anand Rathi. Sushovan, please go

ahead.

Sushovan Nayak: Hi, is my voice audible? Thank you very much for the opportunity and congratulations on a good set of numbers.

I

just

wanted

to

understand

how

the

integration

of

C1

is

going

on.

I

believe

initially

when

it

was

novated,

the

contracts

were

not
very
profitable,
but
you
had
planned
to
leverage
the
eMACH.ai
platform
to
improve
profitability,
and
it
was
on
track.
If
you
could
just
give
us
a
little
more
colour
on
that,
it

would

be

helpful.

Thank

you.

Arun Jain: It's going on well. Rajesh can update you. Rajesh Saxena: Thank you for that question. The integration between C1 and the Intellect team is going as per plan.

During

the

last

quarter,

we

mentioned

that

we

have

been

able

to

sign

up

35

credit

unions

to

move

from

the

erstwhile

Forge

platform

to

the

new

eMACH.ai

DEP

platform.

That's

a

significant

movement

because,

within

one

quarter,

we

were

able

to

sign

35

customers.

The

contracts

have

been

signed,

and

over

the

next

couple

of

quarters.

It's

going

as

planned,

and

we

have

a

target

to

grow

these

numbers

significantly

in

the

coming

quarters.

Sushovan Nayak: And anything on the margins? When do you think they will be in line with the company's present margins?

I

believe

the

addressable

market

is

170

credit

unions.

Any

timeline

you

are

looking

at

to

onboard

all

of

them?

Rajesh Saxena: Yes, so the way we are looking at the credit union space, as you said, there is an opportunity of about 170

credit

unions

for

the

DEP

platform.

Beyond

that,

there

are

cross-sell

and

upsell

opportunities

like

lending,

commercial,

and

core

banking

solutions.

So,

the

opportunity

is

not

limited

to

DEP

but

also

expands

through

upsell

and

cross-sell.

Regarding

margins,

I

will

defer

to

Vasudha.

Vasudha,

would

you

like

to

take

that

question?

Vasudha Subramaniam: We initially said it would be margin-dilutive, but we have made some margins in Q1 and Q2, so we expect

that

to

continue

in

the

coming

quarters,

and

it

might

increase

as

Rajesh

mentioned.

Sushovan Nayak: Is it fair to assume that this will be low single-digit margins as of now?

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Arun Jain: Yes, you can assume that. Vikas Misra: Yes, as of now, that's correct. Sushovan Nayak: Thank you so much.

Thanks a lot for the opportunity. Arun Jain: Look at the overall picture. Nachu Nagappan: Thank you, Sushovan. Let's take the next question in the queue. We have Deekshant Boolchandani from

DB

Wealth.

Deekshant,

you

can

ask

your

question.

Moderator: Deekshant, you are on mute. Nachu Nagappan: While we get Deekshant's line connected, we will move to the next person, Nemish Shah from MK

Investment

Management

Limited.

Nimish,

you

can

start

your

question.

Nemish Shah: Thanks for the opportunity and congratulations on a good set of numbers. I just wanted some insight into

how

our

partnerships

with

System

Integrators

are

shaping

up.

Could
you
share
a
little
on
that?
And
specifically
on
the
pipeline
front,
we
have
seen
strong
growth
with
the
pipeline
now
at
about
12,000
crore.
Could
you
share
how
much
of
that

is

now

coming

from

partnerships

compared

to

a

year

back?

Arun Jain: The partnership strategy is working very well. We are now in advanced conversations with most of the players.

Most

IT

services

and

System

Integrator

players

need

an

AI

platform,

and

that's

the

big

opportunity.

IT

service

players

are

under

pressure

today,

and

they

need

an

AI

platform

to

work

on.

That's

exactly

what

we

are

providing.

Almost 10 to 12 IT service companies have gone through the bootcamp and are working with Purple Fabric.

Pipeline-wise,

the

pipeline

has

substantially

increased.

I

won't

share

exact

numbers,

but

it

has

improved

significantly

over

the

last

year.

Purple

Fabric

has

become

a

major

contributor

to

the

pipeline,

besides

the

contribution

from

eMACH.ai.

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Nemish Shah: Sure. That's it from my side. Thank you. Nachu Nagappan: Thank you, Nimish. We have Mihir Manohar from Trust Mutual Fund for the next question. Mihir, over to you.

Mihir Manohar: Hi, thanks for the opportunity and congratulations on a good set of numbers. I wanted to understand more

on

the

Purple

Fabric

side.

Specifically,

how

is

the

pipeline

building

up

on

a

quarter-on-quarter

and

year-on-year

basis?

Is

it

growing

in

double

digits?

Just

wanted

to

understand

that.

Which

geographies

and

types

of

customers

are

contributing

to

this

pipeline?

Also, for the full year, we are targeting 200 crore of revenue. What would the revenue contribution from Purple

Fabric

be

for

H1?

Arun Jain: You are referring to 200 crore from Purple Fabric for this year, right? Mihir Manohar: Yes, that's right. For H1, what would be the number for the first half? Arun Jain: We don't declare product-wise numbers as a strategy. We never disclose product-level data. Mihir Manohar: Understood. I just wanted to understand whether Purple Fabric is a top-up offering or if it cannibalises existing

offerings.

How

does

the

overall

business

work

for

Purple

Fabric

along

with

the

existing

products?

Arun Jain: I think it should attend a masterclass first, man. Purple Fabric masterclass to understand what AI is. It's a completely

different

line

of

business.

What

does

the

cannibalisation

mean?

So

sorry

to

be

slightly

harsh

on

this

call.

I

think

we

are

communicating

about

masterclass

on

Purple

Fabric.

It's

such

a

differentiated

product

against

Palantir.

It's

the

biggest

opportunity

investor

can

have

and

if

you

don't

understand

that,

it's

cannibalising

something

else.

I think we have a very serious issue as the investor to understand what your company has did It has product

which

is

comparable

to

Palantir.

So,

you

should

study

Palantir

and

you

should

study

my

masterclass

which

is

available

on

YouTube,

to

understand

what

Purple

Fabric

is.

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Mihir Manohar: Sure, I will do that. That's it from my side. Arun Jain: Because your company has done a job. You should be proud of some Indian company to do something for

business

Impact

AI,

which

is

as

good

as

Palantir,

which

is

a

400

billion

dollar

market

cap

company.

Mihir Manohar: Absolutely, sir. That's it from my side. Nachu Nagappan: Our next question comes from Vivek Kumar of BestPals Advisory LLP. Vivek, over to you. Vivek Kumar: Thank you, sir. Thank you for the opportunity. Can you give an outlook product-wise? I'm not asking for revenue

breakdown,

but

normally

we

get

an

outlook

about

core

banking
and
GTB,
and
the
trends
playing
out.
Not
numbers,
but
for
the
next
two
to
three
years,
what
is
driving
growth
and
where
do
you
see
it?
Earlier
you
had
mentioned
three

areas,

and

now

we

have

Purple

Fabric.

You

have

already

shared

enough

on

that,

so

I'm

asking

about

the

other

products.

Arun Jain: I think that what is outlook wise, you look at it, the core banking migration is the biggest space we shared

with

you.

We

won

the

deal

in

core

banking

migration

using

eMACH.ai.

So,

that's

the

one

space

where

the

growth

opportunities

are

there,

which

Rajesh

has

mentioned,

the

Credit

Union

of

170

members

we

can

go

into

core

banking

and

lending

as

a

cross-sell

opportunities.

They

are

not

only

digital

engagement

opportunity,

but

core

banking

and

lending

can

go

on

the

same

Credit

Union

on

the

market

space

after

DEP.

So,

there's

a

next

two,

three

years,

we
have
a
clear
visibility
of
core
banking
migration
branching
into
that.
Manish
can
give
wholesale
banking
and
payments
and
liquidity.
There
are
three
lines
of
business,
which
wholesale
banking
is
coming
out

with
foreign
banks
they
are
expanding
into
the
global
landscape.

Wholesale
banking

is
becoming
equally
important,

along

with
liquidity

and

the

payment

systems,

which

is

there.

So, we won the large payment deals in this quarter against global competition. On the payment side, our Pay9

architecture

is

very

unique

over

there.

The
three
platforms
such
as
liquidity,
payments,
and
wholesale
banking.

Then
fifth
platform
is
Wealth.
Wealth
with
SBI
and
Kotak
running
on
the
Wealth,
it
has
become
solid
product,
which
is
there,
which

we

are

looking

to

take

it

out

of

Asia,

to

Europe.

So, that's the same strategy which we followed for other products. We took core to India first. Then we take

core

into

Asia,

then

we

took

core

to

the

Europe.

Now

we

are

taking

core

to

the

Americas.

So,

this

route

is
the
same
highway
there.

Highway
comes
from
India,
goes
to
Asia,
and
then
goes
to
Europe

and
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then to Americas is our highway of taking products. So, these are five product lines, which are core product

lines.

The
supplementary
product
lines
are
trade
and
supply
chain,
finance,
another
important

line,

credit

card

is

another

line

which

we

are

looking

at,

to

transform

this

business.

And all these products are coming with the AI embedded inside it which creates us a differentiation because

Purple

Fabric

is

embedded

in

all

the

products

and

creating

each

product

line

which

is

an

AI

embedded

product

line.

So,

that's

how

our

bullishness

on

our

pipeline

is

increasing

because

we

are

able

to

differentiate

where

the

product

comes

with

an

AI

built

in

eMACH.ai

built

in,

Turmeric

built

in,
which
my
competitors
have
not
invested
enough.

So,
we
have
a
sweet
spot

here.
Vivek Kumar: Thank you, Sir. And last question. So, can we say we are moving outside our 20% growth rate for the next two-three

years,
given
that
we
have
exceeded
so
many
things
and
because
it
looks
like
that
maybe,
I'm

reading

too

much.

Arun Jain: We are designed for 20%, we will design for 20%. We achieve higher or we achieve lower. So, you don't beat

us

when

we

are

growing

10%.

So,

it

will

always

happen

in

this

industry.

When

we

grow,

few

quarter

less,

few

quarter

higher,

this

is

we

stay

at

20%

design

growth.

Vivek Kumar: So, can we take EBITDA margin around 22 to 23 percent for this year, even with the 130 crore investment coming

in?

Arun Jain: There's no need to project specific numbers, but if 20 percent growth continues, EBITDA margin should improve

further.

In

the

first

half,

we

had

26

percent

revenue

growth

and

46

percent

EBITDA

growth.

That

should

be

a

good

indicator

for

you.

Vivek Kumar: Okay, thank you very much, sir. Nachu Nagappan: Thank you, Vivek. Moving on, our next question is from Sajal Kapoor, representing Antifragile Thinking.

Sajal,

please

go

ahead.

Sajal Kapoor: Thank you for giving me this opportunity. Arun sir, what important insight about modern banking, insurance,

or

payments

do

we

understand

better

than

our

older

competitors?

Because

clearly,

we

have

beaten

many

of

the

incumbents

repeatedly.

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Arun Jain: If you look at our site or my lectures, if you look at eMACH.ai, we have gone from Design Thinking, where we

understand

the

customer

desirability

better,

not

customer

desirability,

customers'

customer

desirability,

which

if

Manish

speak

for

a

few

minutes,

it

is

about

each

industry

segment

to

understand

that

customer

desirability.

Then

we

move

to

First

Principle

Thinking.

First

Principle

Thinking

is

why

bank

exists?

Because

event

exists

in

the

company.

So, we do fundamental shift in way we design our products than my competitors does it. I don't want to compare

with

Tesla,

but

the

point,

the

way

Tesla

has

challenged

the

starting

First

Principle

Thinking

they

applied

in

Tesla,

we

applied

in

banking

technology

saying,
event,
microservices,
API,
cloud,
headless,
and
AI,
the
six
first
principles
which
any
bank
will
require.
And
we
invested
all
the
money
around
making
that
perfect,
composable
and
contextual.

From last five years, you are hearing the same story. Initially, you are not understanding what is a composable

and
contextual.

It
was
mere
labels
when
we
put
composable
and
contextual
in
2020.

It
took
five
years
for
them
to
come
to
the
reality
and
investment
was
there.

So,
the
differentiation
is
Design
Thinking,

First

Principle

Thinking

is

the

way

we

design

the

product.

And

that's

why

we

are

able

to

take

one

by

one

competition.

And we are not jumping all of it together. We are saying first, take one space, then take next space, then you

take

next

space,

and

then

take

the

leadership

there.

Manish,

you

want

to

add

to

this?

Manish Maakan: No, I think you have called it out. This is the differentiation we are driving from that perspective. I think we

should

stay

at

that.

Sajal Kapoor: Thank you. And my second and last question is, how is our R&D, you know, the processes, especially around

AI,

ML

and

eMACH.a

labs,

how

are

the

processes

explicitly

designed

to

sort

of

encourage

frequent

small

scale

or,

you

know,
quote
unquote,
safe
failures,
sort
of
trial
and
error
that
generate,
you
know,
immense
amount
of
economies
of
learning
without
jeopardising
the
company's
stability
or
spreading
any
systemic
risk,
because
we
have

to,
we
have
to
make
small
mistakes,
gain
significant
learning
as
a
result,
and
then
become
even
better
and
extrapolate
our
successes
into
other
domains,

hopefully.

Arun Jain: First time you are asking a very good question in investor call about R&D. Because I think our strength is R&D.

1200
research
engineers
are
working,
how

many
companies
have
1200
research
engineers,
given
a
freedom
of
working
together.
And
if
you
look
at
the
average
stint
in
the
company
is
so
phenomenal,
that
everybody
just
worked
like
a
team.

Research

engineers,

we

made

a

lot

of

mistakes.

It's

not

that

we

don't

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make a mistake. I acknowledge in AI space from 2016, first three cycles, we didn't succeed 2016 to 2018, we

didn't

succeed,

2018

to

2020,

we

didn't

succeed.

It

takes

that

amount

of

resilience

for

research

team

to

work.

The

research

is

a

completely

new

paradigm

for

Indian

IT

industry,

that

how

the

research

is

to

be

conducted.

And I like your question that you are emphasising that component of research, which I was trying to highlight

for

quite

some

time,

but

our

investors

are

more

focused

on

returns

and
immediate
outcome.
Because
this
research
requires
five
to
seven
years,
kind
of
a
cycle
time
to
translate
the
research
into
the
business
outcome.
So
fortunately,
we
could
stay
with
our
course,
we

didn't

cut

down

our

AI

investments,

when

we

failed

in

2022.

We continue that investment and today we can get the benefit of it ahead of the industry where every IT service

company

require

a

platform

and

they

are

saying

oh

they

are

building

a

platform.

I have a doubt that they can build a platform because research is not their cup of tea. Sajal Kapoor: Absolutely. It's a different DNA. The traditional Indian IT model has been about projects and maintenance,

not

building

IP.

It

takes

a
lot
of
courage
and
conviction

to
invest
in
your
own
IP

instead
of
working
on
someone

else's.
Look at our balance sheet. I mean, that's that numbers speak louder than, you know, whatever narrative we

could
spin
around
it.

So
net
cash
balance
sheet
gives
us

a
lot
of

optionality

to

continue

to

innovate.

Yes, we will make mistakes in future as well. But, you know, think about, you know, two or three big successes

that

could

take

us

into

a

completely

different

orbit

and

eventually

we

will

get

there.

But

thank

you

for

all

those

responses.

Arun Jain: Thank you. Nachu Nagappan: Before we move to the next question, just a quick reminder. If you have a question, please click on the raise

hand

button.

We

will

call

out

your

name

and

unmute

you.

Let's move to the next question. Pawan Katariya from BullsEye, you are up next. Please go ahead. Pawan Katariya: Good evening. Congratulations on another strong quarter. I have a follow-up question on margins. You had

earlier

guided

for

27

to

28

percent

margins,

and

I

understand

the

25

crore

investment

in

Purple

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Fabric this quarter was a deliberate strategic spend. Should we assume that this investment phase continues

in

H2,

or

do

we

expect

operating

leverage

to

bring

margins

back

near

27

to

28

percent?

Arun Jain: It's time to invest more. I just came back from the US, where I spent two weeks. I made two trips, one in August

and

one

in

October.

Opportunity

is

humongous.

How

much

we

need

to

invest

is

a

question

right

now.

So

that
we
should
not
make
significant
error,
but
we
need
to
invest
more
and
more.

So,
margin
is
not
my
concern
right
now.

Margin
will
happen

anywhere.

Pawan Katariya: Okay, sir. Since Purple Fabric is now scaling commercially, could you quantify how much interest or how many

qualified

leads

it

has

generated?

What
portion
of
the
current
12,000
crore
funnel
is
linked
to
it?
I
attended
your
Purple
Fabric
masterclass
and
found
it
very
impressive,
so
just
wanted
to
know
how
much
of
the
funnel

is

tied

to

it.

Arun Jain: I won't quantify it right now. Most of our product portfolio has Purple Fabric embedded within it. So if you

ask

me,

almost

70

percent

of

the

pipeline

has

Purple

Fabric

integrated

into

it.

If

I

look

at

it

separately,

partnership

pipeline

is

also

separate.

I

think

AI

is
everywhere
and
we
have
today,
just
to
share
it
with
you,
we
have
3,500
people
in
Intellect
using
Purple
Fabric.
We
have
9,000
agents
which
we
are
using
internally
for
our
own

efficiency

gains.

9,000

agents

in

last

six

months

they

have

created.

Pawan Katariya: That's great, sir. Thank you. That's it from my side. Nachu Nagappan: Thank you, Pawan. We will move on to the next question. Vipul Kumar Shah from Sumangal Investments, please

go

ahead.

Vipul Kumar Shah: What will be the Capex? Arun Jain: Twenty million dollars. That's the Capex. Vipul Kumar Shah: It will be spread over what time frame?

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Arun Jain: Twenty million dollars per year. We've been spending that amount on Capex investment over the last few

years.

Vipul Kumar Shah: Okay. And for the 1,200 research engineers, what is our annual outgo? Arun Jain: In this quarter, R&D expenses, along with Capex, amount to about 20 million dollars. Vasudha Subramaniam: For the first half, it's less than 10 million dollars. Arun Jain: But that 10 million dollars is capitalised. Vasudha Subramaniam: Yes, 10 million dollars capitalised. Arun Jain: So, total investment on research is? Vasudha Subramaniam: It's about 55 crore in the first quarter and 60 crore in the second quarter, so around 105 crore. Arun Jain: That's the R&D investment? Vasudha Subramaniam: Yes, that's R&D investment, plus Capex. Arun Jain: So, adding it all up, it's close to 200 crore in the first half. Two hundred crore is our R&D investment for

H1.

Vipul Kumar Shah: Okay. Thank you, sir.

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Nachu Nagappan: Thank you. We have a follow-up question from Sushovan Nayak of Anand Rathi. Sushovan, please go ahead.

Sushovan Nayak: Thank you so much for the opportunity again. I have had the privilege of attending most of your masterclasses

on

Purple

Fabric.

I

wanted

to

understand

if

you

could

at

least

provide

a

directional

view.

When

I

look

at

Foundry

for

Palantir

or

C3.ai,

can

you

quantify

what

the

addressable

market

might

be?

And

internally,

you

would

have

some

plans.

How

much

of

that

market

do

you

aim

to

capture,

given

that

you

have

articulated

200

crore

for

this

year?

It

would

be

great

to

understand

your

perspective

here.

Arun Jain: So, Purple Fabric, we are looking for IT services player to look at it first. They should implement. We are looking

for

at

least
100
partners
to
be
there
across
the
globe
as
IT
services
partners.
For
every
country,
we
are
looking
for
some
10
to
15
partners.
We
want
to
select
who
will
be
using

Purple

Fabric

for

their

internal

use

like

Intellect

is

using,

which

we

call

it

Purple

Fabric

Tech.

Then,

they

will

take

to

their

clients.

So,

our

client,

our

partnership

with

some

of

the

larger
IT
service
company,
who
has
500
to
1,000
clients
are
there.
That
will
be
the
second
space.
So,
to
reach
our
access
to
Purple
Fabric
by
direct
salesforce,
we
can
reach
to,

let's

say,

500

clients.

Sushovan Nayak: Any quantification in terms of revenue or overall addressable market, if you could provide some direction?

Arun Jain: I mentioned in one of the masterclasses that the opportunity size is between 1,000 crore and 5,000 crore.

Sushovan Nayak: Yes, I remember that. Thanks for the answer. Arun Jain: Just one point to add, Sushovan. The AI business opportunity of 1,000 to 5,000 crore also carries risk. It's changing

every

day.

One

of

the

points

is,

it's

a

highly

volatile

market,

the

speed

at

which

we

are

able

to

get

it

adopted.

That

will

be

the

important

point

for

all

of

us.

So,

don't

take

it,

take

it

with

a

pinch

of

salt

of

5,000

Cr

number.

But

opportunity

size

of

TAM

is

a

5,000

Cr,

which

we
believe
is
possible.
If
things
are
going
in
the
right
direction.

But
anything
can
happen
in
AI
space.

Q2 FY 2025-26

Nachu Nagappan: Thanks for the update, Arun. Our next question comes from Srinivasu K from TIA. Srinivasu, please go ahead.

Srinivasu K: Hello, sir. Congratulations on the great Q2 numbers. My first question is about India's DPDP Act and data localisation.

You
already
have
the
Purple
Fabric
Cloud
in
GIFT
City,
which

mandates

hosting.

What

kind

of

opportunity

does

this

create

for

Intellect?

Arun Jain: GIFT City is only one means of doing it. So, I'm saying the biggest opportunity is North America and Europe.

Okay,

next.

I

think

he

has

dropped

off.

Srinivasu K: Okay. So, you don't see much. Arun Jain: It's there. India is there. But I think GIFT City is only means to reach out to other people. But not necessary

the

GIFT

City

is

one

component

of

it.

I'm

not

saying

it's

there

or

not

there.

I'm

not

want

to

undermine

it.

But

it's

just

one

component

of

it.

There

are

10

components

of

Purple

Fabric.

GIFT

City

is

one

of

them.

Srinivasu K: That's fine. But being an Indian software company, do you see a big opportunity arising from the DPDP Act?

Arun Jain: You mean the Data Privacy Act? Yes. It should have. It is evolved. This is too early to say anything. We need

to

test

it

out.

Data

Privacy

Act.

How

much

the

act

is

applicable?

What

situation

bank

will

use

DPDP?

So,

we

are

just

evaluating.

It's

too

early

to

say

anything

on

it.

Srinivasu K: Okay. My next question is about the deals you won in Q2 be it we won in payments, treasury, or trade.

Do

these

eMACH.ai

wins

sit

above

the

incumbent

course?

Arun Jain: These are full payment transformation deals. Manish, do you want to elaborate? Manish Maakan: Sir, your voice wasn't clear, but I will take it from here.

Q2 FY 2025-26

Srinivasu K: The question is, out of the Q2 deal wins that you won, how many wins this eMACH.ai sit above your competitor

course?

Be

it

Temenos,

Oracle

and

Finacle

Manish Maakan: These have been all fought in the global landscape for against each of these players. Like Arun spoke about

the

large

payments'

transformation

deal.

These

are

the

common

players

we

are

winning

against.

And

these

are

very

significant

deals

from

that

perspective.

Srinivasu K: Okay. How many eMACH.ai customers have adopted Purple Fabric as an AI layer in these deals? Manish

Maakan: That next-level data is something we are not sharing right now. Srinivasu K: Alright. Let me ask differently. When banks pick up core plus componentised modules, what unique differentiation

does

your

Purple

Fabric

or

eMACH.ai

offer

as

an

AI

workflow

layer,

compared

to

a

hyperscaler

tool

chain?

Manish Maakan: Let me answer that differently. Purple Fabric is embedded into eMACH.ai for example, in core banking, lending,

or

payments.

It's

an

embedded
capability,
but
it
can
also
sit
outside,
on
top
of
Temenos,
Oracle,
or
Finastra.
So,
from
our
configuration
specific
to
these
product
segments,
it
can
sit,
it
is
embedded
in
our
platform

and

it

can

sit

on

top

of

anything.

So,

our

opportunity

and

then

it's

a

licensing

capability

of

what

the

customer

is

licensed

for.

That

should

help

you

understand

where

we

are.

Srinivasu K: Okay. My last question is about global orchestration players like ServiceNow and PEGA, who are all talking

about

agentic

workflows.

How

is

your

iTurmeric

placed

to

capture

this

trend?

Arun Jain: We have not launched iTurmeric against VPN. That's the area which we can launch in 2026-27. Still, we are

using

iTurmeric

only

to

solve

our

own

customer

problem,

not

as

a

product

against

PEGA.

But

Turmeric

and

Purple

Fabric

is
a
very
lethal
combination.

When
we
are
ready
to
launch,
we
will
launch
it
over
there.

From
an
investor
perspective,
you
need
to
look
at
it.

My 1000 Cr is the cash in the books, but I have a 10,000 Cr of IP asset, which I can leverage at any point of

time
to
go
to
market

in
different
construct.
So,
that's
the
role
of
an
IP
company,
which
we
have
built
over
a
period
of
time
that
iTurmeric
will
build
up.
We
are
patiently
looking
at
it.
We
have

more

than

300

Q2 FY 2025-26

customers are working on Turmeric as of now, but we have not launched it. When we have capacity to launch,

maybe

in

June

'26

or

January

'27,

that

is

the

time

when

we

will

take

up

Purple

Fabric

against

PEGA

and

against

ServiceNow.

Srinivasu K: Thank you, sir. Best of luck for H2. Nachu Nagappan: Appreciate your questions, Srinivasu. Moving on, we have another re-raised question from Deekshant Boolchandani

from

DB

Wealth.

Deekshant,

you

can

ask

your

question.

Deekshant Boolchandani: Hi, sir. Firstly, congratulations on the solid numbers. And moreover, congratulations to Intellect that we are

now

competing

with

someone

like

Palantir.

As

an

Indian,

I'm

proud

of

my

company.

It's

a

slightly

long

question,

please

help

me

here.

So, I see that underwriting really appears to be a major challenge across finance overall, of whichever geography

that

we

are

looking

at.

And

from

my

understanding,

the

Purple

Fabric

layer

that

we

have

created

now

can

really,

you

know,

revolutionise

it

with

a

better

cost

optimisation.

Again, that's my limited understanding, sir. I would love to hear from you. So, you have mentioned platforms

like

Palantir,

and

they

do

some

Enterprise

Intelligence

in

depth.

So,

I'm

curious

how

Purple

Fabric

would

compare

to

some

US

companies

like

Affirm,

which

really

excels

in

real-time

risk

assessment

and

management

for

their

credit

lending.

And

how

can

we,

you

know,

like

create

a

better

credit

layer

of

assessment

of

underwriting

so

that

that

layer

can

be

an

agentic

workflow

for

all

these

people

so

that

a

lot

of

their

OpEX

gets

saved

up

and

which

becomes

our

margin.

Arun Jain: Banesh, you can take this one. Banesh Prabhu: Yeah, it's an interesting question. So, let me try and explain this to you. See, the underwriting capability was

one

of

the

early

investments

we

did

in

AI.

The

ability

to

orchestrate

underwriting

all

the

way

from

the

submission

from

a
customer,
we've
done
it
a
lot
in
insurance,
but
we're
also
doing
it
in
lending
and
other
areas,
where
you
could
basically
take
a
submission
of
documents
and
have
the
digital
experts,

which
have
the
agentic
capability
to
be
able
to
work
on
that
underwriting,
validate
some
of
that
information,
firstly
extract
it,
validate
it
with
data
that
is
there
within
our
Knowledge
Gardens,
and

our

Knowledge

Gardens

brings

in

data

from

market

sources.

And

then

the

ability

for

us

to

take

this

decision

through

digital

experts

on

underwriting

and

provide

the

human

an

ability

to

do

it

faster

and

more

Q2 FY 2025-26

efficiently and accurately is really the end-to-end embedding of Purple Fabric into the underwriting process.

You know, Manish mentioned, you know, and some of you all asked the question about the investment in Purple

Fabric.

The

investment

in

Purple

Fabric

is

actually

the

investment

in

AI,

and

no

company

today

cannot

invest

in

AI

because

it

helps

you

internally

in

your

own
businesses,
it
improves
the
product,
and
it
brings
you
the
ability
to
bring
the
agentic
solutions
together
to
get
better
business
impact
outcome,
which
is
why
our
platform
is
called
the
Open

Business

Impact

Platform.

Because

you

have

to

use

the

agents

to

orchestrate

end-to-end

solutions

for

our

customer

using

AI.

It

is

not

a

layer

that

it

works

along,

it

connects

and

works

along

with

eMACH.ai.

It's

not

like

a

layer

of

eMACH.ai

or

something.

It's

partly

these

agents

are

embedded

into

eMACH.ai

solutions

we

have,

and

at

the

same

time

they

connect

to

many

other

solutions

clients

have

for

the

digital

expert

to

work

efficiently.

And

that's

really

the

orchestration.

Deekshant Boolchandani: Okay, just two follow-ups. First, at some point, the workflows will become standardised for many insurance, finance or BNPL players.

And

at

that

point

of

time,

then

cost

really

becomes

the

main

constraint,

right?

For

them,

like

if

we
are
able
to
do
it
at
a
better
optimised
cost,
then
the
other
party,
they
would
want
to
stick
with
us.

Also, the whole problem of like going from one player to other. So, what kind of stickiness do we expect our

sort
of
total
solution
to
have?
Because
once
someone

has

integrated

with

us,

I'm

thinking

that

stickiness

should

be

high,

right?

Banesh Prabhu: No, is your question to do with stickiness? Is your question to do with cost? Deekshant Boolchandani: Aren't those two related? Banesh Prabhu: Not exactly. So, a customer can stay with you and actually continues to, because this is not a one-time activity,

underwriting

and

improving

the

digital

agents

is

a

regular

maintenance,

because

you

have

new

data,

you

have

new

systems.

So,
the
ability
for
the
agent
to
continuously
improve
underwriting
for
you
is
part
of
the
process.
Like
in
any
system
we
use,
the
end-to-end
underwriting
has
to
get
more
efficient.
And
then

finally,

you

have

to

take

the

credit

risk

decision.

You can get inputs to do it faster and quicker, but the final decision for each bank or institution is how much

they

want

to

lend

and

what

is

the

risk

reward

they

want

to

do.

The

AI

only

helps

you

with

much

Q2 FY 2025-26

superior knowledge to be able to take those decisions more efficiently. And the agent actually helps you do

that.

Arun Jain: Let me add to that, Banesh. Let me explain. I think people are not understanding AI, a lot of us are understanding

in

AI

world,

say

AI

is

agentic.

AI

is

not

agentic;

AI

has

changed

the

world.

It's

a

new

way

of

working

in

this

world

where

every

manager

has

to

work

AI
augmentation.
In
your
job
as
an
analyst
or
as
an
investor,
how
many
places
you
are
using
AI
for
a
serious
issue
rather
than
a
chat
GPT
as
a
conversational
agent.
It's

a
way
of,
new
way
of
working
in
this
era
and
people
are
not
realising

it.
When we have 9,000 agents in Intellect, it's not that they are creating operational excellence or they are doing

a
part
and
parcel
of
their
day-to-day
work
they
are
thinking
like
that.
So,
in
next

three
years,
the
AI
will
change
the
entire
way,
the
way
a
lot
of
businesses
which
you
are
evaluating
today
will
change
dramatically
differently
in
next
three
years.
We
are
undermining
the
power

of

AI

as

the

agentic

power.

Deekshant Boolchandani: I understand, sir, and I really appreciate that perspective. But let's say that someone like Anthropic or Claude,

if

they

are

creating

similar

financial

workflows,

how

can

we

then

be

more

competent

there?

Like

let's

say

three-five

years

on

the

line.

Arun Jain: Please attend the masterclasses. Deekshant Boolchandani: Sure, I will, sir. Thank you so much. Nachu Nagappan: Next question, please. Parag Bharambe, you can proceed. Parag Bharambe: I have been invested in Intellect as well as Polaris and have been tracking the company closely for almost

20

to

25

years.

The

energy

you

bring

is

amazing,

so

thank

you.

My question is about the SI contracts we signed last year in Q2 and Q3 with companies like HCLTech and others.

I

know

it

takes

a

few

quarters

for

those

to

materialise.

Could

you

give

us

an

update

on

how

they

are

progressing

and

how

you

see

the

SI

strategy

evolving

over

the

next

two

to

three

years?

Arun Jain: SI will be the way to grow. The Purple Fabric SI's will take us to their customers. They don't have options. To

me,

many

of

the

SI's

don't

have

a

platform

to

which

they

can

deliver

AI

to

their

customers.

Intellect

Q2 FY 2025-26

brings a complete platform with enterprise governance, LLM optimisation. Either they have to choose Palantir

or

they

have

to

choose

Intellect

or

they

have

to

choose

C3.ai.

So, we are one of the three options available to SI to take to the market. So, the investment we have made

in

a

partnership

over

the

last

two

years

is

playing

well

for

the

coming

years.

How

much

it

worked

out,

the

determination

of

the

packet

between

1000

Cr

to

5000

Cr,

that

is

a

kind

of

a

bandwidth

which

partner

will

define

us.

Parag Bharambe: And are you getting, well, are you signing some contract coming through that route nowadays or still too early?

Arun Jain: That's right. They are coming closer.. Parag Bharambe: Okay. And the next question is, like, our cash and cash balance is almost touching 1000 crore. It's quite different

from

the

COVID

days

when

we

were

barely

making

profit

and

most

of

the

questions

in

the

conference

call

were

'when

are

you

going

to

make

profit?'

So,

from

that

stage

to

where

1000

crore

is,

it's

a

commendable

achievement.

Now, I think you probably have got a critical mass. How do you look to utilise this cash and cash balance, which

is

there

and

which

is

likely

to

grow

even

further

now?

Arun Jain: As of now, I think we need a lot of investments in AI, the market capital investment. So, I think this much cash

is

anyway

required

for

us

to

look

at

it.

It's

a

one

quarter

cash.

So,
the
numbers
are
touching
close
to
800
Cr,
789
Cr
is
a
quarterly
number.

So,
a
company
will
require
at
least
six
months
of
the
revenue
as
a
cash
in
the
company

books

to

have

a

proper

risk

management

practice.

So, I think we are still short of. The simple principle is six months revenue should be cash in the company books

as

a

risk

management

practice.

Today

we

have

close

to

four-and-a-half-month

cash

in

the

books.

Parag Bharambe: And I think last quarter or maybe quarter before that you hinted a transaction, you hinted investment like

some

portion

of

your

profit

you

would

be

investing

in

CBC

kind

of

activity.

What

is

your

thought

process

on

it?

Would

you

like

to

increase

that

number

given

our

financial

position

now

taking

in

more

bets?

Q2 FY 2025-26

Arun Jain: We are not getting distracted. We have a clear focus on eMACH.ai strategy to go forward in the market. Parag Bharambe: Okay, good luck. Thank you. Thank you very much, sir. Good luck for the next part. Arun Jain: Just last one question. It is six o'clock. Nachu Nagappan: So, the last question, the last question comes from Pravesh Kochar of FourLion Capital. Pravesh, you can go

ahead.

Pravesh Kochar: Hi, sir. And thank you for taking my question. Hypothetically, if you were to operate at 10% margin, right, instead

of

25

and

invested

in

either

R&D

or

doing

free

implementation

for

your

pipeline

customers,

by

how

much

could

you

accelerate

your

revenue

or

conversion

of

that

pipeline?

Thank

you.

Arun Jain: Using two years, but they are more investors who want more than 10%. So, we need to play with the

whole

marketplace.

So

as

a

CEO,

it's

a

ball

to

play

on.

I

think

we

need

to

increase

our

sales

team

substantially.

We

have

increased;

we

have

salary

costs

have

gone

up

now

and
say
SG&A
cost
is
going
up.
In
next
two
quarters,
we
will
be
investing
more
in
sales
costs
so
that
the
investment
will
be
making.

I cannot predict what will happen to the immediate outcome because AI is still in the early stage of people

to
understand.

It's
like
internet
era

of
'97.
A
lot
of
hype
is
there,
but
there
are
many
players
out
there
which
are
saying
Anthropic
can
do
this
and
this
can
do
this.
All
of
it
is
there.
If

you
can
take
the
right
space
of
Palantir
and
Purple
Fabric,
I
think
that
can
be
of
different
fortune,
which
can
happen.

But it's not going to happen by more investment. It will happen with the right adoption of the platform by

certain
key
customers.

And
many
variables
are
there
still

keeping

us

awake

at

night,

on

Purple

Fabric,

what

opportunities

it

can

throw

at

us,

whether

we

are

able

to

capture

all

the

balls

which

are

in

the

air.

Pravesh Kochar: Thank you. Nachu Nagappan: Thank you, Pravesh.

Q2 FY 2025-26

That concludes our Q&A session for today. Thank you, everyone, for joining today's call and for your insightful

questions.

If

you
have
any
additional
queries,
please
feel
free
to
reach
out
to
us
and
we
would
be
happy
to
respond.
We
appreciate
your
continued
interest
in
Intellect
and
look
forward
to
connecting
again

next

quarter.

Thank

you

and

have

a

great

evening.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the

proceedings.

Call: Feb 2026

IDAL/2025-26/SE/79 February 6, 2026

National Stock Exchange of India Limited Scrip Code: INTELLECT
BSE Limited Scrip Code: 538835

Dear Sir/Madam,

Sub: Disclosure of Transcript of the Earnings call

Please find attached herewith the transcript of the Investor Earnings Call held on January 30, 2026 on the unaudited financial results for the quarter ended December 31, 2025.

The Transcript of the earning call is also available on the website of the Company.

Kindly take the above information on record and confirm compliance.

Yours truly,

For Intellect Design Arena Limited

Prakash Bharadwaj
Company Secretary and Compliance Officer
ACS- 37214

Encl: As above

Q3 FY 2025 -26

Investor Earnings Call Transcript

Praveen Malik
Greetings and Welcome Everyone!

Thank you for joining us today to discuss the Intellect Design Arena Limited's financial results for the 3rd quarter of the fiscal year 2025 -26 ending December 31st, 2025. The Investor Presentation and the Press Release have been sent to all of you and are available on our website.

Our leadership team is present on the call to discuss the results.

Our chairman, Mr. Arun Jain, will not attend this call because he is in transit to attend a family exigency.

We have with us today

- Mr. Manish Maakan, Executive President, Group Chief Revenue Officer, and CEO of Wholesale Banking.
- Mr. Rajesh Saxena, CEO of Consumer Banking
- Mr. Banesh Prabhu, CEO of IntellectAI
- Ms. Vasudha Subramaniam, Chief Financial Officer, &
- Mr. Vikash Mishra, Chief Strategy Officer

Besides, some other senior members of the Intellect Management team are also present in the call.

Now, I hand it over to Vasudha to take you through the results. This will be followed by a commentary on the business by Manish Maakan, and further followed by Q&A session where your questions would be answered by our management team.

Once the Q&A starts, you can ask a question by clicking on the "raise your hand" button. We will unmute you so that everybody is able to listen you.

Safe Harbour Statement - I would like to remind you that anything we say, which refers to our outlook for the future, is a forward -looking statement. This must be read in conjunction with the risk that the company faces.

With this, I request Vasudha to give us a briefing. Over to you, Vasudha.

Vasudha Subramaniam:

Thank you, Praveen. Good evening, everyone. And thank you for joining us on Intellect Design Arena Limited's Q3 earnings call. It's a pleasure to speak to you today as we share our performance for the third quarter of the financial year. So, before I get into the quarter, I would like to begin with the last

12 months' performance because we believe that the LTM view best reflects the true direction and health of our business. I'm pleased to share that for the first time in our history, Intellect's LTM total income has crossed ₹3,000 Crs., reaching ₹3,025 Crs. and representing a 23% year -on-year growth. This milestone is not just a scale maker but is the outcome of a deliberate, well -architected growth strategy that has been executed consistently over the last decade.

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Platform revenue for the LTM stood at ₹497 Crs. compared to ₹218 Crs. in the previous years, showcasing a strong 128% year -on-year growth. License -linked revenue grew to ₹1,595 Crs. compared to ₹1,163 Crs. in LTM as of Q3 '25, delivering a robust 37% year -on-year growth.

Our annual recurring revenue stood at ₹1,118 Crs. in the LTM, compared to ₹700 Crs. a year ago; representing a strong 60% year -on-year growth. EBITDA for the last 12 months stood at ₹709 Crs. compared to ₹534 Crs. in LTM as of Q3 '25, showcasing a 33% year -on-year growth.

PBT for the last 12 months

grew 34% over the previous period. Our cash position as of December '25 was ₹1,198 Crs. compared to ₹804 Crs. as of December '24, delivering a 49% year -on-year growth. The strong improvement in collections also contributed meaningfully to strengthening our balance sheet and liquidity position.

Beyond the financial metrics, the LTM period also highlights the depth of market traction and execution capability that Intellect has built. Over the last 12 months, 53 new customers have chosen Intellect's digital stack for their transformation journeys. In parallel, we have successfully enabled 82 digital transformations, wherein global financial institutions went live on our products and platforms. This LTM performance is the foundation on which our quarterly execution rests and it gives us strong confidence as we continue to scale responsibly and sustainably. Our performance is anchored on three scale business engines, each built over successive growth cycles and now supported by an emerging fourth engine.

#1 The first and most mature engine is Wholesale Banking, which we initiated as a scale engine in 2015. Today, Wholesale Banking contributes around ₹1,400 Crs. to our LTM revenues.

#2 The second engine is Consumer Banking, which became our next growth focus from 2018 onwards. This now contributes close to ₹1,000 Crs. in LTM revenues.

#3 The third engine is IntellectAI, which includes wealth and insurance in our AI -led platforms. This engine was deliberately seeded from 2021 onwards and has already scaled to ₹500 Crs. in LTM revenue.

#4 From 2024 onwards, we have begun building a fourth growth engine Purple Fabric, our Open Business Impact AI Platform. Over the coming years, this will become a powerful multiplier for Intellect's next phase of growth.

#5 Finally, our growth over the last 12 months has been supported by deliberate investments in leadership and institutional capabilities. 27 senior leaders have joined Intellect during the last 12 months. These additions strengthen our global consulting delivery product and go -to-market capabilities.

In a key leadership move, Manish Maakan has been elevated to Executive President and the Group Chief Revenue Officer, while continuing in his role as the CEO of Intellect Wholesale Banking. This step brings sharper alignment across product strategy, sales execution and revenue ownership at an enterprise level. We are also pleased to announce that the Board of Directors have approved the appointment of Mr D. Shivakumar as an additional director designated as an independent director based on the recommendation of the NRCC.

Mr Shivakumar is a respected business leader with extensive experience across Indian and global organisations. He is currently an Operating Partner at Advent International, a global private equity firm. He has previously served as the Group Executive President at Aditya Birla Group, the Chairperson and CEO of PepsiCo India, and the CEO of Emerging Markets at Nokia. An alumnus of IIT Madras, IIM

Calcutta and the Wharton School, he brings a wealth of strategy and governance insight to our board. His appointment for a five -year term is subject to shareholder approval via postal ballot.

Now, let me turn to the financial performance for Q3. Total income for the quarter stood at ₹753 Crs. reflecting a 21% year -on-year growth. License -linked revenue, which is the platform plus license plus AMC for the quarter stood at ₹391 Crs. growing 34% year-on-year. On profitability, EBITDA for Q3 was ₹122 Crs. translating to a margin of 16%. Profit after tax stood at ₹28 Crs., impacted by a one -time gratuity provision of ₹30.84 Crs. on account of the new labour code and the resultant deferred tax of ₹7.8 Crs. Collections for Q3 stood at ₹913 Crs. compared to ₹553 Crs. in Q3 as of full year '25; up by 65% year -on-year. eMACH.ai continues to power composable transformation across banking domains, enabling

clients to modernise at speed while maintaining control and predictability.

Purple Fabric, our Open Business Impact AI platform, is increasingly embedded into live production environments. During the quarter, 14 new value discovery partners joined the Purple Fabric ecosystem, expanding our reach across AI -led risk underwriting, claims collections and payments use

cases. Together, these platforms are enabling clients to move beyond digitisation into intelligent, explainable, and outcome-driven transformation.

On the market recognition front, we are proud to share that Time Magazine has recognised our Chairman and Managing Director, Arun Jain, as one of the global growth architects; a rare and prestigious distinction that recognises leaders building for long-term value, in a world obsessed with quarterly outcomes. In addition to this global media recognition, Intellect has received strong analyst validation this quarter. Datos Insights awarded our Transaction Limits Management Solution, the Gold Medal for Innovation and Operational Efficiency in their Commercial Banking and Payments Impact Awards.

Euromoney named Intellect the world's best Transaction Banking Software Provider 2025, including best in Cash Management and best Corporate Channels. Gartner acknowledged eMACH.ai Core Banking as a Visionary in the Magic Quadrant for Retail Core Banking Systems, Europe. IDC MarketScape identified Intellect's Corporate Loan Lifecycle Management System as a leader in its worldwide vendor assessment for 2025 and many more. Together, these recognitions reflect the depth, breadth and relevance of our platforms across Core Banking, including Risk, Complaints, and Transaction Banking in AI-led business intelligence.

To summarise, Q3 represents a quarter of structural progress for Intellect. We crossed ₹3,000 Crs. in LTM revenue anchored on three scale engines and an emerging fourth. We delivered robust cash flows and balance sheet strength, and we continue to execute large-scale transformations with consistency and discipline. As we move into the final quarter of the year, we do so with confidence backed by a strong portfolio, resilient cash flows and a repeatable growth engine design for the long term.

Thank you for your continued trust and support.

Over to you, Manish.

Manish Maakan:

Thanks, Vasudha for a detailed commentary. Good evening, everyone and thanks for attending this investor call. Let me try and summarise some of the things which Vasudha talked about into five strategic themes which we are focused on. I think an LTM growth of crossing ₹3,000 Crs. in this quarter is really proud moment for all of us and I'm sure we will be equally proud for all of you being part of this journey.

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A 23% revenue growth, 33% EBITDA growth, 49% additional cash generation; I think we are ticking all the right critical parameters and clearly shows that the investment we have been putting in is well-orchestrated and is delivering the right results for us. Let me briefly talk about the five salient themes that explain how this growth algorithm works.

#1 I think the first one which we believe is our technology moat, eMACH.ai

At the core of our model is eMACH.ai or AI-first composable platform, architected for scale, reuse and continuous evolution; which is consistently being demonstrated with the wins and our ability to execute quicker and faster. I think we are proud that we have built this system with AI first as an objective across the lifecycle rather than induce it or put a bolt on, on top of it while some of my peers are doing that same thing. This composability is driving faster time to value and helping us get better rates and a platform stickiness from us.

#2 The second pillar I want to focus upon is multiple engines like what Vasudha called out are working in one flywheel and everyone's been able to witness the same. Wholesale Banking, which I was

fortunate to initiate and lead from 2015, has crossed ₹1,400 Crs. and has been a consistent growth engine. It's a mature cash generating engine focused on long-cycle transformation programs with the largest Tier 1 banks.

I think our second pillar, Consumer Banking which we started in 2018 is now scaling up very proudly and has crossed the ₹1,000 Crs. mark. It is becoming the powerhouse for digital and new-age core banking; which banks are looking at. This has the robustness and the depth of capabilities and is not just a framework.

I think I want to call our youngest platform, Wealth and Insurance, which is solely anchored around AI, a focus started 2021 and has now also now crossed ₹500 Crs. LTM. All three of them share the same AI-first platform backbone Purple Fabric, allowing the reuse of capability, intelligence and operating leverage across the organisation.

#3 The third engine is our markets. Revenue is better tested in the world's most demanding financial hubs with 62% of our revenue coming from advanced markets and is also well distributed across the Americas, Europe, Middle East, APAC, and India; avoiding any geographic concentration in any place. Success in this high bar economies validates project maturity, regulatory robustness and delivery predictability at the same time. I think this is well set for India, APAC and Africa, along with the faster-growing economies, who are followers, to be able to adapt to all of this.

#4 Our success with tier one banks across multiple geographies has created a strong global brand. This result gives us the in against the regional volatility and it's no more a noise for us. I think the fourth dimension which is now the next growth frontier which we are embedding into our platform as well as looking at for scale is around mainframe to cloud migration and enterprise AI versus Purple Fabric. In this last quarter, we have signed one large global system integrator for our AI proposition is taking

out to the market as well as 14 value discovery partners to evangelise and help us take this to more clients across the board.

On momentum we are in advance discussion with a global mainframe infrastructure leader to jointly transition monolithic banks to eMACH.ai based architectures from the mainframe architecture. These are not just adjacent bits. These are natural extensions of the same platform eMACH.ai.

#5 I think the fifth thing which is in summary is the downside protection or a risk absorption designed by Intellect. No single geography, customer or product line can materially impair our performance.

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Revenue is distributed across multiple buyers, regulators and decision cycle. Execution risk is reduced through platform reuse standardisation and delivery industrialisation.

So, in closing so this is not being opportunistic. This is all about engineered growth built from first principle and powered by AI first platform. This is the essence of our growth by design and that's why Intellect is a unique asset sufficiently de-risk by a matured diversified portfolio. Yet poised for growth through AI leadership and advanced market dominance. Thank you for listening and I will pass it back to Praveen for Q&A.

Praveen Malik :

Thanks, Manish. Now the platform is open for the Q&A. Please click on "raise hand" in case you want to ask a question

First, we have Mr. Garvit Goyal from Serena Alpha. I think he's not there.

Next, we have Mr. Mihir Manohar from Trust Mutual Fund. Mihir, please ask your question.

Mihir Manohar:

Yeah, thanks for giving the opportunity and congratulations on crossing the ₹3,000 Crs. mark and ₹3,000 Crs. LTM number. So, congratulations for that. I largely wanted to understand on the Claude side. I mean, you know there is a lot of talks. The Anthropic AI Claude is getting into the US -BFSI side. Not on the core operations, but yes, middle office, back office and also on the insurance under

writing

process. If you can provide some clarity over here as. How is Anthropic Cloud AI becoming a competition? So how to understand this?

Manish Maakan:

Banesh, you want to maybe take this?

Banesh Prabhu:

Yeah. So, you know, there is obviously different LLMs continuously upgrading in the market and I think we basically utilize for our Purple Fabric platform has the ability to optimize the right LLM that a customer needs for each use case. So, you know, we are not really, we don't believe that they are really our competition in that sense because we orchestrate financial services AI -First products end to end for our customers and we optimize the right LLM. So, LLMs will continue to improve as we sort of as the Purple Fabric platform is only a consumer of these LLMs.

So, I think we are not really concerned and we are not finding that they are actually coming and occupying a place where Purple Fabric is placed. The other thing I wanted to state is that a lot of them are focused right now in the assistant area, where, we actually have digital experts, which is on the agentic side of multiple agents working together to make use cases more successful for customers in the agentic side we still believe our full stack, which, you know, you're all fully aware of it, you know, both what we call the Knowledge Garden where we vectorize data for multiple data sources.

We have digital experts that work on that data, but we have the optimization hub, which is quite unique because the user continuously needs to ensure that the digital experts is using the best LLMs to achieve their objective of outcomes for the customers. And I think fundamentally the big difference between us is not just orchestrating use cases, but orchestrating multiple use cases for our customers. And therefore, the fourth part of the Purple Fabric stack is really the governance part of Purple Fabric. And we're seeing more and more governments paying a lot of attention to ensuring that we follow an

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ethical AI standard, which ensures that we can actually manage to govern different digital experts in a way in which we can get the best performance from them.

So, to answer your question, I think, you know, they will definitely be competition. There'll be definitely different people doing things, but the combination of what we bring along with our leadership in financial services products makes most of up eMACH platforms today completely AI native and AI first. So, I know hope that answers the question.

Mihir Manohar:

Absolutely. I mean, it is very difficult to displace CBS that's the core of the part. The second question was on the Purple Fabric. What would be the Purple Fabric revenue for nine months? Because for full year, we were looking at 200 Crs. kind of a number. Some clarity around that will be helpful.

Manish Maakan:

Mihir, we are on track for what we are forecasting for the 200 Crs. number. I think we're reasonably confident of coming close to that number for the year.

Mihir Manohar:

Sure, understood. And last question was on the SG&A side. I see SG&A Q -O-Q there is some increase. So, I mean, any hiring around the foreign geographies, any incremental differential hiring on foreign

geographies?

Manish Maakan:

I think Vasudha shared that we have been investing for distribution for the market in a planned way of what we had planned for. That's also evident in the growth we are seeing. So, it's a planned capacity addition.

Mihir Manohar:

Sure. That's it from my side. Thank you very much.

Praveen Malik :

Thanks, Mihir. Next, we have Mr. Jitendra Aggrawal from Relax Capital.

Jitendra Aggrawal:

Yes. Hi. Good evening. I'm sorry. I don't have a question, but it is an observation. So, if you look at your shares that were outstanding at a corporate level, right? We were in December 2020. We had about 13 crore 26 lakh 64 thousand shares outstanding. By December 2025, t

hat number has increased to

13 core 93 lakh 15 thousand. So, there's about a 5% dilution in a period of about five years. You look at our market caps somewhere about ₹12,500 to ₹13,000 Crs. That's a float of anywhere about ₹500 to ₹600 Cr s. in the market just because of ESOPs.

And if you actually look at the promoter shareholding, right, that has also gone down in that period by almost the same percentage. We seem to be very comfortable in terms of our cash balance. Given the way the business is doing, it seems that in the foreseeable future, also the cash generation should be good. My request or suggestion would be that instead of paying it out as dividends, can you please consider buy back internally? That's it from me. Thank you.

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Praveen Malik :

Thanks, Jatinder. Next, we have Mr. Rahul Jain from Dolat Capital.

Rahul Jain:

#1 Yeah, I hope my line is okay. My question was related to the fourth pillar point that Manish articulated. If you could elaborate more, what I could understand was about building the SI ecosystem. So, if you could go deeper into that thought.

#2 Secondly, on the similar line, since we have built roughly ₹1,400 Crs. of GTB business. Does that mean it would at that scale, you may see a significant SI contribution, or we are still not that point, a lot of deep in the size

Manish Maakan:

No, Rahul, thanks for the question. On the fourth pillar, what I'm talking about is I think we've been talking about Purple Fabric and getting partnership development. So, we have now finally executing it with one of the largest global system integrators. And we taking this out to the customer other than that, we have also signed 14 value discovery partners across the globe to take Purple Fabric out. That was the first piece of it where we were doing the work for last two quarters which you are aware. In the last quarter, we were additionally now tied up with an infrastructure leader which is focused on mainframes so that we can help transition mainframe loads to eMACH cloud loads.

Banks are looking for solutions. That's where a composability of a solution. It's not a rip or replace, it's not just pick up the load and deploy somewhere else. We've done multiple mainframes to cloud migrations. And we see this as a natural alliance where by working together, we can take it forward.

Your third question around wholesale banking, touching ₹1400 Crs. and where we're already working with publicly, we've shared along with Accenture in some of the implementations and I'm continuing to grow along with our multiple other partners where the large transformations we can take along. We are doing big scale wholesale banking transformation. We have got core, lending, payments, the full corporate stack and we've got a couple of other SI partners already working around them. We'll hopefully announce some of these partnerships also publicly.

Rahul Jain:

Sure. Manish, when we say about the mainframe infrastructure player, are you referring to something like the IBM's of the world who would have that core infrastructure and they may also need some application to do the workload shift?

Manish Maakan:

Yeah, this partner supports quite a bit of mainframe infrastructure at this stage. I want to keep it there. Significantly large.

Rahul Jain:

But these are the SI guys or these are the mainframe guys?

Manish Maakan:

They focus on mainframe support significantly.

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Rahul Jain:

Understood. Thanks for that colour. And just last bit from my side, that the growth in this quarter in particular was not pretty exciting. Our investment in terms of marketing and go-to-market has been

pretty strong. So, is it just like one off quarter in between where we are seeing this kind of a dip or it's more of some kind of an economic factor that you're seeing in the market causing slower ramp up in particular markets. And with those thoughts, how you see you kn

ow, current year or Q4 panning up?

Manish Maakan:

No, so Rahul, the key thing is we've said we have designed for a 20% growth company on LTM basis right now we're demonstrating that we're not from quarter to quarter. We had said at the beginning of the year that we have to stay above ₹700 Crs. First three quarters we have stayed above ₹700 Crs. Now is about in between Q4 and Q1. How do we go above ₹800 Crs. revenue? That's what all of us as leadership team are working. So, that's a very nice momentum from that perspective cumulatively if you look at. See, I don't want a pressure of signing a deal in distress because I have a quarter ending. We're building a robust business. Sometimes quarters are not what we look at. The yearly is where we are committed to demonstrate performance and I think and we said measuring at an absolute level, I'll stay above ₹700 Crs. and in the next two quarters see how between Q4 and Q1 how we can go above ₹800 Crs. revenue. So, we're all working towards that. I'm still confident of the thing.

Rahul Jain:

Okay. Thanks for that colour. Thanks a lot, Manish.

Praveen Malik :

Thanks Rahul. Next, we have Mr. Rohit Balakrishnan from 'ithought PMS'. Rohit, please ask your question.

Rohit Balakrishnan:

Yeah, hi. Good evening, everybody.

So, we had I think talked about these accelerated investments in Q3 and Q4. So, if it may be, I think if my memories are right, we had talked about around ₹40 to ₹45 Crs. in Q3 and another, I think the similar number in Q4 in terms of market investments towards both Purple Fabric and eMACH.ai. So, maybe we can just call out what the number was in this quarter and what do you think would be the number in Q4? That was one.

And the second question was, so we saw license revenue come down, you know, ₹100 Crs. after almost six -seven quarters. I know this is very lumpy. So, anything you want to call out in terms of the delay that is happening and are there any deals which sort of spell through this quarter or we'll get covered up in the next quarter? Anything you want to call out. And I have one more question which maybe we can answer that and I'll ask the next question.

Manish Maakan:

Rohit, I'll go reverse order. I think like I said, please don't ask which quarter ₹100 Crs. more? LTM basis consistently remains focused. We are showing good results. I think it's a proud moment to be above ₹3,000 Crs. from that perspective on a run rate basis. And we driving towards we said we will stay above ₹700 Crs. mark. We have remained above ₹700 Crs. mark. I'm already saying that we targeting in the next two quarters to cross the ₹800 Crs. mark. That speaks of everything of what you wanted to ask.

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#2 From your second question's perspective. Could you repeat your first question on the cost side? I think the cost is primarily around the three dimensions. Vasudha can give color to the absolute numbers. It's around Purple Fabric. It's around bit of distribution plus given what I am seeing in coming in the next two quarters we've also invested right now on our delivery execution capability side because we need to be ready and we need to have these people not being joining the day before one or two quarters before we make that investment on the delivery side so that these are the three elements of where the cost has gone up.

Vasudha Subramaniam:

Yeah. Just to add last quarter we said we made an incremental investment of ₹15 Crs. and similarly this quarter also we have made similar investments between ₹10 to ₹15 Crs. That's an incremental investment this quarter.

Rohit Balakrishnan:

Got it. Manish, I think just from the LTM point of view I think we had said that will be despite all these investments will be at 20% kind of margins adjusted for these investments. I mean after these investments. So, do we still hold on to that number for this financial year FY26?

Manish Maakan:

I think look at consist

ent ₹700 Crs. and investing towards ₹800 Crs. Those are very positive metrics the quarter don't look at quarter on quarter look at you know.

Rohit Balakrishnan:

No, no. I'm asking for the entire year not looking at this quarter asset but I'm saying for the entire year. I'm not looking at the quarter as such.

Vasudha Subramaniam:

Manish let me answer. So, like Manish said it's always better to look at LTM performance and if you look at our LTM EBITDA, it has fetched us about 23.8%. So, going by that yes, we are very highly hopeful

that we'll also end up in a similar number as we close this financial year.

Rohit Balakrishnan:

Got it and last question was on the US expansion. So, any qualitative commentary when you shouldn't give like how are you seeing this calendar year or next financial year in terms of the growth there. We were expecting very high growth for this year as well so maybe you can comment how the US has been for this year and how do you expect next year.

Manish Maakan:

I think I want to maybe just quantitatively share one more forward thing I think across North America I'm not far from start touching \$1,000 Crs. revenue. It's been a good North America growth for us this year that's why we across Canada and US we are investing. Some parts of execution happens out of Toronto some happens out of New York. Purple Fabric has been helping us grow significantly. Payments has our Liquidity and CTX platform was a growth platform. Payments is where we are now making multiple breakthroughs so we investing over there. Corporate Core is something which we have been winning over there so if you see multiple levers are firing over there. So, we are happy that with PF also we now expanding our distribution across multiple hubs.

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Rajesh Saxena:

And if I can just add in Canada we are also seeing significant growth in credit union space both in our digital engagement platform as well as now we're just also getting some success in our loan lending platforms. So, we are able to cross sell into the same segment.

Rohit Balakrishnan:

Got it. I have one more question but I'll join back in queue.

Praveen Malik :

Thanks Rohit. Next, we have Mr. Vivek Kumar from BestPals Research. Vivek, please ask your question.

Vivek Kumar:

Thank you, Manish Ji, just if you can throw qualitative light on are you facing tailwinds or headwinds in terms of if you... Three quarters back Arun was explaining about sales cycle being long and in next two three quarters we will convert a lot of deals so can you like qualitative outlook on like different revenue streams that you have violated in your presentations like consumer, GTB, GCB and AI and Wealth. If you can talk in terms of tailwinds and advance so that and also anyway and even given all these things you are still confident on 20% growth on an LTM basis, right?

You can talk about tailwinds and elements because what are the tailwinds... which are the products which are like really having lots of tailwinds because that would give us more qualitative picture on... if you can give us.

Manish Maakan:

I think the multiple products under each of this wholesale banking, consumer banking, wealth insurance which are now getting scaled so which is good news for us. It's not just firing on one or two products or one or two lines of business. Clear evidence we have shared with you \$500 Crs, \$1,000 Crs. and \$1,400 Crs. So, that is helping us a balanced portfolio approach helps us to deal with any market volatility. I think that's why we continue to say we've designed for 20%. This balanced portfolio approach across markets and across product lines is helping us manage it.

Our technology moat is the big differentiator out of which I'm most proud of with eMACH.ai, I am able to grow the size of the deals also with this because what people see is this is a desired architecture state where everyone would want to be from the compositionality and

and the scalability and resilience perspective.

And bank after bank the largest tier ones consistently signing is just giving us that confidence. There are always headwinds of you hear the noise of politics and different things we got to deal with that. That's what we design business for.

So, there's nothing right now material of headwinds or material tailwinds. I think a balanced growth is I'm feeling good and confident.

Vivek Kumar:

So, we are feeling good about 20% growth on a yearly basis I'm not talking about quarterly...

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Manish Maakan:

That's what we are designed for that's what we are looking at the goal is how quickly with next quarter or the following quarter how do I cross \$800 Crs. revenue and then run it for three four quarters there and then look at \$900 Crs. This \$100 Crs., consistent growth in three to four quarters if you can drive it, I think that's the evidence.

Vivek Kumar:

Because three years back we were very confident on quantum central banking so just any... Mr. Rajesh any outlook on quantum as a product central banking?

Rajesh Saxena:

Sure! I think as you are aware that we are the... only company which has a core banking for central

banks right and this comes from our legacy of RBI because we run the central banking for Reserve Bank of India. So, as you know if you look at the TAM of this market is limited because there are only that many central banks and there are a couple of opportunities that we are chasing with central banking but it will always be a limited market by the design as compared to let's say a core banking, etc. But we continue to be the market leaders in this market and we continue to be consistently rated in T1 as T1 in this space and we are as we speak in a couple of opportunities with large central banks.

Vivek Kumar:

And small suggestion... like what Jitendra Aggrawal has said your equity dilution because now we are generating cash and you're already sitting on close to ₹1,200 Crs., cash I think you can suggest Mr. Arun a strategy to consider buyback because there's a lot of you almost one percent is entering free float every year right.

Manish Maan:

We'll record your comment.

Vivek Kumar:

Thank you, Manish.

Praveen Malik :

Thanks, Vivek. Then we have next, Mr. Pavan Kataria, Mr. Pavan Kataria from Bullseye.

Pavan Kataria:

So, as Mr. Manish said, we saw sharp Q3 compression in the margins, right? So, can we, so, Mr. Manish already broke it down, but how much are we heading back to 20 -25% margins for the year? Given that margins for Q3 have been odd of 15%.

Manish Maan:

Pavan, that's what Vasudha just now also confirmed that we're driving towards 20% plus margin for the full year. We've done it in LTM basis for the last 12. So, for the financial year also, that's what we're driving towards. That's where the balanced investment is there. We're not going aggressive. We're not shying away from right investments when we see opportunity.

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Pavan Kataria:

Okay, sir. And, sir, another question. In the last, in the last Conference call, Arun sir said, we have, we are striving towards 25% margins, right? So, do we see that happening somewhere in FY27?

Manish Maan:

I think if you go back, study some of the peer companies. It's about getting to scale at ₹3,000 Crs. the profitability is X, at ₹4,000 Crs. it moves to Y, at ₹5,000 Crs.,. So, it's about, I think we should all be looking towards consistent and more growth and right investments to balance to drive that growth. I think that's most important. It is, it's naturally going to come. The leverage keeps coming as the more license comes in.

Pavan Kataria:

Got it, sir. Thank you, sir. That's all from my side.

Praveen Malik :

Thanks Pavan, next, we have Mr. N G N Puranik, I think he has dropped. then next we have Ms. C.A. Vansh Handa. Ms. Vansh Handa from Invest Analytics.

Vansh Handa:

Hi, am I audible So, I

have a question. Like, I noticed the cost escalations apart from the exceptional items during Quarter 3 that appears to have impacted overall profitability. So, could you help us to understand that what are the key drivers behind that increase in cost? And also, like, this is not clarified in any of the presentation or management commentary. Can you help me with that?

Vikash Mishra:

Ms. Vasudha, what is cost escalation?

Vasudha Subramaniam:

Okay, one. If you're talking about the exceptional items, sorry, if I have got your question, right. That is related to the gratuity provision. The one-time provision that we have considered in our books on account of the new labour code. And that's about ₹31 Crs. And also, there is a resultant deferred tax that we have considered for about ₹8 Crs. So, that has pulled our PAT down by close to ₹24 Crs.

Vansh Handa:

I'm not just talking about these exceptional items. But if you look before profit before exceptional item also, it has impacted from ₹900 million to like ₹671 million this quarter.

Vikas Mishra:

So, what just to add to what was Vasudha is saying and what Manish also eluded too. See, if you look at the current quarter, there has been significant investments in terms of capacity building. Whether it is capacity building from a sales and marketing perspective or capacity building in anticipation of the deals we are planning to close in the, in the current and the next quarter. So, that is primarily the reason for us for a cost to go up.

Vansh Handa:

Okay, sir. Thanks

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Praveen Malik :

Thanks, Vansh. Next, we have Prem Doshi from ACE Securities. Prem Doshi.

Prem Doshi:

So, I have two questions. One is that in particular for this quarter as we have already discussed that some of the cost escalations were there and for some other reasons the profit was muted, right? So, what we are looking at what is are we looking to close the quarter as you said was close the year that ₹3,000 Crs. plus that you have already guided for the financial year. So, my question is actually for the next financial year. After we cross it ₹3,000 Crs. in terms of revenue and we maintain a 20% margin, are we looking at on such a high base to continue going at 20% for the next fiscal or you expect some modulation in the guidance for the next fiscal in that case.

Manish Maakan:

Prem, I will stay away from guidance on next financial year. We very simply get to ₹800 Crs. Then we'll stay there a few quarters and then get to ₹900 Crs. We are building the business ₹100 Crs. at a time. And right now, we feel good about what we are doing. So, from a guidance, I'll stay away.

Prem Doshi:

Okay. Okay. And sir, earlier we have led up stuff that we want to position ourselves. Like the top AI company such as Palantir, right? So, how is the plan panning has the management satisfied with how the Overall positioning that we are doing in the AI space. Like are you personally satisfied with how the segment for us is moving towards?

Manish Maakan:

I think we had said upfront that we're going to drive towards the ₹200 Crs. revenue on this. So, from that perspective, if you look at are you satisfied? Are you headed towards that? I think we are in the right direction. We are consistently amongst the top three players along with Palantir. So, that's not a concern right now.

Prem Doshi:

Right. Thank you so much.

Praveen Malik :

Thanks, Prem. Next, we have Keshav Sureka from Niveshaay. Keshav Sureka from Niveshaay.

Keshav Sureka:

Hello. I think my question was already answered. Thank you. Okay. Thank you.

Praveen Malik :

Thank you. Next, we have Mr. Krish Jain from NAFA Asset Managers.

Krish Jain:

Thank you for taking my question. So, my question is regarding Purple Fabric. So, what I can see from the presentation is that your LTM revenue from operations is ₹2,919 Crs. Out of that wholesale, retail and AI business put together is

around ₹2,900 Crs. Am I correct in understanding that Purple Fabric in

Q3 FY 2025 -26

the last 12 months has contributed only ₹19 Crs. And since you've reiterated that you are on track to hit ₹200 Crs. this financial year to understand how is that possible in the next three months.

Manish Maakan:

Now, Purple Fabric is embedded across the businesses on wealth, insurance and everything. Looking at like that, when we look at segmented Purple Fabric, that's where we are saying we are good for ₹200 Crs.

Krish Jain:

Okay. Got it. So, next question is you mentioned Palantir and C3.ai as our main competitors for Purple Fabric. Are we still sticking to that or do you see any new competitors, you know entering this space?

Manish Maakan:

Banesh, do you want to help in this, please?

Banesh Prabhu:

Yeah. I mean, you know, I think Palantir and C3.ai are the fundamental main competitors the way we see it. There will be lots of noise with small players coming and doing cases in different areas. But when you actually look at end to end orchestration and enterprise level AI deployment, I think those two would be our primary sort of competitors when we look at orchestrating different type of use cases. And what Manish mentioned is that a lot of our existing products also have moved to AI first. So, a lot of the Purple Fabric capabilities of orchestrating AI is getting embedded into everything we do. So, I think frankly, you know, other than those two, there are various other, you know, people we run across but we haven't found somebody who orchestrates end to end use cases the way, you know, anybody other than those two.

Krish Jain:

Okay, squeezing in the last question regarding CentralOne, the acquisition that happened a few months back. So, they are still reporting revenues in the digital banking segment and then mentioned there's a transition period as well as the reporting losses. So, my question is how long is this transition period and what are the losses we are bearing in the business that we've taken off from CentralOne and how are we going to make it profitable.

Vasudha Subramaniam:

We are already making profit on CentralOne, the single digit profit that we are making. In fact, initially we said it's going to be margin neutral, but we are making some profits out of it.

Krish Jain:

Sir, and how long is the transition period?

Vikash Mishra:

What do you mean by transition period, Krish? Are you talking about transition from to our digital engagement platform?

Krish Jain:

No, I am taking this from CentralOne's quarterly report actually in their Q3, it's calendar year Q3 which is our Q2 of the financial year. They have reported \$4.5 million Canadian dollars as non-interest Q3 FY 2025 -26

income, so revenue. And they mentioned revenue has gone down because the business is being transitioned to Intellect.

Vikash Mishra:

Yeah, Rajesh, please answer that.

Rajesh Saxena:

So, Krish, let me just explain this to you. So, what we did was we acquired Forge business from CentralOne which is the digital business from them. That business as Vasudha confirmed is already giving us a single digit margin business. Initially, we had said it would be margin neutral, but we are actually seeing a single digit margin business. Now, CentralOne is providing us some support. For example, they are the cloud infrastructure on what this Forge business works on is still provided by Central One for which we are paying them a certain cost. That is what they are showing it. Otherwise, the business is completely transitioned into Intellect. I hope that helps to explain your query.

Krish Jain:

Yeah, that helps. Thank you for taking my question.

Praveen Malik :

Thanks, Krish. Next, we have Mr. Kushal Goenka. Mr. Kushal Goenka from Mangal Keshav Financial.

Kushal Goenka:

Sir, my question was on the gross profit margin. Like, I'm not trying to analyse quarter-on-quarter, or year

-on-year basis, but I just want to understand that if we offer more say specialized products like Purple Fabric integrated to our other services. So, shouldn't our gross profit margin should increase because I think so. We saw around 300 basis point blip quarter on quarter and year on year also. So, just wanted your thoughts on the same.

Vasudha Subramaniam:

No, that that is already happening in addition to that as Manish had mentioned in the beginning. We are also capacitating so we are also building capacity in anticipation of the work to be completed in the coming quarters and that's why you are seeing some dip over there.

Kushal Goenka:

So, Madam, if you can just allude what exactly are the item line in the gross profit then. Then so isn't that the people... Doesn't it come under the EBITDA part?

Vasudha Subramaniam:

No, no, see for computing the gross margin, the cost that we consider are those which are directly attributable to the projects. Okay, so and also people sometimes work on you know proof of concept and proof of delivery and those costs are also build part of those SDE cost and that's how you compute your gross margins.

Kushal Goenka:

Okay, so if I may ask in another way, so like what can be a sustainable at least a gross margin basis I'm not going to the EBITDA part, but like 54% I guess this year.

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Vasudha Subramaniam:

If you if you look at our trend maybe again in the last 12 months and then even in the previous last 12 months it was hovering around 57%.

Kushal Goenka:

Okay, so we can expect at least we come back to 57% from the 54%?

Vasudha Subramaniam:

Yes.

Kushal Goenka:

Okay. Okay, thanks

Praveen Malik :

Thanks, Kushal. Next, we have Mr. Ravi Mehta. Mr. Ravi Mehta from One up. Please ask your question.

Ravi Mehta:

I just wanted to check. You mentioned that you know this quarter that was an incremental investment of ₹15 Crs. If you can help us, you know split in which headline items it was being split whether it was software development, SG&A. Because I'm just trying to see how the impact is playing out on EBITDA

on gross margin just to understand how the normalized course can be.

Vasudha Subramaniam:

I don't think so we need to get into that level of nitty -gritty. So, anyway the amount is not that much for a ₹15 Crs. value to go to that level.

Ravi Mehta:

So, is it in SG&A is what I want to understand so.

Vasudha Subramaniam:

Yeah, predominantly in SG&A that you can see and we also had some global events this quarter which also contributed to the increase in SG&A cost. The way some partner commission which got included.

So, the investments mostly went into SG&A some bit of it also into product development.

Ravi Mehta:

No, it's reflecting in SG&A. I just thought that will confirm it.

Praveen Malik :

Thanks, Ravi. Then we have Mr. Dhruv Shah. Mr. Dhruv Shah from Ambika FinCap.

Dhruv Shah:

Hello. Manish, I have two questions. One is we won eight deal this quarter which is lowest in eight quarters. Is there something to read into it or is that a seasonality?

Manish Maakan:

I'm not reading too much into it.

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Dhruv Shah:

Because it's the lowest in eight quarters that's why it came up. Because we just launched Purple Fabric and we have done a lot of investment that's why it popped up that that's the lowest in eight quarters.

Manish Maakan:

It is from a count it is low but I am right now not concerned like I said Dhruv. I'm looking at crossing ₹800 Crs. and it's one or two quarters away.

Dhruv Shah:

So, Manish, did we see that going forward? Will we be chasing larger amount destiny deals compared to low ticket size and that's why the deal wins will be lower going ahead?

Manish Maakan:

No, it's a very good fairly balanced mix. One thing good is happening is getting more of the large big deals also we are playing in there. See with Purple Fabric w

hat will happen is they will start small. But

suddenly they will start showing big results in Year 2, Year3, three as the consumption grows. So, that's a consumption -based business.

Dhruv Shah:

Right. And my second question is on the Press Release we did last week on adding 14 value discovery partners. Are this mainly SI's or are they distributors for Purple Fabric?

Manish Maakan:

These are smaller techno mid -size technology companies, which we are helping to take us forward.

Dhruv Shah:

Okay, understood. Great. Thank you so much.

Manish Maakan:

There are people with 300, 400 people who really are entrenched in one or two different banks. So, leverage that relationship and capacity gives them an opportunity to grow. And it's in a connected field so.

Dhruv Shah:

Fair enough. Okay. Thanks.

Praveen Malik :

Thanks, Dhruv. Next, we have Mr. Pranay Jain from Banyan tree advisors. Pranay, please ask you question.

Pranay Jain:

So, one question I had on Purple Fabric. Whenever we are going to our clients whenever we are trying to close deals. What has been the key differentiating factor for us in terms of client adopting something that is fresh in the market? So that would be my first question. And then I have a couple of smaller questions.

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Manish Maakan:

Banesh, can you help on this?

Banesh Prabhu:

We've been having a lot of discussions with different clients. I think our key differentiation as I said earlier is the ability for us to be able to help the customer achieve business impact. There's been a lot of, there's been a lot of work that people have done using the ChatGPTs and assistants and Copilots. But when it comes to business impact, a lot of what we can orchestrate at end -to-end journeys actually help the customer either improve their cost and productivity or improve their revenue or their

customer experience.

You know, or fundamentally, a lot of our customers in certain markets in wealth and other areas also focus a lot on compliance and regulatory stuff. So, what we're seeing is the ability to understand the leadership and the thought leadership in particular lines of business and actually achieve business impact for them. Clearly, that is something that in 2025, a lot of people, you know, believe has not been achieved so much, which is where our platform positions ourselves best to do. And I think we are seeing that as something that's attracting a lot of attention. You know, we must remember that AI is still at an early stage of adoption in the agentic and the digital experts' space. And therefore, adoption will take time, but actually when we run these pilots, they can actually start seeing business impact and we have a lot of customers we've already been doing that for because we started earlier with, you know, insurance and certain product lines here.

Pranay Jain:

Got it. That's helpful. The second question that I have is whenever we are doing large destiny deals, are they typically front loaded in terms of revenue recognition or do they ramp up gradually over multiple years?

Manish Maakan:

Its multiple models, Pranay

Pranay Jain:

Okay, so there'll be a mix of both mix of like front loading and like an annuity tail kind of thing.

Manish Maakan:

Annuity based on variability.

Pranay Jain:

Understood. Got it. Yeah, that's it. Thank you.

Praveen Malik :

Thanks, Pranay. Next, we have Mr. Krishna Agarwal from Mangal Keshav.

Krishna Agarwal:

Hello. It is just a follow-up question regarding our competitors. Sir, as you said that, you only consider Palantir and C3 as your major competitor. But I still wanted to get some light on Indian competitors.

Sir, currently in the Indian Banking Technology ecosystem, there are multiple players offering AI-led solution for banks, such as TCS banks, Orient Pro AI, NPST and AI compass.

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So, sir, how does Intellect differentiate itself from these competitors

in terms of depth of AI

capabilities and platform maturity in the long term? And so, additionally, how close are these players to Intellect's currently at level of AI-led Banking Technology? And what is the Intellect strategy outlook to maintain and extend its competitive edge going forward with these Indian competitors? Thank you.

Banesh Prabhu:

There are a lot of SI players like TCS and others like you mentioned. I think, as I said earlier, a big differentiation is our full Purple Fabric stack, which where we have invested significant amount of effort over the last 7-8 years, going all the way back from the early models of machine learning to the large language models right now.

I think that learning and experience for our product lines, I think compared to a lot of people coming and offering use cases or and lot of the people are actually building the SI type of work for customers to be able to do things that can help them achieve some level of AI independence. Everybody says AI right now, but nobody really has a full end to end platform. And I've already covered the four sort of stacks that make up a platform. I think that combination and the most important thing that we are seeing is when customers want to scale multiple use cases, they need to govern them.

The ethical AI stack of governing our platform is fundamentally very different from what anybody else does because when you know when you implement these use cases that ethical AI stack gives you the ability to govern digital experts. But you've got to think of these as human and digital experts working together in an operational role in that model. The digital expert really needs to be managed on a regular basis because of the continuous changing language models, the continuous changing data that is fed in to those digital experts.

So, think of it that governing digital experts is a very, very detailed part of the Purple Fabric stack which not, you know, you won't find this in most of the other people. They are still talking about doing small use cases here and there of doing SI work. So, I think that's the fundamental difference with most of the most of the Indian players in my mind.

Krishna Agarwal:

Thank you, sir

Praveen Malik :

Thanks, Krishna. Next, we have Sonal Minhas from Prescient Capital.

Sonal Minhas:

This is Sonal Minhas. I'm hope I'm audible. I want to continue from the question the last participant asked. Some of the players, as you mentioned, they don't have a full stack and I think having attended some of these calls of these players, they also mentioned that the real ROI of AI showing its value -add in productivity or similar metrics is basically something which is still at the proof-of-concept stage.

So, we wanted to give in the fact that you say that the Purple Fabric project has linkage to close to ■200 Crs. of top line.

Are there early signs for you guys where this is showing up in terms of how you build a particular client or in terms of you having better margins for some of the use cases where you implemented Purple Fabric or these early days for us right now? That's about it.

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Banesh Prabhu:

And you know adoption of AI it is still at an early stage. Having said that I think the opportunity for us to be able to bring productivity would mean a different way of working because we are seeing significant impact on operational work, on compliance work that we are beginning to see in our pilots and already in production for our insurance business.

It's a very significant impact on the same work being done by the human through a BPO type process versus the way we do it using AI end to end. So I think it is very different important for us to keep in mind that this is early -stage adoption the agentic actual work which you know is something uniquely put together on Purple Fabric, which is why its multiple agents coming together very few of us of our competitors

have multiple agents coming together and we refer to that as digital experts in different areas coming together I think that pace has not taken off as fast as we you know we believe it sort of will in the future. I think it will change fundamentally the way in which we operate or you know we often call it the future of work will change quite significantly and I think we are actually experiencing the early stages of that.

And some product lines where this has been AI first like the insurance and some areas in wealth and now some areas in trade and some areas in payments I think that will actually go much faster as the adoption starts taking place so you know there is obviously ROI challenges in the industry which normally happens when you start something like this new as it happened you know 25 years back with the dot com so it will happen. We will stabilize but fundamentally new business models using AI will appear and we are well positioned for that.

Sonal Minhas:

Got it, sir. Thanks for explaining this in detail. I also have a follow up I think a couple of my colleagues were also asking the margin profile and you are mentioning that companies have a different margin profile at ■700 Crs. run rate ■800 Crs. run rate maybe ■900 Crs. This is similar to let's say what a SaaS company does talk about in the US my understanding is that please correct me if I'm wrong on that. Are there some companies which are into banking software which have scaled up where we could refer to understand the margin profile of businesses as they scale up and as they mature are there some peers would you refer to in the US?

Manish Maakan:

I think go back and look at from India Flex Cube and Oracle so we have a combination of that as a business model as well as SaaS. So, we have a dual engine firing look at what was Flex Cube's margin at \$300 million, \$400 million, \$500 million, \$600 million and you'll find a good story.

Sonal Minhas:

Got it. Thanks!

Praveen Malik :

Thanks, Sonal. Manish, there is one more and then a lot of re-raised your hands. So, one we can take, I think.

Manish Maakan:

We can take one and the re-raised person writes back to you and we can reply to them.

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Praveen Malik :

Please...the persons who are really is re-raising the hand please write to me we'll get back to you. The last we have Sameer Dosani from ICICI Group. Samir, please go ahead.

Sameer Dosani:

I'm not sure whether it's clarified but our original plan was to ramp up investments through the year and obviously it's needed for the business. So, it's good. But just want to understand 1225 Crs. of SG&A like will we see further ramp up from year on in and then it will settle there that is the plan? Or you know there are some programs as you mentioned and we had some marketing programs and road shows etc. So, you know how to think about this as SG&A for maybe next 12 to 18 months from here on.

Manish Maakan:

Samir this quarter the last quarter is typically when we have more road shows and more events large events which happens every year. So that's from an annual cycle perspective. Rest is calibrated based on when we see opportunities as we are growing in like right now you US is a big focus we driving growth in North America. So, a very large market from a size as well as geography but we keeping it calibrated to ensure we don't run ahead of ourselves.

Sameer Dosani:

That's fine and it's needed to the business but our original plan was to ramp up like ■100 Crs.

annualized SG&A If I'm not wrong that we wanted to ramp up through the year.

So, it's that ramp up step up in terms of SG&A is already done is that I should think of and then maybe gradual investment here and there whatever you need and it should that is how I should think about it?

Manish Maakan:

No see if you as soon right now like we said beginning of year ■700 Crs., ■800 Crs. as we stabilize at

■800 Crs. when we say ■900 Crs. or ■1,000 Crs. we will have to add more so it's a cycle.

Sameer Dosani:

So, this level of investment is okay for ■800 Crs. revenue.

Vikash Mishra:

That's right.

Sameer Dosani:

And obviously purple Fabric required software development and expensive so that or that step up in terms of investment in software development expenses is also done right and should think of and you're on incremental increase is what I should think of?

Manish Maakan:

Yes!

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Sameer Dosani:

Okay. That that's it from my side and good luck. Thanks for taking my questions.

Praveen Malik :

Thanks, Sameer. Thank you everybody for joining today. In case any questions you have you can just write back to us and we'll reply accordingly. Thank you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2026

Q4 & FY 2025-26

Investor Earnings Call Transcript Praveen Malik: Greetings and welcome, everyone. Thank you for joining us today to discuss the Intellect Design

Arena

Limited's

financial

results

for

the

fourth

quarter

of

the

fiscal

year

2025-26

and

also

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FY26

ending

31st

March

2026

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The

investor

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Our

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We

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with

us

today,

●

Mr

Arun

Jain,
Chairman
and
Managing
Director

●
Mr
Manish
Maak an,
Executiv e
Presiden t
&

Group
Chie f
Revenue
Officer
and
CEO
of
Wholesale

Banking

●
Mr
Rajesh
Saxena,
CEO
of
Consumer
Banking

●
Mr
Banesh
Prabhu,

CEO

of

IntellectAI

●

Ms

Vasudha

Subramaniam,

Chief

Financial

Officer;

and

●

Mr

Vikas

Misra,

Chief

Strategy

Officer .

Besides, some other senior members of the management team are present on the call. Now I

hand

it

over

to

Mr

Arun

Jain

for

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With this, I hand it over to Mr. Arun Jain. Arun Jain: Good evening , everyone. Thank you, investors, for trusting the company over the past 10 years.

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Q4 & FY 2025-26

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which

we

launched

last

year.

Last

year

in

June,

we

launched

Purple

Fabric

as

a

platform,

which

is

competing

with

Palantir

on

functionality

and

process.

And especially for the financial domain, it is very, very appropriate for the financial domain.

But

if

you

just

go

back

to

the

three-year

history

of

eMACH.ai,

we

launched

eMACH.ai

in

February

2023

in

Mumbai,

along

with

AWS

on

the

cloud.

This

is

a

platform

where

we

put

all

our

microservices.

That

time

it

was

300

microservices.

Now

there

are

700

microservices

on

the

eMACH.ai

Cloud.

Then we look at our strategy to be divided into six blocks. Every six months, we don't look at a

quarter;

we

look

at

six

months.

We

call

it

the

Strategic

Planning

cycle,

SP1,

SP2,

SP3,

SP4,

SP5,

SP6,

which

means

we

have

completed

the

SP6

cycle

since

we

launched

eMA CH.ai

as

a

platform.

In cycle SP1, we understood that eMA CH.ai will be more acceptable in the advanced market

because
they
under stand
the
value
of
the
architectur e
and
how
it
can
drive
their
technology's
cost
of
owner ship.
And
that
is
the
time
when
we
were
not
entering
the
US,
and
we
men tioned

to
you
that
we
entered
the
US,
Canada,
and
Europe.
And
with
those
investmen ts
we
did,
we
got
some
early
wins,
like
the
OTP
win
we
got
in
that
cycle.
And
man y
other

bank s,

we

got

the

CIBC

deal

and

other

deals

in

that

cycle.

Q4 & FY 2025-26

But now, this time, six cycles are comple ted. So, this is the time when we evalua te ourselves against

six

cycles

and

plan

for

the

next

six

cycles.

So,

there

are

12

cycles

we

look ed

at,

with

the

transforma tion

presen t

for

three

years

and

then

for

the

next

three

years.

So,

the

next

three

years

will

be

the

mone tisation

phase.

The

first

three

years

were

spen t

creating

the

entire

infrastructur e

of

my
products,
which
are
coming
together
on
the
eMA CH.ai
platform,
my
narrative,
and
my
go-to-market
strategies
by
aggregating
my
six
marketing
teams
under
the
chief
revenue
officer .
So,
this
is
a
time
when

we
try
to
consolidate
the
power
of
LoB
into
the
power
of
Intellect.
And
that's
where
it
took
us
some
time
to
see
the
value
each
product
and
each
line
of
business
brings,

so

that

it

becomes

a

multiplier

effect

when

they

come

together.

In this process, we could be able to sign up the marquee customer s. Almos t 60 of our customer s

have

asse ts

exceeding

\$100

Bn.

So,

there

are

customer s

wher e

we

have

a

great

opportunity

to

cross-sell

on

eMA CH.ai.

And

that's

the
reason
why
I'm
saying
we
are
bullish
about
the
future,
is
if
they
are
sitting
on
the
same
eMA CH.ai
platform
where
we
are
promising
there
is
one
source
of
truth
of
data,

it
is
much
easier
to
sell
the
second
product
and
the
third
product
on
the
common
backbone.
Like
Sales force,
if
you
sell
the
same
product,
the
backbone
remains
common.
That's
all
the
eMA CH.ai

cloud

that

we

are

looking

at.

It

will

be

relevant

for

us.

This is part one of our exercise, where we will be going deeper into large accounts. Now, the second

piece,

which

is

coming

out

by

connecting

Purple

Fabric

and

the

product,

which

is

called

eMA CH.ai.

And now, in the last 18 months, we have made all our products AI-first. AI Core Banking , AI Digital

Engagement

Platform,

AI

Lending ,

AI

Trade

Finance.

And

since

AI

is

built

with

an

AI-first

thinking

process,

we

can

drive

more

sales

and

a

larger

pipeline

because

it's

an

AI-first

product.

We

could

be

able

to

compe te

or

overshadow

our

long-term

customer s

in

the

trade

finance

business,

in

the

lending

business,

which

was

initially

when

we

were

selling

only

eMA CH.ai

as

a

Trade

product

or

eMA CH.ai

as

a

Wealth

product.

But

when

these

two

technologies

come

together,

that

created

a

kind

of

most

against

our

key

competitor

in

that

space,

and

we

are

in

the

final

stages

of

a

few

large

wins

in
the
space
of

eMA CH.ai

And so, first I covered product, then I covered eMA CH plus AI, and finally I will cover our role in

AI,

how

AI

is

evolving

in

the

world,

and

where

we

are

in

the

AI

journey.

I

will

take

a

separate

time

later

on

to

explain

what

the
AI
is
all
about
and
where
we
are
looking
at
it,
but
in
a
nutshell,
for
this
investor
conference.
I
would
like
to
say
that
on
one
side,
you
are
hearing
a

lot
of
noise
from
the
Anthropic
Claude,
OpenAI
ChatGPT,

and
Cursor
and
that
the
jobs
are
going
to
be
replaced

in
the
AI

world.
And everything you are hearing as an investor is true. It's not that these jobs will not go away.

Jobs
will
go
away
from
the
IT
world,

and
India
will
be
in
some
trouble,
India
will
say,
with
the
AI
implosion.
It's
a
comple tely
new
chang e.

But
on
the
other
side,
man y
bank s
and
Q4 & FY 2025-26

financial institutions that implemen ted AI for customer service in peripher al areas are
getting
the
bene fit
of

implemen ting

customer

service

areas

wher e

80

to

85%

accur acy

is

allowed,

because

you

are

doing

support

services

or

customer

service.

So, that's an area wher e AI is giving bene fits to the financial institution. But mos t financial institutions

have

not

been

able

to

apply

AI

or

productionise

it

in

core

processes,
systems,
and
technologies.

And
for
that,
our
research
teams
have
done
a
phenomenal
job
in
this
space.
They
understood
the
core
issue,
why
AI
in
the
enterprise
space
will
not
work
unless

we

solve

the

core

systemic

issue

there.

Intellect's research team has done deep research on it. They applied some mathematical models,

some

models

from

physics,

and

some

models

from

mathematics.

And

using

those

models,

we

think,

how

do

we

create

deterministic

knowledge,

which

is

the

core

of

any

judgment

or

decision

AI

can

take?

For a financial institution's core processes, we need at least 95% as a benchmark to make it usable

for

production-grade

AI,

which

I

call

production-grade

AI

or

enterprise

AI.

We

exactly

solve

that

issue

because

intelligence

accuracy

is

equal

to

knowledge

accuracy,

reasoning

accuracy,

and

context

accuracy.

And

if

the

knowledge

accuracy

is

85%

right,

which

LLM

gives

me.

Reasoning

accuracy,

which

I

define

as

the

agent's

accuracy,

is

95%

correct

if

context

accuracy

is

95%

correct.

These

are

the

best

cases

I'm

telling.

You

can't

get

more

than

95%

right

in

context,

or

95%

right

is

reasoning

by

the

AI,

and

85%

in

knowledge.

Please

multiply

them

now,

not

take

an

average.

Take your computer or take your cell phones and multiply 85 by 95 by 95. You will get 76.7% accuracy.

Now

at

76.7%

accuracy,

it

cannot

be

enterprise

AI

for

core

processes

of

the

financial

institution.

And

that's

the

problem

most

of

the

banks

are

facing.

For

this

problem,

we

have

filed

about

15

patents

in

this

space

over

the

past

six

months.

We

are

unique

to

Intellect.

We

have

solved

this

problem

by

applying

physics,

mathematics,

and

models

embedded

in

my

knowledge

models,

data

models,

and

entire

technology

models.

And now we can achieve 94%-95% accuracy in many areas. We are governing it well. We have

signed

two

large

enterprise

AI

platform

deals

in

India

and

three

or

four

platform

deals

outside

India,

and

our

pipeline

is

growing

well.

This

is

one

part

of

the

platform

I

men tioned

to

you.

And the second way of going to mark et is wha t I'm doing , each product is going like Purple Fabric

Trade

business,

Purple

Fabric

Lending

business,

Purple

Fabric

Wealth

business,

Purple

Fabric

Risk

and

Governance

business,

Purple

Fabric

Customer

Onboar ding.

All
the
pieces
are
being
sold
where
the
banks
are
ready
to
apply
a
use
case
basis,
or
the
bank
wants
to
make
a
change
together.
So,
these
are
the
two
revenue
streams

we
are
building
in
the
AI
space,
and
both
look
very
lucrative.

Q4 & FY 2025-26

So Manish will tell you all the details of how the year went, what businesses we have done, where

we
generated
the
various
revenues.

And if you have more questions about AI, if you feel that it will be of interest to you some time

in
the
next
two
weeks,
I
will
take
a
one-hour
session
where

you
can
send
the
ques tions
to
us
that
wha t
ques tions
you
want
to
know,
especially
for
investors,
wher e
we
can
have
a
90-minut e
session
for
all
investors
to
under stand
wha t
the
AI
space

is
evolving
and
wha t
my
personal
under standing
of
AI
is.

So, at this poin t in time, I hand it over to Manish to take you to the results. Manish Maak an: Thank you, Arun. And good evening , everyone. And thank you for joining us. As Arun called out,

it's
been
a
systema tic
design
of
how
we
will
align
around
the
indus try
and
how
we
focus
on
growth
by
design.

Clearly ,
you
would
have
seen
the
number s
for
the
year.
FY26
was
a
very
strategically
import ant
year
for
us,
as
shown
in
the
results
and
our
strategy.
I
think
we
have
shown
signific ant

top-line

growth

and

strengthened

our

balance

sheet,

and

continue

to

deepen

our

position

as

an

AI-native

financial

technology

platform

company.

Most importantly, the investments we have made over the last several years in composable architecture,

enterprise

AI,

and

deep

financial

domain

specialisation

are

now

delivering

the

compounding

scale

which

we

really

needed.

Today,

we

operate

across

62

countries

with

more

than

500

institutional

customers.

Arun shared that we have more than 60 customers with very large asset sizes. So, we are primarily

in

the

tier

one

business

on

one

side

of

our

business.

And

on

the

other

side

of

business,

we

work

with

the

credit

unions.

We

have

been

able

to

design

the

business

model

to

serve

both

segments

from

that

perspective.

We

continue

to

maintain

strong

domain

depth

across

wholesale,
consumer ,
wealth,
insurance,
and
AI-led
enterprises.
That
segmentation
from
a
product
perspective
and
a
market
coverage
has
really
played
to
what
we
defined
as
the
arena
in
the
Intellect
Design
Arena.
And

that
strategy
is
working.
The
two
million
hour s
of
annual
R&D ,
which
you
look
at
50
dollar s,
is
like
100
million
dollar s
from
an
Americ an
perspectiv e.
That's
the
kind
of
courage
we
have

had
to
invest
in
building
this.
Our
advantages
are
that
unit
costs
are
low,
but
if
it
were
an
American
company,
that
would
translate
to
an
annual
basis
of
at
least
100
million

dollar s

in

R&D .

And

that's

wha t's

kept

us

at

the

edge

continuously

in

the

mark et.

I

think,

like

Arun

called

out,

we

saw

the

trend

early

for

AI,

and

we

started

investing

in

2016-17

around

this.

AI is evolving through multiple stages from experimentation to data and AI, data as a platform,

to

where

we

now

believe

we

are

in

wave

six

where

AI

native

enterprises

is

what

will

define

who

you

are

and

whether

or

not

you

will

be

able

to

take

advantage

of

this

wave

continuing

to

remain

in

experiments

will

not

help

and

that's

where

we

are

helping

number

of

large

institutes

to

actually

become

AI

first

digital

banks.

Q4 & FY 2025-26

The second piece of strategy, as Arun shared, the two-platform approach creates an unfair advantage.

One

is

eMACH.ai

composability

and

Purple

Fabric

from

an

AI

enablement.

That's

why

eMACH.ai

together

helps

us

deliver

the

AI-first

approach

of

who

we

are.

If you look at the three dimensions of designing any of the strategies, part one of that is designing

for

our

products,

part

two

is

designing

the

markets

where

we

will

take

this

product,

and

part

three

was

choosing

to

design

a

customer

portfolio.

This is a very structured approach which for the last 10 years, we have followed and it shows up

in

our

results

as

we

go

forward.

This framework has allowed us to scale on a defined strategic focus over multi-year cycles with

greater

predictability.

We

call

that

from

an

initia tion

to

how

quickly

we

get

to

cycle

one,

wher e

we

get

about

■
500

crores.

We

put

on

slabs

of

■
500

Crore

each

from

a

cycle

growth

perspectiv e

to

wher e

you
have
got
the
mark et
trust,
to
wher e
you
are
preferred
in
the
mark et
to
being
a
mark et
leader ,
category
leader .
And
these
three
cycles,
we
have
look ed
at
it.
And
as
we

go
forward,
we
have
categorised
also
for
your
informa tion
how
each
of
our
business
lines
has
that
leader ship.
The
Wholesale
Banking
business
is
now
fully
mature
in
cycle
three
at
■
1,500
Crore

plus

revenue

from

that

perspective.

We

started

in

2016-17,

and

if

you

look

at

a

nine-to-10-year

cycle

it

brought

us

here.

Now

it's

about

how

the

next

■
1,500

Crore

can

come

in

a

faster

time.

Two

years

later,

we

started

on

Consumer

Banking

and

now

very

happy

to

announce

that

Consumer

Banking

has

also

crossed

■

1,000

Crore

this

year.

And

our

young est

business,

where

we

started

investing

on

wealth,

capital

mark ets

and

insur ance

in

2022-23,

streamlined

to

take

it

forward.

It

has

also

crossed

■

500

Crore

business.

This is a repea table pattern which proves that focus, how you go from cycle 1 to cycle 2 to cycle

3

is

not

being

opportunis tic.

It

is

design

choices

which

we

have

taken

every

3

years

to

invest

forward.

I

think

Arun

men tioned

that

we

look ed

at

every

six

mon ths

as

a

strategic

phase

to

define

inno vation

and

grow

engines

of

how

we

will

see

it

through

any

of

these

journeys.

This

is

just

a

snap shot

of

how

we

have

invested

in

one

or

two

platforms

every

six

months

and

take

it

forward

to

scale

to

support

our

vision

and

opportunity

in

the

market

around

EMA CH

and

AI.

And over this period, this is not only been accepted by customers, which shows in our results

of

the

number

of

customers

we

acquire,

but

also

by

the

industry

analysts

and

industry

awards

across

the

three-year

window,

we

have

received

56

analyst

leadership.

We

are

in

a

number

one

or

a

number

two

category,

and

18

industry

awards

where

we

are

leaders

in.

So,

it's

a

consistency

of

our

performance

and
vision,
which
is
eviden t
over
here
across
all
phases.
Q4 & FY 2025-26

As we look forward, I think creating the moa t was equally import ant. So, if you just clearly see

in
the
last
year,
we
filed
for
close
to
100
patents.

And
that's
the
differentiation.

And
this
is
wher e
our

company

is

going

to

create

an

edge

in

the

market.

We

have

overall

filed

125

patents.

And

nine

have

been

granted,

and

the

balance

are

in

progress.

We

are

creating

this

wedge

so

that
the
innovation
we
are
investing
upon,
others
cannot,
the
disruptive
technology ,
others
cannot
take
advantage
of
doing
from
that.
So,
we
look
forward
to
this
IP
moat
in
our
products
to
continue

to

go

forward.

I think that from designing our products, we graduated to designing our market presence and

we

took

a

structured

approach.

Initially ,

we

grew

our

journey

through

Europe.

And

then

we

went

into

the

Middle

East,

Asia,

and

India.

Over

the

last

four

years,

there's

been

a

very

significant

focus

in

building

the

Americas

business.

And

last

year

has

been

exceptionally

good

growth,

you

see,

this

is

what

we

are

looking

at.

America's business has grown many fold from that perspective, has got 27%. But the good news

is

while

one

market

share

has

grown,

we

have

continued

to

main tain

a

20%.

The

lowest

mark et

is

13%

to

27%.

It's

a

very

balanced

growth

across.

So, either mark et fluctua tions don't hurt us right now. If one mark et is facing a geopolitic al issue

happening ,

the

pivot

of

focus

last

year

was

difficult

for

Europe.

So,

we

pivoted

strongly

to

the

Americ as,

and

it

shows

in

the

result.

And

we

were

able

to

manag e

the

European

revenues

to

wher e

it

was,

but

grow

Americ as

from

that

perspectiv e.

So,
now
with
a
decen t
depth
in
each
of
the
mark ets,
ranging
from
■
400
Crore
to
■
800
Crore,
we
are
able
to
pivot
and
insula te
ourselves
against
any
unplanned
inciden ts
which
happen

in

the

market.

The third piece is designing a customer portfolio. So, we sharpen our products for the market,

and

we

choose

which

customers

we

are

going

to

grow.

We

have

been

strongly

in

a

tier

one

product

market

space

where

we

have

excelled.

And

this

shows

that
we
today
have
500
plus
leading
global,
regional
and
challeng er
bank s
who
trust
in
Intellect.
But
if
you
look
across
geogr aphies,
the
top
60%
of
the
top
10,
15
or
20,
we

continue

to

grow

that.

Those

are

our

leading

brands

where

the

banks

trust

us.

And as they go global, it increases our distribution and the strength of each of the products.

And

it

follows

that

pattern

follows

all

the

regional

banks

wanting

to

adapt

and

then

the

local

banks

wanting

to
adap t
that
journe y
of
establishing
trust
we
may
have
started
with
a
difficult
larger
bank s
but
that's
established
our
leader ship
in
the
mark et
and
this
is
the
proof
poin t
of
our
success

and

we

continue

to

grow

this

you

would

have

seen

this

this

slide

evolve

every

year

from

where

it

was

to

what

we

are

today.

So,

these

are

the

two

gemstones

that

have

helped
us
reach
here.
I
think
this
is
also
eviden t
in
our
pipeline,
which
has
now
crossed
■
12,000
Crore.
And
we
have
99
Destiny
deals
which
are
available.
And
in
2025-26,
we
had

21

destiny

deals

which

we

won,

which

were

multi-pr oduct,

multi- year

programs

at

mark eting

institutions

and

these

Q4 & FY 2025-26

deals compound actually you enter with one product with a three to five million annual revenue

and

when

you

bring

in

the

second

product

it

becomes

the

ARR

grows

from

\$5

to

\$7

million

so

that

equa tion

of

cross-selling

focusing

on

your

large

accounts

you

serve

them

well

you

build

trust

you

deliv er

on

time

that

mark etplace

is

very

large

individual

customer s

are

a
marketplace
and
based
on
that
strategy
we
are
deepening
our
investments
around
our
existing
customer
base
they
are
crown
jewels.

This
is
a
snapshot
of
high-value
pursuits
we
are
running
across

crores,
30
to
50,
20
to
30
and
these
are
the
99.
So,
very
focused
attempt
to
play
in
the
larger
size
and
these
are
the
Q4
strategic
wins
which
we
have
had

with

four

large

wins

across

Americ as

two

across

Europe

and

five

across

Middle

East

so

if

you

see

it's

been

and

two

in

India

and

two

in

fact

all

mark ets

have

manag ed

to

show

wins

across

which

are

material

deals

which

have

made

a

difference

to

our

number s

from

that

perspectiv e.

I think the five new design choices for the next three years that we are looking at are like we said

Arun

initially

men tioned

that

I

started

off

with

native

AI

companies,

and

this

is

where

Purple

Fabric

scaling

is

happening

right

now,

and

this

is

truly

a

platform-led

business,

which

also

shows

in

our

revenue

how

platform-led

business

is

growing

against

the

conventional

just

licensing

business.

A second pattern we are seeing is that there's a significant shift to move away from main frame

to
cloud,
and
this
is
where
our
eMA CH.ai
tech
stack
has
both
its
proof
points
of
having
moved
multiple
main frame
platforms
to
a
cloud
platform
and
the
composability
of
it
for
large
tier-one

transforma tion

has

been

proven,

and

we

are

scaling

up

our

investmen ts

behind

it,

and

we

are

seeing

good

mark et

traction.

We

gradua ted

from

Transaction

Banking

to

Wholesale

Banking.

This

is

an

ecosystem

play

across
deposits,
lending ,
cash,
liquidity ,
trade,
and
supply
chain.
So,
we
are
continuing
to
expand
on
our
moa t
of
wha t
a
wholesale
bank
needs
and
how
we
can
offer
that
as
an
integrated

composition.

Payments

are

the

fastest

growing

area

across,

and

multiple

things

are

happening

from

embedded

to

cross-border

to

real-time.

This

is

where

we

are

making

a

significant

difference,

and

there

have

been

multiple

drills

in

the

last

year.

And the fifth one is on financial advisory around wealth and insurance. This is our youngest platform,

but

truly

leading

with

AI

first

for

the

next-gen

investors.

And

this

is

making

a

big

difference.

Each

one

of

you

would

also

be

looking

at

AI

in
your
worlds.

And
this
is
where
we
are
helping ,
which
is

giving
us
the
big
wins
right
now.

Vasudha,
you
take
up
from

here.
Vasudha Subramanian: Thank you. Thank you, Manish. Good evening , everyone. Happy to take you through the financial

highlights
for
the
quarter
and
the
financial

year

2025-26.

So,

the

financial

year

25-26

has

been

a

year

of

strong

growth,

impr oving

business

quality ,

disciplined

execution,

health y

collections

and

sustained

investmen t

in

long-t erm

strategic

init

ia tives.

For

the

full

year

2026,

Intellect

report ed

a

total

income

of

■

3,161

Crore,

represen ting

a

23%

Q4 & FY 2025-26

year-on-year growth. License linked revenue comprising platform, license and AMC revenues increased

to

■

1,667

Crore,

represen ting

a

strong

34%

year-on-year

growth.

Breaking

this

down

further ,

platform

revenue

increased

signific antly

to

■
580
Crore
from
■
241
Crore
in
the
financial
year
25,
representing
a
141%
year-on-year
growth.
And
licensed
revenue
stood
at
■
517
Crore.
AMC
revenue
was
■
570
Crore,
reflecting
the
continued
strengthening

of
annuity
and
recurring
revenue
streams.
Moving
to
profitability ,
gross
margin
for
the
year
stood
at
■
1,786
Crore,
representing
a
19%
year-on-year
growth.
EBITDA
for
the
year
was
■
703
Crore,
representing
a

16%

year-on-year

growth.

The

Non-GAAP -EBITD A,

which

excludes

the

stock

compensa tion

cost,

was

■

756

Crore,

which

represen ts

a

24%

of

the

income

for

the

year.

PBT

before

considering

exceptional

items

was

■

493

Crore,

while

PAT

stood

at

■
369

Crore

for

the

year.

PAT,

after

considering

exceptional

items,

stood

at

■
345

Crore,

and

the

exceptional

item

comprises

the

gratuity

provisioned

for

■
30.84

Crore

and

the

result ant

deferred

tax

impact

of

■

7.76

Crore,

which

we

have

accounted

for

in

Q3.

Collections

remained

strong

during

the

year

at

■

3,043

Crore

as

compar ed

to

■

2,371

Crore

in

the

financial

year
2025,
which
represents
an
increase
of
■
6.72
Crore
year-on-year.

We
closed
the
year
with
cash
and
cash
equivalents
of

■
1,257
Crore,
an
increase
of
Rs.236
Crore
over
the
financial
year
2025

from

■

1,021

Crore

gross.

So,

Intellect

continues

to

main tain

a

strong

balance

shee t

and

zero

debt

position.

Talking about our deal wins and digit al transforma tions, 59 new customer s select ed Intellect for

their

transforma tion

journe y,

and

91

digit al

transforma tions

went

live

globally

during

the

year.

Another

positive
trend
during
the
financial
year
2026
has
been
the
continued
strengthening
of
our
balanced
geographic
revenue
portfolio
across
developed
and
growth
markets,
which
Manish
talked
about.
Moving
to
Q4,
total
income
for

the

quart er

stood

at

■

884

Crore.

Platform

revenue

for

the

quart er

was

■

162

Crore,

and

license

revenue

was

■

152

Crore.

Our

ARR

for

the

quart er

stood

at

■

1,247

Crore

as

of

Q4,

up

by

■

870

Crore

from

the

same

quart er

last

year.

We

achie ved

an

EBITD A

of

■

221

Crore

for

the

quart er

and

a

PBT

of

■

162

Crore.

Collections

for

the

quart er

were



791

Crore.

Another

important

indicator

of

our

operational

discipline

is

our

working

capital

efficiency .

Our DSO for the quarter stood at 126 days as compared to 137 days for the same period last year.

We

also

continue

to

strengthen

leadership

capability

across

the

organisation,

with

23

senior

leaders

joining

Intellect

during

the

financial

year

across

strategic

functions

and

markets.

Let me briefly cover the important board and organization announcements for the quarter.

In

line

with

the

company's

dividend

distribution

policy ,

the

board

has

recommended

a

final

dividend

of

■

4

per

share

along

with

a

special

dividend

of

■

3

per

share

on

the

equity

shares

Q4 & FY 2025-26

with a face value of Rs 5 each for the financial year 2025-26, subject to shareholder approval at

the

ensuing

AGM.

The

record

date

for

determining

shareholder

entitlement

has

been

fixed

as

July

24,

and

the

dividend,

upon

approval,

will

be

paid

on

or

before

August

29,

2026.

On the organisation front, the year marks an important leadership transition phase for Intellect.

Mrs

Sudha

Gopalakrishnan,

Chief

Assurance

and

Governance

Officer ,

will

retire

from

the

services

of

the

company

effective

31st

May

upon

turning

the

age

of

super annua tion.

The

boar d

has

placed

on

record

its

sincer e

appr eciation

for

her

valuable

contributions

during

her

tenur e

with

Intellect

as

part

of

the

leader ship

transition.

Mr

Krishna

Rajar aman,

the

Chie f

Technology

Officer ,

will

transition

into

the

role

of

Head

Customer

Deliv ery

Experience

effectiv e

1st

June.

Mr

Vivek

Gupta,

currently

the

Presiden t

and

Head

of

Consulting ,

will

be

redesigna ted

as

the

Chie f

Customer

Officer

effectiv e

1st

June

2026.

In addition, Mr Prashant Lalchandani has been appointed as the Chief Technology Officer of the

company,

effective

1st

June.

Prashant

brings

over

three

decades

of

experience

across

product

engineering ,

enterprise

architecture

and

global

banking

platforms

and

has

played

a

vital

role

in

shaping

Intellect's

AI-native

engineering

and

eMA CH.ai

platform

evolution.

These

leader ship

transitions

further

strengthen

Intellect's

long-t erm

execution

capability

as

we

continue

to

scale

our

AI-first

and

platform-led

transforma tion

journe y

globally .

Finally , here is our investmen t thesis. We are leading through five key differentiators. AI native

leader ship.

Our

wave

six

infrastructur e

is

live

in
45-plus
global
institutions,
giving
us
a
massiv e
first-mover
advantage.
Secondly ,
we
are
a
zero-deb t
compan y.
Our
growing
cash
reser ves
and
recurring
ARR
engine
provide
a
stable
compounding
founda tion
for
high-mar gin
returns.
With

30

years

of

expertise

across

62

countries

and

500-plus

clients,

we

possess

a

deep

domain

most

that

competitors

simply

cannot

replicate.

Our

pipeline

is

robust,

featuring

80-plus

active

pursuits

valued

at

over



20

Crore

each,

ensuring

strong

revenue

visibility

and

momentum.

The

synergy

between

eMA CH.ai's

composability

and

Purple

Fabric

intelligence

creates

a

compounding

effect,

moving

us

from

linear

growth

to

exponential

platform

value.

So, as we move into the financial year 2027, we remain confident in the company's long-term

positioning ,

business

quality ,

and

strategic

direction.

With

that,

can

we

now

open

the

floor

for

ques tions?

Arun Jain: Yes. Thank you. Thank you, Vasudha.

Q4 & FY 2025-26

Praveen Malik: Thank you, Vasudha. Now, the forum is open for Q&A . In case you want to ask a ques tion, please

click

the

'raise

your

hand'

button.

So

that

we

can

unmut e

you.

First,

we

have

Mr.

Rahul

Jain

from

Dola t

Capit al.

Rahul,

unmut e

yourself.

Rahul Jain: Yeah, hi, hope I am audible. Thank s for the opportunity , and congr atulations on very strong number s

and

excellen t

presen tation

as

well.

Just

two

to

three

aspects

I

wanted

to

touch

upon.

We have talked about the next 18 mon ths of mone tisation that we see on the eMA CH.ai size.

And

on

this

particular

offering ,

do

we

see

the

mix

of

product

being

on

the

license

side

of

it,

or

will

it

be

more

on

the

subscrip tion

side

of

it?

Any

trend

if

we

could

iden tify

for

this

product?

That

is

ques tion

number

one.

Arun Jain: Okay. If you look at it, our implemen tation revenues are fairly decr easing in percentage terms

as

the

growth

is

increasing.

License-link ed

revenues

are

growing

faster

than

other s.

You

are

asking

about

the

subdivision

of

license

versus

subscrip tion.

Our

focus

is

to

get

to
more
subscrip tion
revenue,
which
is
long-t erm
in
nature.

But
we
are
not
letting
go
of
the
license
revenue
wher e
the
large
customer s
are.

So,
forecasting
that
will
be
difficult,
which
number
will

grow

faster.

Our

intent

is

to

increase

subscription

revenue,

but

the

outcome

will

be

determined

by

market

conditions.

Rahul Jain: That's clear . Second, from a growth point of view, these five key reasons that we have highlighted

this

yearly

sets

up

a

growth

acceleration

though t

process.

So,

do

you

think

that

next

year

onwards,

right

from

FY27

onwards,

we

could

see

growth

accelerating

or

are

we

more

thinking

about

this

from

a

medium-term

perspective

and

not

necessarily

from

an

FY27

perspective?

Arun Jain:

We

are

getting

good

traction

with

a

■

12,000

Crore

pipeline,

and

it

is

qualified.

We

always

men tion

to

you

that

predicting

anything

of

this

nature,

the

revenue

modelling

on

a

quart er-to-quart er

basis,

is

more

difficult

for
us
than
projecting
the
trajectory
of
the
company.
Trajectory
of
the
company
moving
from
■
500
Crore
a
quarter
to
■
600
Crore
a
quarter,
then
to
■
700
Crore
a
quarter,
and
finally

to

■
800

Crore

a

quart er.

We

are

able

to

forecast

that,

okay,

we

will

move

from

■
700

Crore

to

■
800

Crore

in

two

to

three

quart ers

or

three

to

four

quart ers,

and

that

we

can

sustain.

But which revenue, which particular piece will come from which geography, so we have a complex

business

of

at

least

six

markets,

three

LoBs

and

ten

product

lines.

From

an

investor's

perspective,

it's

a

very

well-balanced

portfolio.

From

the

product

side,

there's

a

Q4 & FY 2025-26

sufficient capacity to grow, so saturation is avoided at the product level. Saturation is avoided

at

a

market

opportunity .

Market

risk

is

avoided

at

a

market

level.

So, we are looking at the whole business into two pieces. One is a product on the product side;

the

other

is

a

market

on

the

market

side.

We

are

mitigating

market

risk

on

one

dimension,

and

we
are
ensuring
that
we
have
sufficient
product
in
the
market
so
that
we
don't
hit
the
saturation
button.
Many
single-product
companies
hit
a
saturation
point
where
they
become
cash
companies
but
not

growing

companies.

So, ensuring the cash and growth both come together is a strategy when we look at the Arena

Model

of

Business.

We

have

now

demons trated

over

the

last

10

years

that

this

model

works.

It

takes

five

years

to

get

into

the

sustainable

model

when

we

start

investing

GTM

money.

So,

the

R&D

space

of

Purple

Fabric

we

invested

in

between

2016

to

2021,

but

the

go-to-market

took

2022

onwards.

So

you

take

almost

a

five-year

cycle

time,

and

things

are

below

the

surface.

It's

not

driving

any

numbers,

and

those

investments,

like

the

■

92

Crore

investment

in

the

AI

business

last

year,

we

said

■

130

Crore,

we

ended

up

with

■

92

Crore

investmen t,

and

we

have

an

order

book

of

over

50

million

dollar s

on

the

AI

business

we

book ed

last

year,

and

a

revenue

of

■

160

Crore

this

year.

So, I think that's wha t we are able to project, Rahul: that we are growth by design and margin

by

design.

Rahul Jain: Yeah, just one last aspect from my side and then I will go back into the queue. One thing we

have
been
articula ting
well
is
how
well
we
are
positioned
in
terms
of
the
kind
of
offering
that
we
have,
which
is
best
suited
for
the
customer .
But
purely
from
a
demand
side

of
it,
you
think
is
there
an
incremental
traction
even
from
a
demand
side
of
it?
Or
most
of
our
success
or
pipeline
is
getting
encouraged
because
of
our
better
qualifications
and
our

better

offering ,

and

winning

mark et

share.

Arun Jain: Manish, you want to add something? Manish Maak an: Rahul, you answered it yourself: a combination of all the elements over there. Better quality ,
better

mark et

rate,

better

mark et

acceptance.

We

continue

to

win

big

with

our

own

existing

customers.

Our

portfolio

is

designed

with

that

perspective

in

mind.

So,

there's

less

anxiety

in

the

portfolio.

Year

on

year,

we

said

we

have

a

certain

band

we

want

to

operate

in.

And

I

think

this

year

we

managed

to

demonstrate

that

and

keep

up

that

consistency

is

where

I'm

looking

to

help

contribute

to

us.

Q4 & FY 2025-26

Rahul Jain: Right. And just to the engine that you talked about, so we should refer to it as 15% to 20% from

the

growth

point

of

view

and

20%

to

25%

from

a

margin

point

of

view.

Is

that

the

right

band

to

think

about?

Arun Jain: That is the same story which I told in 2016-17. I have not changed that trajectory. I say we are

designing

the

always

growth

at

20%

because

when

we

are

running

a

company,

we

design

the

business

for

20%.

There

are

some

external

factors

with

the

win

rate

we

achieve.

If

we

achieve

15%,

we

achieve

14%,

we

achieve

17%.

But

I

will

keep

that:

we

are

running

Arena

because

we

want

to

avoid

saturation

and

not

end

up

with

a

single-digit

growth

engine.

And that's the design part of it. How much we succeed is a not a factor of the market, factor of

some

situation

to

happen,

some

elements

happen,

but

it

covers

up

later

on.

So

on

a

growth

trajectory

perspective,

from

a

■
600

Crore

trajectory

to

a

■
3,000

Crore

traject ory

in

the

last

10

years,

five

times

the

traject ory,

I

think

we

have

not

disappoin ted

any

investor

over

the

last

10

years,

from

a

■
600

Crore

traject ory

to

a

■
3,000

Crore

trajectory.

But

again,

forecasting

FY27-FY28,

we

are

definitely

designing

for

20%

again.

Design-wise,

we

are

still

looking

at

20%;

whether

we

achieve

15%,

14%,

or

12%.

I

think

time

will

tell.

Manish Maan:

I

mean,

taking

it

in

bite-siz ed

chunk s

grows

by

■
100

Crore

over

2-3

quart ers;

keep

driving ,

keep

succeeding

on

that,

and

that

is

now

predict ability

showing

up.
Arun Jain:
That's

a

very

simple

matrix,

■
800

Crore

to

Rs.900

Crore,

so

now

the

next

miles tone

will

be

crossing

■

800

Crore;

this

quart er,

we

are

■

880

Crore.

If

we

retain

■

800

Crore

plus

for

the

next

two

to

three

quart ers,

that

will

be

our

challenge

right

now.

Rahul Jain: Sure, sure. Just a last bit, sorry. On the investment side, last year we accelerated because of the

AI

offering

that

we

wanted

to

take

to

the

customer .

Any

update

on

that

in

terms

of

whether

we

need

to

continue

the

run

rate,

need

to

accelerate

on

that

and

on

the

monetisation

side,

how

you

are

seeing

it?

Thank

you.

Arun Jain: Investment will be continuous, Rahul. Again, I'm saying that over the last 10 years, we want to

keep

EBITDA

margins

between

20%

and

25%.

That's

a

trajectory

we

are

considering ,

and

we

would

like

to

reinvest

in

building

deliv ery,

sales,

or

R&D

capacity .

So,

those

investmen ts

are

taken

on

a

conscious

call

two

quart ers

in

advance.

When

we

take

a

call

to

increase

capacity ,

the

margins

suddenly

drop,

which

are

recovered

after

two

quarters.

Q4 & FY 2025-26

So, there a lag between when we invest upfront like in quarter one we invested then there's a

sudden

drop

in

the

margins

in

quarter

three

we

experienced

and

this

has

happened

not

one

time

this

happened

multiple

cycles

if
you
look
at
the
book s
we
have
invested
and
after
three
quart ers
if
you
look
at
the
same
number ,
you
will
find
suddenly
margin
goes
up
to
27%
to
28%.
And
there

you
believe
this
is
margin
sustainable.

And
then
we
reinvest
that
money.

That's
how
the
trajectory
moves
from

■
600

to

■
700

to

■
800

Crore.

If
we
focus
on
margin,
then
I
will

be
able
to
manage
the
margin,
but
may
not
be
able
to
manage
the
growth.

Rahul Jain: Thank you and best wishes. Praveen Malik: Thank s, Rahul. Next, we have Mr NGN Puranik from Enam Securities. Mr Puranik, please
unmute

yourself.

NGN Puranik: Hi, Arun. Brilliant quarter, brilliant year. I think looking strong in terms of momentum. You
are

mentioning
one
important
thing.

Accuracy
as
a
competitive
advantage
in
a
model
when

it
comes
to
selling
solutions
to
the
banking
industry.
Perhaps
I
would
add
energy,
aerospace.
These
are
all
accuracy-sensitive.
So,
how
did
you
achieve
this?
And
how
do
you
sell
this
accuracy
to

the

top

60

customer s

you

talked

about?

Arun Jain: Yeah, so very good ques tion, Puranik. My favourit e ques tion that last 12 mon ths amoun t of hour s

I

spen t

resear ching

AI,

I

would

not

have

spen t

this

much

amoun t

of

time

personally

in

the

last

10

years.

It's

coming

from

merging

the

Indic
Knowledge
Systems
to
Western
Knowledge
Systems.
So,
I
have
to
use
the
Tattvartha
Sutra,
Vaisheshika,
and
the
Nyaya
Shashtra,
and
I
have
to
use
some
of
the
global
systems
of
knowledge
from

Harvard
and
MIT,
along
with
published
paper s
on
mathema tics
and
physics,
to
see
wha t
the
knowledg e
system
means
and
wha t
the
core
of
knowledg e
is.
How knowledg e gets designed, how the knowledg e gets construct ed. A shlok a is
determinis tic
knowledg e.
Shlok a
knowledg e:
you
can't
chang e
the

knowledg e

in

the

shlok a

because

it's

embedded

with

enchr ypted

knowledg e.

Shlok a

is

the

enchr ypted

knowledg e

which

is

there.

Now,

that

is

the

determinis tic

knowledg e

requir ed

for

any

institution

to

function.

And

that

I

call

deterministic

knowledge.

In

physics,

there

are

two

words:

probabilistic

and

deterministic.

So,

now

we

need

to

look

at

providing

the

right

solution

for

industries

focused

on

deterministic

paradigms.

Industries

that

are

not

deterministic,

like

healthcare,

are

not

deterministic.

But

banking ,

financial,

aerospace,

and

defence

will

be

deterministic

in

nature.

And

for

that

deterministic

nature,

I

have

to

apply

the

classification

of

knowledge,

which

is

even

in
the
Vaisheshika
and
Nyaya
Shashtra.
Q4 & FY 2025-26

So, Vaisheshika talks about the classification of knowledge. Nyaya Shashtra talks about the judgment

of
knowledge.

How
do
you
make
a

judgment
that

this
is

right
knowledge,

this
is

not
right

knowledge,
and

once
the

judgment
is

right,
only

then

can

you

convert

it

into

intelligence?

My

advantage

is

using

Western

tools

and

Eastern

philosoph y

together

to

impr ove

knowledg e

accur acy.

And this is wha t we are now finding: the institutions which we went to in July, August, and September .

They

said

they

have

100

people

on

the

MIT

team

doing

the

AI

work.

Now

they

are

calling

us

back.

Tell

us

how

we're

doing

it.

That

time

they

said,

no

we

don't

need

you.

We

don't

need

your

platform.

We

already

have

our
own
teams
working ,
except
the
two
financial
institutions,
which
are
doing
an
experimen t
maybe
earlier
and
they
realise
that
they're
not
able
to
get
it.
So,
these
IIT
engineer s
or
MIT
may

not

be

able

to

get

it

because

they're

not

in

this

indus try.

NGN Puranik: So, my ques tion is, how will you sell to these 60 customer s? Arun Jain: They are coming one by one. We have already commit ted five RFPs out of 60. So, we are working

with

them.

NGN Puranik: Over time, you can see at least 10 to 20 of them buying for accur acy. Arun Jain: Mor e than that, I think this is a we should be getting almos t 30 customer s buying our platform

in

the

next

two

years

NGN Puranik: And then average deal sizes of wha t range? Arun Jain: We need to do the mone tisation. As of now, the pricing we are seeing is at the lower end of quart er

million

to

half

million

dollar s.

But

the

idea

is

to

move

to

three

to

five

million

dollar s.

Idea

is

a

platform.

Like

Sales force,

when

they

entered

India,

they

sold

Sales force

for

100,000

dollar s.

But

today,

Bajaj

pays

■

100

Crore

for

a

single

instance.

So,

that's

how

the

platform

sales

happen.

NGN Puranik: And you also mentioned that you are in the final stages of large wins in M2C , in the eMA CH space.

What

exactly

is

that?

Q4 & FY 2025-26

Arun Jain: This is the core modernisation space, the mother of all the deals. What we are bringing is the

lowest

TCO

and

fastest

delivery.

The

cost

of

moving

from

main frame

to

cloud

is

still

the

highest

cost

in
Americ a
than
Europe,
and
they
have
to
move
to
the
cloud.
So,
this
M2C
deliv ery
model
in
which
Manish
covered,
is
a
very
big
opportunity
for
us
to
demonstrate
our
capability .
We

are

working

with

Kyndr yI,

we

are

working

with

IBM,

we

are

working

with

other

AWS

as

a

partner

that

how

the

eMA CH

stack

is

mos t

conduciv e

to

sell

to

these

large

deals.

But the cycle time for this deal could range from 12 to 18 mon ths. We have made OTP, which we

went

live,

and

we

won

the

deal

two

years

back.

Today,

eMA CH.ai

is

live

in

both

Hung ary

and

Bulg aria.

These

two

countries

are

live

with

eMA CH.

So,

we

demons trated

that

within

18

mon ths,

we
can
put
the
system
live
with
eMA CH,
which
is
a
good
reference
point
and
will
accelerate
our
journey
going
forward.

NGN Puranik: And the eMA CH space you are talking about is also in the 60-customer category for targeting?

Arun Jain: This 60-plus, for that, the new customers are also coming, not 60. They are all new customers.

Because

we
don't
have
too
many
large
customers
in

Americ a.

Americ a

is

a

big

mark et

with

at

least

70

to

80

bank s,

with

\$100

billion-plus

asse ts

in

Americ a

alone.

So,

that

mark et

size

will

open

up

because

we

are

now

close

to

■
1,000

Crore

in

Americ a

and

■
800

Crore.

So,

we

are

touching

a

100-million-dollar

business

in

Americ a.

So, that a good traction. And you always used to ask, when are you going to Americ a. So, we always

said,

we

would

go

to

Americ a

last.

And

then

once

we

go

last,

we

are

ready
to
hit
the
market.
If
we
had
gone
earlier ,
which
a
lot
of
investors
were
anxious
about,
why
we
didn't
go
to
America
in
2020
or
2021.
And
we
kept
on
deflecting

that
point
and
said
we
would
proceed
according
to
the
strategy.
We
will
not
push
just
because
America
brings
in
more
revenue,
because
they
also
penalise
the
vendor
if
you
are
not
working

out

well.

NGN Puranik: And you also talked about keeping hordes of cash versus growth. So, that means there is an acceleration

in

R&D

dollar s?

Arun Jain: Yeah, that's definitely the R&D dollar will go up because now we have a designed R&D . 100 patents

we

filed

last

year.

This

momen tum

will

go

up

to

150

to

200

patents

in

the

coming

years.

So,

R&D

spend

will

go

up,

and

today

we

have

a

net

capitalisa tion

of

less

than

■

450

Crore

for

the

compan y,

which

is

getting

a

license

revenue

of

■

1,000

Crore

plus.

My

net

block

is

■

450

Crore.

Q4 & FY 2025-26

NGN Puranik: So, wha t multiplier do you have in mind for R&D dollar s to potential sales? Arun Jain:
Multiple

is

too

much,

so

if

I

can

start

calcula ting,

for

each

■

100

Crore

we

invest

in

R&D ,

we

gener ate

■

1000

Crore

over

the

next

10

years.

As

simple

as

that.

NGN Puranik: Arun, I want you to some time articula te on this power of this 127 patents some poin t in time

maybe

it
may
be
difficult
for
you
to
do
it
now
some
point
in
time
because
a
lot
of
value
sits
in
the
patent
and
if
you
can
articulate
in
your
annual
report
and

wha t

that

means

wha t

are

the

production

patents

wha t

are

the

productivity

patents

wha t

are

the

revenue

patents

wha t

are

the

defensiv e

patents

so

if

you

can

just

articula te

that

that

will

be

wonderful.

Arun Jain: Beautiful! I think that's that the journey will happen after 2028. But we are looking for a patent

monetisation

journey

some time

in

2028-29.

So,

that

is

the

next

phase

of

our

journey.

This

2025

to

26

is

going

on

for

three

years.

We

are

now

we

are

filing

the

patents.

We

will

create

a

closest

500

to

1000

patents

in

the

next

three

years,

and

then,

after

licensing

the

patents

will

be

another

revenue

stream.

But

that

will

be

after

2029.

NGN Puranik: Thank s a lot, Arun. Thank you so much. Praveen Malik: Thank s, Mr Puranik. Next, we have Mr Krish Jain from NAFA Asse t Manag ers. Krish Jain. Krish,

please

unmut e

yourself.

Krish Jain: I hope I am audible. So, looking at the revenue ex other income, we have seen 21.5% growth this

year.

Could

you

please

highligh t

wha t

the

constant

currency

growth

was

this

year?

Arun Jain: It would be 16%; you can say 4 or 5% reduced, so it would be 16-17%. Krish Jain: Sure, 16% growth. And looking at the revenue by geo, so we saw Canada, USA, you know, there's

a

huge

jump

there,

■

442

Crore

to

be

exact,

that's

115%

growth.

We

want

to
under stand
how
much
of
it
is
attribut able

to
the
Central
1
acquisition
last
year
and
how
much
is
organic
growth.

Arun Jain: Central 1 growth could be 50% of it. The remaining 50% comes from organic.

Q4 & FY 2025-26

Krish Jain: Okay. Final ques tion. Can we expect any M&A deals to happen? You know, you have got good

reser ves,
maybe
not
spending
it
on
R&D ,
maybe
like

some thing

similar

to

Central

1

or

even,

you

know,

cash

deals

that

can

happen

in

the

futur e.

Manish Maak an: No, that's not our core design for growth. If we see the right appr oach that adds value to our customer

strategy,

a

product

strategy,

or

a

mark et

strategy,

we

look

at

those

things.

But

that's

not

our

core

growth

engine,

which

we

are

designing

for.

Arun Jain: But since you are an investor in the market, we are looking for those companies where IP has

been

dead.

So,

we

want

to

look

for

acquisitions

for

those

companies

which

give

us

market

access

in

Europe,

market

access

in
the
US,
and
market
access
in
Australia,
where
their
product
set
is
30
years
old,
which
we
can
replace
like
Central
1.
So,
I
need
a
Central
1-equivalent,
low-cost
acquisition
so
I

can

replace

them

with

the

eMA CH

stack

and

other s

we

are

open

to.

Since you are in the market, all of you are. If you come across companies that I don't want to compete

with,

I

don't

want

to

compete

with

the

latest

in

nature,

but

those

acquisitions

will

give

me

access

to

customer s

on

eMA CH.ai.

Manish Maak an: And I think an import ant poin t to shar e from a Central 1 perspectiv e is that, while we have initial

customer

contracts,

we

are

cross-selling

them

DEP

right

now

and

bringing

them

onto

our

new

platform.

So,

within

18

mon ths,

I

would

have

resold

and

re-signed

all

of

those

contracts,
and
I'm
cross-selling
multiple
other
products
to
them.
That
was
like
Arun
said,
access
to
the
market
and
all
the
technology ,
which
we
could
cross-sell.
So,
it
worked
for
us.

Krish Jain: Yeah, sure. Yeah, that's all from my side. Congrats on a good year and all the best for the future.

Praveen Malik: Thanks, Krish. Next, we have Maitri Shah from Sapphire Capital. Maitri Shah. Maitri, you may introduce

yourself

and

start

speaking.

Maitri

is

not

there.

Then

we

have

Mr

Mayank

Babla

from

Carnelian

AMC.

Mayank Babla: Thank you for taking my ques tion. The first one is on the oper ating expenses. I see that softw are developmen t expenses, SG&A and R&D expenses have increased by 28%, 28% and 17%

respectiv ely

on

a

YoY

basis.

Can

you

give

some

clarity

on

that,

please?

Q4 & FY 2025-26

Arun Jain: So, some of the expenses have grown because of the Central 1 acquisition, as that cost has gone

up.

So,

the

margins

are

almost

break-even

points

on

Central

1.

We

mentioned

at

the

beginning

that

it's

a

very

low

margin,

almost

zero.

So

that

all

went

into

the

operating

margin

expenses.

So,

if

you

take

it

out,

the

difference

will

be

much

lower,

and

SG&A

will

definitely

increase

expenses

to

impr ove

mark et

accessibility

on

Purple

Fabric.

Investmen t

in

AI,

we

increased

the

expenses.

So,

these

are

the

two

major

areas

where

we

are

looking

to

increase

expenses.

R&D expenses obviously will go up. It's in proportion to the revenue. It's not necessarily that revenue

has

gone

up.

Mayank Babla: Sure, sir, and an interesting point you made on you know, R&D expenses going up because that

just

essentially

provides

fuel

for

the

next

few

years

or

decade.

I

want

to
under stand
the
accounting
for
this
R&D .
How
much
will
be
capitalised?
And
how
much
will
it
increase?
Vasudha Subr amanian:
Last
year,
in
the
year
2025-2026,
we
capitalised
close
to
■
160
Crore.
And
wha t

has

been

charged

after

P&L

was

■

235

Crore.

Mayank Babla: And you mentioned that this would increase. So, what should we take as the estimate going ahead?

Arun Jain: I think you look at the fact that we are maintaining the investment-to-dollar ratio; we keep investing

\$20

million

dollars.

If

you

look

at

the

last

20

years,

the

last

10

years,

our

investment

was

■

120

Crore,

■

140

Crore,

and

■
160

Crore.

Now

it

will

be

between

■
190

Crore

and

■
200

crore

now.

So,

this

is

giving

us

a

bucket

for

investment.

In

dollar

terms,

it

still

remains

\$20

million,

but

in

rupee

terms,

it

goes

up

by

■
30

to

■
40

crore.

Mayank Babla: Thank you so much, and best of luck. Praveen Malik: Thank s, Mayank. Last, we have Mr Vivek Tharug a from Best Pal. Vivek Tharug a: Sir, my ques tion is regarding one reques t: please do that AI session for investors, because there

is

a

lot

of

confusion

going

on,

like

how

Intellect

per

se

and

how

you

see

the

stock

prices,
even
irrespective
of
whether
it's
a
service
or
a
product
company,
they
have
taken
a
huge
beating.
Q4 & FY 2025-26

So, with respect to that how is the buy versus build dynamic changing do you think will
change
because
today
may
not
be
everything
may
not
be
reflected
in
the
market

as

of

today

as

of

now

but

how

do

you

think

it

will

chang e

given

bank s

can

put

up

their

own

small

IT

teams

and

do

their

own

coding

at

vibe

coding

and

that

by

versus

build

dynamic

will

it

chang e

or

because

of

the

domain

expertise

and

that

you

that

vendor s

have

accumula ted

like

Oracle,

Temenos

and

Intellect.

This

is

difficult;

only

very

large

bank s

can

do

some

plugins,

but

not

the

core

software,

so

if

you

have

any

views

on

that,

Arun

Jain

sir.

Arun Jain: Yeah, I think this is a good topic for all investors to look at: what IT is going to make a difference

to

the

IT

industry,

the

Indian

industry,

and

the

global

beneficial

bank.

We
can
invest
in
IT.
It's
not
about
AI,
which
is
a
problem
of
the
banks
today.
The
financial
situation
is
why
a
large
American
bank
has
50,000
people
in
IT.
It
is

not

because

of

the

banking

issue

or

IT

issue

or

the

AI

issue.

It's

because

of

their

multi-dimensional,

multi-layered

problem

which

they

have

created

over

the

last

40

years

of

their

growth.

They created a multidimensional complexity that is multi-layered. So, typical complexity, when

we
define
it,
could
have
15
dimensions
and
almost
8
to
10
layers.
So,
15
into
8
layers
of
complexity
is
a
120-dimensional
complexity.
To
me,
AI
can
solve
some
pieces
of
it

in
a
block
way.
But
if
they
really
want
to
look
at
the
solution,
they
need
to
start
with
zero-waste
architecture.
Yesterday, there were some customers who came visiting us. I said you can't solve with RFP
model.
You
can't
say
product
by
product.
I'm
simplifying
with
AI.
AI

will

not

simplify

your

product.

If

you

are

an

AI

digital

bank,

you

may

be

able

to

do

it

because

you

are

starting

from

a

fresh

slate,

but

an

existing

bank

may

be

facing

the

problem.

A lot of IT companies, we have internally started doing AI development lifecycle projects. We are

finding ,

because

of

deterministic

knowledge,

which

I

was

speaking

to

Puranik,

we

are

able

to

achieve

a

significant

amount

of

success

in

accuracy.

When

I

was

working

on

the

LLM
model,
I
was
only
getting
80%
accuracy
on
support
calls
and
other
tasks.
Now
I
started
getting
90-plus.
And
then
the
impact
starts
coming
in.
At
80%,
I
not
getting
the
impact

of

the

AI

So,

that's

why

a

bank

is

frustrated

by

co-pilots.

It's a big failure of co-pilots, and banks are realising that it will give me some individual productivity

and

performance

gains,

but

it

will

deliver

no

outcome

in

terms

of

making

the

banking

system

or

the

operational

system

more
efficien t.
So,
I
see
two
patterns
I'm
observing.
One
pattern,
there
will
be
a
feeling
that
manag emen t
will
ask
wha t
the
co-pilot
outcome
is.
If
you
spen t
20
million
dollar s
on
co-pilots

last
year,
what
outcome
is
there?
And
there's
a
disillusionment
that
will
come
in.
So,
on
the
same
hype
cycle
curve,
it
will
come
down,
and
people
will
start
questioning
whether
AI
is

working

or

not.

Q4 & FY 2025-26

And that is a that's the place where some of the players will move out of that window where they

are

supplementing

their

Java

resource

to

and

bundling

as

a

packaging

as

an

AI

resource,

so

many

IT

services

company

are

packaging

their

existing

engineers

as

AI

engineer s

and

that

is

not

the

way

AI

will

be

working.

To me, it's a transition phase where companies are repositioning packaging on the cover of the

person

that

you

are

an

AI

native

engineer .

An

AI

native

engineer

has

to

think

very,

very

differently.

I'm

personally

going

through
the
training
program
to
become
an
AI
engineer
at
Intellect.
We
have
close
to
500
AI
native
engineer s
out
of
6,500.
So,
we
have
a
long
way
to
go
within
Intellect.
After

three
years
of
struggling ,
we
have
been
able
to
convert
only
500
AI-na tive
engineer s.

But the throughput of this AI-na tive engineer is three times that of the other engineer s there.

So,
that's
the
kind
of
chang e
indus try
will
see
and
if
this
is
truly
happen
that
2028-29
Indian

IT

industry

will

face

severe

issues.

Indian

services,

IT

services

and

number

of

jobs

will

reduce

substantially

in

2028-29.

Nobody

speaks

about

it

because

it's

a

fearful

agenda

because

if

IT

services

job

goes
down
then
the
entire
financial
sector
and
the
automobile
sector
also
get
impact ed.

But
that's
wha t
we
need
to
prepar e
for,
unless
we
quickly
chang e
the
way
we
work.

So, this is not a Gyan I'm giving. I'm just saying this is my observation. Maybe I will be wrong.
So,

nobody
can

forecast
the
future,
what
will
happen
tomorrow.
And
the
change
in
AI
is
happening
very
fast,
and
many
companies
will
be
able
to
keep
up.
But
routine
jobs,
redundant
jobs,
which
is
a

worker's

job,

the

blue-collar

worker,

the

white-collar

workers,

I

think

those

definitions

will

change

in

the

next

few

years.

Vivek Tharug a: Sir, I was more coming from a buy-versus-build perspective with banks. Can they, because of using

these

AI

tools,

can

they

shift,

or

will

it

be

a

short-term

solution?

So,

that

was

my,

you

don't

see

that.

Arun Jain: Can I answer in Hindi? Vivek Tharug a: Yes, I'm not from the Hindi belt, but I can under stand. I can under stand that. Arun Jain: They will not be able to do it. The bank s aren't capable of doing it.

Q4 & FY 2025-26

Vivek Tharug a: Okay. Sir, my second ques tion is, last con call, Mr Manish has referred to, we are in advanced stages

with

I

think

IBM

or

global

main frame

infrastructur e

leader ,

and

you

said

you

will

upda te

on

that.

Any

upda tes

on

that?

Manish Maak an: Yeah, we are working on this M2C deal with them. And even the OTP was along with Micr osoft,

which

we

did,

and

we

are

now

going

live

with

Micr osoft,

and

Arun

announced

that.

Vivek Tharug a: So, we are not ready to men tion the name. Is it IBM, sir? Arun Jain: All three are. AWS, Azure, IBM and Kyndr yl. Vivek Tharug a: Sir, one small reques t, apart from your AI session, is that we are diluting by around 1% of our stock

every

year.

And

if

you

can

use

the

cash

to

buy

back,

it

would

be

much
better
for
investors
in
terms
of
wealth
creation.
Then
I
not
saying
I
don't
want
dividend
but
because
free
float
enters
the
market
and
every
because
this
sector
as
you
said
is

having
so
man y
other
issues
going
on
it
will
be
better
for
investors,
both
from
value
accretion
and
also
stock
mark et
for
free
float
that
if
you
can
do
a
buyback,
it
would

be
more,
it's
your
wish,
but
if
you
can
consider
that
as
an
investor's
request
because
a
lot
of
free
float
is
getting
created
and
dilution
is
happening
year
on

year.

Arun Jain: Sure. We will look at it. Vivek Tharug a: Sir, I have one more question before we leave. Can we assume that given the five tailwinds that

you
men tioned,
if
I'm
assuming
those
are
the
tailwinds
in
the
presen tation
that
you
have
given,
so
can
we
assume
that
a
20%
growth
is
of
a
higher
probability
than
the
last
five

years
because
we
had
more
headwinds
in
the
last
five
years
in
terms
of
Russia
war
and
Covid
and
then
you
had
tariff
issues
and
all
these
things
and
now
that
we
have

US

as

a

market

opened

up

a

high

probability

of

20%

growth

should

be

higher?

I'm

not

saying

give

certainty

but

we

are

entering

a

phase

that

is

clearer

than

the

last

five

years.

Arun Jain: Let's hope with people like Trump sitting there. Manish Maak an: Vivek, we have just delivered a year with 20% plus. Let's celebrate it. We shall have to do it.

Q4 & FY 2025-26

Vivek Tharuga: Please conduct a session, sir. Because we are not tech people. Praveen Malik: Thank s, Vivek. Arun, we have two more people. Can we take at least one? Arun Jain: Take one more question. Praveen Malik: Okay. Next, we have Mr Srinivasu K from TIA. Mr Srinivasu from TIA. Srinivasu K: Thank you, Arun, for explaining the accuracy gap between 76.7% and 95% in enterprise AI expectations.

Actually ,

that

really

answered

most

of

our

investor

concerns.

Thank s

for

answering

that

in

detail.

My

question

is

about

the

AI

revenues

that

we

have

at

■

160

Crore

this

year.

What

is

the

exit

ARR,

and

can

we

expect

it

to

be

double

next

year?

Arun Jain: We would love to have it. That's what we are struggling for. Let's see what comes out. But that's

what

we

are.

Because

our

revenue

will

come

twofold,

Srinivas.

One

is

in

the
area
of
direct
Purple
Fabric
and
all
the
Intellect
products,
which
now
have
an
AI-first
product.
So,
for
any
product
you
are
selling
now
in
the
core
banking
space,
we
are
creating

a
knowledg e
layer
and
an
intelligence
layer
on
the
core
banking
product.

Ther e
is
no
single
product
from
Intellect
that
is
not
AI-first

now.
So, if we alloc ate 12% of those revenues to AI effectiv eness, those revenues will also add to
the

overall
investmen t
buck et.
That's
wha t
we
do
internally .

But
that
will
not
be
visible
to
you
other wise.

But
that's
wher e
the
value
of
AI
will
be.

Okay.
Sriniv asu K: And my next ques tion is: given that Anthropic and OpenAI are launching agents here and there

every
mon th,
is

Purple

Fabric

LLM-agnos tic?

Will

it

allow

other

OpenAI

models,

also,

right?

Arun Jain: We are open, and all are LLM agnostics. That's how we designed it. We knew that models would

come,

and

multiple

models

would

come.

There

are

more

than

two

million

models

in

the

world.

Q4 & FY 2025-26

Srinivasu K: Thank you. Praveen Malik: Thank you, Mr Srinivasan. So, there are a couple of people who might be interested, in case they

have

any

questions.

Please

do

write

to

us.

The

time

is

over,

so

we

are

closing

the

call.

Thank

you

for

participa ting,

everybody

and

thank s

to

the

manag emen t

team.

Note: This transcrip t has been edited for readability and does not purport to be a verbatim record

of

the

proc eedings